

Navin Fluorine International Ltd. (NAVINFLUOR)

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Call: Aug 2022

August 1, 2022

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Scrip Code: 532504

Dear Sir/ Madam,

Sub.: Transcript of Earnings Call of Q1 FY 2022-23 National Stock Exchange of India Limited

Exchange Plaza,

Bandra Kurla Complex, Bandra (East),

Mumbai 400051

Symbol: NAVINFLUOR EQ

Pursuant to Regulation 30 read with Schedule III of SEBI (Listing Obligations and Disclosure

Requirements) Regulations, 2015, the transcript of the Company's Earnings Call held on July 25, 2022

regarding discussion on operational and financial performance for the quarter ended June 30, 2022

(Q1 of FY 2022-23) is enclosed.

This intimation is also being made available on the Company's website at www.nfil.in.

Request you to take this intimation on record.

Thanking You,

Yours faithfully,

For NAVIN FLUORINE INTERNATIONAL LIMITED

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Akshika Thakkar

Manager -Secretarial and Legal

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"Navin Fluorine International Limited Q1 FY -23
Earnings Conference Call"

July 25, 2022

MANAGEMENT : MR. RADHESH WELLING - MANAGING DIRECTOR -
NAVIN FLUORINE INTERNATIONAL LIMITED

MR. B. K. BANSAL – CHIEF FINANCIAL OFFICER -

NAVIN FLUORINE INTERNATIONAL LIMITED

MODERATOR : MS. RASIKA SAWANT – ORIENT CAPITAL , INVESTOR
RELATIONS PARTNER

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Moderator: Ladies and gentlemen, good day, and welcome to the Navin Fluorine International Limited Q1 FY23 Earnings Conference Call.

As a reminder, all participants' lines will be in listen-only mode and there will be an opportunity for you to ask questions after the opening remarks concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note this conference is being recorded.

I would now like to hand the conference over to Ms. Rasika Sawant from Orient Capital, Investor Relations Partner. Thank you, and over to you, Ma'am.

Rasika Sawant: Thank you, and welcome to the Q1 FY23 Earning Conference Call. Today, on this call, we have Mr. Radhesh Welling – Managing Director of Navin Fluorine International Limited along with Senior Management Team.

This conference call may contain forward-looking statements about the Company, which are based on beliefs, opinions and expectations as of today. Actual results may differ materially. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict. A detailed safe harbor statement is given on page number two of the Annual Report of the Company which has been uploaded on the stock exchange and Company's website as well.

With this, I now hand over the call to Mr. Radhesh Welling for his opening remark. Over to you, sir.

Radhesh Welling: Hello everyone. Good morning to you, and I hope you all and your families are doing well. Warm welcome to all the participants. I am joined by Mr. B. K. Bansal – the Chief Financial of Navin Fluorine and Orient Capital, our Investor Relations Partner. I hope you all got an opportunity to go through our financial results and investor presentation, which have been uploaded on the stock exchange as well as Company's website.

Before I move on to discuss the quarterly performance, let me take you through some of the key highlights and developments in the Company.

At Navin Fluorine, one of our overarching responsibilities is execution excellence and comprises the ability to commission new capacities with plants and projects towards desired outcomes. I am happy to report that we inaugurated manufacturing plant for Honeywell International at Dahej on 12th July. Trial supplies have already started and commercial supplies will come in soon.

As you all know, we received Board approval for this project on February 25th, 2020, and the entire country went into lockdown from March 2020 onwards. Also, this was a complete greenfield project where we had to first get the land ready and then start working on specific Navin Fluorine International Limited July 25, 2022

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manufacturing plants. We have managed to successfully complete this large and complex project through three tough phases of COVID-19 pandemic.

Setting land in around two years is demonstration of our strong technical capabilities and our commitment to growing our partnership with Honeywell. The next generation product out of this facility has a very low global warming potential (GWP) and no ozone depletion potential, thereby helping customers lower their carbon footprint and improve energy efficiency without sacrificing end product performance.

From this financial year, we have redefined our business units and implemented a new organizational structure with very clear three BUs each headed by operating CEO with full P&L responsibilities. The three business units would be High Performance Product, CDMO, that is Contract Development and Manufacturing Organization, and Specialty Chemicals. High Performance Products business would include erstwhile inorganic fluoride, refrigerant gas and high-performance products.

I am also very pleased

to inform you all that we have appointed Mr. Partha Roy Chowdhury as CEO of our HPP business. As some of you might know, Partha worked with Navin from 1995 to 2016 and was the CFO in his last role. He understands the Company and business very well, and I am very happy he is back at Navin Fluorine.

Let me now take you through the operating performance for Q1 FY23, and then Mr. Bansal will update you on the financial performance:

Operating revenue stood at Rs. 386.8 crore, a growth of 23% on Y-on-Y basis. We recorded highest ever quarterly sales in Specialty Chemicals of Rs. 176 crore.

Operating EBITDA stood at 29.9 crores, growth of 28% on Y-on-Y basis. Despite several headwinds, we managed to achieve operating EBITDA margin of around 26%. Operating PBT stood at 88.1 crore with a growth of 32% on Y-on-Y basis.

Now moving on to discuss the operating performance of each business unit:

Our Specialty Chemicals business continues to deliver strong performance driven by strong partnerships . We achieved record quarterly revenue in this business unit in the last quarter and reported revenue growth of 32 % on Y-on-Y basis at Rs. 176 crore for Q1 FY23. The growth of this business is driven and will continue to be driven by significant improvement in the new business pipeline . The segment has very strong pipeline of growth in line with our 3Ps principle : product , platform and partnerships . The revenue contribution from international business is about 48 % and 52 % is from our domestic operations .
Our HPP business grew by 33 % in Q1 FY23 to Rs. 152 crores compared to same period last year . From this quarter onwards , we have merged our erstwhile Inorganic Fluorides and Refrigerant Gas business and the new HPP business into new High Performance Product business vertical .
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The growth in this unit for this quarter was driven by higher volumes as well as strong pricing in Inorganic as well as Refrigerant Gases business .
We are working on identifying new opportunities in our Inorganic as well as in the Industrial Gases portfolio . Revenue from the new upgraded graded plant for Honeywell will start from Q2 FY23. The international business contributed about 22 % , whereas balance 78 % is from our domestic operations .
Board has approved debottlenecking of Rs. 80 crores for a new molecule in this business unit at Surat. Manufacturing of this product will start from July 2023 .
Our CDMO reported revenue of Rs. 59 crore in Q1 FY23 . As we have already highlighted in the past , it's unfortunately difficult to assess performance of this business on a quarter -on-quarter basis . Our focus in this business continues to be on expansion of new project pipeline and further diversifying customer base . In this regards , we successfully completed an important plant audit for one of our large US-based companies and have already received first order from them . Work on the cGMP 3 plant capacity expansion is scheduled to be finished on schedule in Q3 FY23 , and we are working on preparing business case for cGMP4 .
Now let me give you a quick update on our ongoing CAPEX programs , which we have announced in the last many months .
All our projects in Dahej, that's MPP , the one for dedicated plant for agrochemical customer , and one for the important building block are progressing well . Our plan is to commission MPP in stages from Q2 onwards , the dedicated agrochemical facility by December 2022 and the final project by December 2023 .
We have also undertaken a large infrastructure upgradation project in Surat wherein we are investing in our R&D and pilot plants. All these investments are clear demonstration of the confidence Board has in the operating team and also of the operating team in the sustainable and profitable growth prospects for Navin Fluorine.
I will now hand over the line to

Mr. Bansal to give you brief on the financial performance of the Company . Thank you.

B. K. Bansal: Thank you, Mr. Radhesh, and very good morning to all the participants . I will share the highlights of our performance in Q1 FY23 , following which we will be happy to take questions from you all .

On the performance of Q1 FY23, as Mr. Radhesh has said that Company has reported net revenue from operations of Rs. 386.80 crore as against Rs. 313.9 crore in the same quarter of previous year showing a growth of 23 % . Our EBITDA margin is Rs. 99.9 crore in Q1 as against 78 crore in Q1 FY22, a jump of 28 % . It reaffirms our pricing power . Despite increasing input cost, we have been able to outperform on the margin front . Despite several headwinds, we
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achieved an operating EBITDA margin of 25.8 % as against 24.8% in the same period last year, an increase of 100 basis points .
Operating PBT increased by 32 % to Rs. 88.1 crore for Q1 FY23 as against 66.7 crore in Q1 '22. Profit after tax stood at Rs. 79 crore for Q1 FY23 and the PAT margin stood at 20.4 % .
Moving to BU wise performance for this quarter :
In Specialty Chemicals , we registered a growth of 32% to Rs. 17 crore as against Rs. 133 crores in Q1 FY22. In HPP business , we registered a growth of 33 % to Rs. 152 crore as against Rs. 114 crore in Q1 FY22. In CDMO business , we reported revenue of Rs. 59 crore as against Rs. 67 crore in Q1 FY22.
So, that's all from my side . Now I open the floor for question and answer . Thank you.
Moderator: Thank you very much, sir. We will now begin the question -and-answer session. [Operator instructions] We have the first question from the line of Nirav Jimudia with Anvil Research .

Please go ahead .

Nirav Jimudia: Good morning to the entire team and congratulations on excellent number , Sir. I have two questions . So, I was just going through your Annual Report where you have mentioned some of the advantages of the R&D, like one off was you have developed some 10 new products which will be commercialized in FY23 .

The second was with respect to the challenges , with respect to one product where the capacity was 10 tons per month , but we were facing initially in terms of utilizing those full capacities and through process and engineering , we could ramp up those capacities to 10 tons per month which we have mentioned in your Annual Report .

One more benefit which you have mentioned in the Annual Report is the revenue derived from the new products in CRAMS which have been developed over the last few years and the contribution has reached to now almost 50 %.

So, if you can just elaborate in terms of which are the products which we have developed or which segments this product qualifies for , and what could be the size of the opportunity for these products what we have developed ? So, this is question number one , Sir.

Radhesh Welling: Thank you very much for the question . So, I will not be able for confidentiality reasons to give you the exact names of the molecules , but these molecules primarily , and these are across the three business verticals , in specialty , they are primarily in agrochemicals . CDMO , of course , they're all in pharmaceuticals , and these are primarily for innovative drug companies . For the first category , which is for specialty agrochemicals , it is primarily happening out of our R&D facility in Surat , which is where we have now invested in the significant upgradation in the facility . The CDMO piece is actually out of Dewas which is targeted towards the innovative Navin Fluorine International Limited

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pharma companies and there is limited work that is actually happening on the HPP side. So, there are two molecules that we are working on , one of which the work is already over and the second one is continuing .

Nirav Jimudia: But Sir, can you just give us some glimpses about the opportunity size of these products given we have already went quite ahead in terms of now the commercialization of this product ? So, do you can give some understanding about what can be the opportunity size ? Some rough understanding of the same would also help , Sir.

Radhesh Welling: Typically , we don't like to talk about the opportunity size on a product basis unless it's a large building block . Then , obviously , because the building block then typically goes into multiple products etc . , one of which we have actually invested in setting up a plant which is going to get commercialized. Individually , we don't typically like to talk about for the obvious reasons .

Nirav Jimudia: And Sir, like what you have mentioned that we have been investing significantly in the R&D probably , the Annual Report talks about initially we are putting up 40 crores in that R&D block . And even if we see on a yearly basis , we are investing now more than 10 to 15% of our profits into R&D which is visible in the disclosures you have made . So, just wanted to understand like given the new players also are entering the fluorination space , what could be the challenges for us in terms of upping our R&D capabilities with respect to the new recruitments probably our competitors would have been doing or in order for us also , because now we have been investing significantly . So, what challenges we could face in terms of recruiting and retaining those top-level employees at Navin?

Radhesh Welling: So, if you actually look at specifically related to this particular space , which is fluorination , our focus has been to continuously upgrade our capability fluorination , so wherein we actually started from simple helix-based chemistry . Then thereafter we went to HF-based chemistry . Now if you look at the chemistries that we typically handle , within fluorination or in the adjacent spaces , these are extremely complex chemistries .

So, we believe that as you rightly said , in the next few years , our assumption , our internal assumption is that some of these new players will be able to handle the helix or HF chemistries as well as some of the incumbents today . So, it's very critical for us to ensure that whatever that gap exists today , the capability level between us and some of these new players continues to remain . And hence , we are continuously focusing on upgrading our capabilities .

Now when I talk about capabilities , these are chemistry-based capabilities . These are engineering-based capabilities , and then there are infrastructure related capabilities and talent related capabilities . As far as the talent retention is concerned , on the chemistry side , our ability to retain talent across the site is relatively higher , and that's primarily because of the kind of opportunities that we present to some of these people to work on .

The issue that we typically face is on the engineering side where we believe that there could be fun and hence what we've done is we've actually just recently ran internally it is called a STAR

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program, Special Talent Recognition program, where we identified high potential as well as typical roles and worked on specific programs around that and this is actually across the Company, not only limited to chemistry and engineering. That's basically towards ensuring that the talent remains with the Company for the foreseeable future.

Moderator: Thank you. We have next question from the line of Sanjesh Jain with ICICI Securities. Please go ahead.

Sanjesh Jain: Good morning, Radhesh and Bansalji. First of all, congratulations on starting the first large project HPP. On the HPP side, I just wanted to understand how has been your initial days experience on running the plant and more so on the

raw material sourcing now that we have started, which are the key raw material in this product and where are we sourcing for these products? That's my first question.

Second, on the HPP side, it looks like there is a slight under performance in the erstwhile Inorganic Fluoride because Ref Gas is a seasonally strong quarter and R22 prices have gone up. Is that industry dynamic weakness hurting us also in organic fluoride? And the related question to that is that the margin expansion we have seen this quarter, quarter-on-quarter, can it be attributed to the stronger sale of domestic Ref Gas which we have earlier quoted as one of the reasons for why our margins were weak when this fell? So, these are my initial questions. Thank you.

Radhesh Welling: Yes, I think you have asked about three, four questions. Let me try and take each of them. If I miss answering it, just let me know. Then I can, you know, again come back. As far as the HPP plant is concerned, our initial experience has been extremely heartening. I think as I had indicated earlier, we have actually two main plants.

So, the first plant actually manufactures the intermediate, then goes as an input to the second plant. The first plant is a little tricky and our technology supplier had indicated to us it could actually take us anywhere between three to six months to stabilize that plant. Our team has actually managed to stabilize that plant in less than four weeks. We've already started supplying the trial quantities from the second plant. So, I think our initial experience has been extremely heartening. What our technology supplier expected us to do in three to six months, the team has really achieved in the record time.

As far as the raw materials is concerned, one of the important raw materials is HF, which is currently being supplied by Surat to HPP. We have also currently working on the possibility of setting up a new large HF facility in Dahej itself, but currently it has been supplied by Surat. There are some other raw materials, all of which have been locked into long-term agreements, which actually mirror our long-term agreement with the customer.

On the performance between inorganic and Ref Gas, this particular quarter, we've actually seen a pretty strong performance on both inorganic as well as refrigerants and on both the sides, on both the parts, it's been both because of both through volume as well as pricing actions. I would

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say on the Refrigerant Gas, it has been more on the volume than on pricing. In inorganic, it has been more on the pricing than on the volume. But even on inorganic, we have seen pretty strong growth and a significant part of that is because of the volume. Have I answered all your questions or is there anything that is left?

Sanjesh Jain: No, I was more looking from the sequential perspective, Radhesh on this last one.

Radhesh Welling: On the sequential, if you see our business, you cannot look at it from the sequential perspective because a lot of it is very seasonal. Even in the inorganic business, within that, there is a lot of seasonality because as you know our molecules actually go into agrochemicals etc., even on the inorganic side. So, we've always maintained that the right way of looking at our business is on a year-on-year basis.

Sanjesh Jain: And the reason for the margin expansion sequentially, is this more of domestic Ref Gas or is it that the right understanding?

Radhesh Welling: So, on the Ref Gas, our volume has actually grown across the three segments, which is domestic MSM, domestic non-MSM as well as international and we have seen margin improvement in each of those three areas as well as on the inorganic and specialty. Specialty, it is primarily the product mix, this one, and again on the inorganic, some of the

higher margin molecules has actually seen a volume growth.

Sanjesh Jain: Thank you for patiently answering all my questions and best of luck for the months ahead.

Moderator: Thank you. We have next question from the line of Chintan Modi with Haitong Securities. Please go ahead.

Chintan Modi: Thank you for the opportunity . So, my first question is with respect to the pharma CDMO business where we have seen some degrowth this quarter . Would you kind o f value this to issues in Europe that we are seeing ? And do you maintain your guidance of about 30 % growth this year?

Radhesh Welling: No, s o, first of all , I don't think I have given a 30 % growth guidance . We typically don't give any guidance as such . The issue that we see and as you might recollect , I had already indicated that for this particular year , our H1 might look softer . H2 is looking pretty strong because we are actually seeing pretty strong business pipeline for calendar year '23. So, to your first question , is this softness because of some of the issues that we are seeing in Europe ? The answer is no . And on an annualized basis or even directionally , do we believe that we'll continue to see strong growth in the CDMO business ? The answer is yes . And that is also demonstrated in the fact that we've already started working on cGMP4 and we should soon be actually taking that particular business case for approval and that confidence is basically coming because of the strong business pipeline , opport unity pipeline on the CDMO side.

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Chintan Modi: So, I was just my mistake that 30 % guidance . I think I was referring to the Annual Report where you have mentioned about 25 % growth . So, yes, but I got your answer .

Secondly , coming again from annual report , you have mentioned about the Fluoropyridine platform under the specialty chemical section . So, two things here . If you could talk a little bit more about this because you are expecting to launch a new product by 2023 ? And is this the same CAPEX that we are doing like 540 crores which we announced recently , the last CAPEX?

Radhesh Welling: As I had mentioned before there are multiple platforms that we are currently working on and already some of those have got converted into CAPEX es. Some of them are still in the pipeline and being converted into CAPE Xes as we speak . This particular one that you talked about Fluoropyridine , again there are multiple platforms in that . There are actually three specific platforms under Fluoropyridine s, one of which has been converted into CAPEX . There are two more that we are currently working on . Working on as in those are the two where the R&D work is almost done . The pilot currently happening and then those will get converted into CAPEX es.

Chintan Modi: But this 540 crore CAPEX has nothing to do with this . That's different .

Radhesh Welling: I will not be able to comment on that because then that will basically mean that I'm correlating the specific product . For competitive reasons , it will be difficult for me to comment on that .

Moderator : Thank you. We have next question from the line of Naushad Chaudhary with Aditya Birla.

Please go ahead .

Naushad Chaudhary: Thanks for the opportunity . Just some clarification s, sir. Firstly, what was the rationale behind redefining your Inorganic and Ref Gas as an HPP segment ? Because if I remember , we used to indicate that HPP will report separately . That's one. And secondly , in terms of your HPP initial teething issues , so has that risk from the plant resolved now ? And if there was any teething issue , can you quantify it , how much it was ?

Radhesh Welling: So, I'll let your second question first . I think , I already spoke about that in my earlier commentary . I wouldn't really say that there were any big issues . As I mentioned , our technology supplier

had actually talked about three to six months to actually get that plant stabilized and start getting the molecule and our te am has actually been able to do that in less than that. So, we're really not seeing any significant teething problems . There are some usual typical issues which are there , but those are not really of material significance .

On the second part , the rational for combined , as you know that earlier about four years back , our primary focus was on CDMO and we were really focusing on growing the CDMO piece, which was then called CRAMS whereas we didn't really have very strong growth plan in some of the other businesses and I've maintained that each of our business verticals has very strong growth prospect and very soon , one by one , they will all start finalizing their growth strategies and they'll be on their individual growth trial .

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Now what we have tried to do is that for each of these , that is Inorganic , Ref Gas as well as on HPP, we have actually developed a very clear growth strategy . We have a plan on refrigerant side. We have a clear plan on HPP, and on inorganic it is still a little work in progress , but we are very confident that each of these three will actually have its own growth trajectory . But again there's a lot of synergy between these three businesses . For example , the product which is produced by one is a raw material for another etc. So, we felt that if you actually combine this because , otherwise , it will be misleading the external stakeholders . So, we combine that , these three business verticals and they look at in combination what the growth in the vertical is .

And the third reason is that some of these businesses are almost like single molecule or limited molecule businesses . So, when we actually declare the results of some of these businesses separately , it's very easy for the competition to really understand what the revenue is of that one specific molecule or those limited number of molecules . And for confidentiality reasons , we didn't want all of that to be so transparent . So, that is the reason . These are the three reasons we decided that we will actually combine these three businesses into one business vertical , which will be called High Performance Product going forward and we will see each of these three . Also , we decided to rename the CRAMS business into CDMO business because that truly reflects what we do . We are not really into CRAMS business , but we are more into CDMO business .

Naushad Chaudhary: Understood . Makes sense . And lastly , in terms of your HPP plant of full utilization as we had indicated earlier also and the plant has now started . So, do we remain confident that within one or two quarter , next one or two quarter we should reach to full utilization of this plant ?

Radhesh Welling: So, if you see my commentary when we got the Board approval and I'd presented this particular , I'd responded to this particular point , I had mentioned that from year two onwards , we expect the plant to start operating into the full capacity . There will be a ramp up in year one , but year two onwards , we expect that the plant would more or less running to almost the full capacity . We expect that from Q4 onwards itself , so that is the first quarter of the calendar year '23, we should start seeing relatively full capacity , if not 100 % , close to full capacity .

Moderator: Thank you. We have next question from the line of Vivek Rajamani with Morgan Stanley . Please go ahead .

Vivek Rajamani: Hi, Sir. Congratulations on a very good set of numbers . Two questions from my end . So, if you could just share some qualitative information in terms of how your plans have run this quarter and how you see this evolving over the next few quarters ? And I guess the second question would be from a management perspective , i

s there any one or two particular issues that you are currently focused on , which you think would be critical over the next three, four months ? That will be really helpful as well . Thank you.

Radhesh Welling: So, now commentary around the plants you are asking ?

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Vivek Rajamani: The plant runs . Correct , Sir. Utilization or just optimally if you just give some qualitative comments , that'll be really helpful .

Radhesh Welling: Sure. So, I think HPP, the erstwhile HPP, I think I have already spoken about . The plant in Surat of HPP is running to almost full capacity . Refrigerant Gas plant , of course , is there is a capacity headroom and we are working on some options there . In specialty , in most of the queues we are running almost to full capacity or close to full capacity .

As you know in specialty we have , some of them are dedicated blocks , like the ones for the or there are multi -purpose plants there . So, multi -purpose plants are running to almost full capacity . Of course , product by product it could , you know , depending on the product that we're in the specific , it could vary slightly . But specialty we are actually running to almost optimum capacity because of which the need for lot of these new projects in Dahej, as you know we have already announced three , for specialty in Dahej. This is primarily trying to address that capacity utilization issue on the specialty .

On inorganic , we have some capacity headroom available in some of our smaller molecules like NaF, etc. But on the larger molecules like HF etc., we are running the plant to actually more than full capacity . On the CDMO side, in Q1 , we had the capacity headroom available , but we expect that from August onwards , the plant will again start operating to almost optimum capacity .

Vivek Rajamani: Thank you, sir. Very , very useful . And sir, any comments on how you see this shaping up over the next two , three quarters ?

Radhesh Welling: Are you talking about specifically plant capacity ?

Vivek Rajamani: If you just focus on the specialty segment , that'll be great as well .

Radhesh Welling: So, I think the other question that you had asked was a priority for the next three to four months . I missed answering . You know, I think there are clearly two , three priorities of one , which is the ongoing , this one , priority , which is around talent management .

The second priority would be to ensure these plants which are started or which will be starting in Dahej to ensure a smooth operation of these three plants , so HPP and there are two plants that commissioned in the next few months so to ensure that that happens .

And the third important point would be given that we will be manufacturing lot of these molecules for the first time , we have to lock the raw materials for all of them . So, what we are currently working on as an organization is to lock all these critical raw materials for calendar year '23 either through contracts or to actually ensure that we actually position these raw materials in India so that we don't face any disruption as these plants start getting commissioned . So, I would say , these would be the three high level priorities .

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Moderator: Thank you. We have next question from the line of Abhijit Akella with Kotak Securities . Please go ahead .

Abhijit Akella: Thank you so much and good morning , Sir. First question is that with regard to the 80-crore debottlenecking CAPEX announced under the HPP business , if you could please help us a little bit with what category or what product this is in and the financial sort of outlook for this ? I mean , how much revenue etc ., it can generate ?

Radhesh Welling: Yes. So, I think it will be difficult for us to give you the category or the name of the molecule

because we are still in the process of locking the raw material etc ., for the same . Obviously , as you can guess , one of the critical raw materials is AHF , but there are some materials as well . On the financials , as I mentioned that we expect the production , the plan t to get commissioned by July and then we'll start from there on , and we expect that year two to year three , we should actually see the plan t running to full capacity and us actually getting full annual revenue from year t wo, year three itself and we expect the annualized revenue to be around 150 crore plus minus .

Abhijit Akella: That's helpful . Thank you. And the second thing was just with regard to the refrigerants business , any final decision taken on the possible foray into HFCs ? And also, the Annual Report has a mention of supplying R22 PTFE as a large opportunity as a Non-Chinese supplier . So, I just wanted to clarify whether that is for the gas that you'll be supplying or for the polymer also , the PTFE also? Thank you.

Radhesh Welling: So, on your first point on HFC , we are evaluating various options there . On the second point , it was specifically talking about supplying R22 for PTFE manufacturing. We are actually looking at either supplying R22 as such or supplying the downstream of that , but that is primarily point of view of capacity utilization . It's not going to be a kind of a long -term strategic this one . We are actually looking at some other strategic options for converting R22 ourselves into some other potential value -added molecules or retrofitting that p lant to manufacture some other molecule. So, we are looking at those two as long -term strategic optio ns. So, this one is it's more going to be an interim option till we actually get that other piece done .

Moderator: Thank you. We have next question from the line of Ankur Periwal with Axis Capital. Please go ahead.

Ankur Periwal: Hi, s ir. Thanks for the opportunity and congrats for good set of numbers . First question on the capital allocation si de, especially when the business reject from a reporting perspective is already behind us and you did dilute it to dedicated CAPEX for the respective businesses subject to opportunities . So, at the Company level , how should one look at from a capital allocation perspective ? CDMO , because you did mention CDM O, uh, you know , cGMP4 as well under discussion now . So, your thoughts there ?

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Radhesh Welling : So, in each of the three business verticals , specialty , CDMO and HPP, we have very clear growth plans . At an organization level , we don't start by having a very clear capital allocation strategy in terms of this percentage should go to this business etc . It's more bottoms up where each of the business is actually simple for developing their own strategy and growth plans and then accordingly , we decide the capital allocation piece . But currently , if I look at it , all the three businesses we have growth plans in the immediate future as you can see from the CAPEX es that will probably be announced in the near future or specialty will cl early take a large portion of the overall allocation , but as I mentioned , we are working on cGMP4 a business case for CDMO , and also we are working on some other opportunities on the HPP side.

Ankur Periwal: Sure, Sir. That's helpful . And just a clarification . The healthy growth that we saw in the specialty business this quarter and you know I'm trying to connect your comments on the R&D side as well for the new products commissioning etc . This is largely led by the existing product portfolio and the incremental contribution from the newer products , which are largely Agrochem is yet to play out . Will that be fair understanding ?

Radhesh Welling: Yes. So, there is one molecule we launched in this particular quarter . So, some of that growth

has actually happened through this , but primarily , I would say it's happen ed through a higher volume of existing molecules .

Ankur Periwal: Great , Sir. And just one clarification . The incremental expansion , whether in HPP or in specialty , the working capital over here , how should one look at it ? Because if I look over the years , there is slight increase there because of our expansion . So, your comments there .

B. K. Bansal : Yes. So, this cycle is generally of 90 days , and we hope that it will be maintained . Maybe in the short time , it can go some here and there little bit , but otherwise , it will be around three months only.

Moderator: Thank you. We have next question from the line of Ishmohit Arora with SOIC LLP. Please go ahead .

Ishmohit Arora: Hi, Sir. Congratulations for a great set of numbers . Sir, my first question was as a management process es, I just wanted to understand that when it comes to the agro business and the pharma business , we are mainly into the intermediate strategies. Especially for agro, do we have plans to get into active ingredients ? And especially for pharma, do we have plans to get into API manufacturing as well ? And if not , then what are the reasons for not getting into it ?

Radhesh Welling: Sorry . I understood one part of that question where you asked if we have any plans to get into API business . What was the o ther part of that question ?

Moderator: Could you please repeat your question so that the management can answer back ?

Radhesh Welling: So, let me respond to the question that I heard which was around API piece. We don't have any immediate plans of getting into APIs. Our immediate plan and which we have already started

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working on is to actually get into doing more of advanced , but no immediate plan of getting into API. Because we feel that that API piece is actual ly more of a commoditized piece .

Moderator: Thank you. We have next question from the line of Tejas Sheth with Nippon India AMC . Please go ahead .

Tejas Sheth: On the HPP, so when we signed the contract , the input cost economics, and the logistics cost economics , even the power cost economics were very different . So, once we ramp up this full capacity , would the margin profile of this project be very different or how the pricing contract is signed in this molecule ?

Radhesh Welling: No, so as we had indicated earlier , the margin profile of this business is going to be pretty in line with our overall Company , slightly higher than the overall Company . And the way the agreement was structured , it was basically on a cost-plus basis. So, increase in the input cost etc ., there will be a clear pass through .

Tejas Sheth: And secondly , what is the potential of the two new molecules under specialty and HPP? Is that something which can be a big investment potential or there is something which is a kind of add - on and hence the investment potential will be minuscule ?

Radhesh Welling: No. See typically what happens is unlike in , actually , look at the three businesses , right ? HPP, CDMO and specialty . Specialty , typically , there are two kinds of CAPEX programs . One is in form of a MPP, which is typically a multi -product multi -process plant or there could be a dedicated facility . So, dedicated typically tends to have a non -incremental CAPEX, non-incremental impact . On the CDMO side, it's always on the MPP side, but in HPPs, on the HPP side, unless it's a small d ebottlenecking project , there's always a non -incremental impact both in terms of capital investment , also the impact on the business .

Tejas Sheth: So, opportunity can be sizable then?

Radhesh Welling: That's correct .

Moderator: Thank you. We have next question from the line of Bharat Shah with ASK Investment Managers . Please go ahead .

Bharat Shah: Hi, Radhesh. Two questions .

One, when we look at Europe , in general , it seems that Europe is destined to face a long winter , generally lack of innovation , society's work ethic is somewhat poor, the incompetence in the way they've handled the inflationary situation , and generally , inability to really clear the ground for fu ture by doing more innovative work . Do you think this will have impact on your business and on your plan ts over long run?

Radhesh Welling: So, good morning , Bharat bhai. So, you're absolutely right . This is something that we are trying to make an assessment on . We believe that the issues that we are seeing in Europe will clearly have impact on two businesses . We are trying to understand what the potential impact could be

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on the HPP side both from the opportunity perspective as well as challenge p erspective , but we clearly understand that it will have an impact on the CDMO side, which is why we are accelerating our move into at least the advanced intermediate so that , you know , because earlier some of our intermediates were going to Europe for conv ersion into advanced intermediates and then the API. So, we want to actually move that advanced intermediate piece also in -house so that from the challenge perspective , our business doesn't get impacted .

From the opportunity perspective , we have actually started having a lot of conversations with the customers wherein we are positioning ourselves as an alternative to Europe as to their own

manufacturing, you know, some of their own manufacturing which was happening in Europe. Also in Specialty, we are seeing the same dialog currently happening on the agrochemical side. So, clearly, on a mid to long term basis, we believe that it's going to be net positive for our CDMO business and on our specialty business.

One more point that I would just like to highlight here is that on the specialty side, you know that lot of dialogue has currently been happening or in the past also has happened primarily on the agrochemical side. Now as some other Indian companies are also trying to look at this space etc., we have consciously started working on lot more opportunities within the specialty side, on the performance material side. If you look at three of our businesses, HPP, CDMO and Specialty the way we have configured that, specialty is a service business. CDMO will be a service plus product business. And HPP will be product business. So, on the service side, which is primary specialty, we have also started working on opportunities in the performance material side. And again, there, we are actually seeing a lot of traction and we believe it will basically be significantly positive the years to come for our specialty business.

Bharat Shah: That's very useful. If you look at last few years, Navin has been transforming itself based on the tremendous strength in the Fluorine and complex chemistry emanating from there. So, we have struck some very good long-term contracts, people capability, building infrastructure, investment in research, generally, sharper focus on the way the business is being evolved in shape. So, bulk of I suppose a significant part of the transformation, I think with some satisfaction, we can say that it is in the base.

Now if you take a look at next three to five years, what it will mean for Navin in terms of growth, scale, capability, customer relationships, debt, and in general, overall, long-term outcome in terms of Navin given the kind of significant changes which we have brought about.

Radhesh Welling: So, I think, Bharat bhai, I think the question that you have asked really warrants a very long kind of an answer. I don't know if you will have time for that, but we can go into the details. But I'll tell you. Let me just address that question by summarizing steps. One, we have to be co

mpletely

focused on the execution, because if you just take the projects that we have already announced, actually, ensure that the execution is absolutely good, something that we have already demonstrated in this HPP project despite all these headwinds, we have managed to actually complete that project in around two years, which is what we had actually told the market when Navin Fluorine International Limited

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we actually, you know, signed the contract and, and announced the contract, I think the first thing is just pure execution excellence. If you do that, you can actually just add up the numbers, we already announced, when we announced each of those CAPEXs, you'll see a significant growth in the top line as well as bottom line.

Also, what will happen is if you execute this well, because some of these projects are with very large customer, and we have just started scratching the surface in terms of their overall consumption base. So, I mean, if you look at in terms of share of the wallet, we will still be a very small percentage in terms of their total purchase basket. So, just with these customers that we are executing this project, but the size is significant. And hence, as I have always maintained that if we do this, the momentum effect will actually start coming in and we'll start seeing a significant growth.

The second point as I've said, we have brought in very sharp focus in terms of what we do and what we will do in each of the three businesses and hence, as I mentioned earlier, service, product plus service and product. So, for example, in specialty, we said that irrespective of what molecule we supply, we are basically a service provider, or a development service as well as manufacturing service. Today, most of what we do there is primarily for our agrochemical and pharma customers. There is no reason to actually start getting into the performance material space. And as you know, the performance material space is significantly larger than the agrochemical space. So, we basically take the same set of capabilities, same set of building blocks, same set of platforms, but start appealing to or positioning that with a much wider set of audience. So, that will actually give us a significantly larger growth opportunity.

And third one would be in form of the product piece that we talked about. There are number of new opportunities that we have identified, we are working on, some in HPP, some outside of HPP in new emerging segments. And again, there, we are currently really trying to understand which of these we should really invest in for a future growth, because they are actually clearly non-incremental in nature, both in terms of investment as well as in terms of impact on top line and bottom line. So, that would at a very high level summarize how we are looking at the business, but our clear focus is to ensure that if you look at by, let's say FY25 or FY26, in terms of size, we would be significantly bigger than what we were in FY22. Also, the nature and the quality of business will be significantly different than what has been in the past or what it was in FY22.

Moderator: Thank you. We have next question from the line of Jason Soans with Ashika Stock Broking . Please go ahead .

Jason Soans: Thanks for taking my question . I know you did touch upon this , but just wanted to know , I mean , your gross margins in this quarter have shown a good 220 bps improvement sequentially . Now last quarter you did talk about the gross margin being impacted due to high prices of a host of commodity items such as solvents , molten sulphur . So, just wanted to know in that that perspective , have you seen those prices moderate or is it some impact , more of a product mix
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impact , or a price hike impact ? Just I wan

ted some color on this gross improvement , especially in this scenario where a lot of inflation is there already in the market ? So, just wanted your thoughts on that for this reason of improvement in the gross margins .

B.K.Bansal : So, it is a mix of two , three things . One is we have been able to take price increase , and there is a little bit impact of the product mix also . So, because of that , we have been able to maintain our gross margin . In fact, I touched upon this in my opening remarks also .

Jason Soans: And my next question is , I just wanted to know , congratulations on bringing Mr. Partha Roychowdhury onboard, and I heard in your opening remarks that he'll be the President of the HPP segment . Now if you could just highlight some , of course , there is this rejig which you have done . So, if you could just highlight a broad outline of the strategy or the vision you have for the HPP segment going ahead with Mr. Partha Roy chowdhury at the helm , if you just really outline that, that would be really helpful .

Radhesh Welling: No, sorry . I didn't understand the question . Outline what ? The strategy ?

Jason Soans: Yes, the broad level strategy of the HPP segment . Now you rejigged it as well with bringing Ref Gas and IO also in the fold plus the HPP segment , and you will have Mr. Partha Roy chowdhury as the President of the HPP segment . I think that's what I heard in the initial commentary . So, if you could just highlight a broad outlook for that segment going ahead for the HPP segment ?

Radhesh Welling: So, I think , obviously , there is a detailed strategy that we are actually working on for that particular segment . If you look at this step one , step two, step three , that step one we have already got some projects . We want to ensure that we execute them and ensure that these projects reach their potential including , as I had mentioned earlier , HPP, there is some debottlenecking possibility which we are looking at and we will probably implement that later in the current financial year .

Second is Inorganic and Ref Gas business . We've actually in both , we have kind of trying to broaden the definition, and in Inorganic trying to look at some opportunities going into a similar set of customer requiring a similar set of capabilities but non-fluorinated inorganic compounds . And on the Ref Gas, other than trying to define that as Ref Gas, we're trying to see if we could actually define it little broadly in terms of industrial gases and we started identifying some opportunities there in which some of them are with some of our existing partners, some of them will be with new partners, some of them will be done separately by us. So, that would be I would say the second piece.

And the third piece is in some of these new emerging segments, as I have indicated earlier, we've actually got a clear set of opportunities that we're working on . Now the question is , should that be part of HPP or should that be outside of HPP? So, that's a decision we will take soon, but I would say at a very high level, these are the three sets of opportunities we are working on in HPP. But, of course, there is a detailed strategy piece that we are currently working on in HPP.

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Jason Soans: Thanks for that . And Sir, just one question what I want to ask you. Quite a lot of times it's mentioned that the quarterly run rate of CRAMS is around \$10 million and in this quarter , we are actually short of that . So, is there some spillover to the next quarter , like it did happen in the quarters before ? That is there some spillover ? We just want your thoughts on that . And just a broad overview on the specialty chemicals segment , demand outlook as well . You did mention that the ARV segment is seeing some slowdown. How is that impact or any other points which come to your mind in t

terms of the specialty chemicals ' demand outlook and the CRAMS piece which I asked ?

Radhesh Welling: So, on the CDMO side, as I have indicated earlier , H1 is likely to be soft. So, we will not see Q2 actually taking care of that gap in the run rate, but we are actually seeing H2 to be extremely strong . So, whatever gap we see in H1 will be more than taken care of in H2. That is how we are currently seeing this particular business. And similarly, the next year because as I mentioned

before, our calendar year '23 is looking extremely strong.

On the second question, which is around specialty, ARV continues to remain extremely soft.

About two years back as you might know, our dependence on ARV, both on the top line as well as bottom line was extremely high. But what we did was very quickly, we identified some alternate opportunities to put in that plant where the ARVs were getting manufactured and we've been pretty successful in doing that. So, today, our all dependence on ARV has come down significantly. But we are not really seeing that demand in ARV actually come back to where it was at during the pre-COVID era. But it doesn't really today are our specialty. Our specialty will continue to grow despite ARV.

Moderator: Thank you. We have next question from the line of Dheeresh Pathak with White Oak Capital. Please go ahead.

Dheeresh Pathak: Thank you for taking my question. And congratulations for early stabilization of the HPP plant.

I am just taking forwarding, earlier question on the raw materials being the passed through in most of these contracts. But you've also mentioned that one of the priorities for you is securing raw material. So, just trying to again clear my understanding that both on the raw material side as well as on power and fuel and steam and the other logistic cost, all of those would be pass-through in the large contracts or they would be pass-through after certain thresholds increases?

Radhesh Welling: No, so let me make it very clear. Thanks for asking that question. So, when I talked about securing raw material, I wasn't about securing raw material for HPP. I was talking about securing raw material for the new projects which will be coming on later in the year. So, the MPP, and MPP will actually get commissioned in phases and then the dedicated agro clock which will come by December 2022. So, I was primarily talked that. I was not talking about HPP. HPP is already a good segment. On the input cost, there is a pass through. Because of the way the agreement is structured, some of it could happen with some lag effects, but there will be a complete pass through.

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Moderator: Thank you. We have the next question from the line of Sunny Roy, an investor. Please go ahead.

Sunny Roy: Sir, good morning. I have one question on the CDMO side. Can you quantify approximate how much percentage of the last year's revenue you're anticipating for CDMO is contributed by the top 20 big pharma companies? And what are we doing on the business development plan to get more business out of the big pharma companies in CDMO? Thank you.

Radhesh Welling: No, so in terms of revenue, I would say a significant portion of that was with top 20 biopharma companies. There used to be some business with the smaller biopharma companies, but fortunately or otherwise, they have also been now as the molecules are growing, they have been actually purchased by the large biopharma companies. So, a significant rate of that revenue is actually coming from the top 20 biopharma companies.

Now what we are doing in terms of business development, we are increasing the number of BD people in the market. So, we have actually hired new BD people, both in Europe and in US. And as I have indicated earlier, our focus is to expand our customer base to actually

bring in lot of

these new biopharma companies which exist both on the east coast as well as west coast in US to develop deeper engagement with our existing customers so that we get more number of inquiries and possibly some non-fluoro enquiries from existing customers. So, basically focus more on the partnership piece.

And the third is with some of the new customers or some of the other larger biopharma companies, to try and see if there are any late-stage opportunities that we can develop and start supplying to. In terms of order of difficulty, they actually go, I mean, the three that I mentioned, they are basically in the respective order of difficulty. The first one is relatively easy. The third one is relatively harder to do. But those would be at a very high level some of the business development initiatives that we have undertaken.

Sunny Roy: Sir, and out of these top 20 biopharma companies, do they include the companies which make the patented NCs, the innovators, like Abbott, Pfizer, Johnson & Johnson? I'm not talking about the name, but do they include all the chemical companies as well who are making the NCs?

Radhesh Welling: No, none of this actually includes any chemical companies. All of the customers there are only the large biopharma companies like Merck of the world or Pfizers of the world or Gileads of the world. Both European as well as American.

Moderator: Thank you. Ladies and gentlemen, in the interest of time, that was the last question. I would now like to hand the conference back over to Mr. Radhesh Welling for closing comments. Over to you, Sir.

Radhesh Welling: I would like to thank everyone for joining on the call. I hope we have been able to respond to your queries adequately. If you have any further queries, you may reach out to our Investor Relations partner, Orient Capital. Thank you very much and have a good day.

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Moderator: Thank you very much , Sir. Ladies and gentlemen, o n behalf of Navin Fluorine International Limited, that concludes this conference. Thank you for joining with us, and you may now disconnect your lines.

Call: Nov 2022

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October 27, 2022

BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Fort,
Mumbai 400001
Scrip Code: 532504 National Stock Exchange of India Limited
Exchange Plaza,
Bandra Kurla Complex, Bandra (East),
Mumbai 400051
Symbol : NAVINFLUOR EQ

Dear Sir / Madam,

Sub.: Transcript of Earnings Call of Q2 FY 2022-23

Pursuant to Regulation 30 read with Schedule III of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the Company's Earnings Call held on October 20, 2022 regarding discussion on operational and financial performance for the quarter ended September 30, 2022 (Q2 of FY 2022-23) is enclosed.

This intimation is also being made available on the Company's website at www.nfil.in.

Request you to take this intimation on record.

Thanking You,

Yours faithfully,
For NAVIN FLUORINE INTERNATIONAL LIMITED

Niraj B. Mankad
President – Legal and Company Secretary

Encl.: a/a

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"Navin Fluorine International Limited Q2 FY23
Earnings Conference Call"

October 20, 2022

MANAGEMENT : MR. RADHESH WELLING – MANAGING DIRECTOR
MR. PARTHA ROYCHOWDHURY – INTERIM CFO, CEO
- HPP BUSINESS
MODERATOR : MS. RASIKA SAWANT – ORIENT CAPITAL

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Moderator: Good morning ladies and gentlemen. Welcome to the Navin Fluorine International Limited Q2 FY23 earnings conference call.

As a reminder, all the participants' lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal the operator by pressing '*' then '0' on your touch -tone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Rasika Sawant from Orient Capital. Thank you and over to you, Ma'am.

Rasika Sawant: Welcome to the Q2 and H1 FY23 earnings conference call. Today, on this call, we have Mr. Radhesh Welling - Managing Director of Navin Fluorine International Limited along with the senior management team.

This conference call may contain forward -looking statements about the Company which are based on beliefs, opinions and expectations as of today. Actual results may differ materially. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict. A detailed safe harbor statement is given on page #2 of the investor presentation of the Company, which has been uploaded on the stock exchange and Company's website as well.

With this, I now hand over the call to Mr. Radhesh Welling for his opening remarks. Over to you, Sir.

Radhesh Welling: Good morning and a warm welcome to all the participants. On this call today, I am joined by Mr. Partha Roychowdhury and our investor relations partner, Orient Capital. As you all know, Partha joined Navin Fluorine as the CEO of our High-Performance Products business. He has also been assisting me and the finance team in the interim, as we interview candidates for the CFO position. I hope all of you got an opportunity to go through our financial results and investor presentation which have been uploaded on the stock exchange as well as on the Company's website.

Before my comments on the business performance, I would like to brief you on a few key developments at Navin Fluorine. It gives me pleasure to inform you that the commercial production at the plants set up to manufacture and supply new hydrofluoroolefins has started post successful supply of commercial trials to the customer. The customer has validated the product specifications for the requisite batch quantities on agreed parameters. This plant is under our wholly owned subsidiary, Navin Fluorine Advanced Sciences Limited in Dahej, Gujarat. Also, 2 additional new plants in Dahej are scheduled to start in Q3 FY23. Commercial production in MPP will start in a phased manner while production in the dedicated plant for agrochemical customer will start in the month of December. Debottlenecking project for our cGMP3 plant in Dewas is well underway and is scheduled to get completed as per plan.

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It gives us pleasure to inform you all that the Board of Directors has declared an interim dividend of Rs. 5 per equity share of the face value of Rs. 2 each for financial year '23 at the Meeting held yesterday.

Now, I would like to discuss the operating performance of each business unit. Our Specialty business continues to deliver strong performance driven by strong partnerships. All 3 verticals - crop science, pharma, and Industrial - have delivered good results. We achieved record quarterly revenue in this business unit for this quarter and reported revenue growth of 46% on YoY at Rs. 177 crores for Q2 FY23. This business continues to see development of a rich pipeline of differentiated business opportunities. As mentioned earlier, we are focused on commercialization of 2 new projects in H2 of FY23.

Our HPP business grew by 76% in Q2 FY23 to Rs. 211 crores compared to the same

period last

year. This also includes revenue from NFASL which comes from the newly commissioned plant at Dahej for manufacture and supply of the new HFO molecule.

Our legacy business also saw a combination of strong growth as well as price increases.

International business contributed about 46% whereas the balance 54% is from our domestic operations.

Our CDMO business reported revenue of Rs. 39 crores through FY23. As I had indicated earlier, our calendar year 2022 looked soft, which is also reflected in our Q2 performance. But overall, we remain quite confident of our growth in our CDMO business. Work on the business plan for cGMP4 is ongoing, and we expect to take this to the Board towards the end of the current financial year.

This quarter, we successfully completed important plant audits of 2 large pharma innovators. Also, we received a relatively large purchase order of \$16 million molecule for a late-stage clinical trial. Supply for this molecule is to happen over 2 quarters in calendar year 2023, and we are currently discussing with the customer for the specific dates for the delivery of this molecule.

Now I would like to share the highlights of our financial performance following which we will be happy to respond to your queries. For H1 FY23, on a consolidated basis, the Company has reported net revenue from the operations of Rs. 817 crores as against Rs. 665 crore in H1 FY23 with a growth of 23%. Operating EBITDA stood at Rs. 193 crores as against Rs. 162 crore in H1 FY22, up by 19%. Operating EBITDA margin stood at 23.6% as against 23% in same period last year.

As mentioned earlier, we commercialized a new plant in Dahej in the last quarter, which impacted the overall margins, which was operational in August 2022. On a standalone basis, NFIL delivered a margin of around 25%.

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The operating PBT was up 16% and stood at Rs. 159 crores for H1 FY23 as against Rs. 137 crores last year. Operating PBT margin was at 19.4% in FY23. Profit after tax stood at Rs. 132.3 crores for H1 FY23 and PAT margin was at about 16.2%.

Now coming to the quarterly performance for Q2 FY23, the Company reported a growth of 24% in net revenue from operations to Rs. 419 crores against Rs. 339 crores in Q2 FY22. The operating EBITDA grew by about 11% to Rs. 94 crores as against Rs. 84 crores in Q2 FY22. Margins stood at 22.4% for Q2 FY23. Operating PBT stood at 17.2% at Rs. 72 crores. PAT stood at Rs. 57.8 crores for Q2 FY23 as against Rs. 63.2 crores in Q2 FY22.

I think I have covered most of the basic information around the business and financial information. We now open the floor for Q&A.

Moderator: Ladies and gentlemen, we will now begin with the question & answer session. We will wait for a moment while the question queue assembles. The first question is from the line of Sudarshan Padmanabhan from JM PMS. Please go ahead.

Sudarshan Padmanabhan: I have 3 questions. My first question is on the HFO supplies to Honeywell. If I look at the standalone minus consol, we are looking at around Rs. 30 crores to Rs. 35 crores. I understand that you earlier said that the ramp-up would be slow. But if you can give some color on how one should expect the ramp-up to happen, say over the next 4 quarters to 6 quarters.

The second question is on the CDMO side. While I agree or understand that this is a little bit lumpy in the nature and we have a fair amount of tailwinds that is there in terms of interest as well as execution, is there any kind of a shipment delay that would have resulted in non-booking of certain contracts in this quarter and should be basically bunched up in the third quarter? Or how should one look at say the next 3 to 4 quarters in terms of the build-up?

And finally on the cost side. The other cost seems to be on the higher side. Just to understand whether largely the other

cost reflects the upfront cost on the new capacities or is there any one-offs?

Radhesh Welling: On HFO, we are actually seeing a relatively strong demand from the market. If you look at the quarter - we are talking about Q2, and again, going forward Q3, Q4 - we believe that at least from the demand side, we should basically be running the plant close to optimum capacity. One of the challenges that we faced last month was in availability of one of the critical raw materials for which one of our suppliers actually has a new plant and that project had got significantly delayed. That plant was supposed to be ready by December of last year; it just got ready; because of which, we actually didn't get all the raw materials that we actually need to manufacture. From the demand side, the demand continues to remain pretty strong.

Again, from the manufacturing side, we believe that we are in a position to ramp up to almost close to full capacity. And from the quality side also, we have actually been able to get the

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product right the first time. We expect that from December onwards, we should be able to get all the raw material that we require and hence we should be able to actually ramp up the production to close to full capacity fairly quickly from the end of this quarter onwards. Because of our inability to actually run the plant to the full capacity - we actually had 2 or 3 issues. One, our ability to absorb the fixed cost was impaired in this particular quarter. Second is, our utilization was relatively higher because we had to actually operate the plant at suboptimal level. And as I mentioned to you because this supplier was not able to actually supply the molecule as per the agreement, we actually had to go out in the spot market and buy the raw material at a significantly higher cost. Because of these 3 factors, we actually saw a significant impact on our operating margin in NFASL, which is basically for this particular molecule, which is what dragged the overall operating margin for the Company down. That is on the HFO.

On the CDMO, it is primarily again bunching up of lot of these orders. We see no issue on the execution side. Our execution - our demand and fulfillment piece - continues to remain very strong. We expect that in Q3, we should be able to do around \$1.1 million of invoicing. And Q4, as it is seen right now, we expect to be very strong. As I had indicated earlier, our calendar year 2022 looked soft when we actually did the budgeting for this year, but calendar year 2023 onwards looks pretty strong. We continue to see the same effect because of which our Q1 and Q2 were relatively soft. Q3, we will be back to our \$10 million plus run. Q4 onwards which is when we move into the calendar year 2023, we are expecting a significant growth to this baseline number, which is also giving us confidence to continue to work on this large cGMP4 business plan which we hope to take to the Board by end of this financial year or beginning of the next financial year.

Partha Roychowdhury: The other costs are higher. If you see the standalone, they are not significantly up, and they are up because of the higher energy cost on account of higher coal prices, etc., and the freight continues to remain high. And there has been some mismatch in terms of timing in the booking of the CSR-related expenditures. These are the primary things for the mismatch in the other costs.

Moderator: The next question is from the line of Abhijit Akella from Kotak Securities. Please go ahead.

Abhijit Akella: Thank you for taking my questions; a couple from my side. One is on the R32 project that has been announced in the investor presentation. I don't believe we had received many details about this in the past in terms of the total CAPEX, on the capacity and commissioning timeline, etc. So, if you could please just put some

color around this? And also, on any other plans for other HFCs that you might have now?

Radhesh Welling: The announcement about R32 was actually made in the last quarter. If you see, we had announced a CAPEX of about Rs. 80 crores. We actually didn't specify there exactly which product it was, etc., and we didn't really get any question on the capacity, etc. So, we didn't have the opportunity to respond to that. But since you are specifically asking this. This is a Rs. 80 crore CAPEX which was announced on the last quarterly call. What we had done was initially we actually started working on this particular piece where we convert one of our existing lines

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of R22 to R32. But when we did the detailed work, we realized that we can actually set up one line for R32 without impacting our existing capacity of R22. In terms of the specific capacity and the actual impact on the revenue, I will let Partha, who is the CEO of that business, respond.

Partha Roychowdhury: We are essentially looking at a revenue of about 200 odd crores plus/minus, which we expect to ramp up in calendar year 2024. As of now, that is the timeline which we are running. I think we have enough confidence that we should be able to adhere to this timeline. There will be some production and sales in calendar year 2023 and the full ramp up is going to be in calendar year 2024.

Abhijit Akella: Partha, sir, I just lost some number you said. You said Rs. 70-odd crore revenue, is it from this?

Partha Roychowdhury: No, Rs. 200 crores.

Abhijit Akella: And the capacity if you could please just specify.

Partha Roychowdhury: I would not want to specify that. We are in the project stage, Abhijit. As we progress, maybe we can discuss about this later in the calls in the future.

Abhijit Akella: Any other HFCs that you might have on your agenda and for the future?

Radhesh Welling: While this is already done and the plant is going to be ready for production from April 2023, we are already looking at some other opportunities as well as an opportunity to further expand capacity of R32. And once we are ready, we will take it to the Board for approval and also make the requisite announcements. But as you can see, for this particular project, from the announcement to actual production, it is even less than about 9 months. So, we believe that the newer projects that we are currently working on should also have a similar kind of a timeline about 1 year plus/minus. We should be able to do it fairly.

Abhijit Akella: Just one last thing from my side, if you'll permit. Regarding the ESOP announcement that was made yesterday - this 1,55,000 ESOPs being announced to senior management. If you could please just share some details around who all are eligible to participate in this ESOP plan? And also, on the accounting side of this, will this be routed as an expense through the employee cost line? Or how will this be treated in the financials?

Partha Roychowdhury: The second thing first, Abhijit. It is going to follow the classical accounting methodologies which everybody else follows. 1) It will be charged to the P&L, but I would like to remind you that this is actually not a cash. 2) It has a tax break. 3) Eventually, this charge goes and resides in the net worth of the Company. I am sure you are aware of this. This is how the mechanism will be.

Radhesh Welling: And specifically on the ESOP plan, currently, this particular plan which has just been announced, is primarily for 4 people which is the Managing Director and the 3 CEOs.

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Moderator: The next question is from the line of Rajesh Kothari from AlfAccurate. Please go ahead.

Rajesh Kothari: I have 2 questions. 1) You said that you appointed 3 new CEOs and a completely new organization structure. Can you please

share details of that - the 3 business units, who are leading the 3 CEOs, their little bit brief profile and how it is going to be structured over a period of time? 2) Your CAPEX plan over the next 2 to 3 years, and how do you see the visibility from your customers?

Radhesh Welling: As far as the restructuring is concerned, this was done sometime back. So, this is not a new phenomenon, and actually, I had given information related to this during my last call also. What we have done is our existing businesses, we have actually now divided them into 3 business verticals. Each of them actually is headed by a CEO. For example, high -performance products which is a combination of the erstwhile inorganic fluoride business, refrigerant gas business, and the new HPP business have all been put together into the new HPP vertical, high -performance product vertical, and that is led by Mr. Partha Roychowdhury, the CEO of that business vertical. All the functions including manufacturing, R&D, technology, etc., specifically for that business report into Partha.

Similarly, CDMO business is headed by a gentleman by the name of Mr. Ravi Venkataramanan. He has got 30 -odd years of pharma experience. He has worked both on the pharma side as well as on the CDMO side. Before joining Navin Fluorine, he was the CEO of the CDMO arm of Dr. Reddy's. He was working for a company called Aurigene. And prior to that, he worked for many years with Dr. Reddy's both in India as well as outside of India.

And the third vertical which is Specialty business vertical is headed by Mr. Amrit Singh who has been with the Company now for 2 -1/2 years. He joined in a development role and then was moved into the Specialty and then was elevated to become the CEO of our Specialty business. He has worked in the agrochemicals business for quite a few years. And prior to that, he started his career with Nocl and then worked in Europe with Unilever for a few years before moving to the agrochemical business.

As far as the CAPEX plan is concerned, you are aware of the CAPEX plans which are currently in the pipeline. And one of the reasons why we have actually now divided the entire thing into 3 business verticals is that each of the CEOs now will be responsible for developing the overall business plan for the growth and will be working on the CAPEXs for their individual business verticals. We are currently seeing a pretty strong set of opportunities in each of these business verticals they are all working, i.e., Amrit, Partha and Ravi are working on those specific set of opportunities.

For example, I talked to you about cGMP4. Similarly, in Specialty, there are quite a few molecules that we are working on. Also, we are working on some opportunities with respect to new MPP. Similarly on HPP, other than this R32 which has already been announced, there are few other opportunities that we are working on both in NFIL as well as under NFASL.

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Apart from these 3 verticals, we are also seeing opportunities in the new emerging segments which I have also indicated earlier. Those are a separate set of opportunities that we are actually working on. And as we are ready to convert those into CAPEX plan and business plan, we will take it to the Board and make the requisite announcements. But currently, in each of these business verticals and some other opportunities outside of these 3 business verticals, we are seeing a strong set of opportunities.

Moderator: The next question is from the line of Ankur Periwal from Axis Capital. Please go ahead.

Ankur Periwal: First question on the gross margin expansion that we saw in this quarter. If you can highlight a

few reasons for that given that you did mention that on the HFO side, the capacity for the plant was underutilized as well as the higher spot prices for the RM that we bought .
Radhesh We

lling: If you actually look at NFASL, the NF ASL performance was actually impacted both at the gross margin level as well as the operating margin level for the reasons that I explained earlier. But on NFIL, our performance on the gross margin was extremely strong, which is a combination of product mix within the existing BUs and the price increases that we took specifically in some of the products in HPP as well as on the Specialty side. Of course, at the operating margin level, we are still at around 25% that is primarily because some of our fixed costs like employee cost, etc., which have increased, which is primarily the investment that we are actually making in some of these growth-related opportunities that we are seeing across the business.

Ankur Periwal: So, would it be fair to say that once we achieve ramp-up in the HFO part, which is, let's say, maybe Q3 or Q4 onwards, there could be further sort of tailwind to the margin expansion overall?

Radhesh Welling: We believe and which will basically get reflected in your NFASL numbers, you're absolutely right. From now onwards, we should actually see significant improvement on the gross margin side.

Ankur Periwal: Second question on the CDMO side. You did allude it towards the revenue invoicing starting Q3. Just wanted to understand, any commentary from the global clients, especially the European ones from a demand outlook perspective?

Radhesh Welling: The overall demand continues to remain very strong. And what had happened earlier was that almost for a period of 2 years, a lot of large pharma companies were either focusing on a lot of COVID-related opportunities or were not able to move as fast as they wanted on the clinical trials, etc., because of the lockdowns, etc. And also, a lot of these newer pharma innovators were actually not able to come to our plant to audit the plant. So, on each of those three, now we are actually seeing a lot of activities. We actually had 2 large pharma innovators who we have been talking to for quite some time, but we were just not able to start the business with them because they were not able to travel to our client to actually conduct the audits. Both those audits actually got completed successfully, and we have already started seeing some queries coming in from Navin Fluorine International Limited
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these pharma innovators. On each of those 3 accounts, we are actually seeing a positive movement.

Ankur Periwal: If I may ask, on the Specialty side, pretty strong growth there. The earlier slowdown that we were witnessing in one of the quarters in one of the segments, has that been reversed and we are looking at pretty broad based growth there?

Radhesh Welling: On the Specialty side, we have over the last few quarters seen very good growth and that growth will continue to remain. I think what you are probably referring to is the slowdown in the sales, specifically to the pharma segment, primarily because of the sales into ARV segment which was historically an important segment for us. But what we have now managed to do as we saw a consistent slowdown in that particular uptake, we have actually successfully managed to retrofit our assets for other applications and products. So, we have kind of divorced our overall business performance with the ARV performance. Despite that, we have actually shown good growth.

Moderator: The next question is from the line of Naushad Chaudhary from Aditya Birla AMC. Please go ahead.

Naushad Chaudhary: Just one clarification in our HFO business, Sir. Can you explain your raw material pricing and procurement policy in HFO business and same for your finished product also? And also, is there any obligation towards the suppliers of the raw material as well as the client has any obligation in terms of lifting the volume?

Radhesh Welling: As was indicated earlier, when we announced this particular signi

ng of the multiyear material

supply agreement, we have a clear understanding with the customer for a certain volume uptake over the life of that project, which also talks about a certain minimum uptake on an annualized basis. Currently, from the demand side, we actually believe that their actual uptake will be significantly more than that minimum uptake that they have guaranteed through the agreement. And what we have done is that in line with the material supply agreement that we have with our customers, we have actually signed a similar agreement for the critical raw materials with our supplier. One of the most important raw materials for this is HF which is basically manufactured by us. For other raw materials, there is a back-to-back supply agreement which basically reflects a lot of terms and conditions which we have with our customers.

Naushad Chaudhary: In terms of price revision for the raw material, which we are outsourcing versus the finished product also, how often we can change the price? Is there any fixed price or fixed formula which is helping us in terms of mitigating the volatility that is there in the raw materials?

Radhesh Welling: If you look at HF, this is an agreement that we finalized the terms and conditions with our customer in 2019. As we know, the world was very different in 2019 than what it is today. The basis of the agreement was the pass-through. And we had actually discussed that once a year, i.e., in the month of September, we will actually finalize the formula for the following year

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because for HF, it's an annualized outlook that we get because our raw material for HF also locked in an annual contract. Similarly for the other raw material, what we had seen earlier was that the price remains more or less stable across the years - not just in that particular year, but across the year. But of course, the world has now changed significantly. So, now what we are actually discussing with the customer is the possibility of doing a quarterly revision or a 6-monthly revision. But the relationship that we have with the customers actually enables us to be very flexible on this particular point. And in the past, the agreement basically talked about a fixed price for year 1, which is basically year 2022. Because of this significant increase in the raw material price, etc., we went back to the customer and talked about this increase and the customer has been very very supportive in the spirit of partnership. What we have seen is that the customer is pretty flexible, and we will finalize the mechanism closer to finalizing volume and the pricing for the next year, which we believe should happen in the month of November. It was supposed to happen in the month of September, but we have requested the customer that let us move the discussion to the month of November because that is when we will have better clarity on all the raw material for the calendar year 2023.

Naushad Chaudhary: So, for now, till next November, our raw material procurement prices are open, but finished product prices are fixed and frozen till November next year, right?

Radhesh Welling: No. Currently, our pricing is fixed till December of this year. For January onwards, we will actually relook at it in the month of November because we will get a better idea on the pricing for next year. This agreement is on a calendar year basis. So, again, within the calendar year, if there is a significant movement in the raw material pricing down, there will be an adjustment in the product pricing. Our emphasis will be to ensure that there is a certain margin expectation that we have and we are insistent with that, which is the commitment we have made to the Board that irrespective of the movement of the raw material, we should be able to make over the life of that project a certain margin.

Naushad Chaudhary: Just

one on this only. From the time we have signed this contract till now, in terms of the pricing of the final product, how much increase we would have taken or has it remained the same from the signing of contract till today or have we taken any revision in the price?

Radhesh Welling: As I mentioned to you, the pricing discussion for January onwards will actually happen in the month of November. Currently, what we have done is basically this period of supply till December, as you know that, that particular quantity is relatively very low. So, it's not really a significant impact. But I think the major discussion will be for the supply from January of 2023 and we believe that the pricing will see an upward revision of probably at about 15% to 20%. The 15% to 20% is what I am giving you with respect to what we have done for this period. But in November, we will look at what the raw material pricing is looking like for the next year and accordingly have the discussions with our customers.

Moderator: We will move onto the next question that is from the line of Archit Joshi from B&K Securities. Please go ahead.

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Archit Joshi: Sir, on the Specialty chemicals bit, I had 2 questions. The first one is a clarification. You have mentioned in the presentation that there will be 2 plants that we will be commissioning in the ensuing quarter. Are these 2 plants in the spec chem side or are these the ones that one of them being the MPP and Rs. 125 crore CAPEX plant or the project that we had announced last year. Are these 2 plants or am I missing something?

Radhesh Welling: Yes, you are absolutely right. Those are the 2 plants.

Archit Joshi: Sir, something more on spec chem. You have obviously delivered a very strong growth in spec chem in the last 2 years. We are growing in healthy double digits. And we have in the past communicated that we keep on doing some bit of debottlenecking to get an incremental headroom with respect to volume growth. Sir, where are we with respect to our capacity utilization and how much headroom do we have for growth in maybe the next couple of years in the spec chem bit?

Radhesh Welling: I think spec chem growth will happen in 2 manners. One is, lot of these new projects that will come up in Dahej. For that, we have already made 3 announcements. Two of these plants will get commissioned in this quarter and one will get towards the end of next calendar year. That

will actually give a boost to significant growth in that business. In Surat, which is under NFIL, we continue to do debottlenecking to get additional capacity as well as we continue to look at the product mix so that we actually move up the value curve. That is an ongoing exercise. If you look at what we have done in this business, you know 4-5 years back, the commentary was that we don't have much capacity headroom in Surat facility. But despite that, we have actually significantly grown the business which primarily happened through the debottlenecking in Surat and that is the thing that we continue to do right now. Currently, because most of the plants in Surat are MPP in nature, we have a capacity utilization of approximately about between 70% to 75%. But as I said, we continue to do debottlenecking. And there is one dedicated plant which we have for a product for industrial segment. There, again, the capacity utilization is about 70%.

Archit Joshi: Just one bit on the financials. We have seen a reasonable increase in our consolidated long-term and short-term debt. We have added almost Rs. 480-490 odd crores of debt. I just want to understand when all the CAPEXs are into place and we see gross block addition, how will the capital structure look like?

Partha Roychowdhury: Obviously, it will be high. But if you really look at it, the consolidated numbers, the debt equity, while the full CAPEX is done

in the current tranche, the debt equity should be of the order of 0.5 to 0.6, not beyond that.

Moderator: The next question is from the line of Ranjit from IIFL Securities. Please go ahead.

Ranjit Cirumalla: I just had a query on the R32 capacity that we have announced last quarter, and you have also said that we would also consider debottlenecking of that particular capacity. We were always under the impression that Surat is running a bit tight and to that extent availability of HF would

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be an issue at the Surat plant. Now, we have gone into the HFC. So, I just wanted to get a clarity whether we also be debottlenecking the HF capacity at Surat?

Radhesh Welling: If you remember, a few quarters back, we had actually made an announcement of a small debottlenecking project for HF. We are working on that and that should basically give us about 15% to 20% additional capacity in HF from Surat plant from next quarter onwards. Also, we are currently working on a completely separate for a large HF plant to be set up in Dahej. We believe that in this financial year, we should be able to take it to the Board and get an approval for that which will give us a significantly large capacity of new capacity of HF.

Ranjit Cirumalla: That should again pave the way for....

Radhesh Welling: Yes, which will basically support not only R32 project, but all the other projects that we currently have in the pipeline, which we haven't yet taken to the Board or announced that because a lot of projects that we currently have in the pipeline, all require HF because of which we have actually decided to look at a fresh 3200 metric ton new capacity in Dahej. And before the end of the current financial year, we are planning to take it to the Board.

Ranjit Cirumalla: And second bit on the other raw materials for this. We understand MDC is also one of the key raw materials. How do you see the supply and the prices panning out in the near future and also probably over the next 2 to 3 years?

Radhesh Welling: Are you specifically talking about HFO?

Ranjit Cirumalla: MDC.

Radhesh Welling: You're talking about MDC for R32? Currently, as you know, MDC has actually started going soft now because there are a lot of new chloromethane plants that are coming up and will continue to come up. While that is the case, we are also looking at separately because, as I said to you, we have had some other ref gas opportunities including additional capacity of R32, etc. So, separately we are also looking at a chloromethane investment.

But overall, for what we have done is, the way we have actually run the scenarios for our R32, we are keeping an assumption that the current high price for MDC will continue for the next - at least a period of 2 to 3 years. If it softens, it will further benefit our project economics.

Ranjit Cirumalla: The R32 would be largely for domestic or we are also looking at exports?

Partha Roychowdhury: It will have a similar behavior as all the other refrigerant gasses. So, we are not really focused on any one particular market.

Moderator: The next question is from the line of Isha Agarwal from VT Capital. Please go ahead.

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Isha Agarwal: Sir, my question was regarding CRAMS. Basically, I wanted to understand, in CRAMS, what are we more focused on - Phase -1, Phase -2, or Phase -3 or the commercialized molecule? If you can help me with the percentage mix, it would be really helpful.

Radhesh Welling: If you look at the CDMO business, the way it operates is that most of the client engagement typically starts at the preclinical stage. Then they continue as the molecule progresses. The

possibility of our directly getting a commercial molecule or a late -stage molecule is relatively slim. But as that typically starts at a preclinical

or a Phase -1 level and then the relationship continues. For example, the \$16 million PO that I talked to you about, that relationship started a few years back when it was Phase -1, and as the molecule grows, our business with the customer grows.

Isha Agarwal: Is it possible you can help me that presently the mix of the molecules that are into? At what levels are these molecules are into like? If you can have some percentage?

Radhesh Welling: No, we don't actually give out the exact percentages, etc., because that is just too much of information. But typically our focus - again, quarter on quarter or year over year, it could be different. But our focus is to ensure that we have a balance between the early stage and the late stage. We typically tend to keep that portfolio at about 50:50. So, 50% Phase -1 & Phase -2 and 50%, let's say, Phase -3 and commercial. That would be ideal for us and that is constant focus to ensure that that remains that way.

Moderator: The next question is from the line of Sanjesh Jain from ICICI Securities. Please go ahead.

Sanjesh Jain: Thanks for taking my questions. One, on the ramp -up of CRAMS, now we guided that it will be 12 million next quarter. We were guiding 10 million. I think debottlenecking is helping us to increase. So, is it fair to assume that next year we will do $12 \times 4 = 48$ million and another 16 million that the contract we have got? Will it be fair to assume that next year CRAMS can achieve this 65 million kind of a run rate?

Radhesh Welling: No, it will be difficult for us to give specific guidance on this. We typically don't do that in any of our business. But I think it's fair to assume that the overall trajectory will continue to be up.

Sanjesh Jain: Second, on the HFC side. We talked about the Rs. 200 crores revenue from the R32. This is based on the current realization, I think.

Partha Roychowdhury: This is based on our view on the realization and you must also be mindful of the fact that we are saying will come in '23 calendar year and '24 calendar year.

Sanjesh Jain: So, the view will be better than the CMP or will it be lower? I know it's too much of information, but just to get an idea.

Partha Roychowdhury: Yes, but we can't discuss the view on this forum.

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Moderator: The next question is from the line of Rohan Gupta from Edelweiss. Please go ahead.

Rohan Gupta: Just one question. Some clarifications and investment opportunity which you see in refrigerant gases. It sounds that you are pretty optimistic about the future of the refrigerant gases and the way in R32 you are investing. What kind of investment do you see that this business can require for the next 2 years from your side?

Partha Roychowdhury: There are more than one aspect to this. If we have to invest in purely the product, the investments are going to be of a certain dimension. And some minutes back, our Managing Director had mentioned that we are looking at an investment of hydrofluoric acid. There is a possibility at some point down the road, we can do upstream investments for certain other key starting materials. So, the dimension of the overall investment will undergo some change and I think we shall come back to the investing community in a modular manner. I think that should be our view at this point in time.

Radhesh Welling: Just to add to that, I think across the businesses, one of the things that we are always conscious about is that in any of the areas that we actually commit a large CAPEX, we don't want to be a second fiddler. We need to be very sure that we are bringing something at either a differentiated point of view or a platform or a partnership, etc., to the table. As you know, in HFC and some of these other things, some of the other companies have clear head start. So, what we don't want to do is just blindly follow someone and just become

a me-too player, where we will actually be

a #2 or a #3 player. So, yes, we will probably make smaller investments and continue to reap the benefit there, but we probably will let a large CAPEX or a large portion of our overall CAPEX to an opportunity where we believe we don't have a clearly differentiated play and hence a very clear sustainable, profitable, business proposition.

Rohan Gupta: Sir, I was saying that in refrigerant gases, we already have a clear leader being there. Definitely, we may see some opportunities growing in domestic market consumption and also in export opportunities, whether we want to be a leading player in that where the leader is already very strong in the domestic market, I don't know how the future will pan out. But the refrigerant gas investment is basically for the 2 purposes; one is for our own capital purpose and one for the outright sale in the open market. I was looking from the second perspective that how much investment do you see that the company is in position to make for the outright sales in the domestic market or in export market for refrigerant gases separately?

Radhesh Welling: You are talking about future investments, right?

Rohan Gupta: Absolutely right, sir.

Radhesh Welling: It is going to be very very difficult actually because on the capital allocation, we don't have a set framework that this amount of capital will be allocated to one business or within that one

business to one particular area. We have to look at it on a holistic basis and then look at how much we want to actually allocate to each of those BUs and within HPP, how much do you want

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to do it for ref gas, etc. So, it is very difficult for me to actually give you a number, etc., because either we don't have a mandate from the Board that X amount of capital has to be allocated to a specific opportunity, nor does the operating team actually approach that with a certain number in mind. So, it is difficult for me to comment on that question.

Moderator: The next question is from the line of Rajas Joshi from Marcellus Investment Managers Private Limited. Please go ahead.

Rajas Joshi: Just a small bookkeeping question. On your annual report for FY22, there has been an increase in the balances with government authorities. Could you please shed some light on the same line item, please?

Partha Roychowdhury: You are talking about the consolidated numbers, right?

Rajas Joshi: Yes. That's correct, Sir.

Partha Roychowdhury: This is an accumulation of the various deposits that we have to make with the government authorities for the new facility like deposits to the Gujarat Electricity Board these, that, and the other. And it also has an accumulation of some GST, which we have spent on the CAPEXes. It is part of the working capital. It will get utilized, as we ramp up the capacities.

Moderator: The next question is from the line of Sabyasachi Mukerji from Centrum PMS. Please go ahead.

Sabyasachi Mukerji: I have just one question on your CRAMS business. If I look at the long-term trajectory, we have been doing this Rs. 280 crores, Rs. 290 crores, Rs. 300 crores on the similar ballpark range of numbers since FY21 - annual revenue I am talking about. FY21, FY22, and probably FY23 also looks like we will close in similar lines. If I go back earlier, FY18, FY19 and FY20, we had a range of around Rs. 180 crores to Rs. 200 crores. And you talk about a good CY '23. So, is this the nature of the business that every 3 years, we kind of get a good jump, and then it kind of saturates? What is the nature of the business? And what kind of growth opportunity probably you see in the next 2-3 years?

Radhesh Welling: I think some of that is actually a nature of the business, but more importantly, it is also a nature of where we are as an organization in that business; because we have 3 cGMP plants, we don't

have a large cGMP plant like what's in specialty, etc., which is why we are working on cGMP4.

But to be very frank with you, our continued focus is to ensure that either through our base businesses or there are some other options that we are currently working on to ensure that it doesn't remain the way you have described where for almost a period of 2 to 3 years, it remains flat and then suddenly we see a big jump and then again it gets like flat, etc. Directionally, our focus is to ensure - and this is something that I have indicated before also - that by FY25 or by the year after, we should be able to touch \$100 million revenue in CDMO. That's what we are currently looking at.

Sabyasachi Mukerji: And we work with only pharma innovators?

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Radhesh Welling: CDMO business is primarily pharma; not primarily, only pharma innovators. No other segment and we don't do any business with Indian pharma companies in that business.

Moderator: Ladies and gentlemen, we will be taking the last question that is from the line of Amar More from AlfAccurate Advisors Private Limited. Please go ahead.

Amar More: Radhesh Sir, a couple of questions. You said that this \$16 million CDMO order which we got, we are likely to supply in the next 2 quarters, right?

Radhesh Welling: No. The current indication that the customer has given us is over 2 quarters of the calendar year '23. So, they have talked about Q2 and Q3 of calendar year '23. We are currently in discussion with them to see how to really spread it over, let's say, Q1, Q2, Q3, etc., of calendar year '23, not financial year, calendar year '23.

Amar More: And secondly, when you are saying that 2 specialty projects likely to commission, I am assuming that one project which was like Rs. 195 crores likely to commission in Q3, that is commissioning: and second that project of Rs. 125 crores CAPEX, that is also commissioning in Q3, right?

Radhesh Welling: That Rs. 125 crores which is our dedicated facility for a single molecule will get commissioned in this Q3. And the other one which is MPP, which is for multiple molecules, there we have actually got a different line. So, we have basically got 2 lines. One line for a certain set of

molecules; other line for separate set of molecules. That we are actually doing it in a phased manner. The first one is already commissioned. We have just started the trial production, etc., but that will happen in a phased manner.

Amar More: So, when you say two, basically the Phase -1 of the Rs. 195 crores and Rs. 125 crores the single plant, correct?

Radhesh Welling: That's correct, yes.

Moderator: Ladies and gentlemen, that was the last question. I now hand the conference over to Mr. Radhesh Welling for his closing comments.

Radhesh Welling: I would like to thank everyone for joining the call. I know that some of the participants actually had multiple questions that we were not able to get to because of the limitation that we had today, and probably a lot more had questions. So, what I would actually request our Investor Relations partner – Orient Capital, is to coordinate with all of you and drop a follow-up call immediately after Diwali so that we can get to all the questions that you have or you might have. I just want to ensure that you all get an opportunity to ask as many questions as possible. So, if any query that you have or for confirmation of the date, etc., you may please reach out to Orient Capital and schedule that post-Diwali. Thank you very much for your time today and wish you all and your families a very Happy Deepavali. Thank you very much.

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Moderator: Ladies and gentlemen, on behalf of Navin Fluorine International Limited, that concludes this conference call. We thank you for joining us, and you may now disconnect your line.

es. Thank
you.

Call: Feb 2023

Navin Fluorine International Limited 602, 6th Floor, Natraj by Rustomjee, 194, M. V. Road & Western Express Highway, Near Kanakia 351 Building, Andheri (East), Mumbai 400069 India. T: +91 22 6650 9999 F: +91 22 6650 9800 E: info@nfil.in W: www.nfil.in CIN: L24110MH1998PLC115499

February 13, 2023

BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Fort,
Mumbai 400001
Scrip Code: 532504 National Stock Exchange of India Limited
Exchange Plaza,
Bandra Kurla Complex, Bandra (East),
Mumbai 400051
Symbol : NAVINFLUOR EQ

Dear Sir / Mad am,

Sub.: Transcript of Earnings Call of Q3 FY 2022-23

Pursuant to Regulation 30 read with Schedule III of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the Company's Earnings Call held on February 8, 2023 regarding discussion on operational and financial performance for the quarter ended December 31, 2022 (Q3 of FY 2022-23) is enclosed.

This intimation is also being made available on the Company's website at www.nfil.in.

Request you to take this intimation on record.

Thanking You,

Yours faithfully,
For NAVIN FLUORINE INTERNATIONAL LIMITED

Niraj B. Mankad
President – Legal and Company Secretary

Encl.: a/a

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“Navin Fluorine International Limited
Q3 FY '23 Earnings Conference Call ”
February 8, 2023

MANAGEMENT : MR. RADHESH WELLING – MANAGING DIRECTOR
MR. PARTHA ROYCHOWDHURY – INTERIM CFO,
CEO - HPP BUSINESS

MODERATOR : MS. RASIKA SAWANT – ORIENT CAPITAL

Moderator : Ladies and gentlemen, good day, and welcome to the Navin Fluorine International Limited Q3 FY '23 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing

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star and then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Ms. Rasika Sawant from Orient Capital. Thank you, and over to you.

Rasika Sawant: Thank you, and welcome to the Q3 and 9 month s FY '23 Earnings Conference Call. Today on this call, we have Mr. Radhesh Welling, Managing Director of Navin Fluorine International Limited, along with the senior management team.

This conference call may contain forward -looking statements about the Company, which are based on beliefs, opinions and expectations as of today. Actual results may differ materially. The statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict. A detailed safe harbour statement is given on page number 2 of investor presentation of Company, which has been uploaded on the stock exchange and Company's website as well.

With this, I now hand over the call to Mr. Radhesh Welling for his opening remarks. Over to you, Sir.

Radhesh Welling: Good morning, and a warm welcome to all the participants. On this call today, I'm joined by Mr. Partha Roychowdhury, CEO of our High Performance Product business, and our Investor Relations partner, Orient Capital. I hope all of you got a n opportunity to go through our financial results and investor presentation, which have been uploaded on the stock exchange as well as on the Company's website.

Before I start with my comments on the business performance, I would like to brief you on a few developments at Navin Fluorine. To start with, we wish to inform that based on the recommendations of Nomination and Remuneration Committee, and consideration of the Board of Directors of the Company , Mr. Anish Ganatra has been appointed as Chief Financial Officer of the Company with effect from February 9, 2023; Mr. Partha Roychowdhury, who has been managing dual responsibilities and has been our interim CFO, will continue as CEO of our HPP business post February 9, 2023.

Mr. Ganatra will be joining Navin Fluorine as CFO with effect from February 9, 2023. He's a Senior Finance and Business Leader and a qualified Chartered Accountant having almost 30 years of rich international experience with demonstrated track record of creating value through strategy, risk management, planning, performance management, audit, internal controls, transformation and accounting. He has worked in India as well as internationally in senior positions with leading organizations like Reliance Industries, British Petroleum and Cairn India Limited. We welcome Mr. Ganatra to the Navin Fluorine family and wish him all the success in his new role. Let me now start with key highlights for the quarter and for 9 months ending FY '23 followed by business segment -wise updates, and then we will take you through financial highlights for the period under review.

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I'm delighted to share that our quarterly performance for Q3 FY '23 crossed number of new milestones. Our quarterly consolidated revenue surpassed INR 500 crores, and operating PBT has, for the first time, surpassed INR 100 crores. EBITDA margin improved significantly due to ramp -up in capacities and product mix. I'm happy to report that in the first 9 months of the year, our revenues were almost same as what we delivered in the full year FY '22.

Commercial production at 3 of our new plants, HPP, MPP and the Agrochemical Intermediate plant has commenced successfully. This is significant since a lot of this work was done amidst COVID. The capitalization of new plants led to higher depreciation impacting the profit before tax. This demonstrates ability of the Navin Fluorine team to not only identify and develop new projects, but also execute them successfully and on

time. Now I would like to discuss the operating performance of each business unit.

As many of our new projects will now be undertaken in our subsidiary, NFASL, going forward, we request you to evaluate our performance and especially performances of each of the BUs on a consolidated basis. Segment financials for this quarter reported on a consolidated basis, and as such, includes NFASL. All our business units, Specialty, HPP and CDMO delivered highest ever quarterly revenue in this quarter.

Our Specialty Chemicals business continues to deliver strong performance, driven by strong partnerships and great technology platforms. We reported revenue growth of 22% on a Y-o-Y basis at INR 186 crores for Q3 FY '23. In this quarter, we successfully completed plant audits done by 4 multinational customers, MPP and the dedicated plant for Agrochemical Intermediate started in this quarter -- started in the quarter under review, and we started supplies of commercial products post successful commissioning and qualification.

Our HPP business generated revenue of INR 253 crores, growth of 64% in Q3 FY '23 as compared to the same period last year. New plant in Dahej achieved close to its design capacity in December, helping us achieve operational efficiencies. The new project in Surat is slated to commence production in the second quarter of FY '24, marking a significant milestone in our growth and expansion plans. Our CDMO business has reported highest ever quarterly revenue of INR 125 crores reflecting a remarkable Y-o-Y growth of 73% as compared to the same period last year.

This impressive performance is the mark of confidence, our international partners continue to place upon us. Work on the c-GMP -3 expansion -- capacity expansion is on track. Our CDMO business, we believe, is now on strong footing and ready for further capacity expansion, a plan of which is currently under preparation. Now I would like to share highlights of our financial performance, following which we'll be happy to respond to your queries.

For 9 months FY '23, on a consolidated basis, the Company's reported revenue from the operations of INR 1,380 crores as against INR 1,044 crores in 9 months FY '22, growth of 32%.

Operating EBITDA stood at INR 349 crores as against INR 271 crores in 9 months FY '22, up

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by 34%. Operating EBITDA margin stood at 25.3%. Operating PBT was up 25%, stood at INR 280 crores for 9 months FY '23, as against INR 223 crores last year.

Operating PBT margin was at 20.3% in 9 months FY '23. Profit after tax stood at INR 239 crores for 9 months FY '23, and PAT margin was at about 17.3%. Now coming to the quarterly performance for Q3 FY '23. Company reported growth of 49% in net revenue from operations to INR 564 crores against INR 379 crores in Q3 FY '22.

Operating EBITDA grew by about 58% to INR 156 crores as against INR 99 crores in Q3 FY '22. EBITDA margin stood at 27.6% for Q3 FY '23, an increase of 159 basis points. Operating PBT stood at INR 121 crores, growth of 41% as compared to last year. PAT stood at INR 107 crores for Q3 FY '23 as against INR 69 crores in Q2 FY '22 with a growth of 55%.

So that is from my side. We'll now open the floor for Q&A. Thank you very much.

Moderator: Our first question is from the line of Sanjesh from ICICI Securities.

Sanjesh Jain: Thanks, Radhesh, and I would wish to congratulate Navin Fluorine team for 3 well-executed projects. I got a few questions. First, on the HFO side, now that we have reached the peak utilization, I wanted to understand more on the underlying product. So what will be the contribution of this particular 1233 series within the HFO family? And can this intermediate be also used for manufacturing the more popular 1234yf? And between the Honeywell and DuPont, they were to hold the patent in this product, what is the market sha

re of Honeywell? And what

is the growth at which this cash is growing as an industry? This will be my first question. I know it's a bunch of it, but whatever you could help us understand, will be great.

Radhesh Welling: Yes, thanks for that question. So if you actually look at this particular molecule which we are manufacturing, this actually has a very wide range of applications. DuPont, which is I think you're talking about Chemours, they don't have -- they are not in this particular molecule. Also, this molecule is not used for manufacturing of yf. This is an independent molecule. This has independent set of applications. It's not currently being used as one of the molecules for air conditioning. It has got multiple other applications.

And we are currently working on, along with Honeywell as well as independently to identify some opportunities where this can be used as an intermediate. But this has nothing to do with refrigerant gas, etcetera. That is a completely different set of opportunities. There is R&D work going on at this point in time. As I had indicated earlier, this particular molecule is at a very early stage of its life cycle and a lot of growth basically like ahead of itself right now. So we feel that in the years to come, this molecule will grow significantly. And this molecule will also, for some of the applications, continue to take market share from other HFCs as well as some other

Sanjesh Jain: Fair enough, Sir. My second question is on the two new plants commenced. You have mentioned that we have reached peak capacity in the HPP segment. What is the utilization rate in this quarter for the dedicated plant and for the MPP plant?

Radhesh Welling: Yes. So MPP, if you remember, it was earlier designed for 4 to 5 molecules. Currently, we have commissioned our first line and started the production of the first molecule. In this quarter, which is Q4, we will start 2 more molecules. And so we will basically start -- we will have production of 3 molecules in Q4. We will ramp up the capacity gradually. As far as the dedicated plant is concerned, we actually commissioned the plant 1 month prior to the target date. And hence, we got the month of December to produce this particular product.

So initially, obviously, we had to commission the plant, start the production, get some trial quantity out for successful qualification, et cetera. We completed all the process. And from January onwards, we expect that we will have full production -- we would have reached full capacity utilization for this dedicated plant. In the month of December, which is the first full month we got for this particular plant, the plant was run at a slightly below full utilization.

Sanjesh Jain: One last question. It's more of a bookkeeping, is on the CDMO. The CDMO number looks fabulous INR 125 crores. Is it fair to assume that it has some of the spillover coming from the last quarter? Or we should assume that now this will be a more quarterly steady-state run rate? How should we look at this revenue in the CDMO business?

Radhesh Welling: No. So I think as I have mentioned before as well, two things: a, unfortunately, I mean, that's not our desire or intent. But this business from quarter-to-quarter, it continues to remain quite lumpy. So what we have said before is that you should look at this business on an annual basis, and then that should become a benchmark for seeing the growth that we are achieving on a Y-on-Y basis rather than looking at it on a quarter-to-quarter basis. The second point, which we had indicated earlier is that if you look at the calendar year '22, we had actually said that we are seeing a relatively soft demand whereas calendar year '23, we are actually seeing relatively stronger demand and which you will actually start seeing from our performance for quarter

3, which is what we have actually seen now.

So we expect that the quarter 4 performance will be in line of what we have done in Q3 or it will be better than what we have done in Q3. But for you to basically -- look at the overall CDMO performance, I would continue to request you to look at it on an annualized basis rather than on a quarter-to-quarter basis.

Sanjesh Jain: Fair enough. Just one bit...

Moderator: Sanjesh, I'm sorry to interrupt. There are several participants in the question queue. May we request you to return to the question queue, please.

Sanjesh Jain: Fair enough.

Moderator: Our next question is from the line of Sudarshan Padmanabhan from JM Financial PMS.

Sudarshan Padmanabhan: Sir, my question is on the Agrochemical Intermediate plant. I mean we are quite delighted to see the kind of ramp-up that we have seen in the HFO contract which is almost an up to 100% of maximum utilization in December. How do we see the traction here? I mean do we see this traction also being similar to what we have seen in the Honeywell contract or do we see this being a little bit more gradual?

Radhesh Welling: So in both, Honeywell contract, which is the HFO as well as the Agrochemical piece. These -- both these are dedicated clients. So we've actually achieved close to full capacity in December. And we expect that this quarter, we should basically be running at almost close to full capacity. And what we have actually tried to do here is that establish, a, that we can run the plant at the designed capacity.

So we requested the customer that let us run it to the full capacity, customers are willing to take everything that we manufactured in these three months. This will also help us to really focus on achieving the norms and the yields that we have targeted. So all the work that is required to be done, we are actually trying to do upfront. And hence, we are trying to see that if we can actually run both these plants, which is both of them are dedicated plants to full capacity, rated capacity and achieve the desired norms and yields. So that's the plan for this particular quarter for both the plants - for HFO as well as the dedicated plant.

Sudarshan Padmanabhan: And now that we have more or less achieved the rated capacity and running at almost full

capacity in the fourth quarter, what are the chances of expansion of these contracts because I'm sure that as the usage increases, as you mentioned that this HFO is a lot more versatile, they would obviously look at expansion in their volumes, which will basically be a benefit for us.

Radhesh Welling: Yes. So I assume you're specifically asking about HFO, right?

Sudarshan Padmanabhan: Yes Sir, the Honeywell contract.

Radhesh Welling: Yes. So I think our immediate priority, if you remember previously, I had talked about 3 sets of priorities. Priority number 1, to ensure we run the plant at designed capacity, achieve the desired norms, yields, et cetera. Now if you are able to do that in 1 quarter, which is the Q4. Our efforts will then be to ensure that we at least do that for a year so that we also gain appropriate confidence, our customer also gains appropriate confidence.

While we do that, we already have started working on priority number 2, which is the debottlenecking piece, which I had actually talked about before. That particular piece will give us about 20% additional capacity. It requires very small capex. We are currently in discussion with the customer to complete that particular set of activity. And we believe that in the next quarter or so, we should be able to do that.

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That will be our priority number 2. As we get that done, that the next one would be to engage with the customer for further expansion, which is basically

kind of double the capacity for HFO.

That would probably take at least about a year or so. Meanwhile, we want to complete this priority number 1 and priority number 2.

Sudarshan Padmanabhan: One final question from my side before I rejoin is on the Specialty side. I mean, looking at the growth -- I mean, we've seen a very strong growth and demand coming in from the agro side mean we also talked about revival and a lot of inquiries happening on the pharma side. How do we see CY '23 from that side? Do we see the proportion of pharma increasing? And how does this mix probably change in the next couple of years or so?

Radhesh Welling: No. So in fact, one of the things I have mentioned previously, and we continue to do that, we have significantly reduced our dependence on pharmaceutical within the Specialty business. I'm sure you know that in Specialty, we typically deal with the generic business on the pharma side and work mostly with the customers in India. We are actually trying to reduce that dependence.

The comment that you made, where we are talking about improved confidence that we are seeing from the pharma customer, that commentary is primarily meant for the innovator pharma companies where we work on patented molecules, a lot of these opportunities are pre-commercialization and then just immediately after commercialization and all of that is actually exported. So these are 2 completely different businesses. Generic pharma happens in a Specialty BU. Innovator pharma, that's a business which happens in this -- on the CDMO side.

So to your question, today, if you look at the percentage of the sales coming from agro has significantly gone up compared to three years back. And going forward, we -- as we had indicated before, we have also started seeing now good traction coming in from the performance materials side. So we are consciously now trying to identify and develop partnerships and projects on the performance materials side. So going forward, what we want to do is by FY '25, FY '26, reduce our dependence from where we are today on the agro side. That will not be by reducing the business on the agro side, but actually increasing the business significantly more on the performance materials side.

Moderator: Our next question is from the line of Abhijit Akella from Kotak Securities.

Abhijit Akella: First, on the expense items, Sir, for this quarter. So I believe the employee cost line includes a INR 7.5 crore charge for the ESOP expense. Just wanted to get your thoughts on how many more quarters we should expect this to continue? And is this going to be a straight line kind of expense throughout that period? And we've seen significant increases in the operating expense lines as well as depreciation and finance cost. I presume it's because of the new commissioning of the plant. Are we already at peak levels, more or less, at least with relation to these three products. Have they been commissioned or are there further increases which we should expect in the upcoming quarters?

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Partha Roychowdhury : So I am Partha Roychowdhury. On your first question, the INR 7 crore charge is for this quarter, and this charge will continue and it will keep on reducing as we go forward quarter-by-quarter until the entire vesting happens, yes. And with regard to the questions on the revenue expenditure side, if you're looking at the consolidation numbers and given the fact that three plants have been

capitalized, and we are getting products out of them, those have come and now resided in the P&L.

So on account of the consolidation, there is an increase. Besides that, there has been an increase in the energy costs, as you may be aware of. Beyond that, there are some increases in the freight, labor and other expenditures. The overall increase on a 9-month basis is approximately INR 60 crores. On

top of that, the energy itself accounts for INR 40 crores, yes. Depreciation, as you said, is, of course, higher because of the capitalization.

So it's mainly on account of our NFSAL, which is the 100% subsidiary. Now with regard to these 3 products or 3 plants which have been capitalized. By and large, they are at full revenue expenditure level. When the fourth plant comes up, of course, the revenue expenditure will go up, yes.

Abhijit Akella: That's clear and helpful. And the second question I had was on the HPP and MPP as well as Agro Intermediate growth projects. When I -- if I'm doing my math right, it appears that the domestic sales of the HPP business units seem to be down sequentially, quite significantly. So just to understand whether that's seasonality or there is any other reason to that?

Also, we had last quarter alluded to the likelihood of some price hikes in the HPP product, the HFO product in the month of January, 15%, 20% perhaps. So if you could please just update us on that and whether we should see an increase in HFO revenues starting the March quarter because of that? And finally, on the MPP and Agro Intermediate side, there's a comment in the presentation that we have done 4 plant audits by MNC customers.

Are these for potentially new opportunities within Specialty chemicals? And where do we see capacity utilization for the MPP product in fiscal '24 and '25?

Radhesh Welling: Yes. So I think there are 3 questions that you had asked. Let me take the second question because that's the easiest one to answer. On the pricing front, when we did the agreement at that point in time, we had actually said year 1 will be a fixed price and then year 2 onwards, there will be a true-up. So there will be a cost-plus mechanism.

Year 1 was obviously the calendar year 2022. Now what happened was, since we signed the contract, the world has completely changed. The raw material pricing has completely changed, et cetera, et cetera. So we went back to the customers and basically said that, that fixed price that we had agreed to, it will be extremely difficult for us to stick with that. Now on the basis of our fixed pricing, our customer, which is Honeywell had actually gone and done some agreements, etcetera.

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Now given the relationship of our partnership, they agreed with what we were talking about, and we actually took a significant increase in the price from the start of the supply itself so that our margins otherwise would have got significantly depressed if we had stuck to the originally agreed pricing.

Now we are actually seeing some softening of the raw material, et cetera. If you look at -- and this pricing actually walks on a calendar year basis, not on a financial year basis, the pricing for FY '23 -- sorry, calendar year '23 is going to be almost similar to the one that we have agreed to for calendar year '22. On the third question that you asked in terms of capacity utilization for MPP. Through the calendar year, we will actually start commissioning more lines. As I said, we have commissioned the first line, the first product manufacturing has started.

This quarter, we will start manufacturing of 2 more products. In the second half of next year, we will actually start production of the fourth molecule, we expect that we will reach optimum capacity utilization towards the end of next financial year. While we are working on achieving optimum capacity for MPP, we have also identified some opportunities to immediately do some debottlenecking within that MPP wherein we can actually map some other new molecules that we are discussing with the customers on.

By doing that, we should be able to get the total revenue out of this MPP significantly higher to what we had earlier committed. But that's the project that we are currently working on. But as it stands today, we expect

that it will actually start reaching its optimal capacity towards end of next financial year, which is FY '24. Now to -- what was your first question, sorry?

Abhijit Akella: I think the only one that was left probably is with regard to the plant audits by the MNC customers. So are these for new opportunities? Or are these for the same debottlenecking opportunity that you just spoke about?

Radhesh Welling: No. So out of these 4 customers, one is the existing customer. So that's an ongoing audit that happens every year. 3 are new customers. With them, we have some small business, but they are now looking to significantly ramp up the relationship. So that will actually impact into some of

the new business opportunities that we are looking at. And out of these 4 customers, 2 are on the performance materials side.

Moderator: Our next question is from the line of Vivek Rajamani from Morgan Stanley.

Vivek Rajamani: Congratulations on a very, very strong set of results. Sir, on the first question on the Specialty chemicals side. Obviously, it was a very, very strong quarter. Would it be possible to give some colour on what was the biggest driver of this performance? Was it a combination of a better product mix? Was it higher margins? Or were you able to just run the plant better? Some colour there would be very helpful. That's the first question.

Radhesh Welling: The question that you are asking is specific to Specialty, right?

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Vivek Rajamani: That is correct, Sir.

Radhesh Welling: Yes. So it was primarily driven by volumes. As we said, there are two new plants which just got commissioned, and we actually manufactured and sold material out of those two plants in the month of December. So it's primarily driven by that particular piece. And out of our existing plants in Surat, there was some slight impact of the product mix thing, but it was primarily driven by volumes. Pricing had no role to play in that.

If you look at the margin, there is a slight impact of the product mix, but it's primarily driven by the volumes. Volumes as in new products, which we actually did from the 2 new plants that just started the production. So it's not higher volume of the existing molecules. It's the new molecules, which we produced out of MPP and the dedicated plant.

Vivek Rajamani: Sure Sir. So if I could understand this correctly, would it be fair to say that as you continue to run these new plants on a more consistent basis over the next couple of quarters, that should also provide you more operational efficiencies going forward. Would that be a fair statement?

Radhesh Welling: That's the intent, yes.

Vivek Rajamani: Got it, Sir. And the second question that I had was, obviously, everything is looking really upbeat. You've obviously had new peaks in terms of your earnings for all your segments. And you obviously still have a very strong pipeline. If I could just ask you, are there any particular risks that you're currently monitoring at the moment that you think could maybe cause a bit of a headwind for any of your segments? Just some colour on that thought process would also be really helpful.

Radhesh Welling: So directionally, as well as on a mid to mid-term basis, when I talk about mid-term, I'm talking about 3 to 4 years, we continue to feel very positive and optimistic about the performance of all the 3 of our businesses. In the short-term, and by short-term, I'm specifically talking about calendar year 2023, I'm not even talking about financial year '23, primarily calendar year '23. I mean I'm not talking about financial year FY '24, but calendar year '23. In the second half of the calendar year, which is basically July to December of the calendar year, we might see some softness because of the recession impact, et cetera. So that is something that we are trying to understand

through our conversations with our customers. Typically, what we have seen is because we play upstream in the value chain, we don't typically get severely impacted by a deep recession.

We get severely impacted by long recession. So there are some markets which have already started seeing impact of recession. You don't see that in our results for Q3. And I don't think you will see that in our results in Q4. But if it continues to remain for a longer period of time, there could be some impact in the second half of the calendar year '23.

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So that is something that we are trying to get better understanding on through our conversations with our customers, and that is what we will actually then -- that will get reflected in our annual business plan, which we are in the process of finalizing. But overall, directionally, we feel extremely positive, which is driven by the demand for the molecules that we have selected to work on, all these molecules are performing extremely well. They have currently been used for newer applications, agro products are being used for newer formulations as well. They seem to be performing quite well.

Also, given our successful execution on some of these projects, the customers seem to be very delighted and wanting to increase their relationship with us. So overall, we feel quite positive.

But in the short-term, specifically with respect to H2 calendar year '23, there might be some headwinds, but that is something that we are just trying to ascertain at this point in time.

Vivek Rajamani: Got it, Sir. Just one clarification before I rejoin the queue. This slowdown or this recessionary

trend is that focused on agrochemicals or is it some other segment?

Radhesh Welling: So there are 2 things. One, it will actually impact our HFO business, possibly, if at all. Agro, there are a few molecules which might get impacted, but that is not so much because of the recession. As you know, there was drought last year in Brazil. So for some of the molecules, there is a certain inventory build-up in the pipeline. Currently, we are not really seeing any impact of that on our immediate sales.

But we are trying to understand from our customers, how are they looking at their overall inventory position, which might impact our sales in the H2. So there are 2 pieces. Recession, which might possibly impact HFO, and that is, again, a short-term phenomenon and possibly a drought impact on the agro. Again, we are not seeing that right now in Q3. We don't expect that in Q4, but again, it could be for the rest of the calendar year.

Moderator: Our next question is from the line of Amar Maurya from AlfAccurate Advisors.

Amar Maurya: Majority of questions had been answered. One bit of this HPP, I mean if we do the basically consol minus standalone, there has been a significant improvement in your profitability. So does this profitability look sustainable going forward?

Radhesh Welling: Yes.

Amar Maurya: Okay. Okay. And secondly, Sir, this debottlenecking of HF capacity, which we were likely to commission in Q3 is done?

Radhesh Welling: We have 2 plants. We have 2 lines in HF. One of them is just getting done. The second one, which was supposed to be done by March. We have actually moved that to April because we would have had to take a shutdown of almost two to three weeks. And given the strong demand that we are seeing across the business in Q4, we decided to move that from March to April.

While that is being done, we are currently working on a completely new capex right now for Navin Fluorine International Limited

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setting up a new HF capacity, which we will be taking to the Board of NFSAL very shortly. So that's for setting up a completely new HF plant.

Moderator: Our next question is from the line of Rohit Nagraj from

Centrum Broking.

Rohit Nagraj: Congrats on a good set of numbers. Sir, post commissioning of the current projects, what will be our peak debt in FY -- or rather debt by end of FY '24.

Partha Chowdhury: FY '24 debt should be of the order of about, say, on a consol basis, INR 1,300 -odd crores, yes, which includes working capital and term debt and everything.

Rohit Nagraj: Right, right. And in terms of commissioning of projects during 2023. So just now, you mentioned about the HF plant, then Q2, there will be HPP debottlenecking, and by December, there is one more HPP, which we had indicated. Beyond this, are there any other projects which will get commissioned?

Radhesh Welling: No. Are you talking about commissioning? Or are you talking about new projects that we will be taking to the board?

Rohit Nagraj: No. One is in terms of commissioning of the ongoing projects where we have already taken the approvals. And the newer projects, which you had indicated probably we will discuss after the financial year '23 ends?

Radhesh Welling: No. So as far as the commissioning is concerned, there are only 3 projects, 1 partially and 2 fully. Partially is basically MPP, we will actually keep commissioning newer lines there, which we have already started, and we will actually ramp that up. The second is the project in HPP, which we had announced last year, which is basically for the capacity that we are setting up in Surat. So that's the second one.

And third, that's a completely new plant that we are building in Dahej in Specialty. So that one, as we have said, will be ready by end of calendar year '23. So those are the three projects, which we'll get -- two of them are completely new plants that will get commissioned. And the third is this MPP, which will -- which is the commissioning has already started, some newer lines will be commissioned as we go along.

Rohit Nagraj: Right. And the ones which we will be taking up to the Board is just now you talked about HF and beyond that, whatever new opportunities that come by, right?

Radhesh Welling: Yes. So I think as far as new projects are concerned, it will be very difficult for me to commit to anything because it will all depend on where we are in terms of getting our homework done. But our expectation is that in this calendar year or let's say, till the end of FY '24, we hope to take 3 big projects to the Board for approval. And when I say big, I'm talking about requiring investment of INR 200 crore plus. The debottlenecking of HPP doesn't fall in that category because that's a relatively smaller project in terms of investment cost.

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These three projects will be -- 1 will be HF. Another will be the CDMO, cGMP4. And third will be -- another one is Specialty. So we expect that there will be 3 new projects that we'll be taking to the Board. But will that happen or not will completely depend on our readiness in terms of our comfort level in having a strong enough business case to be able to present to the Board. But that's our intent, where we are hoping to take 3 large investment projects to the Board.

Rohit Nagraj: Right. Just one clarification, INR 200 crore s plus for each project?

Radhesh Welling: That's correct.

Moderator: Our next question is from the line of Anubhav Sahu from N C Research.

Anubhav Sahu: Yes. A couple of questions -- our relative Specialty chemicals. One, if I do understand that we're deliberately trying to reduce our pharma exposure in the Specialty domain and trying to inch up on the performance materials. So if -- would it be possible to give you a mix of what is our current end market exposure as far as agro versus pharma versus performance materials in this segment?

Radhesh Welling: So about 3 to 4 years, till about 3 to 4 years back, it was 40% pharma, 40% agro and 20% industrial. Currently, it's almost

60% agro, 20% pharma and 20% industrial. Performance

Material is very, very small because currently, there's just products being developed. We are supplying product out of pilot plant, et cetera, et cetera. Our expectation is that we will move this back to approximately 1/3 coming from agro, 1/3 coming from performance material and 1/3 between pharma and industrial. That is what we expect to get to by FY '26. But currently, it's 60%, 20%, 20% between agro, pharma and industrial.

Anubhav Sahu: Okay. Great. So just for clarification. So as far as our engagement with innovator pharma is concerned, that will continue to be mostly through CDMO business, right?

Radhesh Welling: That's correct. So that's all in CDMO because Specialty does not have cGMP facility. That facility and those capabilities to engage with the innovators and develop early -stage opportunities or late -stage opportunities, those capabilities which include people capabilities as well as infrastructure, all resides in the CDMO business.

Anubhav Sahu: Okay. Okay. Got it. And on the capacity expansion front as far as Specialty is concerned, I understand that dedicated plant is already optimally utilized and MPP would be utilized by the end of fiscal year '24. And you also mentioned there is one plant probably by the end of calendar year '23, you would have for Dahej. Could you elaborate a little more on the investment on this side? And what is the fixed asset turnover we are looking at?

Radhesh Welling: No, no. But this plan that I'm talking about by end of calendar year '23, it is not probably. It's already there in the public domain because we have already gone to the Board, got the approval from the Board. And so if you look at the asset turns, you're asking about asset turns for each of these investments, right?

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Anubhav Sahu: Yes, exactly.

Radhesh Welling: Yes. So those are -- we have already announced those asset turns when we announced the capex for our MPP -- basically for all three of them, it's going to be in the range of 1.3% to 1.6% of investment, the asset terms.

Anubhav Sahu: Okay, okay. And what is -- particularly for Dahej, what is the investment? Can you, sir, please remind me the investment there? And the ...

Radhesh Welling: The investment, if you look at the dedicated agro plant, it's I think, about INR 130 crores, plus/minus. I don't remember the exact number of that. For this large plant, which we will get ready by December is about INR 540 crores. And the MPP, it's, I think, about INR 235 crores, if I'm not mistaken. So that's -- plus/minus.

Anubhav Sahu: Okay. And this Dahej one is of the nature of MPP or it's ...

Radhesh Welling: Sorry.

Anubhav Sahu: The Dahej plant, which would be commissioned by the end of calendar year. This is of the nature of MPP, a multipurpose plant?

Radhesh Welling: No, no. That's a dedicated plant for a molecule, which will be supplied to multiple customers.

Moderator: Our next question is from the line of Ranjit from IIFL Securities.

Ranjit: Congratulations for the commissioning of all the full capacities. The first question, a bit of clarification. You highlighted in the earlier call that we faced a little bit of challenges with respect to the raw material for the HPP thing. So just wanted a bit of insight on that has been resolved and that is on track. And one other thing related to that is that you have mentioned that we have got a revised pricing from the calendar year. So I believe this is from January 2023 and those benefits are just to be reflected into the numbers. So this is my first question.

Radhesh Welling: Can you please elaborate on which business unit you are specifically referring to?

Ranjit: HPP.

Radhesh Welling: No, no, no. So HPP, I said the price revision happened for calendar year '22, wherein we earlier had an agr

reement for a fixed price thing. So when we started the supply in the calendar year '22, we revised the prices from what was agreed before. And the pricing for calendar year '23 is almost similar to the price for calendar year '22.

And on the raw material, I mean we always have these issues on the raw material side, but there is no major challenge on the raw material side, neither from the availability perspective, nor on the cost perspective. Whenever we actually see that there is a significant cost escalation, et cetera, which we had seen in the last two years.

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We have been pretty successful in terms of passing on that to our customers even in the middle of a contract. Our customers have been fully -- they are very understanding of the situation and have been very supportive of that. So we don't really see any major challenge on the raw material side.

Ranjit: Thanks for clarifying on that front. Second, on the HF plant -- the HF plant, given that we are seeing a significant ramp -up in the production of HPP and both Specialty chemicals. So would we be able to secure this HF in the time we go ahead and set up these capacities, I believe that would take another 12 to 18 months' time. So -- and over the next 12 to 18 months, we do see a significant ramp -up in the production. So how are we using the raw materials on the HF front?

Radhesh Welling: Yes. So are we given our expansion plans for the immediate future, are we completely secured from the point of view of HF? The answer is, yes. After fulfilling our captive requirement, we will have volume available for merchant sales. But given the fact that our requirement is going up significantly and will continue to go up significantly, and we would ideally need a lot more HF for merchant sales. And hence, we have actually put the plan together for a completely new plant, for a new capex for HF, and there, the capacity that we are looking at for the new plant is almost double of what our total capacity currently is. And that basically also is -- basically can be a signal of the kind of demand that we are actually seeing over the next few years given the projects in the pipeline.

So that gives us the confidence that we will require significantly larger volume of HF than what we consume today. And that is why we're actually currently in the process of finalizing the capex plan for increasing the capacity, overall increasing the capacity of HF by 3x.

Ranjit: And by merchant sales, you mean it to sell it to the NFASL or also the third party?

Radhesh Welling: No, no, no. Merchant sale as in external sales. NFASL is also counted as a captive consumption in our internal definition.

Moderator: Our next question is from the line of Archit Joshi from B&K Securities.

Archit Joshi: Congrats on commissioning all the projects and on a good set of numbers. Sir, my question was on CDMO. Sir, it has been our constant endeavour to kind of improve the mix that we have within CDMO towards Phase 1 and Phase 2, we have indicated in the past that, that's where more inquiries come in and we are able to gather critical mass.

Have you been able to successfully do that in the past, which is why the reflection of that can be seen in the current quarter, CDMO sales? And just an addendum to this one, Sir, in the past calls, you have kind of been looking at a \$10 million to \$12 million sort of our quarterly sales in CDMO eventually taking it to almost \$48 million, \$50 million of sales in -- on a yearly basis.

With the current sales that we have done in CDMO, is it safe to assume that we'll surpass that milestone that you are looking at? So any clarification on this would be helpful.

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Radhesh Welling: So if you look at -- let me take the second question first. If you

look at for the calendar year FY

'23, the number that I had indicated, which is a quarterly run rate of \$10 million to \$12 million, we should be able to get very close to that should be able to achieve that. The only problem is we will be able to achieve that on an annualized basis. I mean you know that Q1 and Q2 were soft. So quarter -to-quarter, though it remains lumpy.

But if you take the annualized number for FY '23, we will be able to achieve the quarterly run rate Q1, Q2, Q3 plus Q4. On the first question that you've had, are we seeing more number of early -stage opportunities, which is Phase 1 because that is where typically the engagement starts? The answer is clear, yes. We have increased the number of new customers who we do

business with. Also, clearly, the number has gone up.

Typically, we would prefer to have a 50-50 mix, which is basically Phase 1, Phase 2, 50%, Phase 3 and commercial 50%. Currently, we are not there yet, but we believe that in the next 2 to 3 years, we should be able to get to that.

Moderator: Our next question is from the line of Siddharth Gadekar from Equirus.

Siddharth Gadekar: Sir, my first question is on the MPP. When we had announced the project, we had highlighted that 3 products would be for the export market and 2 would be for the domestic market. So in terms of the 4 products that we are commercializing in the next 12 months, out of which that 3 products would be for the export and 1 would be for the domestic. Is that a fair understanding?

Radhesh Welling: No. So if you remember, we had basically talked about potentially 5 molecules, 4 for agro, 1 for Pharma. The 1 for pharma was domestic. Within the 4 for Agro, all the 4 were eventually for international markets, but 3, we were supposed to export. One, we were supposed to sell it to a local converter who was then going to export. But we really don't have that control over that fourth, this one because the customer might decide to use Indian converter or might decide to use an international converter. But eventually, all the 4 are going to get exported.

Siddharth Gadekar: Okay. Got it. Sir, secondly, on the pharma side, so when do we expect that pharma molecule to start coming in?

Radhesh Welling: Which one, you're talking about Specialty?

Siddharth Gadekar: Yes, yes. Specialties in the MPP.

Radhesh Welling: We are not really sure on that. If we want to do that, et cetera, because for 2 reasons: a, we are seeing good traction on the other segments. And given our experience on the pharma, I'm primarily talking about generic pharma. Where we sell to the domestic pharma companies, the business just doesn't tend to be very sticky.

We might do a business in a year and then next year, if they get INR 2 lower price, they generally go to China, et cetera. And that's not a business we generally -- that's not a kind of relationship

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we like to get into. So we're basically consciously now trying to just get out of pharma, where the business tends to be a lot more transactional than strategic.

So we are not yet sure about that fifth molecule if we want to do it because, a, doing business at a transactional year-to-year basis just takes too much out of the team. And on the other side, we are actually seeing pretty good opportunities on the agro and performance material side. So we might as well map the assets for those molecules.

Siddharth Gadekar: Sir, and one final last question. So now how should we look at the quarterly numbers for HFO given that we have finalized our CY '23 contracts?

Radhesh Welling: No. So if you actually look at the quarter Q4, you will clearly see ramp-up from quarter 3 because we've just started achieving the full capacity. We actually in the month of January, achieved full capacity, which was slightly higher than December. As I said, for calendar year '23, they have

average

given us indicative volume in terms of how much they will take.

But that for H2 -- I'm talking about calendar year H2, because of the issues with respect to some of these tailwinds, et cetera, et cetera, we decided that end of March, we will again have a conversation to relook at the numbers for the rest of the year. But currently, I have full visibility into Q4. Though they have indicated the volume for calendar year '23. That's a number for the rest of the year, we will be revisiting by end of March.

Moderator: Our next question is from the line of Nitin Agarwal from DAM Capital.

Nitin Agarwal: On the CRAMS CDMO business, we had talked about a \$16 million contract. Has that begun to reflect from this quarter onwards...?

Radhesh Welling: Yes.

Nitin Agarwal: And Sir, this is what you mentioned, if I remember correctly, it will go on for 2, 3 quarters?

Radhesh Welling: That's correct. So it has just started from December, you'll also see that in this month -- sorry, in this quarter.

Nitin Agarwal: So is it fair and a chunk of the bump up which came in the CDMO business came on account of this contract that we were ...

Radhesh Welling: In Q3, you're talking about?

Nitin Agarwal: Yes Sir.

Radhesh Welling: No, no, it just started the supply. I mean it did contribute to it, but that was not the main reason.

Nitin Agarwal: And Sir, an earlier comment that you mentioned, so we'll do about between INR 120 crores of revenues in CDMO this quarter, will do a similar to a larger number next quarter. But still -- still

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we can't take these as a quarterly run rate from an annualized basis, Sir, from a going forward basis?

Radhesh Welling: No. As I said, if you see, we have indicated that our intent would be for FY '23. Our intent would be to get to \$10 billion to \$12 billion -- \$10 million to \$12 million quarterly run rate, okay? And ideally, I would have preferred to actually do it quarter-by-quarter. Unfortunately, we have not been able to do that. But if you add all of that up, we will do that in FY '23. Now you can derive your numbers for FY -- Q4 from that.

Nitin Agarwal: Sure, Sir. But I was more interested in how we should look at FY' 24 and thereabouts given the visibility that you have in the business right now?

Radhesh Welling: Yes. So I think we are -- given the conversations going on, with the customers, et cetera. And the fact that I mentioned before on today's call as well as before, that gives us the confidence to even plan for cGMP4, which is going to be a significantly larger investment than the cGMP3 that tells you that we are actually seeing a lot of growth in this particular business in the years to come. But again, unfortunately, it's very difficult to put it on a quarter-to-quarter basis. So on FY '24, we are trying to get -- trying to understand exactly what that number is going to look like. Fair to say that FY '24 is going to be -- given the fact that we've just completed the debottlenecking also, we will have the capacity to supply as well. So it's definitely going to be a higher number than FY '23 on an aggregate basis. Quarter-to-quarter, we will have to just look at that.

Nitin Agarwal: That's helpful. And Sir, the last one. Sir, when we look at Q4, based upon the various comments you made across various segments, we will have a reasonably strong sort of quarter for HPP business as well as for the CDMO business. And with the Specialty business with the new MPP contracts scaling up reasonably well. Sir, when you look through the whole -- the balance of FY '24 and '25, the big delta, which is remaining are the scale up of the 2 other pending contracts. Is that a fair way to look at it? Or is it ...

Radhesh Welling: Which 2 other contracts you're talking about?

Nitin Agarwal: So one, the agrochem specialty contract and the one that you

will commercialize with the

multipurpose contract and the specialty chemical contract that you said -- the segment, which will -- for which you are spending INR 540 crores, for a Specialty molecule.

Radhesh Welling: Yes, absolutely. So I think let me go through the order. The first one, obviously, will be the larger contract that we have for that INR 540 crores plant, where nothing has come in this year, nothing will come till end of calendar year '23, we'll actually start seeing a major bump up from calendar year '24 onwards.

So you'll actually see in Q4 or FY '24 and then thereafter. The second would be your -- the dedicated agro plant because we will hardly get a quarter this year, whereas next year, we will Navin Fluorine International Limited

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get a full annualized run rate. And then on the MPP, that will be a relatively gradual ramp up because, as I said, we have actually started the supply of the first molecule. We will start supply of the other two molecules in this particular quarter.

It will not be still full capacity, but we will ramp it up. And we expect that by end of, again, calendar year '23, we should be able to get to optimum capacity in MPP. So MPP -- so the dedicated agrochem, you'll actually see almost drive the full capacity in FY '24, but the MPP and the other project, you will actually see running to full capacity from FY '25 onwards.

We will actually ramp it up within this particular year. And before end of this year, we would have actually reached the peak capacity. But on the annualized basis, you'll actually see it from FY '25. If you remember earlier, we had actually indicated when we announced the capex that we should be able to achieve the peak annual revenue in year two to year three. The dedicated agro, we will actually see it in Q2 itself. Similarly, for the larger other client, INR 500 crores investment we're talking about, there also you'll be able to start seeing it from the year 2 itself. But for MPP, it will be year 3. So year 1 being FY '23, year 2 being FY '24, year 3 being FY '25.

Nitin Agarwal: Very helpful. And Sir, during the -- those two years -- next two years, are there any more newer contracts which can start to contribute or whatever that you will announce now will start to have an impact only FY '26 onwards?

Radhesh Welling: No, no. You will see, as I mentioned to you, we're currently looking at some further debottlenecking of our MPP in Dahej. We also are working on another project where we are actually doing complete asset reassessment for Surat to see if there is investment we can actually do in Surat. So those 2 definitely will come in, and those will be a relatively quick turnaround.

So they are not going to be larger capexes. But if you -- the announcement that we made of, let's say, INR 540 crores last year, but the plant is going to be ready by December of this year. That kind of a quantum will probably come into play only from FY '26 on annualized basis.

Moderator: Our next question is from the line of Dhvaneet, an individual investor.

Dhvaneet: First of all, congratulations on a wonderful set of numbers. I had a couple of questions. First is with regards to -- there was a budget announcement on reduction of custom duty and Fluorspar prices. Is that going to have any material impact on our business? Or is it going to be under some kind of increment in our profitability? And apart from that, is there anything special from this current budget which is actually good for our business? And my second question was with regards to our profitability. The current margin run rate, which we have, do you think we will be able to sustain or improve on this current rate in the next couple of years or the 24 months' time?

Radhesh Welling: Yes. so let me go on the margin thing first. So I think given all the points that I just talked about on the HPP side, speci

alty side, on the CDMO side, et cetera. , in Q4, we believe our margins will be similar or better, okay? Then what you will have to look at is -- you'll have to basically
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look at it on an annualized basis, what we do in FY '23, okay? That's the margin we will continue to deliver on and improve on as these newer projects in Dahej start getting reflected on an annualized basis. As I have mentioned before, our aim is to ensure that the baseline, the base business continues to deliver 25% plus/minus EBITDA and the newer projects could actually help us start getting closer to 30%. So that's been our continuous goal.

And as these newer projects start constituting a larger percentage of our overall sales, you will actually see the overall margin profile of the Company getting close to -- so from 25% plus/minus, it will get to 30% plus/minus. So directionally, that commentary still remains valid.

On the Fluorspar duty, you know that most of the Fluorspar that we use is basically used for converting into molecules, which are exported. So the duty doesn't really play any role in that. But yes, for whatever gets consumed locally, domestically, there the duty plays a role, but that's not a significant portion of that. We've actually seen the maximum impact on an annualized basis, it's going to be about INR 4 crores to INR 5 crores, not much.

Moderator: Ladies and gentlemen, we take that as the last question. I now hand the conference over to Mr. Radhesh Welling for closing comments.

Radhesh Welling: Thank you. So I would like to thank everyone for taking time out and joining on the call. I hope we have been able to respond to your queries adequately. If you have any further queries, you may reach out to our Investor Relations partner, Orient Capital. Thank you very much and have a good day.

Moderator: Thank you very much, Sir. Ladies and gentlemen, on behalf of Navin Fluorine International Limited, that concludes this conference call. Thank you for joining us. You may now disconnect your lines.

Call: May 2023

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May 17, 2023

BSE Limited
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Mumbai 400001
Scrip Code: 532504 National Stock Exchange of India Limited
Exchange Plaza,
Bandra Kurla Complex, Bandra (East),
Mumbai 400051
Symbol : NAVINFLUOR EQ

Dear Sir / Mad am,

Sub.: Transcript of Earnings Call held for the quarter and financial year ended March 31, 2023

Pursuant to Regulation 30 read with Schedule III of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the Company's Earnings Call held on May 13, 2023 regarding discussion on operational and financial performance for the quarter and financial year ended March 31, 2023 (Q4 and FY 2022-23) is enclosed herewith.

This intimation is also being made available on the Company's website at www.nfil.in.

Request you to take this intimation on record.

Thanking You,

Yours faithfully,
For NAVIN FLUORINE INTERNATIONAL LIMITED

Niraj B. Mankad
President Legal and Company Secretary

Encl.: a/a

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"Navin Fluorine International Limited
Q4 & FY '23 Earnings Conference Call "
May 13, 2023

MANAGEMENT : MR. RADHESH WELLING – MANAGING DIRECTOR –
NAVIN FLUORINE INTERNATIONAL LIMITED
MR. ANISH GANATRA – CHIEF FINANCIAL OFFICER –
NAVIN FLUORINE INTERNATIONAL LIMITED
INVESTOR RELATIONS PARTNER – ORIENT CAPITAL

MODERATOR : MR. BHAVYA SHAH – ORIENT CAPITAL

Navin Fluorine International Limited
May 13, 2023

Moderator : Ladies and gentlemen, good day, and welcome to the Navin Fluorine International Limited Q4 FY '23 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star and then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr . Bhavya Shah from Orient Capital. Thank you, and over to you, sir.

Bhavya Shah: Thank you, and welcome to the Q4 and FY '23 Earnings Conference Call. Today on this call, we have Mr. Radhesh Welling, Managing Director; and Mr. Anish Ganatra , Chief Financial Officer of Navin Fluorine International Limited. This conference call may contain forward - looking statements about the company, which are based on beliefs, opinions and expectations as of today. Actual results may differ materially. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict. Our detailed safe harbor statement is given on Page number 2 of investor presentation of company which has been uploaded on the stock exchange and company's website as well.

With this, I now hand over the call to Mr. Radhesh Welling for his opening remarks. Over to you, sir.

Radhesh Welling: Hello. Thank you very much. Good evening, and a warm welcome to all the participants. I want to take a moment to acknowledge the inconvenience of calling you all on a Saturday evening for earnings call as I had to travel for some business from tomorrow onwards. We understand that this may disrupt your weekend plan and we sincerely appreciate your flexibility and consideration in joining us on short notice. Thank you for your continued support and commitment to Navin Fluorine.

On this call today, I'm joined by Mr. Anish Ganatra , Chief Financial Officer, and our Investor Relations partner, Orient Capital. I hope all of you got an opportunity to go through our financial results and investor presentation, which have been uploaded on the stock exchanges as well as on the company's website.

Let me now start with key highlights for the quarter and year ending FY '23, followed by business segment -wise updates, and then we'll take you through financial highlights for the period under review.

I'm pleased to announce that our performance in FY '23 has achieved several new milestones. For full year FY '23, we achieved a key milestone of revenues from the operations exceeding INR2,000 crores. Operating EBITDA crossed INR550 crores and Operating PBT crossed INR460 crores. For Q4 FY '23, we have reported quarterly revenue of INR697 crores. Operating EBITDA has more than doubled at INR202 crores on Y -o-Y basis. EBITDA margin stood at 28.9%, an expansion of 586 basis points.

Navin Fluorine International Limited

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Commercial production at 3 of our new plants, HPP, MPP and Agro -Intermediate plant has commenced successfully in the last fiscal. We have begun commercial production of two new molecules at our MPP plant in Q4 FY '23 and expect to launch at least 1 new molecule in FY '24. R32 capex of INR80 crores in Surat will be commissioned as per schedule, and the sales should start from Q2 FY '24. This demonstrates the strength of our business model and execution capabilities developed over the years. We improved our performance in uncertain times, captured growth opportunities, executed multiple projects successfully and accelerated our journey towards becoming the company we want to become in the future.

Now some refresh and some additional updates. In line with our growth plan in March 2023, Navin Fluorine Advanced Sciences Limited, our wholly owned

new subsidiary, announced a capital

expenditure of INR450 crores of setting up a new 40,000 metric tons per annum hydrochloric acid plant at Dahej. The new capacity is expected to come onstream in 2 years. The capex is starting to progress well and is expected to be commissioned on schedule. With this capacity, we will be prepared to address rising demand in the pharmaceutical and agrochemical sector as well as in the emerging areas like EV battery chemicals, solar, et cetera.

Apart from the ongoing expansions, which are scheduled to be completed by FY '25, we are in the process of finalizing business plans for two projects to be presented to the Board for approval in calendar year 2023. These two projects are CDMO and cGMP4 and another project we have been working on the specialty sector, the specialty business unit. We have taken our annual plant shutdown for HFO in Dahej, along with annual plant shutdown of 1 of the HF plants in Surat in the month of April.

We are pleased to inform you the Board of Directors have recommended a final dividend of INR7 per equity share of face value of INR2 each, subject to approval of shareholders. With this, the total dividend for the last year will be INR12 for the face value of INR2 each. I would now like to discuss the operating performance of each business units.

Happy to report that all our business units, Specialty, HPP and CDMO delivered highest ever quarterly revenues and profitability. Specialty business continues to deliver strong performance, driven by strong partnerships and new technology platforms. We reported revenue growth of 28% on a Y-o-Y basis at INR204 crores for Q4 FY '23. In the fourth quarter of FY '23, introduction of new products has made impact on our performance. These innovative offerings are designated positively with customers contributing to our overall growth. Agrochemical Intermediate plant achieved optimal capacity utilization in the last quarter.

Our HPP business generated revenue of INR289 crores, growth of 92% in Q4 FY '23 as compared to the same period last year. The recent increase in sales can be attributed primarily on account of increased volume from NFASL, our subsidiary. We are pleased to report that our client is currently operating at optimal capacity resulted in desired units. Furthermore, we are excited to announce that the commissioning of R32 project in Surat is progressing as scheduled, and we anticipate commencing production from beginning of Q2 FY '24. We remain committed

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to driving profitability, enhancing operational excellence, and seizing opportunities for further success.

Our CDMO business has reported highest ever quarterly revenue of INR203 crores reflecting Y-o-Y growth of 106% as compared to the same period last year. Business is on strong footing and trying for further capacity expansion. Our revenue in Q4 FY '23 has doubled surpassing our stated guidance of approximately \$10 million quarterly run rate on an annualized basis. This exceptional performance is testament to the dedication and hard work of our team as well as to our strong partnerships. This places our CDMO business a robust position and in an opportune space to pursue further expansion in the future. We are confident in our ability to capitalize on these market opportunities and are actively exploring options for further capacity expansion to meet the increasing demands.

I'll now hand over the line to our CFO, Mr. Anish Ganatra , to give you a brief on the financial performance of the company. Thank you, very much.

Anish Ganatra: Thank you, Radhesh. Good evening to all the participants. I will share the highlights of our performance for FY '23 and Q4 FY '23, post which we'll be happy to take questions.

For FY '23 on a consolidated basis, the company reported revenue from operations of INR2,077 crores, as against INR1,453 crore

es in FY '22, a growth of 43% year-on-year. Operating EBITDA

stood at INR550 crores as against INR355 crores in FY '22, up by 55%. Operating EBITDA margin stood at 26.5% as against 24.4% in FY '22, an increase of 207 basis points.

Operating PBT was up 51% at INR460 crores for FY '23 as against INR305 crores in FY '22.

Operating PBT margin was at 22.2% in FY '23 as against 21% in FY '22, a jump of 116 basis points year-on-year. Profit after tax stood at INR375 crores for FY '23 as against INR263 crores in FY '22, a growth of 43% year-on-year. PAT margin was at 18.1% for FY '23 and remain constant against FY '22.

Now coming to the quarter performance for Q4 FY '23. Company reported a growth of 70% in net revenue from operations to INR697 crores against INR409 crores in Q4 FY '22. Operating EBITDA grew by about 114% year-on-year to INR202 crores as against INR94 crores in Q4 FY '22. EBITDA margin stood at 28.9% for Q4 FY '23, an increase of 586 basis points. Operating PBT stood at INR180 crores, growth of 120% as compared to the same period last year. PAT stood at INR136 crores for Q4 FY '23 as against INR75 crores in Q4 FY '22 with a growth of 81%.

Before we start with the question and answers, I would like to refer to a couple of items in the financials of this quarter and year-end. During the year, the company initiated an exercise to assess the estimated useful life of assets, plant and machinery and buildings with the help of external technical consultants, the exercise covered assets at Dahej, our greenfield development, which started commercial operations during the year and at Dewas, the CDMO assets.

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Consequently, the depreciation charge for the quarter and year-end 31st March 2023 is lower by approximately INR20.4 crores on a consolidated basis. In NFA SL, the impact is about INR15.1

crores. And in NFIL, it is INR5.3 crores. ESOP charges for the quarter stood at INR9.31 crores and INR16.79 crores for the full year FY '23. Consolidated net cash flow from operations at negative INR63.6 crores primarily reflects initial working capital outlay following the start-up of commercial operations at Dahej. No further infusion of working capital is expected during FY '24. Rather, actions are in play to secure reduction of net working capital. So that is from my side.

We will now open the floor for question and answers. Thank you very much.

Moderator: The first question is from the line of Sudarshan Padmanabhan from JM Financial PMS. Please go ahead.

Sudarshan Padmanabhan: Yes, thank for taking my question and congratulations on great set of numbers. Sir, my question is, you know if I look at the specialty chemicals, you have done fantastically well. And if I look at the last -- a few commentaries from some of our peers, it seems to be a little mixed specifically on this agrochemical side. I mean some of them talking about higher inventory and prices coming down. Just wanted your thoughts on this, even if that we have done extremely well hitherto and what do we expect going forward?

Radhesh Welling: Yes. Thank you very much for that question. I hope you are able to hear me properly. So we are really not seeing any impact on the pricing because as you know, these are all contracted -- most of it is contracted business and we primarily work with the innovators, on the new molecules, molecules which are just about to be launched or have just recently been launched. We don't really have much business on the generic side. Your commentary or your question is very relevant for the generic molecules. Not so much on the innovative side. Having said that, we have seen some impact, and we expect that for the rest of the year, that is calendar year '23, we will see some impact on one of the molecules. But that's not really that significant in our specialty business.

And if you look at on a calendar

year '23 basis, the maximum impact was probably -- in the quarter, we just got over, which is Q4 FY '23. That impact will actually keep reducing as we move along. But we have been able to develop new opportunities to compensate for the volume that we lost in the last quarter, and that will continue to happen. So overall, we really don't see a significant impact on the inventory in the specialty business, right, because our business is not so much on the generic side.

Sudarshan Padmanabhan: Sure, sir. And sir, but in the specialty side, I mean, what would be the mix of pharma, agri and non-pharma, non-agri at this point? Has there been any major change seen in the fourth quarter versus what we have done in the past?

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Radhesh Welling: No. So the guidance that I gave last quarter continues to remain the same. Our Specialty business is actually tilting a lot more on the agrochemical side. And as you know, within the specialty chemicals, the pharma business was primarily supplying to the Indian generic pharma companies, and we have consciously taken a decision to reduce that particular business. So that quarter-on-quarter actually keeps reducing. And our industrial business and our agrochemical business keeps increasing.

Sudarshan Padmanabhan: Sure, sir. Second question from my side is on the HPP side. I mean, specifically on the HFOs and the Honeywell contract. Given that over a period of time, I mean, you are going to see the newer gases, which are much better from an environment perspective. I mean, it's heartening to know that we have achieved a fair amount of scale here in the short span of time. Number one, is there an option of scalability, say, assuming the third quarter or the fourth quarter the coming year? And is there a possibility of more such molecules getting into the pipeline, I mean from the Honeywell contract or anybody else?

Radhesh Welling: No. So our commentary on this remains same. As we had mentioned, our first priority would be to ensure that we stabilize this plant achieve optimal capacity. And this is what we are currently doing. We'll continue to do that in the calendar year '23. Priority number 2 would be to do the debottlenecking that I had mentioned to you, so we are actually working on that. So that will actually give us additional capacity of at least 20% immediately, that is from the next financial year onwards. And as we speak, we have actually identified a few newer molecules to work with Honeywell on, and that's basically at a very initial stage, that would be our Phase III -- priority number 3.

Sudarshan Padmanabhan: Sure, sir. And one question before I join back the queue is on the CDMO part. I mean we have achieved another highest sales you have done until now. I mean, this sales is driven by newer molecules coming into the fold or scale-up of existing molecule, some of them hitting the commercials. What is the outlook over here, sir? I mean I'm not looking at quarter-on-quarter. But even at some year-- if I'm assuming, say, in the next couple of years, what is the kind of outlook that you are seeing here?

Radhesh Welling: So I think on the CDMO side, we're actually getting very good traction with our key accounts. So there are existing molecules. Molecules that we have been working on for the past few years have been scaling very well. Second, we are actually getting a lot of new opportunities with these key accounts. And I'm happy to tell you that some of these opportunities are now even outside of fluorination because these key accounts have actually started trusting us for manufacturing and delivering products, which even outside our core value proposition. So it's primarily driven by this key account relationship and there is a repeat business and the new opportunities. And new opportunities include fluorinated intermediate as well as non-fluorinated

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intermediate.

Having said that, we've actually continued to bring on board and qualify new customers. But the contribution to the overall sales of these new customers is relatively on the lower side because

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as you can imagine, when the relationship starts, it typically starts at a very low -- on a very low volume. But we believe that these relationships will then help us scale up opportunities over a period of time with these customers. So overall, if I look at the pipeline from all these perspectives, gives us a lot of confidence now to start working on the cGMP4, which is going to be a significantly larger plant than 1, 2 or 3.

Sudarshan Padmanabhan: Sure sir, thanks a lot sir.

Moderator: Thank you. The next question is from the line of Abhijit Akella from Kotak Securities.

Abhijit Akella: Yes, good evening and thank you so much for taking my questions. First question is actually on two, three financial aspects of the results. So one is, with regard to the depreciation amount, if there's any indication you could give us on what the normalized depreciation and amortization number should be going forward now that we've sort of taken a fresh look at the useful life of these assets?

Second was just with regard to the sharp increase in other expenses. Are there any one-off items there? Or is this a good run rate to work with going forward? And the third one was with regard to the tax rate, which seems to be a little bit on the higher side, given that NFASL should be on a concessional tax rate. So if you could please just elaborate a bit on these three aspects?

Anish Ganatra: Abhijit, thanks for the question. So on your first question regarding the normalized depreciation, this is kind of -- so you're looking for an annualized number, I suppose. I mean, if I was to give you a guidance, it would be in the range of INR80 crores to INR90 crores. But that would be sort of based on the current capitalization that we have, yes. So it's -- what you see on the financials, those financials are effectively considering the depreciation based on when the assets have been put into use. But I guess your question was more on the forward kind of -- what could be the annualized impact if the new rates were in play, yes?

Abhijit Akella: Sure.

Anish Ganatra: And the other expenses. I mean, if you compare last year to this year, in some sense, it is not a comparable number because last year did not include NFASL. This being the first year of operationalization, right, and startup of commissioning, you're seeing the entire NFASL expenses coming in there. Now some of the expenses that we have there are already a focus area, but those items are being worked. But frankly, like I said, if you're comparing between the two, it's not the right comparison just because it's the first year of operation on a consolidated basis.

Radhesh Welling: Abhijit, I would just like to add to that. On the other expenses in Q4, there were two charges there, which you will actually not see going forward. There was one consulting assignment that we had actually undertaken in Q4. So that's approximately about INR5 crores, which basically has been expensed in Q4 and will not come in again. And there were some issues with respect to some of our OSBL in Dahej because of which there were two line items which actually came in Q4, that's approximately around INR10 crores which will not come in again. So about INR15

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crores, I would say, is an expense item, which actually came in Q4, which will not future going forward.

Anish Ganatra: And Abhijit, your final question was on the tax rates. Now again, bear in mind that NFASL does not have a full year of operations. So from a tax point of view, it would not really have a tax impact. Most of the tax number that

you see on the consolidated basis is actually from the NFIL point of view, that's why you see a higher number.

Abhijit Akella: Okay. Got it. That's very helpful. And the second question I had was, Radhesh, if you could talk a little bit about the growth outlook for the three business units for the upcoming year? And also specifically, just wanted to check. Number one, whether we should expect any impact on 1Q sales, etcetera, because of the annual shutdown that you spoke about in HFO and, I guess, Specialty.

And second, with the R32 unit getting commissioned within a couple of quarters. And I guess, the competition's capacity also is coming up sometime fairly soon. So how do you expect pricing in that segment to sort of perform in the near term or maybe slightly medium term as well, 3 - to 5-year kind of outlook?

Radhesh Welling: Yes. So as far as the outlook for FY '24, currently, we have no reason to believe that there is any change in the overall guidance, qualitative guidance that we have given to you before on each of the three businesses. As I mentioned to you -- as I mentioned earlier, the issue with respect to inventory, etcetera, on the agrochemical side has not been seen by us to that extent. It's more happening on the generic side. There is some impact with respect to one product, but we have actually identified some other opportunities, etcetera, which will help compensate -- more than compensate that downside.

So we have not really have any reason to change the guidance -- overall guidance that we have given for any of our three businesses. Specifically with respect to Q1, you are absolutely right. On a sequential basis, you will actually see some drop because our HPP plant in Dahej was shut for a month. This is a planned annual shutdown. And what we did was to ensure that it aligns with our HF thing.

We actually took the HF shutdown in Surat also. One of the lines was actually taken down for our planned annual shutdown during the same time. So that was down for about 3 weeks. And our Orchid plant was down for almost a month. So the HF plant has already started and HPP plant will be starting very soon. So -- because of it, you will actually see slightly light Q1, but we expect that from Q2 onwards, again, the sales, etcetera, will again get to a normalized level.

And your third question was related to R32. See, if you actually look at our R32 capacity, it's not that high, that we should actually be worried about the pricing, etcetera. Also, we already have a lot of interest from our existing customers, some of the domestic existing customer as well as some of these partners in the international market to actually buy R32 from us on a long -

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term basis. So we are trying to understand which of the customers, we should probably tie up with on a long-term basis, which of these we should work on as a spot basis, etcetera.

But as we move forward, we believe that the demand for R32 will continue to increase, not only as a single ingredient, but also as a part of a blend. And I'm not only talking about HFC blend, but also HFC, HFO blend, some of these conversations are already going on with some of our partners. So if you ask me from a, let's say, 2 - to 3-year perspective, we believe that the pricing for R32, given the fact that our capacity is relatively limited, we believe that the pricing would remain strong.

Abhijit Akella: Thank you so much sir. All the best.

Moderator: Thank you. The next question is from the line of Archit Joshi from B&K Securities.

Archit Joshi: Thanks for the opportunity and congrats on a great set of numbers. So my first question, a little curious about the comments made in the investor presentation about the new products that we have added in HPP. So just wanted to check if this is in HFO, in organic fluorides or the ref gas unit?

Radhesh

Welling: No, this is basically -- the commentary that you see in the investor presentation is the sale of the new product. That's primarily we are talking about the same molecule from Dahej, the Honeywell product. There are some other new molecules that we have in the pipeline, but that has not really made any material impact to the numbers in Q4. The Q4 numbers are primarily because of the Honeywell product.

Archit Joshi: Got it, sir. Second question, again, on the HFC 32 bit. Since competition also is adding, as the previous participant mentioned, one of the reasons could it be that we haven't had a near drop replacement to HFC 32 within the HFO series and a lot of global conversions that are happening from maybe 1, 3, 4 or in R125 are already kind of getting displaced into the HFO segment or the fourth gen ref gases. Would that be a fair assumption that HFC 32 demand will be fairly buoyant and is one of the reasons why as to a lot of companies are adding capacity?

Radhesh Welling: Yes. So first of all, there are not many companies who are adding capacity. I mean first of all, the only country where you can add capacity is India. And that also beyond December, you cannot do that. So even if you see in India, there are not many companies who are adding capacity. There's a limited capacity addition, which is actually coming up. But in terms of demand, you're absolutely right, 134 primarily actually goes into mobile air recommissioning,

R32 primarily goes into stationary air conditioning.

And there, in India market, as you know, the penetration is also increasing. And globally, there is a transition happening where we believe at least for quite a few years to go, there will be demand for R32 as a single ingredient as well as a part of a blend initially as HFC, HFC blend and then as HFC, HFO blend. And as I mentioned to you, we are currently in discussion with our partners to develop those specific HFC, HFO's blend wherein we will supply HFC to them

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for supply to the global market, and we will actually look at supplying those blends in the Indian market.

Archit Joshi: Understood, sir. So basically, sir, there are no new capacity additions globally that are happening for R32 and so that is kind of a benefit to us. And sir, just an addendum to the same thing. For the HFO business that we have currently, it seems that the fourth quarter looks to be like a very strong quarter that you have reported in the subsidiary's performance. And I just remember from the plant's big takeaways that we've had, we had kind of indicated that will most likely clock somewhere between INR500 crores, INR550 crores. And I can already see INR450 crores in FY '23 financials from the subsidiary.

Was there anything particularly exceptional about the fourth quarter that we were able to clock a significantly higher revenue. And going ahead, do things remain the same or they are slightly improved a bit?

Radhesh Welling: No. So there was nothing exceptional per se about Q4. I think the only point I can make there is that we were able to achieve optimal capacity fairly quickly. Typically, what we were expecting to get in year 2, we were able to achieve in year 1 itself. Having said that, in our current plan, there is still capacity headroom available.

So if you look at in Q4, we were not operating the plant to 100% capacity utilization. So there is still capacity headroom available. In the quarters to come, we believe that we should be able to get close to the full capacity utilization. And then this debottlenecking that I was talking about earlier, will also start coming into play from the next year onwards.

Moderator: The next question is from the line of Vivek Rajamani from Morgan Stanley. Please go ahead.

Vivek Rajamani: Congratulations on a very strong result. Sir, last quarter, you'd mentioned that you will s

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further upside to your volumes as your new projects ramp up to optimal levels. And after that, you should see better margins as you benefit from the operational efficiencies. Would it be fair to say that you started to see that in this quarter and that we should work with these margin that was to be a sort of a new normal for you going forward?

And the second question was more of a clarification from some of the earlier questions that came to you. Would it be possible to give some colour with respect to the one molecule that you mentioned where you're seeing some slowdown. How big is that in your overall portfolio? And secondly, beyond that molecule, is there any area within the overall portfolio, which you're monitoring closely from a risk perspective for F '24 and F '25? Thank you so much.

Radhesh Welling: Yes. So I actually didn't get your question properly. But let me try to answer as much as I understood. The first question that you had on the margin, which specific molecule you were talking about?

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Vivek Rajamani: No, sir. It was more related to the specialty business. I think you were saying the last quarter, you should, yes...

Radhesh Welling: Yes. So as you know that the margin that we saw in Q4 its combination is basically because of the performance that we saw across the 3 BUs, right? And the right way to look at that, if you look -- you should look at our annualized margins and as we have said before, this annualized margin on an annualized basis will keep improving as we add on this new capacities, new plants, etcetera. But it will be difficult for me to comment on a quarter -on-quarter basis if you ask me specifically to comment on Q4. And as we move forward, if the margins will increase, etcetera? I think the right way to look at it to look at the annualized margins.

On the second question, as I mentioned to you, there is this one particular molecule in Specialty, which actually saw the impact in Q4. But we believe the maximum impact in the calendar year '23 was actually seen in Q4. So going forward, actually, the impact will actually start going down because we actually sold almost zero of that product in Q4. So that impact already is seen in the results. Going forward, we have actually already started seeing the demand coming back. And it's not -- so whatever the significance of that molecule is, we have already seen the impact of

that in the last quarter.

Vivek Rajamani: Got it, sir. Really helpful. You did answer both my questions. Just one small clarification.

Beyond this particular molecule, is there any other part of the portfolio that you've been monitoring with respect to any possible slowdown that may come through over the next couple of years? Or this is the only molecule where you see some risk? Thank you.

Radhesh Welling: No, it's very difficult for us to really comment on it. We continue to engage with our customers.

One of the molecules, which obviously is of a lot of interest to us is the one that we supply to Honeywell because of two reasons. One, it goes into the housing market. It goes into multiple industries, but housing is one of its end application and also because it has a significant impact on our financial performance.

Currently, the forecast that we have received from our customers basically tells us that H2 continues to be in line with what the earlier forecast they have actually given to us. So currently, we don't have any reason to believe that is going to be significantly impacted in Q2 -- sorry, in H2 of calendar year '23, but we continue to closely monitor that.

Moderator: The next question is from the line of Sanjesh Jain from ICICI Securities.

Sanjesh Jain: A brief view from my side. First on the stand-alone business, if I see x of the CDMO business is like declined by 20% Y-o-Y. Can you help us understand what are the business

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specialty, ref gas, inorganic, which is a business causing a 20% decline in the revenue on the stand-alone basis excluding NFASL? That's my first question.

Radhesh Welling: No, I'm not able to understand. You're talking about Q4 or FY '23?

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Sanjesh Jain: No. I'm talking about Q4, in the stand-alone business, if you look at the revenue, excluding the CDMO business, which again is included in the stand-alone revenue, if I take that off, this is a decline of 20% Y-o-Y in the underlying revenue. These are the non-contracted or the erstwhile before these contracts, these are the revenue from those products and lines, and it appears that, that has declined by 20% Y-o-Y?

Radhesh Welling: I'm not able to see that, but we just completed the board meeting. So -- but I think let me try to answer that question. If you actually look at the three businesses that we supply from NFIL, there is Specialty, there is HPP and HPP is primarily inorganic and ref gas and the third is the CDMO piece. CDMO obviously has increased significantly on a Y-o-Y basis. But I think your question is primarily NFIL on a stand-alone minus CDMO, right?

Sanjesh Jain: Correct. Correct.

Radhesh Welling: So it's -- on the inorganic and ref gas side, we are almost flat. It is -- there is a slight increase there. On the specialty, you are right, there is a reduction. I don't know exactly how much the reduction is, but it's primarily because of two reasons. One, there is a molecule that we have actually taken out of NFASL from NFIL. So there is a small impact on that. The second impact -- the second reason why you see that impact is because of that other molecule that I was talking to you about where we have actually seen that inventory issue and most of that was actually seen in Q4, which was actually supplied from Surat.

Sanjesh Jain: Got it. Because that number appears fairly big, it appears almost INR50 crores, because refrigerant gases and inorganic has not fallen, if I attribute everything to that, close to INR 60 crores impact?

Radhesh Welling: Yes, I think the right way of looking at that, if you look at the Specialty business specifically, I think you should primarily look at NFIL and NFASL together. You should look at the Specialty business on whole. And I'll tell you why? We, for a lot of these molecules, especially that we are doing with the global agrochemical measures, we have now developed capability to do a lot of these molecules both out of Surat as well as out of Dahej.

And typically, depending on what new opportunities we get because, as you know, the plant that we have in Dahej is a slightly higher capacity, higher scale, whereas the plant that we have in Surat is relatively smaller scale. So suppose if we get enough offer and opportunity to do a new molecule, which we can do only out of Surat, not out of Dahej because of the scale, then we move that molecule to Dahej and then we actually put this new molecule out of Surat.

Also, there is one molecule that we were earlier supplying on a continued basis out of Surat, in Q4, we have actually done downstream of that. So what has happened is that molecule has actually gone from Navin's NFIL, that is Surat to Dahej, and we have done the downstream processing there and sold the customer out of NFASL. But these kind of things are going to

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happen on a regular basis. So the right way of looking at it would be to look at it on a consolidated basis on a business-to-business basis.

Sanjesh Jain: Right. But just a small clarification from a product moving from Surat to Dahej, I thought NFASL falls under new tax regime of 15% which says that the new facility should have a new product for the eligibility of that. So moving a product from Surat to Dahej, is it possible thing?
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Radhesh Welling: Yes, absolutely. The product that we used to sell out of Surat, that's a molecule we continue to sell. And that product is actually going to the other customers as well as to NFASL. Now when we transfer it from NFIL to NFASL, it actually goes at a transfer pricing and the NFASL is not selling that molecule to the customer. There are four, five steps -- additional steps that are actually done in NFASL and the molecules that we are supplying from NFASL are the different ones from the ones that were supplied out of NFIL.

Sanjesh Jain: Now it's very clear. Thanks, Radhesh, for that effort to make us understand. Second, on the CDMO side, phenomenal performance. Did this include the 16 million contract revenue, also have you started supplying that? And for FY '24, what should be the revenue guidance for the segment should we again achieve a 30% -plus kind of growth from the debottlenecking which unlocked another 25% capacity?

Radhesh Welling: What was the first question you asked, Sanjesh?

Sanjesh Jain: So we have announced a 16 million contract in the CDMO business in the Q3. We said that we'll start supplying from the April onwards. Just wanted to understand have we started that? Is there any impact of that in the CDMO business of Q4? And a follow-up question is on the revenue growth guidance for FY '24. Now that we have debottleneck in '23, which adds close to 25% capacity. So 20% -plus growth is doable in FY '24, is that a right assumption?

Radhesh Welling: Yes. So that agreement that I talked to you about or that order that we have talked to you about, we've actually supplied a significant part of that in Q4 and there is still balance quantity, which we will be supplying in FY '24.

On the second question that you have, yes, we are extremely confident of our growth in FY '24 and in the years to come. And we believe that -- and which is what gives us confidence to actually go for cGMP4 because a lot of these molecules that we are actually currently working are, the projections that we have received from the customers look to be very positive and hence it's necessary for us to have a larger scale plant to do higher volumes of those molecules. So to your question specifically related to FY '24, my answer would be, yes.

Sanjesh Jain: Got it. One last, sorry, for squeezing, just on the margin. We have earlier said that we will gradually move towards 28 and 30. But surprisingly, that gradual was just a quarter. For the full year, do you think this kind of margin is sustainable, which is 29% and do we improve on this?

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Radhesh Welling: No. So as I've mentioned earlier to another question, I think the way to look at it, if you look at the annualized margin, annualized basis, what we delivered in FY '23 and as I've mentioned before, because there are a lot of things that happened in quarter-to-quarter, there are some new projects that we undertake, etcetera, which could skew margin in a particular quarter, either upward or downward, so let us -- I think the best way to look at is you look at the annualized margin of FY '23. And you'll actually see that, that margin has actually improved over FY '22, and that is the overall trajectory that we will continue to see on an annualized basis.

Sanjesh Jain: Clear. Thanks for answering all the question and best of luck for the future quarters.

Moderator: Thank you. The next question is from the line of Rohit Nagraj from Centrum Broking. Please go ahead.

Rohit Nagraj: Thanks for the opportunity and congrats. Sir, on the HF capacity, so last time, we had indicated that we'll be doubling the capacity and debottlenecking is going on. So effectively, our capacity after two years will get doubled. So are we currently sufficient for the next two years? And based on the new capacity that we are planning, how much time we are expecting that

this new 40,000

tons capacity will be utilized after two years once it gets commissioned? Thank you.

Radhesh Welling: Yes. So first of all, as far as the capacity is concerned, we have announced 40,000 metric ton new plant that we are setting up. It's going to take us about 24 months to get that plant ready and with that coming in, our capacity would be -- we are actually significantly -- we will have significantly more than twice capacity that we have today. And to your question, will we be of deficit? We will have adequate capacity of HF for our own requirement. We probably will not have enough HF to be able to sell in the merchant market. We are actually seeing a lot more opportunities to sell in the merchant market and we would have got those opportunities if we had more HF available. But for our own consumption, we have enough HF.

And we believe that we're continuously working on a lot of these other projects. There are some

projects which will get commissioned later this year. There are some other opportunities we are working on in our existing three BUs as well as some of the newer opportunities. A lot of them are actually going to need HF. So this 40,000 metric tons capacity that we are adding, it's mainly driven by our own requirement of HF versus selling it into the merchant market.

So we believe that at least half of the capacity, we should be able to use fairly quickly as soon as that plant is ready. And then over a period of time, initially, the rest of it we'll be selling in the merchant market. But we believe that in the next -- the following three to four years, even that capacity would actually get utilized by us for the downstream opportunities.

Rohit Nagraj: Yes. That's fairly clear. Just one clarification on this. In terms of the Fluorspar sourcing, have we gotten into any arrangements with any of those suppliers?

Radhesh Welling : Yes.

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Rohit Nagraj: Sure. That's -- second question is on the ESOP plans. So after FY '23, ESOP charge during the year, how much of it is left and will come in FY '24 and if any for FY '25? Thank you.

Anish Ganatra: So, Rohit, thanks for the question. I mean you know how this ESOP works, right? I mean, essentially, you're doing a Black Scholes model and then taking the cost into the books, right.

And the ESOP, the way it was structured was over a four -year period. So you will essentially see that the first two years of that, the charges will go up. And then the third and the fourth year, the charges obviously come down because what happens is in year 1, you get the charge for the kind of the first year and the second And then the second , again, you get for second, third and fourth. So each progressive year, the charge comes down. So if you had to sort of ask me what charge should we expect for the full year? I mean you should probably take 16.79 was for half year. I would take about 31 for the FY '24 and then it will progressively come down significantly.

Rohit Nagraj: Sure, this is very helpful. Thanks and best of luck, sir.

Anish Ganatra: Yes.

Moderator: Thank you. The next question is from the line of Krishan Parwani from JM Financial. Please go ahead.

Krishan Parwani: Yes. Hi, Radhesh ji. Congrats on a good set of numbers. Thanks for taking my question. So I have like two. The first is on the molecule that you said there was almost zero volume in the fourth quarter. So is it the -- I mean, is it the -- is this product the one that where we face the competition from the domestic player?

Radhesh Welling: No. This has got nothing to do with the domestic -- nothing to do with domestic competition. This is basically because the same issue that we are actually seeing everywhere. There was some inventory build -up at the customer then. The demand for this molecule continues to remain extremely strong. This is actually a blo

ckbuster molecule. And as we speak, we are actually looking at opportunities to not only expand the capacity in this particular molecule, but also do the downstream AI for this particular molecule. So the overall demand outlook for this molecule continues to be extremely robust.

It's a blockbuster molecule and it is expected to remain blockbuster for at least quite a few years.

It's just that there was a significant inventory build -up in the pipeline. So it is just a question of destocking and restocking, that's about it. And most of that impact, we believe, is behind that now because a lot of that was actually done in the Q1 calendar year, which is Q4 FY '23.

Krishan Parwani: Understood, Radhesh ji. So the second one is on the CDMO front, given we have seen a sharp jump as you already highlighted that some part of the PO is already affected in 4Q. So on a full year basis, more like probably 25%, 30% kind of a growth run rate that is fair, or how do we see it?

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Radhesh Welling: No, So I think as we have indicated earlier, you should basically take the FY '23 annualized number. And you should be able to see a 20% -plus growth on that number. But take annualized for FY '23 because unfortunately, and it basically impacts us on a positive as well as negative side. That this business tends to be lumpy, right? I mean you saw that in Q1 and Q2, we are little softer in H2, and I have indicated this right at the beginning of the financial year that we feel -- we believe that H1 will be softer and H2 will be stronger, which is exactly what has happened. So if you look at the numbers on an annualized basis, we should be able to show a growth of 20%-plus in FY '24.

Krishan Parwani: Understood. And if I can squeeze the last small clarification. So on the R&D front, are we like

looking at products like, I mean, derivatives or triflic acids or triflic anhydrides or something like that, or where are we with our R&D focus in terms of that?

Radhesh Welling: No. So we actually just invested a significant amount in our R&D for not only expansion but a significant upgradation in our R&D setup in Surat. Now I will not be able to comment on the specific molecule's etcetera. Typically, these molecules or these opportunities typically get developed in our engagement with the customers.

But our focus continues to be in identification and development of new technology platforms, platforms which typically the customers are not able to get from other organizations, either in India or outside of India. So our focus is on identification and development of new technology platforms and once we have those platforms, then those platforms can be used to develop number of molecules based on those platforms. So that is how we typically approach the R&D exercise.

Krishan Parwani: Fair enough, Radhesh ji. Thank you for patiently answering my question. All the best.

Radhesh Welling: Thank you.

Moderator: Thank you. The next question is from the line of Bhaskar Chakraborty from Jefferies. Please go ahead.

Bhaskar Chakraborty: Thank you, Mr. Welling. I just wanted to understand what all items apart from HPP are contributing to the difference in revenues between the consolidated line and the stand-alone line?

Radhesh Welling: No. So very simply, Dahej is under NFASL and Surat and De was are under NFIL. But as I mentioned earlier, I would just like to repeat that again. I think the right way to look at our business would be to look at on a consolidated basis.

Bhaskar Chakraborty: So basically, the new agrochem dedicated plant that has come up where you have achieved optimum utilization, where does that figure in these numbers?

Radhesh Welling: No, that's not in HPP. That's in Specialty, and that's in Dahej.

Bhaskar Chakraborty: Understood. Thank you very much, sir.

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Moderator: Thank you. The next question is from the line of Keyur from ICICI Prudential Life Insurance. Please go ahead.

Keyur: First of all, congratulations to the team for great results. Sir, first question is on the HPP side, the Honeywell product, in the past conference call, you have mentioned that there may be possibly some slowdown depending on how the demand is in the Western markets. So just your thoughts on how you see HPP Honeywell product ramping up the trajectory of growth and optimum utilization before you go for debottlenecking? That is the first question.

Radhesh Welling: Yes. I think I already have talked about this while answering some of the earlier questions. As I said, we continue to engage with Honeywell to understand how the demand outlook looks for the rest of the year. Currently, our expectation is that -- if you -- as I mentioned to you, in Q4, also, we were not running the plant to full capacity. There is headroom available. And we believe that for the rest of the year, that is rest of the calendar year, we'll probably run to the similar kind of a capacity. And while we do that, we will also work on the debottlenecking project. So that, that particular capacity comes on stream before end of the current financial year.

Keyur: Okay. Understood. Sir, second question is on the two new plants commissioned, first is dedicated and second is MPP. So just clarification dedicated is now on a quarterly basis, this was fully utilized and the MPP. So we have, as of now, commercialized total three products of total five plants. So how will the journey from here on, to commercialization of fourth and fifth molecules.

So when will we see optimum utilization?

Radhesh Welling: No, there is another molecule, as I mentioned to you earlier, but actually, you're talking specifically related to MPP, right?

Keyur: Correct.

Radhesh Welling: Yes. So earlier, if you remember, we had actually talked about five molecules in MPP. Four of them were Agro, one was pharma. We actually had said that pharma is something that we will look at later on. Out of the four, we produced three in Q4, not to the full capacity, but we produced three and supplied these molecules to the customer. We will continue to produce these three and a lot of these are campaign, etcetera. So they're not going to be -- the volumes are not going to be constant quarter-on-quarter.

The fourth molecule, we have actually -- we will be starting later this year. And what we have also done is we have actually identified another opportunity for another molecule to be supplied to another global agrochemical company and we're actually undertaking a very small capex to modify our MPP to actually put that molecule. So that will be a completely new molecule, which we will be doing in the second half of the coming financial year.

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So three we have already done. Fourth we will be doing in the coming year. There's another completely new, which we have not indicated earlier, we are going to be doing in the second half of the current financial year. And the final one, Pharma, we currently don't have any immediate plan of doing in MPP.

Keyur: Okay. The clarification that dedicated has seen the full utilization for this quarter on a quarterly basis, correct?

Radhesh Welling: Yes, almost. There is little headroom available, but yes. It's a fairly optimized capacity utilization.

Keyur: Okay. Thanks a lot and all the very best. Thank you.

Radhesh Welling: Thank you.

Moderator: Thank you. The next question is from the line of Bhavesh Jain from Enam AMC. Please go ahead.

Bhavesh Jain: Sir, on working capital, that seems to have gone up in this year end. So anything specific or we have done planning for this maintenance shutdown?

Anish Ganatra: No, Bhavesh, I mean, see, the wor

king capital, if you look at, this is the first year of NFASL

operations, right? So you will see a big jump in working capital as the plants get into operations and we engage with customers for selling products as well as having inventories. So it's got nothing to do with shutdown.

Bhavesh Jain: So, that will normalize by second or third year of the operation, how do we see that, or how should we build in enough...

Anish Ganatra: So Bhavesh, see, there's a lot of actions we are already taking in play to look at the working capital. Now that doesn't mean that's kind of ongoing business in some sense. Because obviously, as new assets come up, the working capital starts kind of going up. But then you kind of have actions around focusing on each component of working capital to bring it down.

We are also looking at several vendor financing, supply chain financing programs so that we can optimize the working capital further. All I can say actually is that, at this level, we are not looking to increase the working capital. So it will remain at this or go lower actually. That's what we should expect to see and the benefits won't come as a kind of switch on and off, but they will be progressively seen over the year.

Bhavesh Jain: Okay. And sir, lastly, on the capex side, what should we build in for FY '24 and FY '25?

Anish Ganatra: For FY '24 and FY '25. I mean, we've already -- so there's already nectar in the pipeline as you are so...

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Radhesh Welling: No. So I think there are two capexes that we have already announced. One is the agrochemical capex and then there is an AHF capex. So those are the two big capexes that we have announced, as you know. And there are some minor capexes that are going on in Dewas, in Surat as well as in Dahej. Apart from that, we will be able to let you know about any other capex as and when we get approval from the Board. But it will primarily be some on the capexes that I indicated in my opening remarks.

Bhavesh Jain: Okay. And sir, lastly, any interest costs we are capitalizing?

Anish Ganatra: So on pre-operating basis, it does that. So we follow the accounting standard in that regard.

Bhavesh Jain: Okay. But Q4, the majority of the finance costs will cover that, right?

Anish Ganatra: No. Once the plants are operational, we can't capitalize it.

Bhavesh Jain: Okay. Thanks a lot. Thank you. All the best.

Anish Ganatra: Thank you.

Moderator: Thank you. Ladies and gentlemen, due to time constraint, that was the last question. I now hand the conference over to the management for the closing comments.

Radhesh Welling: Yes. I would like to thank everyone for taking time out on Saturday evening and joining on the call. I hope we have been able to respond to your queries adequately. If you have any further queries, you may reach out to our Investor Relations partner, Orient Capital. Thank you very much and have a great weekend. Thank you.

Anish Ganatra: Thank you.

Moderator: Thank you, members of the management team. Ladies and gentlemen, on behalf of Navin Fluorine International Limited, that concludes this conference call. We thank you for joining us, and you can now disconnect your lines. Thank you.

Call: Aug 2023

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August 04 , 2023

BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Fort,
Mumbai 400001
Scrip Code: 532504 National Stock Exchange of India Limited
Exchange Plaza,
Bandra Kurla Complex, Bandra (East),
Mumbai 400051
Symbol : NAVINFLUOR EQ

Dear Sir / Mad am,

Sub.: Transcript of Earnings Call held for the quarter ended June 30, 2023

Pursuant to Regulation 30 read with Schedule III of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the Company's Earnings Call held on August 01, 2023 regarding discussion on operational and financial performance for the quarter ended June 30, 2023 (Q1 of FY 2023-24) is enclosed herewith .

This intimation is also being made available on the Company's website at www.nfil.in .

Request you to take this intimation on record.

Thanking You,

Yours faithfully,
For NAVIN FLUORINE INTERNATIONAL LIMITED

Niraj B. Mankad
President Legal and Company Secretary

Encl.: a/a

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"Navin Fluorine International Limited
Q1 FY '24 Earnings Conference Call "
August 01, 2023

MANAGEMENT : MR. RADHESH WELLING – MANAGING DIRECTOR –
NAVIN FLUORINE INTERNATIONAL LIMITED
MR. ANISH GANATRA – CHIEF FINANCIAL OFFICER –

MODERATOR : MR. BHAVYA SHAH – ORIENT CAPITAL

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Moderator : Ladies and gentlemen, good day and welcome to Navin Fluorine International Limited Q1 FY '24 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Bhavya Shah from Orient Capital. Thank you, and over to you, Mr. Shah.

Bhavya Shah: Thank you and welcome to the Q1 FY '24 Earnings Conference Call . Today, on this call, we have Mr. Radhesh Welling, Managing Director; and Mr. Anish Ganatra, Chief Financial Officer of Navin Fluorine International Limited.

This conference call may contain forward -looking statements about the Company, which are based on beliefs, opinions, and expectation as of today. Actual results may differ materially. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict. Our detailed Safe Harbor statement is given on page number two of Investor Presentation of Company, which has been uploaded on the stock exchange and Company 's website as well.

With this, now, I hand over the call to Mr. Radhesh Welling for his opening remarks. Over to you, sir.

Radhesh Welling: Thank you. Good morning and a warm welcome to all the participants. On this call today, I'm joined by Mr. Anish Ganatra, our Chief Financial Officer, and our Investor Relations partner, Orient Capital. I hope all of you got an opportunity to go through our financial results and investor presentation, which have been uploaded on the stock exchange, as well as on the Company's website.

Let me now start with key highlights for the first quarter of FY '24 followed by business segment - wise updates, and then we'll take you through financial highlights for the period under review. I'm pleased to report our quarterly revenue of INR491 crores , marking a growth of 24% on year - on-year basis. All our businesses continue to perform well. Despite some product -specific demand headwinds, overall, our resilient business model performed well in this quarter, but more importantly, is positioned well for future profitable growth.

We saw strong Y -o-Y revenue growth in specialty and CDMO business units, whereas revenue growth in HPP business unit fell short of our initial expectations primarily due to shutdowns in AHF and HFO plants. These being one -off events, we expect business to run on normalized basis from Q2 onwards. Demand for R22 in Q1 was muted. Weak summer impacted refrigerant gas sales in domestic as well as export markets. Our operating EBITDA registered growth of 15% Y -o-Y at INR114 crores. EBITDA margin stood at 23.3%. We are optimistic about higher capacity utilization in the coming quarters, and this will positively impact our operating margins. Higher depreciation and interest expenses were charged due to capitalization of the new capacities in NFASL and the associated financing. We have shown remarkable progress even during unpredictable periods, capitalizing on opportunities for expansion, executing numerous

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projects parallelly, but in a very disciplined manner and expediting our overall profitable progress.

I'm pleased to inform you all that the Board of Directors held at a meeting yesterday approved capex of INR30 crores towards development of a completely new capability in Surat. We are happy to inform you all signing of a material supplies agreement with Fermion for a set of patented commercial stage molecules in our CDMO division. This initial agreement spans over three years commencing

from calendar year 2025 and is expected to create new growth opportunities for us.

I now like to quickly brief you on the status of various ongoing capexes. Our AHF project for adding 40,000 metric tons of hydrofluoric acid capacity at Dahej is progressing as per schedule. We have signed basic engineering technology and equipment agreement with global leader in

this space. As a reminder, this capacity allows us to address the rising demand in the pharmaceutical and agrochemical sectors as well as in the emerging areas like EV battery chemicals, solar, etc. Our agro specialty capex is progressing well so far and is scheduled for commissioning end of this calendar year. R32 plant stabilization is in progress and sales expected to start in Q2 FY '24.

I would now like to discuss operating performance of each of the business units. Our Specialty Chemicals business continued to perform extremely well. In Q1 FY '24, we reported highest -ever quarterly sales with revenue growth of 31% on a year -on-year basis, amounting to INR230 crores . Strong order flow continues to strengthen long -term growth visibility in this division. Our HPP business demonstrated steady growth in Q1 FY '24 with revenue reaching INR169 crores , representing an 11% increase compared to the corresponding period last year. This growth was primarily driven by expanded capacities in NFASL. However, it is important to note that the overall growth was somewhat restrained due to shutdown at our plants. The plants are now back to normalcy and running at optimal capacities. Our CDMO business reported strong year-over-year revenue growth in Q1 FY '24 with a revenue of INR93 crores reflecting Y -o-Y growth of 33% as compared to the same period last year.

Also, we are pleased to share that we have identified several promising late -stage opportunities and development work is currently in progress, positioning us for continued growth in this segment. Detailed engineering work for cGMP4 is progressing well and will be taken to the Board for approval in the coming quarters.

I'll now hand over the line to Mr. Anish Ganatra to give you a brief on the financial performance of the Company. Thank you very much.

Anish Ganatra: Thank you, Radhesh. Good morning to all the participants.

I will share the highlights of our performance for quarter one FY '24, post which we'll be happy to take questions from all of you. The Company reported growth of 24% in net revenue from operations to INR491 crores against INR398 crores in Q1 FY '23. Operating EBITDA grew by about 15% year -on-year to INR114 crores as against INR99 crores in Q1 FY '23. EBITDA margin stood at 23.3% for Q1 FY '24. Operating PBT stood at INR73 crores and PAT stood at Navin Fluorine International Limited

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INR62 crores, lower by 15% and 17% year -on-year, respectively , primarily due to depreciation for Dahej assets and interest charge associated with the financing thereof.

So that's all from my side. We will now open the floor for Q&A. Thank you very much.

Moderator: Thank you very much, sir. We will now begin the question-and-answer session. We have the first question from the line of Sudarshan Padmanabhan from JM Financial PMS.

Sudarshan P. : Yes. So what I would like to understand is on the plant shutdown that we had taken because this is relatively a new plant. So, I mean what has basically triggered the shutdown operationally?

And second is with respect to the volumes that we are supposed to supply to Honeywell, is the volumes for the full year on track, I mean, whether we can basically capitalize on higher volumes in the second, third and fourth quarter to make up for the first quarter?

Radhesh Welling: So as we had mentioned before, in this particular quarter, we had planned a plant shutdown for our HFO plant, which was basically in the month of April and hence, we also had planned a plant shutdown

for our AHF plant in Surat so that it coincides with the HFO plant shutdown.

Accordingly, the plant basically started by end of April beginning of May. And we were ramping up capacity, but we had some issues in the plant in June. As we have mentioned before, there are two sets of manufacturing plants there, and there are obviously a lot of ancillary plants. So in one of the plants, we had some issue in the downstream section, the purification section, not in the main, the reactions section. Because of which we had to take a shutdown and we had to actually do some changes in the equipment, etc. Some of the columns, etc, had to be changed because of which the shutdown actually went down for a little longer than what we had expected initially. So that was the reason, and in the process, we lost almost close to four weeks of production.

To your question in terms of demand, as you know, given what's going on in the market, the demand for the year has changed quite a few times. The actual volume requests that we have received from Honeywell has changed a few times, but whatever volume we have missed out in Q1, we expect that in Q2 and Q3, we should be able to make up that volume. Just to give you some idea, the plant has now started and we'll be running to optimal capacity and we expect that the plant will do so for the following months in this quarter and whatever we produce in the month of whatever was produced in the month of July and whatever will be produced in the month of August, all of that we will be required to supply immediately, just to take care of that backlog that we saw in Q1. So overall, to your question, we don't think that this particular gap that we saw in production in Q1 because of this unplanned shutdown will have any significant

negative impact on the overall volume taken by Honeywell in the year.

Sudarshan P. : And with respect to the volumes that was renegotiated, any idea what would be the quantum of change, I mean, downwards?

Radhesh Welling: No, there is no volume negotiated per se. There is a volume forecast, which they typically sent to us for the following six months and we have actually constantly seen that change. And this is not something, which is only relevant to this product and Honeywell. This is actually across the Board, we are actually seeing a lot of demand volatility. So there are times when the numbers

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have gone down, there are times in fact in the month of June, the sell of the final product was extremely strong, and the numbers then got further revised a little upward. So there is a constant revision that is going on, given the overall demand uncertainty that our customers are also seeing in the market.

Sudarshan P. : Sure. And one final question before I join back the queue is on the refrigerant gas. We are seeing again very low demand as you mentioned in the press release as well due to the summer, and even the prices have kind of trended down. Do we see things improving say, probably from the second quarter or whatever that we are seeing both in the volumes and prices probably would impact us for the full year versus what we had initially thought?

Radhesh Welling: So, it's a little difficult for us to comment on that because as you know, R22, the business tends to be a little seasonal. Q4 and Q1, that is typically February, March, April, May tend to be the high seasons because of summer, etc. Now if you actually miss out on that summer season, it's a little difficult to make up that quantum in the month of Q2 or Q3. But typically what happens is these refrigerators, these air conditioners, which are there in the market require servicing, and hence, they require gas.

We expect some of that loss in volume to actually come back from end of Q3 onwards. But we don't see that gap being bridged in the Q2 quarter but we expect that towards end of

Q3, we will

actually see demand uptick and the overall volume that we will sell in Q3 and Q4, we expect it to be higher than what we sold last year in the same quarters. And this is specifically related to R22 going into emissive applications.

Moderator: The next question is from the line of Abhijit Akella from Kotak Securities.

Abhijit Akella: On the CDMO business, if you could please offer us an outlook for this year and next year, I believe the Fermion contract kicks in only from CY '25. So should we expect that to start meaningful contributions only from '26? And if so, how significant could it be potentially? But in the meantime, for '24 and '25, do we believe we are well placed for say 20% plus growth for the CDMO business in the meantime?

Radhesh Welling: Yes. So the agreement that we have signed with Fermion are for multiple late-stage molecules. One of them is already commercial. And the first commercial supply and when I talk about commercial supply, I mean major quantity will be supplied from beginning of calendar year '25, but the supply has already started. So we have already supplied qualification batches for the first molecule, the product has been approved, and now they have actually placed order for slightly larger quantity, which we are required to supply by end of Q3. And also, now we've actually received request from them to forward samples for qualification for the other two molecules, which are there as a part of the agreement.

So in this year, calendar year '23 and calendar year '24, we will be supplying some quantity, but those will be limited volume, primarily meant for qualification, etc. And the actual commercial supply will start from FY '26, and some of that will actually go from our cGMP4 as that gets ready. The overall outlook for CDMO pretty much remains the same as we have provided in the past quarter. We're actually seeing pretty strong order flow. In the following quarters, we are

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actually not seeing significant sales from larger repeat business. So for example, towards end of calendar year '22, beginning of '23, we had actually supplied a larger volumes for three of our customers. So the next batch will be required by them from beginning of '24 onwards.

Having said that, currently, we are actually doing a lot of first-time molecules. Now these are either Phase 1 or a lot of these are actually late-stage molecules. So we expect that the scale-up, which typically takes about five to six years as the molecule goes from Phase 1 to Phase 3 to commercial, typically, it takes longer period. In this case, it will basically take significantly shorter period because though these are first-time customers and first-time supplies, these are for late-stage molecules and hence the scale-up will happen much quicker now. So we are

actually seeing a lot of good traction on late -stage opportunities that we have decided to focus on as a part of our strategy from last year onwards. So that is where we are seeing pretty good traction now.

Abhijit Akella: And just the other question I had was with regard to the specialty chemicals business, in particular, the multi -purpose plant, has it sort of ramped up to the kind of revenue potential that you might have had in mind at the outset? Also, are the other projects within specialty chemicals now running at full? And is there any sign of demand softness from say the agrochemical sector or any other given the kind of market environment we're going through?

Radhesh Welling: So on specialty, as you know, in Dahej, we have two new plants. There is one dedicated plant for agrochemicals, and then there is a multipurpose plant. The agrochemical plant is actually, which is a dedicated agrochemical plant is running to full capacity. The MPP is not yet running to full capacity. We expect that as we had indicated before, we

expect that it will basically start

getting to full capacity from year two onwards, so which is from next year onwards. Overall, on the demand side, there are a few molecules where we are seeing issue.

Primarily, there is one large molecule as I had indicated in the month of May when we met to discuss Q4 performance, I had actually talked about one large molecule, which was been supplied from Surat where the demand had actually come down almost to zero in calendar year Q1 and Q2. That is what we were seeing significant headwind because we actually supplied almost zero volume in Q1 and Q2 of calendar year '23, which is why actually, when you look at the standalone Navin Fluorine numbers, you see a gap because that molecule didn't supply from Surat.

Now, there, the good news is that we have actually received our forecast for second half of calendar year '23 and the supply has restarted, and the plant will again now start running to full capacity from Q3 onwards. So that is what is expected given the demand forecast that we have received from the customer. So there was one particular molecule where there was a significant downturn but there, from H2 onwards, we expect the volume to again come back.

This is as per the forecast that we have received from the customers as of today. These numbers are changing almost on a monthly basis. They go down, they go up. We were actually not expecting this uptick to happen so quickly. We were actually expecting it to start from only end of Q4 calendar year '23, but we have actually received that almost two quarters ahead. So as I said before also, the numbers are changing almost month -on-month basis. Sometimes they are Navin Fluorine International Limited

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going down. Sometimes they are actually going up. In some of our main products, we've actually seen -- the forecast has actually been taken up by some of our customers.

Moderator: The next question is from the line of Vivek Rajamani from Morgan Stanley.

Vivek Rajamani: Sir, first question was on the Specialty Chemicals side. Just for this quarter, would it be possible to give some color, whether it was more of a volume story or did you also see some margin expansion? And just for going forward for FY '24. Do you still think it's going to be more of a volume story, given that some of your capacities are ramping up or do you also expect to see some of the margin tailwinds to start coming through from next couple of quarters? That was the first question.

Radhesh Welling: You are going to ask second question or do you want me to answer the first question before you go to the second?

Vivek Rajamani: Ok. I'll just ask the second question itself. Sir, you've given a lot of detail in terms of the outlook that you've mentioned. Obviously, it's very dynamic. Just wanted to get your thoughts. We've obviously been hearing that we've seen some corrections in the raw material prices, and there's, obviously, some risks that other players have been flagging that margins could compress as some of these prices come down. Obviously, you don't give a lot of sense on the demand side. If you could just speak on the margin trends as well, that would be really helpful.

Radhesh Welling: Sure. So I think on your first question on specialty, the growth that we are seeing, primarily coming from the new product introductions and the volume. It's not so much from pricing or the margins. It's primarily volume and that is what we will continue to see in the coming quarters also.

Now if you look at a lot of these new molecules that we have either introduced or are working on, a lot of them have higher margins than the molecules that we've had in our legacy portfolio. So directionally, the margins will keep expanding as we move forward. Having said that, the margins of the products that we have in our portfolio, some of them actually vary from product to products

significantly.

And hence, margin also gets impacted by product mix. So for example, I earlier talked about

this particular product that we were selling from Surat where H1 of calendar year '23, we did not sell anything. That product is a very high margin product. So if you actually don't have any volume of that product, it clearly impacts the margin. Now that the supply will now start of that particular product, it will positively impact the margin of the specialty business, as well as the overall business.

At an overall Company level, I think it's a very similar story. Our contribution margins in different businesses are very different. So I think I've mentioned this before as well. I'm talking about the contribution margin or a gross margin. Of course, EBITDA margins are very, very similar because some of these higher contribution margin businesses also have a higher fixed cost load, but overall, the operating margins are very similar, but then quarter-to-quarter, our overall margins change depending on which business is actually selling more and which businesses selling less. So I don't know if that helps you.

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Moderator: The next question is from the line of Sanjesh Jain from ICICI Securities.

Sanjesh Jain: I got two questions. First on the Honeywell contract, last year, we got a 15% to 20% price hike because of significant inflation in the raw material. This year, we are probably in the exactly opposite side of it, where the prices have fallen very sharply. When is this reset of prices going to happen? That's number one. And number two, an attached question to that, is that a right understanding we had earlier that our margins in Honeywell contract is the percentage of revenue? That's the first question.

Second question is for Anish. On the operating cost, this quarter, the other expenses have dropped by INR43 crores quarter-on-quarter. What has led to such a sharp drop? I thought it's largely a fixed cost, probably some freight cost and power cost would be saving because of plant shutdown, but the drop looks quite steep there. And a related question on depreciation, what is the impact of changes that we did last year on this quarter, can you quantify that number?

Radhesh Welling: Yes. So on the Honeywell contract, we have a true-up mechanism and as per the earlier agreement, we were required to do that true-up or true-down once a year. But given the volatility in the market right now, what we are trying to do is that we try to do a true-up or a true-down on a quarterly basis. So end of quarter, we actually estimate what the cost is likely to be for the following quarter, we accordingly change the pricing, and then whatever has actually happened, whatever that delta is which typically is not significant, we adjust in the following quarter's pricing. So whatever you are currently seeing, whatever is getting reflected in the revenue is actually the true-up pricing, true-up or true-down pricing. So that is one.

Second is in terms of margin, I think it will be difficult for me to comment because there is a lot of confidentiality, this one, attached to it. It will be difficult for me to comment on how that margin piece works as far as the Honeywell contract is concerned.

Anish Ganatra: On the other expenses, you're absolutely right. There is a quarter-on-quarter drop from INR138 crores to INR95 crores. If you look at that, we can sort of analyse it into two buckets. The INR138 crores has certain one-offs. These were related to consultancy charges. I think as we have spoken to you, even in the last quarter, there's also some exceptionally high repair costs that also goes into it and there were some provisions.

Now all of that put together is about INR15 crores. So one-offs included in the INR138 crores are about INR15 crores, the balance INR28 crores is related to activities.

If you look at the

quarter-on-quarter activity, our CDMO numbers for last quarter were about INR180 crores. This quarter, we are talking INR70 crores. So there is an activity drop from CDMO that leads to some reduction of that cost and also the shutdowns as you rightly mentioned in our case.

So that's on the other expenses. On the depreciation, as we said last time, our guidance continues similarly, which is about INR20 crores to INR22 crores of depreciation charge per quarter. If you look at the split of the depreciation, that is about INR11.5 crores in NFIL and about INR9 crores - INR10 crores in NFASL.

Sanjesh Jain: Just one thing on the depreciation, what is the impact of the change of the life on this INR22 crores?

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Anish Ganatra: So last time, last quarter, we did the estimate change and last quarter, we had quantified the number as INR20 crores for the quarter. Now, of course, the way that gets calculated in the financials is you look at the full year depreciation for the new method and the old method. So there is a double dip in the Q4. But if you had to get a number, that would be about INR15

crores. So last quarter, what you saw was about INR22 crores should have been the hit in FY '23.

Moderator: The next question is from the line of Ankur Periwal from Axis Capital.

Ankur Periwal: So the first question on the CDMO side. The Fermion contract, is this the same that we had discussed upon earlier, the \$16 million opportunity or is it an incremental to that?

Radhesh Welling: No, this is a new one. That was with a different customer.

Ankur Periwal: Sure. So if I got it right, so this Fermion contract is incremental, which will drive growth for us. The \$16 million is one which has already come into the numbers or it is another opportunity that will come in this calendar year?

Radhesh Welling: No. So \$16 million was not an agreement. It was the PO that we had actually received, that has been supplied in the last financial year but that molecule is actually doing extremely well, that is with another large biopharma company. And as I had indicated before, we are actually expecting a further scale-up of that in the calendar year '24. So you will actually see a repeat of that happening in the calendar year '24 and the volume actually will be even higher. We expect the quantum of the PO at that point in time to be even higher. We're just trying to understand how much would that be because that is also going to be the basis for our cGMP4. This particular contract is a completely different contract with a completely different customer for different molecules.

Ankur Periwal: And another follow-up there. Since you mentioned most of this growth is led by the new late stage molecules that we are reporting now, while the older ones are yet to pitch in, should one factor in that this number can grow at a much faster pace going ahead once the older ones also start contributing with maybe macro stabilizing?

Radhesh Welling: Yes. So, the distinction between old and new, when I say old, these are the molecules, see the traditionally the business our business was engaging with the customers right from clinical stage or Phase 1 stage and continue to work on those molecules as they scale up. Now, as those molecules scale up, get to Phase 3 or commercial stage, the volume increases but typically what we have seen is that there is an order that is placed by the customer. We supply that quantity to them. Then they convert it into the API formulation, etc

And lot of times, this entire piece happens on a campaign basis and the campaign typically is run by the customers once in every two years. And that is why we see a significant chunk coming this year; then the following year, nothing; and then again the following year. So now, if you basically run a business where a lot of these engagements

all typically start at Phase 1, then the business tends to be extremely lumpy.

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And hence what we had decided last year was to consciously focus on lot more late-stage opportunities and position yourself as an alternate supplier for those late-stage opportunities and which is what now, we've actually started doing. So, these are late-stage opportunities but new to us. So we are just supplying them the qualification batches, etc. So to your question, the answer is absolutely because as these qualification batches get approved and the demand continues to be there for those molecules, the scale-up will be much faster than what we have seen traditionally because the entry point itself is either late stage Phase 2 or Phase 3.

Moderator: The next question is from the line of Archit Joshi from B&K Securities.

Archit Joshi: Sir, I have a few. The first one, you did mention about some sort of demand volatility that you're experiencing in some of the businesses. And now that we are hearing a lot of talk on inventory destocking, especially on the agri side and the fact that two of our plants in Dahej are dedicated towards the agrochemical sector, are you seeing some sort of weakness there?

And number two. Sir, in the HFO plant, I think we had signed a contract for seven years and the INR400 crores annual number that one would have anticipated earlier, there were some cost escalations and the revenue number seem to be a little higher because of the past, would there be any change to that number?

Radhesh Welling: Sorry, what was the number you talked about for the second question? I wasn't able to get part of your question.

Archit Joshi: Yes. So sir, it was a INR2,800 crores contract for seven years. So approximately, INR400 crores figure, that's how I calculated. But I think during the plant visit, you mentioned that because of some adjacent forays and some costs going up a little upwards of INR400 crores. What would be the outlook for this year to that account?

Radhesh Welling: Yes. So, I think to your first question, I think I have already mentioned that we have two plants. There is a dedicated agro plant in Dahej, which is running to full capacity, that has been running.

In Q4, it ran full capacity; Q1, it ran trying to full capacity. We expect that Q2 also, it will run to full capacity. It's a little difficult for me to give you this one for Q3 and Q4. But right now, it is running to full capacity. MPP, we expect that the capacity utilization will be lower this year,

but that is how it was planned, and we expect the capacity utilization to get to optimal level from the next year.

So basically, I'm talking about calendar year '24 onwards. Of the four molecules that we have planned in MPP, we are seeing some issues on the two molecule, but that is not really resulting into any downturn in terms of sales for us this year. Next year, when we've actually earlier expected for the volume ramp -up to happen, we believe that this destocking process would have actually got done, and we expect that the demand to be back as per our earlier expectation. The good news is that for all the molecules, this four plus one molecule, that we mapped in these new assets in the Dahej, the end market demand continues to be very strong. So whatever volatility that we are seeing is primarily from the perspective of destocking. And hence, one point of view that we are looking at is that next year, if the demand continues to be as strong -- the end consumer demand continues to be as strong as it is today or as strong as it is this year.

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And some of that destocking start reversing into restocking, what would that really mean for the demand from our intermediates because we expect that there will be a significant uptick

in

demand next year, at least basis on the start of the initial conversations that we've had with our customer.

On the second point, it will be difficult for me to give you an outlook for this particular year for the HFO, but overall, your understanding is absolutely right. So that has happened because of two main reasons. I mean obviously, the cost keeps having impact. On a quarter -to-quarter basis, it's different, but primarily because of two reasons, one, as you know, it's a dollar -denominated contract, and as the dollar appreciates, it has impact on the rupee revenue that we generate from the contract. And the second, there was some cost escalation, which was within the prescribed limit of 10% and there was a pass -through mechanism, which was defined in the agreement. So because of that, there is an increase in the pricing and hence the increase in the realization.

Archit Joshi: I have two more. I'll just squeeze in quickly. Sir, one on the working capital. In FY '23, we saw some jump in our receivable and inventory days and supplementarily, that we are adding new customers. Would you allude that to the fact that newer customers are having slightly higher days in terms of credit and what would be the sustainable level of working capital days that we see going ahead?

And sir, if you can also comment on the recent resignation by one of our CEO in CDMO, what was his contribution like and how are we looking at this with respect to replacement of in the current existing hierarchy?

Radhesh Welling: So let me take to second question first and then I will let Anish respond to your question on working capital. So you're referring to resignation of Ravi, who was the CEO of our CDMO business. As you know, he joined the Company last year. He actually decided that he wanted to do something of his own and hence he basically expressed his desire to leave to start his own entrepreneurial venture, which we respect a lot. We have identified two internal candidates for this position and we are in the final stages of deciding between these two candidates. In the next few weeks, we would decide among these two candidates. But to your question, in all likelihood, it would be an internal candidate and not an external search.

Anish Ganatra: Archit, so on your question on working capital, I mean, compared to last year, as we've said, the numbers, if I remember correctly were about 137 - 138 days of sales. And as we mentioned last time, we have already initiated actions to bring that down to more of a normal level. Of course, last year also, had the effect of one -time investment in working capital, following the commercialization of Dahej assets. Yes. so kind of looking forward, I mean, our target is to hold the working capital to between 90 to 100 days, that is our sort of intent, and we have started to make headway into that area. And you will obviously see the numbers when we report the first half of the financial September along with the working capital and cash flow. But you should expect to see it within that range as I said.

Moderator: The next question is from the line of Anubhav Sahu from McPro Research .

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Anubhav Sahu: Yes, a couple of questions. One is regarding the supply agreement with Fermion. So if I got it right, we would be supplying molecules for three products. Two late -stage and one which is already commercial. If you could talk about any indication on the size of the contract or if there is any exclusivity in the contract? And are we here dealing with the non -fluorination chemistry as far as this contract is concerned?

Radhesh Welling: Yes. So they have actually talked about supply of intermediates for multiple molecules. And as you rightly said, one of them is a commercial molecule and some others are late-stage molecules, and there are multiple molecules that had been identified

in the agreement. The commercial molecule that we have already started supplying qualification batches for, etc, is a non-fluorinated molecule. So that has actually got nothing to do with fluorination. Out of the other two, one of them will be fluorination, other one will not be a fluorination molecule again. And there is no exclusivity there. They are free to obtain from other suppliers. Currently, they are sourcing from another supplier in Europe. So we will actually be the second supplier because as I mentioned, these are all late-stage opportunities. So they have already sourced this intermediate till now from another supplier in Europe. So there is no question of exclusivity.

And the material supply agreement that typically gets signed in CDMO because it doesn't have a take or pay or it doesn't require a dedicated investment, so what typically the way it is framed is they give an indicative volume and the indicative pricing gets negotiated and agreed upon. And as per that, we believe that over the three years period, the agreement should basically give a revenue of approximately about \$40 million. I think more than the revenue per se, what it really does for us is, a, it proves our credibility now to supply molecules outside of our core fluorination value proposition.

The second is it actually gives us certain baseload and hence a certain revenue and earning visibility because one of the issues that this business has faced is that of a lumpiness. And through these late-stage opportunities and through these agreements, that is one of the points that we are trying to address. So that is where this really adds significant value that through contracts like these, we will actually bring in certain steadiness to our business. It's not going to happen from this quarter or next quarter, but we expect that from the next year onwards, we will actually start seeing a certain baseload, which will actually come every quarter.

Anubhav Sahu: And sir, secondly on the launch pipeline from the MPP, I believe we have launched three agro intermediates and fourth one is still to be launched, right?

Radhesh Welling: No, we've actually supplied all four. We supplied all four. We already have three of them already approved. The fourth is currently in the process of getting approval.

Moderator: We have the next question from the line of Rohit Nagraj from Centrum Broking.

Rohit Nagraj: First question is again on Honeywell. We had indicated last year that during 2023, we will be again putting up discussions with them for a new HFO facility. So any further work on this? And apart from this, whether there are any other opportunities on which we are currently discussing with Honeywell?

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Radhesh Welling: Yes. So what I had mentioned was the first step would be -- there would be a kind of a debottlenecking capex, which will increase the current capacity by about 25%. So that is in advanced stage of discussion and closure. We expect that within this calendar year, we would close that. And once that happens, it will entail a small capex, which it will take us about a year to do that.

So we expect that capex to get done by end of calendar year '24, which means that we will have that additional 25% capacity available to us from beginning of calendar year '26. And then post that, we will look at possibly adding another line for the same product. Other than that, there are two other projects that we are currently in discussion with Honeywell and both of those are progressing extremely well. One of them is on HFO, another HFO, and the second one is a completely different application.

Rohit Nagraj: So that application is not a ref gas, but other than ref gas application?

Radhesh Welling: There is one HFO. I don't want to talk about the specific application for that HFO because of the confidential

reason. But the other one has got nothing to do with refrigerant gas or anything. It's basically in the advance material -- it's under advance material business that we are incubating.

Rohit Nagraj: And second question is that now we have done the maintenance shutdown, what is the next shutdown that we will undertake on the Honeywell plant shutdown?

Radhesh Welling: If you had asked me this question in the month of May, I would have said that the next shutdown should be next year in around in April, but immediately a month after that unfortunately, we experienced a breakdown. So if you ask me, when is the next planned shutdown, it should happen in Q1 of FY '25. But as you know, this is a new plant, this is a new technology. So as we go, we are also learning more on this technology, et cetera. So that is not what we expect, but there could be some unforeseen issues but notwithstanding, the next plant shutdown will happen in Q1 of FY '25.

Moderator: The next question is from the line of Dheeresh Pathak from WhiteOak Capital.

Dheeresh Pathak: To the extent you can share, what new capability built up you're doing within the firm? You mentioned INR30 crores in Surat. And apart from that, any other capability build-up that you're doing in the organization?

Radhesh Welling: Yes. So, there are a number of new capabilities that we continue to work on. We actually do the piloting in those and then scale up these capabilities. This is one very important technology platform that we have been working on and that is where we are actually investing to set up this particular platform now. It will be ready by -- it will take us approximately about 15 months to 18 months to have this plant ready.

It will be ready by end of next year, calendar year '24 and this is a very unique capability. It basically strengthens and expands our existing value proposition. This specific capability or the specific investment was actually done for one particular molecule upon which we have a very strong outlook and should get converted into revenue of approximately about INR45 crores on annualized basis. But more importantly, this capability actually will position us very, very

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strongly for future growth. So it will actually help us attract lot of new projects, not only in agrochemical business, but in other businesses as well, it positions us extremely strongly to get new projects moving forward.

Dheeresh Pathak: Okay. Anything else apart from this in the recent past that we've been focusing on?

Radhesh Welling: Yes. As I mentioned, there are a lot of other capabilities that we keep developing and bringing on board. Not all new capabilities require completely fresh investments. So some of these capabilities can easily be mapped within the current set of assets because of which it doesn't actually get announced. But typically, what we do is that we have identified as I've discussed earlier about our business model around three pieces. So, one of the pieces is that of a platform. So there are chemistry and technology platforms that we continue to develop and typically what we do is these get developed in R&D, then they are taken to a pilot and then we either map them in our existing assets or we have to invest in completely new set of assets. So this one was the first one, which required a completely new set of assets. But we've actually developed multiple such platforms, which got mapped in our existing assets. But this is an ongoing exercise, and this is what we believe will continue to differentiate us from other players in India and globally.

Moderator: We'll take the next question from the line of Dhvaneet Savla, from DN Trading.

Dhvaneet Savla: I just got a question with regard to the interest cost in our balance sheet, I just wanted to know that what is the average cost of the debt we are paying right

now? And is there any provision to

prepay our debt or is it primarily going to be used to fund further capex?

And just one more point that, there has been a significant increase in depreciation. Is there any particular reason or is it just because of our new facilities, which we have brought in this quarter?

Anish Ganatra: Let me take those questions. So your question on depreciation is exactly right. It's all related to new capacities coming on stream and those are also reflected in the standalone numbers and the consolidated numbers. So the difference you can see relates largely to Dahej assets, yes. On the interest costs, see, our sort of philosophy on funding these assets, and of course, all of the interest costs relates to the new assets that have been commissioned in Dahej and the philosophy around funding these.

We ensure that they are taken on a term loan with sufficient space to allow for the assets to fund for those interest costs by themselves. So if you see our intent is that any new asset that we fund, we essentially ensure that the asset is self-paying on the interest and the principal components thereof. So we take some moratorium for the principal side but the interests are funded regularly.

The average cost of borrowing for us is in the range of about 8.3%.

Moderator: The next question is from the line of Jason Soans from IDBI Capital.

Jason Soans: Sir, I had a limited question as per se, we're seeing a lot of weakness in the global agrochemical chain and what we've come to understand is that there is a lot of dumping from China as well, where they're driving down prices of intermediates, a category where we compete as well, probably not in the same value chain, but we do compete in there. And so basically intermediates

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prices are getting driven down as well as finished goods. So I understand we have contracted volumes and our margin would be stable probably since we have contracted volumes. But I just wanted to understand from you, is that best to the absolute EBITDA or EBITDA per tonne, however, you calculate it for our intermediates in terms of contract divergence or something in

light of these falling prices and this inventory destocking?

Radhesh Welling: So, if you actually read my commentary over the last, let's say, two years, one of the things that I have constantly been saying whenever there was a question related to China plus one, I have always mentioned that China will be back, and China will be back with vengeance, hence it is extremely important to select the value chains that you want to play in very, very carefully because there are certain value chains where the SOEs are extremely strong, and those are the value chains, which are going to get impacted severely. Some of that we have already started seeing this particular year.

We have been very careful in selecting opportunities in value chains, where we don't see a direct competition from China, and hence no straight threat coming in from China. So in most of our new molecules, so molecules which are mapped in let's say Dahej or some of the new opportunities that we have been working on in agro or otherwise, we are not really seeing any immediate threat from China, at least not at this point in time.

Having said that, there are some old molecules in our portfolio, there, where we actually don't even have any long-term agreements or things like that. That is where we are actually seeing some pressure, but that as a percentage of our total portfolio, that's a very small percentage. And hence, it doesn't have any material impact on our overall margins.

Jason Soans: And sir, my next question is, just wanted to touch upon in terms of SpecChem, you have highlighted before that the contribution is broadly 40% pharma, 40% agrochem and 20% are the emerging areas of industrial. So, what is the current prop

ortion and how do you see this mix

changing? And probably you can just give me some color on how the outlook for pharma or other emerging areas is in terms of specialty chemicals.

Radhesh Welling: Yes. So I think just one point before I can answer that question. To your earlier question, my commentary was specifically related to specialty, yes, because the question that you were asking whether we have been impacted by some of that dumping, etc, actually holds true for HPP where I have already provided the commentary around R22. So my commentary was specific to your question, which was around specialty. So I just want to make that clear. That is it's not related to R22 or other products that we have in other business units.

As far as the breakup is concerned, you're absolutely right. Earlier, it was 40-40-20. 40% from pharma, 40% from agro and 20% from industrial. And as I have mentioned from last year onwards, we have actually started reducing our pharma business because we believe that that's not really a long-term sustainable and profitable business for us. Hence, we have consciously been reducing that particular business getting out of low-margin products and not really actively working on any new opportunities on the pharma side within the specialty.

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As you might know, specialty business focuses on generic pharma business, primarily working with the Indian pharmaceutical companies as against CDMO business where we work with innovators on patented molecules. So that's a very fundamental difference between the pharma business that we target under these two business units. So, currently, a significant portion actually comes from agrochemicals and industrial, and there is a very small percentage, which comes from performance material. As we move forward, we believe that the performance material, a percentage of sales coming from performance material will go up, agrochemical will continue to remain same as an overall percentage of the business.

Moderator: The next question is from the line of Ranvir Singh from Nuvama.

Ranvir Singh: My question relates to the Honeywell contract. That \$410 million contract initially we talked about, of that, what portion we have already supplied and what remains now?

Radhesh Welling: No, I think as I had indicated, it's a seven-year contract. So we've actually just in the first year of supply of that particular contract. So we've just started. We're really at the starting point right now at that contract.

Ranvir Singh: So some portion was captured in FY '23 and in Q1 FY '24, right?

Radhesh Welling: That's correct.

Ranvir Singh: Okay. And so this may not be evenly spread across the year. So if you could just indicate that whether this is concentrated towards initial years, or the larger part will come in later years of this contract?

Radhesh Welling: No. So once the plant ramp-up happens, it was supposed to be almost even across the year. It has not been because of some of these challenges that we have faced in Q1 as I mentioned to you, which were primarily from the supply side. But otherwise, the supply under the contract was supposed to be even post-ramp-up of the plant.

Ranvir Singh: Okay. And you talked about 25% capacity expansion through debottlenecking. So, this is towards the same \$410 million contract or the contract size is also expected to increase from here?

Radhesh Welling: No, that will be over and above that contract because that was for the 100% capacity, and now we will actually increase that by another 25% . So that will be over and above the original agreement and which is what we are currently in negotiation with them to revise that initial contract to add on the volume, this particular 25% volume to that initial contract.

Ranvir Singh : And so, in FY '23, can you attribute any percentage, what percentage we have supplied so far?

Radhesh Welling: No. That will be very difficult for us to do.

Moderator: Ladies and gentlemen, this would be the last question for today, which is from the line of Nitin Agarwal from DAM Capital.

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Nitin Agarwal Radhesh, on the specialty business, when you look through the next say 12 months to 18 odd months, the drivers of the business will be what, will it be the scale -up of the MPP contract and the new specialty chemical project, which is likely to come up in FY '25? Beyond these, what other drivers would be there for this business?

Radhesh Welling: So, I think there'll be four or five drivers. One, there are plants in Surat right now, which are not running to full capacity as I had indicated earlier. So Surat will actually ramp up almost to full capacity. So that's point number one. Point number two, the MPP that we have invested in Dahej , that we will actually ramp up the capacity utilization in that. Number three, the dedicated agro project that we have invested in, where the plant is supposed to be commissioned by end of this year.

So that will add a significant number to our revenue, this one. And fourth, there are other projects that we're working on, which don't require large new capexes , which require minor debottlenecking here and there. Some of that will happen in Surat, some of that will happen in Dahej. So these are the four growth drivers, which will more or less happen given the current capex announcement that have happened.

Over and above that, there are number of new molecules and opportunities that we are currently working on, which are in the pipeline, but those have to be then converted into specific capex es, then we'll have to go to the Board and get approval on, but these are the four sets of growth opportunities with the current set of capex es.

Nitin Agarwal: And just on the four points that you mentioned, is it fair to assume that the new multi -year contract scale -up probably would be the largest contributor of these four in terms of significance?

Radhesh Welling: Yes. I would imagine so.

Nitin Agarwal: And secondly, on the CDMO business, you mentioned that the \$16 million contract been pretty much serviced out last year and this year and this fresh sort of supplies come in next fresh PO comes in only in FY '25. So from a FY '24 perspective, will CDMO be like possibly a decline year versus last year?

Radhesh Welling: No, we hope it will not be a declining year. We are still trying to track the similar kind of a growth trajectory. As I had mentioned to you, the sales split will probably change. Last year, there was a significant percentage of our total sales, which came from , late-stage repeat business whereas here, there will be a significant percentage of the total sales will come from new business, so the split will be different, but we expect that there will be a nominal increase in -- that is what is expected, there'll be a nominal increase in this particular year, but we will see a significant uptick in the following year.

Nitin Agarwal: Right. And lastly on CDMO, in the shift in strategy you talked about, does it also imply differentiated margins versus do you make more margins in products where you work through the initial development phases versus products that you take on in the late development phases?

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Radhesh Welling: No. So at contribution margin levels, they differ. But I think what you'll have to look at is that if they are at an initial stage, though the contribution margin is high, typically, the fixed costs required to service that business is also significantly high. So if we look at it at our operating margin level, they almost even out.

Nitin Agarwal: Okay. And obviously the late stage molecules come with a much higher volumes.

Radhesh Welling: That's correct.

Moderator: Thank you. As that was the last question for today, I would now like to hand the conference over to the management for closing comments. Over to you, sir.

Radhesh Welling: Thank you. So I'd like to thank everyone for taking time out and joining on the call today. I hope we have been able to respond to your queries adequately. If you have any further queries, you may reach out to our Investor Relation partner, Orient Capital. Thank you very much and have a good day.

Moderator: Thank you very much, sir. Ladies and gentlemen, on behalf of Navin Fluorine International Limited, that concludes this conference. We thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Oct 2023

(no extractable text — likely a scanned image PDF)

Call: Nov 2023

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November 06, 2023

BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Fort,
Mumbai 400001
Scrip Code: 532504 National Stock Exchange of India Limited
Exchange Plaza,
Bandra Kurla Complex, Bandra (East),
Mumbai 400051
Symbol: NAVINFLUOR EQ

Dear Sir / Madam,

Sub.: Transcript of Earnings Call held for the quarter and half year ended September 30, 2023

Pursuant to Regulation 30 read with Schedule III of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the Company's Earnings Call held on October 31, 2023 regarding discussion on operational and financial performance of the Company for the Quarter and Half Year ended September 30, 2023 (Q2 & H1 of FY 2023-24) is enclosed herewith.

This intimation is also being made available on the Company's website at www.nfil.in.

Request you to take this intimation on record.

Thanking You,

Yours faithfully,
For NAVIN FLUORINE INTERNATIONAL LIMITED

Niraj B. Mankad
President Legal and Company Secretary

Encl.: a/a

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"Navin Fluorine International Limited
Q2 & H1 FY24 Earnings Conference Call"
October 31, 2023

MANAGEMENT : MR. VISHAD MAFATLAL – CHAIRMAN – NAVIN
FLUORINE INTERNATIONAL LIMITED
MR. RADHESH WELLING – MANAGING DIRECTOR –
NAVIN FLUORINE INTERNATIONAL LIMITED

MR. ANISH GANATRA – CHIEF FINANCIAL OFFICER –
NAVIN FLUORINE INTERNATIONAL LIMITED

MODERATOR : MR. BHAVYA SHAH – ORIENT CAPITAL

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Moderator: Ladies and gentlemen, good day, and welcome to Navin Fluorine International Limited Q2 and H1 FY '24 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Bhavya Shah from Orient Capital. Thank you, and over to you, sir.

Bhavya Shah: Thank you, and welcome to the Q2 and H1 FY '24 Earnings Conference Call. Today on this call, we have Mr. Vishad Mafatlal, Chairman; Mr. Radhesh Welling, Managing Director; and Mr. Anish Ganatra, Chief Financial Officer of Navin Fluorine International Limited. This conference call may contain forward-looking statements about the company, which are based on beliefs, opinion and expectations as of today. Actual results may differ materially.

These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict. Our detailed safe harbour statement is given on Page number two of investor presentation of the company, which has been uploaded on the stock exchange and company's website.

With this, I now hand over the call to Mr. Vishad Mafatlal for his opening remarks. Over to you, sir.

Vishad Mafatlal: Ladies and gentlemen, I would like to welcome you to Q2 and H1 Financial '24 Year's Earnings Call. As we delve into the financial and operational performance of the half year gone by, I'd like to emphasize that our unwavering commitment remains firmly rooted in delivering the utmost value to our stakeholders. Over the past few months, we have intensified our focus on enhancing customer interactions and forging stronger partnerships, initiatives that have already yielded positive results.

As we navigate the complex landscape of our industry, my priorities to the team remain crystal clear. Paramount importance is placed on safety and well-being of our workforce and the operational resilience of our facilities. While continuing to drive efficiency across the organization, we are steadfastly building a robust and diverse business pipeline that positions us for sustainable growth and success in the future.

Our focus is to improve the quality of revenues that is more predictable, diverse and preferably backed by multiyear supply contract. The trust and support from our customers will make our business more resilient and sustainable. We will continue our focus on growth within a strong financial framework, including management of working capital and cash flows.

We are currently working on multiple new projects which will translate into new capex programs and new growth opportunities for Navin Fluorine. We will take these projects to our Board for approval as we complete technical, commercial and financial due diligence. I am currently spending my time and shall continue to do so in meeting with CEOs and senior leadership teams of all key global customers across the three business units.

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Our founder late Shri Arvind Bhai foresaw that for Navin Fluorine to succeed across market cycles, trust and inclusion would need to be more than attributes. They remain the pillars of Navin Fluorine's ecosystem. I am pleased to announce that in the commemoration of the centenary birth year of our esteemed founder, Shri Arvind Bhai Mafatlal, the Board has approved a onetime special dividend of INR3 a share in addition to an interim dividend of INR5 per share. This momentous occasion provides us with a unique opportunity to honour the visionary leader whose dedication and passion laid the foundation for our success.

Our founder's unwavering commitment to excellence has guided us through a century of growth and achievement. And this special dividend reflects our gratitude to our shareholders who have supported us on this

remarkable journey. We look forward to continuing our founder's legacy of innovation and leadership in the years to come.

With this, now I hand over the call to Radhesh and Anish to provide an update on the operational and financial performance.

Radhesh Welling: Good evening and thank you for attending the earnings call. The revenues and profitability in the quarter Q2 FY '24 were below our expectations. Though our order books across businesses remained strong, our actual production was lower than our planned. Let me take you through the business-wise performance for the quarter.

Our specialty business performance was impacted due to deferment of sales of two products from Q2 to Q3 due to certain production-related issues in the Dahej. On the positive side, we are expected to launch two new molecules from our Dahej plant and three new molecules from Surat facility in the coming quarter.

We are confident, with the strong partnerships and technology platform, we'll continue to deliver innovative offerings to our customers. This business will continue to remain a high-growth business for us in the future as well. Capex of INR30 crores towards development of a completely new capability in Surat is on track and is expected to generate revenue from FY '25. Agro specialty capex in Dahej is also progressing well and is estimated to commission at the end of this financial year.

We have already secured POs covering the dedicated portion of the capacity for calendar year '24. This will contribute significantly to growth in revenues in Specialty starting next year. Our HPP business was impacted due to unexpected breakdown in the plant during June, July at Dahej.

The plant is now operational and is progressively ramping up. We are also working with our partners to further improve and enhance productivity and reliability of the plant. We commissioned our R32 plant in past quarter and stabilized the production by middle of September. This plant is now operational, and our order book remains robust.

We expect the plant to be running to optimal capacity going forward, and we expect to generate sizable revenues from the plant from next quarter onwards. Demand for R22, especially in international markets was muted, and we expect demand to start picking up from end January onwards.

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For the non-MSF R22, which is primarily used in pharmaceuticals and agrochemicals segment, the demand continues to remain strong. Our AHF project for adding 40,000 metric tons of hydrofluoric acid capacity in Dahej is progressing well and is as per schedule. Our CDMO business revenues in the last quarter they're all from new molecules.

We see this as a positive sign as our overall product basket in CDMO expands. Detailed engineering of cGMP is as per schedule. In this business, we had to defer significant sales of one campaign from Q2 to Q3 due to last minute change made by the customer in product specification and the method of analysis.

As recently held CPHI in Europe, we launched our new brand, Navin Molecular for our CDMO business. Navin Molecular will help us further sharpen our value proposition to offer a wide range in CDMO services to our customer supporting projects, including non-fluoro projects through the clinical phases to commercial and manufacturing. Going forward, all our CDMO business for global pharma innovators will be done under Navin Molecular brand.

I'll now hand over the line to our CFO, Mr. Anish Ganatra to give you a brief on the financial performance of the company. Thank you very much.

Anish Ganatra: Thank you, Radhesh. Good evening to all the participants. Let me brief you on the overall financial performance

of the company. Sales during the quarter were impacted largely due to slower stabilization of R32 plant. The progressive ramping up of HPP plant at Dahej, post the June July shutdown, sales of a campaign in CDMO deferred to Q3 FY '24 due to change in product specification and method of analysis, production-related issues in Dahej resulted in deferral of sales of two new products on specialty.

The overall revenue impact of these contributing factors is about INR90 crores to INR100 crores. Adjusting for these factors, our revenue would have been in the range of INR550 crores to INR570 crores for the quarter. EBITDA margins were therefore impacted by lower operating leverage, and we also had one-off cost of approximately INR6 crores due to some corrective measures taken at Dahej plant.

I will now share the highlights of our performance for Q2 FY '24 and first half FY '24, post which we'll be happy to take questions from all of you. For first half FY '24, on a consolidated basis, the company reported revenue from operations of INR963 crores as against INR817 crores

in H1 FY '23, a growth of 18% year-on-year.

Operating EBITDA stood at INR213 crores as against INR193 crores in H1 FY '24, up by 10%. Operating EBITDA margin stood at 22.1% as against 23.6% in H1 FY '23, lower by 155 basis points. Operating PBT at INR128 crores for H1 FY '24 as against INR159 crores in H1 FY '23 was lower by 20%. Profit after tax stood at INR122 crores for the first half of the year as against INR132 crores in H1 FY '24, reflecting higher depreciation and finance costs associated with Dahej assets apart from lost sales.

Now coming to the quarterly performance for Q2 FY '24. Company reported growth of 13% in net revenue from operations to INR472 crores against INR419 crores in Q2 FY '23. Operating margin was INR98 crores as against INR94 crores in Q2 FY '23, a growth of 5% year-on-year

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and EBITDA margin stood at 20.8% for Q2 FY '24. Operating PBT stood at INR54 crores, lower by 25% as compared to the same period last year. PAT stood at INR61 crores for Q2 FY '24 as against INR58 crores in Q2 FY '23.

Net debt at the end of Q2 FY '24 stood at about INR780 crores. Our net debt-to-equity ratio at the end of Q2 FY '24 was about 0.34. Our focused efforts to reduce working capital has helped release about INR275 crores of cash during first half FY '24. We have progressively brought down inventory, accelerated the collection of receivables and continue to work on extending credit terms with our suppliers.

Our cash conversion cycle at the end of H1 FY '24 was about 90 days compared to about 135 days at the end of FY '23. So that is it from my side. We will now open the floor for Q&A. Thank you very much.

Moderator: Thank you very much, sir. We'll take the first question from the line of Mr. Rohit Nagraj from Centrum Broking. Please go ahead.

Rohit Nagraj: Sir, first question is on the CDMO front. So, we had indicated last year that we have a target to reach about \$100 million by sometimes FY '26, FY '27. So how do we see the progress going ahead? And what could be the milestones to achieve those -- that \$100 million target? Will it be step jump or will it be a gradual increase?

Radhesh Welling: So as far as the target is concerned, we are working towards that right now. It will not be a step jump, so it will not be that one year, we've actually done significantly lower than that in the following year, we suddenly achieve \$100 million. It will be a gradual move towards that. At the same time, the business, as we have indicated before as well, will continue to remain lumpy. That's just the nature of the business.

As you all know, about two years back, we started focusing specifically on identifying and developing more late-stage opportunities. And we are actually seeing a lot of success in that particular area. And that is what is

giving us additional confidence now that we should be able to directionally achieve that number around the year that you mentioned. It will be difficult for us to specifically project if it will be in one year or other.

But directionally, we should be able to achieve that given the strength of our pipeline, the way we are looking at it.

Rohit Nagraj: Got it, sir. Sir, my second question on Honeywell. So, we had indicated prior that we will be speaking with Honeywell during 2023 for any new opportunities as well as the expansion or doubling capacity for the current Honeywell product. Any new update on the same? And are there any positive indications from Honeywell to give us newer projects over the next foreseeable future?

Radhesh Welling: Yes. Currently, there are a few things that we are discussing. Our engagement is quite deep rooted with Honeywell. There are a few things that we are discussing, but these are basically ongoing discussions. And as we have indicated earlier, our initial focus, especially for this year has to be to stabilize the plant that we have invested in and to ensure that, that starts running to

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the full capacity. And while we do that, we have identified a few projects to work with them on, on those discussions, both on the technology side as well as on the commercial side are ongoing.

Rohit Nagraj: Just one clarification. When are we expecting to reach optimal utilization on the existing plant with the recent issue?

Radhesh Welling: I think we are -- since we had this issue in June, July, we are progressively ramping the

production volume that we are manufacturing from that particular plant. It will be difficult to give a specific target, but we are actually moving positively. For example, in Q3, our production will be more than what we did in Q2. In Q2, our production was more than what we did in Q1. It will be difficult to say as to when we will achieve the full capacity, etc, but we're actually moving in the right direction.

What we don't want to do is suddenly move it to full capacity and then again get into some issues. So, we are actually progressively ramping that up. And as we are doing that, we are also closely interacting with Honeywell to further identify and develop opportunities for enhancing productivity as well as the reliability of the plant.

Moderator: The next question from the line of Mr. Sudarshan Padmanabhan from JM Financial PMS.

Sudarshan Padmanabhan: Sir, I mean, just taking your earlier commentary, introductory commentary about the aspiration of forging more longer-term contracts, one is if you can give a little bit more clarity with respect to if one is looking at the business, the long-term contract gives stability, but lose versatility in the sense that between moving one type of molecule manufacturing to another. So, in your opinion, how much of say two years, three years down the line would be...

Radhesh Welling: Sorry, we lost you. We just heard the starting of that question then after that we lost you.

Sudarshan Padmanabhan: Sir, my question is more on understanding on the long-term contract expiration. So, we have seen a few long-term contracts getting signed. But over a period of time, how much of revenues or scale do you expect -- or do you want from a long-term contract because it is also sacrificing stability for versatility. So, one, on that strategy, what is your thought process?

The second is on the business perspective, I'm not looking at a segment. But as a whole, we're seeing Agri specifically going through a lot more pain. So do we have enough engines on the non-agri side, I'm talking about, say, pharmaceuticals and others to offset the impact, at least in the near term for any weakness, if so, on the agri side.

Radhesh Welling: So, I think as we have indicated before as well, our focus will continue to remain to ensure that our overall b

usiness is very diversified as well as very balanced. What I mean by that is that we will continue to focus on businesses which are backed by long-term contracts and then invest in dedicated plants for specific customer for specific products.

We will also have investments done in MPPs, which will make molecules for multiple customers and -- multiple segments. And that is the model we will continue to have. As I have indicated before, if you look at the CDMO business, it's a pure service business. HPP is more of a pure Navin Fluorine International Limited

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product business. There will be some outliers like the Honeywell project, etc, but that will be more of a product-driven business, whereas Specialty will be a combination of both.

And that is how we actually look at continuing that. Again, on the agri point, as you know, our business is quite diversified. We don't have any agri on the CDMO side. We don't have any agri on the HPP side apart from the small volume of R22 that goes into agrochemicals. Whatever agri business we do is primarily in specialty. And there also, as you know, we have actually started focusing since last year on Performance Materials, where we actually see pretty significant traction.

Again, within agri, as you have seen from our results in Q1 and also the commentary that Anish provided earlier with respect to Q2, we are actually not seeing as much demand -- dip in the demand as some of the other players are seeing even from agri. That is primarily because of the balance that we have between the generic molecules and the newer molecules.

Our newer -- demand for our newer molecules continue to remain very robust. On generic molecules, especially the older ones which we were supplying out of Surat, yes, we have seen certain softness in the demand. So that is the strategy that we have had, and that's the strategy we will continue to be on.

Sudarshan Padmanabhan: One last thing before I run back is, we would continue to go ahead with our capex. I mean, because the demand continues to remain strong. So, there will be no change in the capex, which we have earlier outlined, barring that probably the Agrochemicals gets deferred by a quarter or so?

Radhesh Welling: No. As our chairman indicated in his opening remarks, we are currently evaluating a few projects. But each of the projects will be evaluated on its own merit. And as an when the operating team, first of all, needs to be very confident on the merit of the project, it should qualify and meet our criteria, both the strategic criteria as well as financial criteria.

As it does, then the operating team will present it to the Chairman. And once Chairman approves it, we will take it to the Board. So, nothing changes on that.

Moderator: The next question is from the line of Krishan Parwani from JM Financial.

Krishan Parwani: Just a couple of clarifications. So first, on the debtor days. Your debtor days have come down

by 30-odd days. Is there any particular reason? And should we take this as a norm going forward?

Anish Ganatra: So, thanks, Krishan, this is Anish here. On the debtor days, I mean you're right, I mean, it has come down and part of it has got to do with how we are changing our approach towards collection. We are focused on ensuring that the collections happen on -- the credit terms are tighter in the sense that we do not want extended credit.

We're also using innovative programs on vendor financing and customer financing to ensure that the receivables are received because, both our focus on working capital and cash flow is no longer transactional, it's more strategic in nature.

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So, to answer your question on whether this is the norm to consider, I would indicate at this stage, while we continue to work on improving this. But at this stage, I would not give any further guidance beyond

the 90 days, which I had held even in the last year that I had mentioned

on the commentary to our FY '23 that we would target to hit the 90 days cash conversion cycle.

Krishan Parwani: Secondly, on the HPP side, just wanted to check, would we be able to, let's say, recover the lost volumes of HPP in the second half? Is there a possibility?

Radhesh Welling: So, most of that volume that we were -- we had to supply earlier, we will recover the -- I think the real question is, will that be incremental on top of what you would have otherwise delivered in the following quarter? That is little difficult to really ascertain because as you know, all of that is single product, single customers.

So ultimately, the question is what is the total requirement that the customer has currently, if you see, we are limited by the volume that we are producing and not by the demand that we are seeing from our customers.

Krishan Parwani: Noted. Fair point. And the last bit is on the borrowing front. So, our gross borrowings or gross debt has -- is more than INR1,200 crores now. So just wanted to check what is the comfortable level according to you? That's my last question.

Anish Ganatra: So again, if you look at our net debt position, which is the way you should look at in the borrowing sense, it's still INR780 crores, as I mentioned in my commentary, and that has a net debt-to-equity ratio of 0.34 is very comfortable for us. So, we will -- we don't give guidance on this. But essentially, you can see that we have a very strong balance sheet at the moment, with solid sort of cash in hand position as well as a comfortable net debt position.

Moderator: We take the next question from the line of Abhijit from Kotak Securities.

Abhijit Akella: Yes. Just on the Specialty Chemicals business with regard to - these production-related issues that you've highlighted. Could you please share some more colour about what exactly these are about? And does this impact the ramp-up timeframe that we had in mind for this -- for the multipurpose plant when we originally envisaged the project?

Radhesh Welling: Yes. So, I don't want to get into too much technical details. But both of these are new molecules, one which we had earlier done in Surat at very small volume, and we were actually doing the commercial production in MPP. And the other one was a completely new molecule that we were doing for the first time in MPP. We have since resolved the issues. And the production has actually started for both the molecules.

The total quantum of that was approximately INR34 crores between the two molecules. And that sales is actually -- will be deferring from Q2 to Q3. So, both the molecules, the sales of both these will actually happen in Q3. But this is primarily from MPP in Dahej and both of these are new molecules.

Abhijit Akella: Right. And with regard to the ramp-up timeframe that you had in mind for this project, does that sort of remain on track?

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Radhesh Welling: You're specifically talking about MPP or which project you're talking about?

Abhijit Akella: For the multipurpose plant?

Radhesh Welling: Yes, multipurpose, you know that we -- earlier when we presented the original plan, it was based on four molecules. We've actually seen the demand softness on one of them, which is the agri product. And hence, we have actually moved very quickly to bring in other new opportunities and put them in MPP. And that is why you're seeing these two new molecules come in, where we have quickly done the development, quickly done the qualification from pilot facility. And now we're actually doing the commercial production in MPP. But we expect that overall,

directionally, it will continue as per the original expectation. It's quite possible that in one molecule, the expectation might be -- lower than the original expectation and some other molecules, it could be h

igher than the original expectation. But that's just the nature of MPP.

Abhijit Akella: Got it. And just one last thing from my side. With regard to INR540 crores project, agro project at Dahej that's going to be commissioned by the end of this financial year. What percentage of the output is tied up already under the dedicated commitment? And what sort of timeframe should we expect for the full ramp-up of that project?

Radhesh Welling: So, as you might remember that 50% of that production was actually covered under a long-term contract. And the other 50%, we had kept it open to take advantage of the spot pricing. And also there also, we had actually started talking to the customers to possibly cover some of the volume, but that will only happen once the production starts. So that 50% that we've talked about earlier, we've already received the POs for that for 2024. So that 50% is already covered.

Anish Ganatra: Sorry, just to add Abhijit on that one. What Radhesh rightly mentioned, 50% of our dedicated capacity has been covered out, it's still in line with the plan. And the idea was to ramp it up and achieve PAR in about two years after commissioning. So, it doesn't change in that sense.

Moderator: The next question is from the line of Mr. Madhav Marda from Fidelity.

Madhav Marda: My first question was the deferral that we are seeing in Q2 across sub-segments. If I were to look at -- because if it's a deferral, does it go to Q3 or Q4, for example? Is it fair to assume that the revenue that we had planned for FY '24 as a whole, that doesn't change because of the deferral? Or can we be capacity constrained because some of our original Q2 production is now happening in Q3 and then that creates a challenge? Just wanted to get your thoughts there.

Radhesh Welling: Yes. I think it will be a little difficult to talk about it on an annualized basis because we're still trying to get handle on the Q4. But specifically with related to Q2 to Q3, most of these sales will actually move to Q3, but the only question is that will all of that be incremental over and above what we would have otherwise done in Q3.

To answer that question, we will have to look at it on a BU-to-BU basis. I earlier talked about on the specialty. On the CDMO, it's about INR18 crores as was indicated earlier. That will be an incremental revenue, it will come in Q3.

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But on the other businesses, for example, R32, we lost some because the products -- the plant stabilization took a little longer than we expected. So those -- so that approximately about INR20 crores worth of sales will actually happen in Q3 now. And now the plant is actually running to optimal capacity. So that will get covered in Q3.

So, some of that volume will actually be incremental, but some of that will, as you rightly mentioned, will get constrained because of the overall capacity that we have available. As I mentioned earlier, on the Honeywell project, the volume adjustment that -- the constraint is primarily on the capacity side. So, on some of it, it will be incremental. On some of it, we will be constrained by the capacity.

Madhav Marda: Got it. Understood. And then just on the R32 plant. So, like you mentioned that the order book is robust, and that's good to know. Like are we selling most of it in the domestic market or export? And are we like tying in some of the R32 volumes for CY '24, there's specific customers or this will be sold completely on a spot basis, if you could help us understand that.

Radhesh Welling: Approximately 50-50%. 50% export, 50% domestic. And we are currently in discussion with two customers for potentially tying up our 2024 volumes, and we are actually having pretty good discussions with both of them. Our intention is to at least lock with one of them in the next few weeks.

Madhav Marda: And this would be customer of the export market or in

the domestic. It should be exports?

Radhesh Welling: Yes, exports.

Moderator: The next question is from the line of Vivek Rajamani from Morgan Stanley.

Vivek Rajamani: Sorry if this is a bit repetitive. But on the CDMO side, given that you've seen two large molecules being pushed out to CY '24. Could you maybe help us or give a sense of how we should think about the revenue growth for this segment in F '24 and F '25? That was the first question.

Radhesh Welling: No, it's going to be very difficult for us to give that because we are still in conversation with the customers to understand what their requirement for calendar year '24 is. We know that they have actually told us that we will continue to supply them these molecules for the next campaign. And the next campaign is basically moved to FY'24.

But we don't have the answer yet from the customer in terms of exactly what the volume required for these campaigns is going to be. So, it is a little -- I would say a little early. We probably

might have a better idea on what the calendar year '24 numbers look like, probably by -- in December, beginning January.

Vivek Rajamani: I completely understand. And the second question was obviously, because of the challenges in this quarter, your EBITDA margins are at about 21%. Could you maybe just give us a sense of the glide path that we should assume for these margins to go back to a bit more normal levels? How do we think about that over the next two quarters or maybe even into next year?

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Radhesh Welling: I think let me give some colour and then Anish will follow. See, if you actually look at -- I'm sure you heard Anish's opening commentary, he basically talked about some sales that we unfortunately lost because of supply side constraint in Q2, if we had actually done those sales because all the cost, especially the fixed cost related to those sales were already -- those were already reflected in our P&L. Our EBITDA margin would have been significantly higher than what it was.

Directionally, we have always said that our focus would be continue to actually -- if you -- especially if you look at the new projects that we are undertaking to continuously improve our overall margin profile, there could be quarters when it will be slightly down, there could be quarters when they will be slightly up. But specifically in this quarter, the impact that was seen was primarily because of the operational leverage that we actually didn't have because of the sales that was lost.

Anish Ganatra: Nothing to add. I think you covered it all.

Moderator: The next question from the line of Mr. Sanjesh Jain from ICICI Securities.

Sanjesh Jain: Starting with the bookkeeping one. Can you help us understand what is the capacity utilization for all the three plants, which is Honeywell, MPP and dedicated agro for this quarter?

Radhesh Welling: We have not given out the capacity utilization numbers, and I don't think it will be appropriate for us to do that because a lot of that information is confidential.

Sanjesh Jain: Got it. No, this is just for modelling to tell how the progression will happen for each of this plant, but that's fine. But a follow-up to the -- Radhesh, actually, in your previous call, you mentioned that Honeywell plant has reached the optimal utilization, post the recommissioning. Have we again got into a problem to now come back and look at more gradual than reaching again an optimal utilization?

Radhesh Welling: No, if you see after the shutdown that we had in June and July, we are progressively ramping up the capacity. And so, as I mentioned earlier, our Q2 production was higher than the production in Q1, obviously, because of the shutdown. Our Q3 production is expected to be higher than Q2 production. So, we are progressively ramping it up.

Sanjesh Jain: Got it. And on the -- if I look at Specialty, that is of th

e export market, which will largely cover

our new progression, what we were making. It appears to be quite soft, a dip of 40%. And if I take out the INR20 crores also, what we are talking of supplying in it in the next quarter, it comes to INR110 crores. This is versus INR150 crores in the last quarter. Where are we seeing this difference of INR40 crores on a sequential basis?

Anish Ganatra: So Sanjesh, I think you're referring to the split between domestic and exports in the specialty business, correct?

Sanjesh Jain: Correct, sir.

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Anish Ganatra: Yes. So there a large -- one of the molecules which we traditionally export and in the future will continue to export as well. But on the request of customer that was supplied domestically to another -- one of their suppliers and for making another product. So that was about INR40 crores.

So roughly, if you kind of look at that, that would change the mix. That would have normally gone as an export, but actually went as domestic supply because of a request from the end customer itself.

Sanjesh Jain: Then it tells that the domestic in a sense has halved quarter-on-quarter in that sense because domestic has only grown INR16 crores quarter-on-quarter, if I remove that INR40 crores, that means there is a 25% sequential fall in specialty. I presume Pharma has been doing well. Performance has been doing well. In fact, domestic, the export has grew -- sorry, what are we missing in the domestic piece?

Anish Ganatra: So, in the pharma world where we had the supplies to pharma agri generics. I think there were

two molecules last year, which we have not really had any -- the demand there has been very weak, and that has been clearly materialized in the domestic. But that's two molecules. I don't know what number you're looking at. But in our sense, that was more like about INR15-odd crores.

Sanjesh Jain: So, we lost INR15-odd crores of revenue from those two molecules in the domestic.

Anish Ganatra: Yes, that's right. That's right. And that's largely related to, I think it's -- over there you could look at supply to the ARV sector in pharma.

Sanjesh Jain: Got it. One last question, sorry, and just one more. On the CDMO side, Radhesh, you mentioned that most of the revenue has come from the new molecule. Why the old molecule or the repeat or is it just the lumpiness? Are we cautiously focused on developing more molecules. Can you give more colour on that side?

Radhesh Welling: No, I don't think it is -- I mean, I don't think we can really influence that process, especially on a quarter-to-quarter basis, is really difficult because typically, what happens is on the repeat orders as we have mentioned before, our customers tend to actually operate on a very -- on a campaign basis. And a lot of these customers, especially for molecules, which are scaling up, they typically take a campaign once in two years, etcetera. So, this is not something that we can directly influence.

We consciously try to expand our customer basket, expand the basket of new molecules as well as the opportunity that I earlier talked about, which is basically identifying and developing late-stage molecules. But the timeline as to when we receive the POs for the repeat orders, it's very, very difficult for us to influence.

Sanjesh Jain: So, what you're telling, it is not by design, it has come by coincident and that's healthy for our future opportunity?

Radhesh Welling: Yes, absolutely. And just one thing on the specialty, you know most of our business today is coming from agro. The performance material is actually doing quite well, but the overall impact

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as a percentage of sales is still limited. And as you know, in Agro, what we really supply is an intermediary, which typically goes to one of the AI manufacturers.

So, th

ough the customers typically remain the same, the consumers can change. Sometimes they might send to the manufacturer of the technical grade in India, sometimes they send -- ask us to send it to a manufacturer of a technical grade overseas, sometimes they ask us to send it to their own manufacturing plant in US or Europe.

So, I think it will be a little difficult for us to look at or compare the export versus domestic mix in our specialty. Of course, in HPP and CDMO, you can. But in Specialty, it becomes a little tricky.

Moderator: The next question is from the line of Siddharth Gadekar from Equirus Securities.

Siddharth Gadekar: Sir, first question is on the HFO debottlenecking. We were supposed to announce the project somewhere in between the second and the third quarter. So where are we on that those timelines?

And the second question is on the cGMP-4 plant. When can we expect the announcement for the cGMP-4 plant?

Radhesh Welling: No, I think it's going to be difficult for us to give specific timelines. Both these projects are currently in the pipeline. The discussions are going on. We're currently in the process of having some of the commercial discussions, especially on the Honeywell debottlenecking, but it will be very difficult for us to give specific timeline on either of these two projects.

Moderator: The next question is from the line of Isha from VT Capital.

Isha Agarwal: Sir, my first question is related to speciality chemicals. two quarters back, you had mentioned one of the molecules, which show where the demand was pretty low, but somehow the margin was -- it's a very high-margin molecule. So, any update on that? Are we seeing demand recovery or anything from the customer? Are you worrying?

Radhesh Welling: Yes. That was the agri molecule, I think you are referring to, which we were supplying from Surat, we've actually didn't have much of the demand in the first half. The demand has again come back. We will be supplying -- we supplied some molecules in this particular quarter, and we will continue to supply in the coming quarter. But the good news is that we have actually received a pretty good forecast for the following year for that molecule.

Isha Agarwal: Okay. And sir, another question is related to CDMO. Last quarter, you had mentioned about Fermion agreement. So basically, that particular agreement has three molecules. So, one, the sample was given and rest two molecules were under process. So, can you please update me on that?

Radhesh Welling: So that process is ongoing. And I think some of the work that we are doing there on these molecules also forms the basis for our cGMP-4. So, the work is going on there. It will be difficult

for us to give quarter-on-quarter update on each of the molecules. But I think it's safe to assume that we are all eager to move these -- to progress this opportunity with this customer forward
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because this actually forms a significant basis of our cGMP-4 as well because these are all commercial or close to commercial molecules.

Moderator: We'll take the next question from the line of Jason from IDBI Capital.

Jason Soans: Sir, one of my question was in terms of specialty chemicals. So, what percentage of an intermediates -- as we are supplying intermediates, as you said, especially to the agrochem side, what percentage of the intermediates goes into patented or generic products? Can a ballpark be given for that number?

Radhesh Welling: I think the way we look at our business is whatever we do has to be differentiated, where we have a clear differentiated value proposition. As you know, when we started our business, and we were building up the business, a lot of it was going into generic molecules. A lot of the new opportunities that we have are primarily into the new molecules. It will be difficult for us to give on a quarter-to-quarter basis split betwe

en generic and patented molecules.

Jason Soans: Sure, sir. And sir, just a follow-up to that, I wanted to know is, of course, you are talking about being differentiated. I completely understand that's higher up the value chain, and it's synced with your value proposition and your aim to be higher up the value chain. But just would want to understand, for example, in the CDMO business, a certain business gets deferred.

And of course, patented or high-value business will be tougher to crack. And in terms of generic, probably when you're looking at balancing demand in terms of capacity utilization for your plants as well, how do you see that balance play out in terms of your aim to go higher up the value chain?

Radhesh Welling: No. So, see, even when we're talking about generic molecules, these are not typically even those generic molecules. If you see our sales profile, we are all selling it to innovator companies. So, you can see us actually selling any of -- if you see none of our generic molecules are actually going to generic companies, okay So, I think the value that we deliver or the value that our customers see remains the same across -- because ultimately, we are supplying to the same innovator company.

Jason Soans: Sir. And one final question from my side, sir, a lot of our spectrum business will be contracted. And we clearly know that China, in the past six months, they are driving down prices of intermediates, especially in the agrochem side. So just wanted to know any structural changes in your contract, there might be some de-escalation clauses, certain criteria like that. In the face of such intense competition coming from China, any structural changes to those contracts? Just your -- any colour on that?

Radhesh Welling: I think these are ongoing discussions that we have, and this is actually not true only for Agri. By the way, it's basically across the businesses, across the segment. This is the same phenomena that is playing on. There are always these conversations going on in terms of how do we actually work with all these key customers that we have to ensure that there is a win-win scenario. So that's just ongoing conversations that we typically continue to have.

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Anish Ganatra: If I may add, Jason, our sort of relationship with the customers is strategic in nature, it's not transactional. So, in a sense, one, there is -- if there are conversations like that going on, there are more problem solving and opportunity creation rather than anything else.

Moderator: We'll take the next question from the line of Meet Vora from Emkay Global Financial Services.

Meet Vora: Sorry for harping on this again. With respect to the new dedicated agri pre-sales that we have made, we now estimate that the commissioning will be by end of FY '24 instead of December '23. So, if we can get some colour on the reason for the slight delay that will be helpful. And secondly, you have mentioned that we have received POs for the dedicated portion of the capacity for CY '24.

So just your thoughts on how does this arrangement work with the customers. Is it more contractual in nature in terms of volume tie-ups? Or is it more driven by annual purchase orders that the customers -- meaning are we tied up also for CY '25, '26 for this with the customer? And lastly, your thoughts on how do you see the non-dedicated portion of the demand shaping up for this plant?

Radhesh Welling: Yes. So as far as -- as we have mentioned, almost 50% of that particular project is underlined by one particular customer. As we are going into 2024, we have received confirmed purchase orders for the volume that will be supplied from '24. And that process will continue. As we have indicated, the model is typically as we work on other dedicated projects. But typically, it's a cost-plus pricing model that we employ. As for the remaining 50%, as we had

indicated earlier, and as Anish also mentioned in reference to one of the earlier questions, as we get the plant, our initial focus would be to ensure that we ramp up the production wherein we can supply the full quantity to this customer. And we will also utilize that time to get ourselves qualified with other customers.

And then as we become more comfortable, in further ramping up the volume, we will start having these conversations with other customers to supply to them also. At the same time, we are having conversations with other customers to potentially get into some long-term contracts for the future years with them. But that will happen gradually because what we don't want is suddenly to have all these customers engaging with all the customers for 2024 supply and then positioning us for failure. So, it will happen progressively.

Anish Ganatra: So, Meet, if I may add, the structure of these contracts is typically a take-or-pay. And then each year, you start getting firmer purchase orders. The fact that we have now got to purchase order for next year, is actually pretty solid in that sense.

Meet Vora: Sure. And the second thing we had mentioned in our presentation was that this plant was more for a build block kinds of molecules. So how do we see the derivatives moving there or any plans around that side?

Radhesh Welling: Sorry -- yes. What was your question? we didn't get the start of the question?

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Meet Vora: Sir, we had mentioned in our presentation that this plant is more for a building block kind of a molecule. So, we might be having plans to move into derivatives going forward. So, any thoughts around that? Or is it too premature at this point of time?

Radhesh Welling: No, this is an important building block. We will be supplying this molecule to the customers. We also will be utilizing the product ourselves to do some downstream derivatives. Even today, we manufacture and sell a downstream derivative of this to one customer.

With this, we will actually be -- hopefully be able to backward integrate and improve the overall profitability by doing that. And there are certain other opportunities that we have identified by which then we will be able to move downstream and do those downstream derivatives as well.

So, all the three possibilities exist.

Meet Vora: And sir, lastly, on the new byproducts that we are planning to launch, two from Dahej and three from Surat. So, all these five molecules will be mapped in the multipurpose plant. So, in the Dahej MPP, going forward we will be doing six molecules instead of five. Is the understanding correct?

Radhesh Welling: No. So, I think we -- as these molecules ramp up, we will look for opportunities for some of them to be mapped in MPP in Surat. Some of them to be mapped in MPP in Dahej. And as these molecules ramp up, there is a possibility that we might require depending on the customer requirements, possibly even a dedicated plant for some of these. But we currently have multiple MPP options. Dahej is not the only option available to us. So, it will be Dahej plus Surat.

Moderator: The next question is from the line of Mr. Ranjit from IIFL Securities.

Ranjit: So, in the opening commentary, you did say that the HF plant is largely on track. So just wanted to hear some comments, how do we plan to utilize it captively probably over the next three years to four years. And what kind of projects we are looking at to kind of consume the HF internally?

And second, just an extension to that, how should one see that debt panning out over the next couple of years. We are at around INR1,200-odd crores of gross debt, how should one see that?

Anish Ganatra: Okay. So let me take the gross debt question, first. I mean gross debt, and I mean, I've said this before, we normally don't give forecasts out on debt, etc. I mean our focus always has been to take projects a

nd progress them within a solid financial framework, which we agree with the Board, which covered amongst other things, debt return, commercial, de-risking, etc, yes.

So unfortunately, I won't give the guidance on that going in the future. But it is what it is at the moment. And you just have to look at it as we bring projects for approval and share with you as to where the profile of the company is and the balance sheet and strength is in the balance sheet.

Radhesh Welling: On the HF, I think our commentary remains same as what we had made when we announced the capex. We're looking at three sets of opportunities. One, where we will actually use some of that HF for our own use in existing three projects as those projects scale up, including the current

HPP project and the new capex, which will get commissioned next year, etc. There are some new opportunities that we are looking at.
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Beyond these three business units, and we are working to develop those opportunities. So that will be the second set of outlet. And the third, given our current constraint on HF, we have significantly reduced our merchant sales of HF. So there also, we are actually continuously seeing very good opportunities. So, a third set of opportunity will be there to increase the merchant sale of HF. So, one will be HF for our existing three BU then HF for our new opportunity beyond the three BU and then for merchant sales.

Ranjit: One bookkeeping question to Anish. We have seen a dip in the employee cost. Is this sustainable on an absolute run rate?

Anish Ganatra: So, if you -- so Ranjit, again, if you adjust the employee cost for the ESOP adjustments, you'll probably find it more or less in similar levels.

Moderator: The next question is from the line of Mr. Nitin Agarwal from DAM Capital.

Nitin Agarwal: On the new project announcements, in the past, we've been -- there'll be a little bit of a lag in terms of we're probably closing out some of the plants that we've had on board. So, is it largely the uncertainty in environment, which is holding us back in terms of closing out some of the divisions? Or are there anything more to sort of read into it?

Radhesh Welling: Actually, give the proper answer to this, right? We are working on opportunities. I think what is important is that we will not pursue growth opportunities just for the sake of it. We will ensure that we need to be, first of all, convinced of those opportunities. And once we are, we will take it to the Board for approval. I think despite what we are seeing in the larger macro environment, we are actually seeing pretty good traction with our key customers. And a lot of these opportunities that we are talking about are primarily with our key customers.

Anish Ganatra: And Nitin, if I may add, the fund raise remains an option. And you probably haven't asked this question. But given that there were several questions on debt levels, etc, I'm just putting that out in the open that the fundraise plan is pretty much in play. The timing, etc, will be a matter for the Chairman and the Board to decide.

Nitin Agarwal: Probably I'll squeeze in a little bit on that. As you mentioned about the macro factors which are there in the landscape. I mean, has it increased the number of opportunities which are available to companies like us? Or with the change in maybe interest cost regime and other things which have been happening, is that the evaluation process that has become a little more tougher? Or evaluation criteria has become more stringent? Or -- is there any difference in the way we've been approaching opportunities in the past, and what we're doing, when looking at them now?

Anish Ganatra: I mean, your voice has been muffling a lot. But if I understood your question, you were actually asking the criteria we use to evaluate projects. Is it in this...

Radhesh Welling: No. I think he's a

sking whether the opportunity funnel has actually expanded or come down. No, I think the quality of opportunities that we are seeing continue to remain the same. If you basically just ask if the number of opportunities or the inquiries that we were actually getting have definitely come down a bit.

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But quality of opportunity remains the same, primarily it's driven by more engagement that we are actually having with some of our key customers. So, the quality of opportunities that we are identifying and developing through this deep engagement with our key customers continues to remain the same for us.

Nitin Agarwal: And Radhesh, just last one on this, with whatever you -- in the past, most of our incremental business which has come through over the last three years or four years has been largely on the partnership mode. The fact that it's not -- and typically, anything to -- any project that we need to put together, typically will take about 18 months to 24 months.

Does it have any implications in terms of the kind of growth that we can have in FY '26 for example? Because a lot of that we're doing right now will probably be largely certified in FY '25? Or I mean, is there a right assessment to make in the first place?

Radhesh Welling: I think, see, if you actually look at the last two-three years, your reading is absolutely right because we really didn't have any extra capacity headroom available because we didn't have Dahej. Now with the Dahej fully operational, we're already having multipurpose plants, etc. And

also, we continuously look at opportunities for product rationalization in our MPP in Surat. So currently, we have for immediate quarters or immediate years, we have enough capacity headroom available in form of these new investments as well as the earlier investments made in Surat, etc.

But the ones which the larger opportunities will obviously, as you rightly pointed out, will take about 18 months or so to get converted because that is the typically the investment horizon required to set up dedicated plants, etc. But currently, we don't see any specific constraint because we have enough capacity headroom available in these new investments as well as the earlier investments made in Surat, etc.

Moderator: Ladies and gentlemen, we take the last question for the day from the line of Mr. Bhaskar Chakraborty from Jefferies.

Bhaskar Chakraborty: I wanted to have your thoughts on how you are looking at growth in the Specialty Chemicals business in FY '24.

Radhesh Welling: FY '24 as in current year?

Bhaskar Chakraborty: Yes.

Radhesh Welling: So current year, we've already spelled out. I mean you see the projects that we have already undertaken in Dahej. Those are the ones which will contribute to the growth, and we will, directionally, quarter to quarter, it could move from one quarter to another quarter. But overall, these are the investments which we have made. We have already have got two new plants on the ground in Dahej. Third one now coming up. So that will actually ensure that we see -- continue to see growth in specialty.

Bhaskar Chakraborty: So, I mean, is it comfortable for you to work with a 20% kind of growth estimate in revenues for this fiscal?

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Radhesh Welling: No, we typically don't give any specific guidance. I mean we've actually not given any specific guidance in the past. Now in the current scenario, even more difficult because the number of variables, etc, have gone up significantly now. But we typically don't give specific guidance on a quarter to quarter or year-on-year growth.

Moderator: As there are no further questions, I would now like to hand the conference over to Mr. Anish Ganatra for closing comments. Thank you, and over to you, sir.

Anish Ganatra: I would like to thank everyone for taking t

he time out and joining on the call today. I hope we've been able to respond to your queries adequately. We look forward to your continued support as we navigate the journey ahead. Wishing you and your loved ones a joyful and prosperous Diwali in advance. May the festival of lights bring you happiness, good health and success. Thank you very much.

Moderator: Thank you. On behalf of Navin Fluorine International Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Feb 2024

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February 13, 2024

BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Fort,
Mumbai 400001
Scrip Code: 532504 National Stock Exchange of India Limited
Exchange Plaza,
Bandra Kurla Complex, Bandra (East),
Mumbai 400051
Symbol : NAVINFLUOR EQ

Dear Sir / Mad am,

Sub.: Transcript of Earnings Call held for the quarter ended December 31, 2023

Pursuant to Regulation 30 read with Schedule III of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the Company's Earnings Call held on February 06, 2024 regarding discussion on operational and financial performance of the Company for the Quarter ended December 31, 2023 (Q3 of FY 2023-24) is enclosed herewith.

This intimation is also being made available on the Company's website at www.nfil.in.

Request you to take this intimation on record.

Thanking You,

Yours faithfully,
For NAVIN FLUORINE INTERNATIONAL LIMITED

Niraj B. Mankad
President Legal and Company Secretary

Encl.: a/a

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"Navin Fluorine International Limited
Q3 FY24 Earnings Conference Call"
February 06, 2024

MANAGEMENT : MR. VISHAD MAFATLAL – CHAIRMAN –

NAVIN FLUORINE INTERNATIONAL LIMITED
MR. ANISH GANATRA – CHIEF FINANCIAL OFFICER –
NAVIN FLUORINE INTERNATIONAL LIMITED

INVESTOR RELATIONS PARTNER – ORIENT CAPITAL

MODERATOR : MR. BHAVYA SHAH – ORIENT CAPITAL

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Moderator : Ladies and gentlemen, good day, and welcome to the Navin Fluorine International Limited Q3 and 9 Months FY '24 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Bhavya Shah from Orient Capital. Thank you, and over to you, sir.

Bhavya Shah: Thank you, and welcome to the Q3 and 9 months FY '24 Earnings Conference Call. Today on this call, we have Mr. Vishad Mafatlal, Chairman; Mr. Anish Ganatra, Chief Financial Officer of Navin Fluorine International Limited. This conference call may contain forward-looking statements about the company, which are based on beliefs, opinion, and expectations as of today. Actual results may differ materially. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict. A detailed safe harbor statement is given on page number 2 of investor presentation of the company, which has been uploaded on the stock exchange and company website.

With this, I now hand over the call to Mr. Vishad Mafatlal for his opening remarks. Over to you, sir.

Vishad Mafatlal: Ladies and gentlemen, I would like to welcome you all to Q3 and 9 months FY '24 Earnings Call. I'm joined by our CFO, Mr. Anish Ganatra, and Orient Capital, our Investor Relations adviser. I hope everyone got an opportunity to go through our financial results and investor presentation, which has been uploaded on the stock exchange as well as our company's website. Before I start with my comments on the business performance, I would like to brief you on a few developments at Navin Fluorine. The Board of Directors at the Board meeting held has approved 2 capex's amounting to INR372 crores to be funded through internal accruals. A capex of INR288 crores towards setting up a cGMP4 facility with the capacity of 200 KL. The capex will be done in phases. Phase 1 with the capacity of 100 KL will have an outlay of INR160 crores, which is expected to be commissioned by end of CY '25. Phase 2 of the capex will be initiated based on the progress of MSAs and projections for the business.

I am pleased to inform you we have expanded the MSA with the European-based API customer to cover 2 new molecules, 3 in total. These molecules are in intermediate to a patented commercial product with promising prospects. The MSA is expected to contribute materially to CDMO revenues from FY '26 and beyond.

The proposed cGMP4 Phase 1 capacity is critical to support the MSA and also unlocks the \$100 million top line aspiration for the business vertical. Further, we have entered into a strategic partnership with a U.S.-based contract development and manufacturing company. This partnership will be mutually beneficial by providing access to new chemistry capabilities to Navin in addition to scale-up opportunities and also deepening our customer penetration in the U.S. As indicated at our previous calls, our CDMO business is rebranded as Navin Molecular.

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Navin Molecular brand will help further sharpen our value proposition to offer a wide ranging CDMO services to our customers, supporting projects, including nonfluoro projects through the clinical phases of commercial manufacturing. While the current order book for this segment continues to be built with efforts already done to strengthen and focus our business development team, we are confident we will be able to deliver growth in this vertical which is visible from

on

the second half of FY '25.

Second, a capex of INR84 crores to enhance our HFC capacity, another 4,500 tons of R32 refrigerant gas which will be operational by Feb '25. Our earlier capex of R32 is commissioned

and fully operational at an optimum capacity. The new capex is aimed at securing our market position in the refrigerant gas space over the next decade and beyond and is underpinned by our belief of the market demand growth, also feedback from industry players in India and globally. Coming to our existing facility. As indicated in the past, we continue to drive operational excellence while executing projects in a disciplined fashion within a tight financial framework. In particular, our HF plant, R32 plant, R22 plants are running at optimum capacity. We continue to work jointly with Honeywell to ramp up our plant at Dahej. Though this is taking longer than expected. However, we are hopeful of putting this behind us soon.

The agro specialty plant at Dahej is progressing well, with chemical charge expected by end of March /April, followed by a first commercial supply by end of Q1 FY '25. Our AHF project at Dahej is progressing well and is as per schedule. A capex of INR30 crores towards development of a completely new capability in Surat is on track and is expected to generate revenue from FY '25.

I'm also pleased to inform that with the view to incentivize and retain critical talent, the NRC and the Board has granted 2,27,500 options under the ESOP scheme at the prevailing market price. The options are awarded to a small pool of critical resources across our organization. The Board and I also have progressed on the search for a new CEO. We have shortlisted the pool of candidates that have been further evaluated and hope to conclude the process soon. Our key criteria remains unchanged. The candidate must have strong industry experience with an execution excellence bias and solid understanding of the growth drivers.

Finally, I'd like to end by stating that the quarter has been a tough one, not just for Navin but for the entire industry. Globally, unpredictable weather conditions, destocking of high-value inventory and cash flow management from ag majors has impacted the entire industry. Global agrochemical players are cautious on forecasting of new demand resulting into headwinds for the Indian ag chemical players. We expect clarity on demand visibility by Q1 FY '25. However, our mid- and long-term view of the business remains intact. Our focus is to continue to drive operational excellence while making investments to ensure that as and when the short-term headwinds turn, Navin is well positioned to capitalize on the same. With that, over to you, Anish.

Anish Ganatra: Thank you, Vishad bhai. Good evening and thank you all for attending the earnings call. The revenue and profitability in Q3 FY '24 were below our expectations. Let me take you through Navin Fluorine International Limited
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business-wise performance for the quarter. Our specialty business was impacted due to deferment of campaigns and inventory destocking within our customer channel partners. On the positive side, we have added a new molecule in the last quarter at Dahej and 4 more molecules are in pipeline for the next quarter. We are confident with the strong partnership and technology platform; we will continue to deliver innovative offerings to the customers. Our HPP business was impacted due to ramp-up challenges for our HFO plant. We continue to work closely with our partner to further improve and enhance productivity of the plant. Ref gas, in particular, R22 continues to face pricing pressure, especially in the international markets. We expect the pricing to stabilize by the end of the fiscal.

The R32 plant commissioned earlier in the year has stabilized and is operating at an optimal capacity. Our CDMO business revenues in

the last quarter were below its potential. This business is lumpy in character. Hence, we cannot analyze the performance on a quarter-on-quarter basis.

Some of the key campaigns from the last fiscal are deferred and a couple of early phase molecules dropped off from clinical trials due to data not meeting the defined endpoints. As indicated by Vishadbhai the expanded MSA with European-based API customer and the strategic partnership with U.S.-based CDMO are promising and expect it to contribute along with renewed business development effort to the growth from second half of FY '25.

Moving on to financial performance of the company in Q3 FY '24. The sales in this quarter were impacted largely due to the following reasons: lower sales in CDMO segment, which is a higher-margin business vertical, slower ramp-up and stabilization of production at Dahej, lower orders in specialty due to global inventory destocking, pricing pressure in exports markets for R22, deferment of sales from 4 specialty molecules from Q3 FY '24 to Q4 FY '24.

Lower-than-expected sales resulted in decline of EBITDA margins reflected in the lower operating leverage. However, approximately 3% to 4% of the margin impact is due to one-off fixed cost, deferral of specialty molecules and delayed stabilization of HFO plant, which we expect to recoup. Further, as market conditions improve, we should start to see EBITDA margins rebound to the 24%, -25% range.

I will now share the highlights of our performance for Q3 FY '24- and 9-month FY '24, post

which we will be happy to take questions from all of you. For 9 months FY '24, on a consolidated basis, the company reported revenue from operations of INR1,465 crores as against INR1,380 crores in 9-month FY '23, reflecting a growth of 6% year-on-year.

Operating EBITDA stood at INR288 crores as against INR349 crores in 9 months FY '23, down by 17%. Operating EBITDA margin stood at 19.7% as against 25.3% in 9 months FY '23, lower by 557 basis points. Exceptional item includes gain from sale of surplus unused colony land at Surat for INR54 crores.

The profit after tax stood at INR200 crores for 9-month FY '24 as against INR239 crores in 9-month FY '23, reflecting higher depreciation and finance costs associated with Dahej assets.

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Now coming to the quarterly performance for Q3 FY '24. The company reported net revenue from operations to INR502 crores against INR564 crores in Q3 FY '23. Operating EBITDA was INR76 crores as against INR156 crores in Q3 FY '23. PAT stood at INR78 crores as against INR107 crores in Q3 FY '23. As mentioned earlier, PAT includes exceptional income from sale of surplus unused colony land at Surat.

Within the context of short-term headwinds, we have continued to ensure a tight financial framework. In particular, for the first 9 months of FY '24, the business has generated operating cash flow delivery of INR523 crores.

Focused efforts on reduction of working capital has secured the release of about INR253 crores cash during 9-month FY '24, net working capital days remains within the 90 days of sales guideline provided earlier. Our net debt-to-equity ratio at the end of December stands at 0.38x. The 2 new capex's that Vishadbhai referred, aggregating to INR372 crores, will be fully funded through internal accruals.

So that is it from my side. We will now open the floor for question and answers. Thank you very much.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Abhijit Akella from Kotak Securities. Please go ahead.

Abhijit Akella: A couple of questions, one on specialty chemicals and one set of questions on CDMO. In picking first, if you could please help us with an update on some of the key growth projects we've been implementing. So what exactly

is the capacity utilization of the multipurpose plant? And how do we see it ramping up next year?

Do we still expect it to hit full utilization in CY '24? Also, any discussions with the customers for the dedicated plant, which is already running at optimal capacity to double the capacity there or expand. And finally, the 5 new molecules that you've talked about, 1 introduced this quarter, maybe there's 4 more next quarter. What might be the revenue potential from these?

Anish Ganatra: Abhijit, it's Anish here. Thank you for the questions. So on the capacity, as you know, we never generally talk about capacities. But what I will tell you is that in the spec chem space, we had 3 capex's. One was the MPP1 at Dahej. Then there was the MPP2 at the Dahej, and the agro-specialty plant -- dedicated agro specialty plant, part of it, which is dedicated. So on MPP1, in kind of FY '24, we expect that 80% of the peak annual revenue that we've indicated to you guys will be met.

In MPP2, we believe that in FY '24, we will have already achieved the peak annual revenue. The dedicated agro specialty plant is expected to start chemical reaction by end of March or early April, latest. And the first commercial supplies are expected to be in end of 1Q FY '25. So I don't know if that answers your questions on the capacity on new agro capex's in the spec chem bases. But I'll take your question on the molecules in a second. But let me know if you've got anything more on that.

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Abhijit Akella: No, that's helpful, Anish. So just to clarify, the multipurpose plant for which we had a revenue potential of about INR270 crores. That one is running at about 80% in fiscal '24 itself. You said it? And the other one, which was INR160 crores revenue potential, that one is at full utilization for fiscal '24.

Anish Ganatra: That's exactly right, Abhijit. So I mean, I wouldn't say 80% capacity, but I'm referring to the 80% peak annual revenues, yes.

Abhijit Akella: Okay. Understood.

Anish Ganatra: When we start -- when we factor in or model these multipurpose plants, they're not modelled to run at 100% capacity, right? They're modelled to certain utilization level, given that there will

be batch processing, yes.

Abhijit Akella: Okay. So of the INR270 crores, we are talking about 80% here.

Anish Ganatra: Yes. On the 5 molecules that you mentioned, 1 molecule has come into play in 3 quarter, 4 we were expecting in this quarter. Some of that has been deferred to next quarter because of customer requests and some of that has been deferred because we needed more time on the chemical reaction side, but we expect all of those to come into play by the end of Q4.

Abhijit Akella: Any revenue potential from these that you could share?

Anish Ganatra: I would not like to speculate that at this stage. Leave it to when we get to say it, yes.

Abhijit Akella: Got it. And just the other one I had was on CDMO. So while we've talked about the capex number for this MSA with the European customer, is there a revenue number also you could point at? And the other one was just that there was this large purchase order of \$60 million that we had a year back or so, we were expecting some renewal of that order in CY '24. So any update on that?

Anish Ganatra: So on the CDMO side, see normally that business is not associated with guaranteed MSAs or contracts, right? But -- so if you're asking -- if your question was around as to what is the capacity. That's difficult to -- I mean, in terms of the revenue potential you're looking for, see our typical asset term in CDMO tend to be about 1.75 to 2x. So that wouldn't be sort of different here either. But neither the MSA nor the projections are sort of guaranteed. The thing I can tell you is the commercial product that these intermediates go into is a patented product, and the prospec

ts are extremely promising, and we are very excited with it as well.

Abhijit Akella: Sure. And on the purchase orders, any update on that for the upcoming year?

Anish Ganatra: Purchase order for?

Abhijit Akella: There was this \$16 million PO we had about a year back, and we were expecting a renewal of that order in CY '24.

Anish Ganatra: So that order has been deferred to this quarter -- coming Q4 quarter, the \$18 million.

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Abhijit Akella: So 4Q FY '24 will have an \$18 million delivery.

Anish Ganatra: Sorry. So -- sorry, you are referring to the last year that we've done the molecule in Q4, is it -- is that what you're referring to?

Abhijit Akella: Yes, yes, Q3 and Q4 of last year.

Anish Ganatra: So that as I mentioned in my commentary, those campaigns are not expected to come in this fiscal, they will come in the following fiscal. Sorry, just to clarify that.

Abhijit Akella: Yes, that's fiscal '25, right? The upcoming year, '24, '25.

Anish Ganatra: Yes. Correct. Correct. Correct.

Abhijit Akella: Okay. So we do have that visibility now clearly defined. That order is coming next year.

Anish Ganatra: We expect it's still kind of how good the business is, right? I mean, at the end of the day, the update we have at the moment that it is expected next fiscal, but we constantly remain in touch with the customers and projections could change. There is a lot of dynamism involved in this, Abhijit.

Moderator: The next question is from the line of Rohit Nagraj from Centrum Broking.

Rohit Nagraj: So my first question is on the HFO project. So just wanted some understanding. When we started the project within a period of 3 to 6 months, we went up to the optimal utilization. And now in the last 3 quarters, we've been struggling to again get back to the optimal level or the ramp -up is slow. So is there any deferred demand issue? Or is there any structural issue at plant level? And how do we foresee in terms of the revenue potential, which earlier we were envisaging about INR400 crores to INR500 crores annually. Whether we are on target for that in FY '25 or that is also deferred?

Anish Ganatra: All right. So let me take that in 2 parts. First is the HFO project, as you mentioned about the ramp -up and the stabilization of the production. Now the plant is a very advanced technology plant. Honeywell operates this plant apart from obviously with us in India, in China and in the U.S. And one of our learnings out of this is being that the operating -- the optimum operating parameters of this plant is in a very, very narrow range.

So as we experience issues, we have to be very precise in terms of how the planned parameters are being set. And that's a learning experience. Unfortunately, we did not take into account as we started the ramp -up and the technology absorption. So that has taken a little more than what we would have liked to have. But there are no structural problems. We're very closely working on this with Honeywell to resolve and fix it. And we hope that this will be behind us very, very soon, yes. So that's the first part of the question.

The other part in terms of is there -- on the demand side, now while we are being able to dispatch and meet Honeywell's requirements on what they have ordered from us as a result of the contract that we have, the demand, obviously, also is slightly subdued. So it is -- the orders at the moment

are at the minimum level of what we have under our contract, not at the higher end of that.
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To answer your question on the peak annual revenue from that in terms of what we've promised. We believe that in -- it's already on track. So the FY '23, we commissioned, we said in 2 years, we will be at the peak annual revenue of up to about INR460-odd crores per year

, which we are on track. That doesn't change.

Rohit Nagraj: Sure. That's helpful. Second question is, again, similar on CDMO. So we've been guiding that - on a normalized basis, we will have about \$40 million of yearly run rate barring any lumpiness on a quarterly basis. So how are we expecting the run rate during FY '24 and in FY '25, as you mentioned that there will be this additional order of maybe \$16 million to \$18 million, would that be over and above this normalized run rate of \$40 million?

Anish Ganatra: So in CDMO, typically see, as I've mentioned this before as well Rohit, the business itself is very lumpy, plus what we've done, as I've told you before, is we changed our mindset. Earlier, we are focused on early-stage molecules. We are now complementing them with commercial stage molecules, right? As we go on into next year, our expectation is that about 30% to 35% to 40% of the revenues will come from commercial stage molecules.

And this is where our entire team is focusing efforts on. We will have some contribution from the European-based API customer into next year's revenue, though, of course, that revenue will come in materially or start to make material impact on the numbers from FY '26. Additionally, the strategic partnership that Vishad bhai referred with the CDMO in the U.S. will also open up opportunities. But all those efforts are ongoing. This is -- obviously, it's going to be in addition to any order that we get from ongoing campaigns. All these efforts are going to be in addition to that. But I wouldn't sort of be able to put a number on it at this stage.

Moderator: The next question is from the line of Sanjesh Jain from ICICI Securities.

Sanjesh Jain: I got a few of them. First, on the R32. We thought that R32 capacity addition was frozen in December '23. Can you just help us understand the regulation now that we are going to expand, does this qualify for the quota determination period because this capacity is coming after December '23.

Anish Ganatra: Okay. You want to finish questions or should I take them one by one.

Sanjesh Jain: Sir, let's take one by one.

Anish Ganatra: Okay. So the regulation around the December '23 date is actually for receiving subsidy under The Kigali Agreement. The quota period is the average production you have in '24, '25 and '26, '27 being the unrestricted year, and from '28, I believe, the quotas kick in, with '32 being the first year of phase down at 10%.

Sanjesh Jain: This capacity will not qualify for subsidy payout, but this whatever we sell from this plant will qualify to get the baseline capacity for the next.

Anish Ganatra: That's right. So the baseline capacity will ensure our position, our ability to tap into that market remains intact. So yes, you're right. The numbers, the production will factor into the quota determination.

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Sanjesh Jain: That's fairly clear. Got the regulation clear now. The second is on the gross profit margin.

Sequentially, it is down by 500 basis points in the stand-alone entity, close to 430 basis points, while the mix in the CDMO business has improved. Anish sir, can you help us understand what is driving down the margins in this quarter despite having a higher CDMO contribution?

Anish Ganatra: So you're referring to stand-alone, right?

Sanjesh Jain: Yes, stand-alone. As well as consol as well. Consol also, we had a equivalent decline in the gross profit margin, which is your...

Anish Ganatra: So on a stand-alone the sort of main drivers over there of lower margin are really the ref gas environment. There's a pricing sort of pressure in R22 which has sort of affected it. The fluorspar crisis, we had high-value inventory in stock, which has kind of played into it as well. Of course, as we deplete that stock, we expect that to be recouped from next financial year.

In addition to that, we've had some one-off charges in the business. So if I look at your 20% to 15%, as you said, sequentially, right, 5% roughly. That 5% broadly is split out in those 3 compartments, about 1% being on spar prices, about 1.8% to 1.9% being on R22, the reasons I talked about, and about another 1.4% relating to one-off charges. So most of this, know, Sanjesh, we expect to recoup as you can obviously see the reasons play out, most of them with loss margin

will be recouped over time.

Sanjesh Jain: Just one follow-up on this, Anish sir. I thought fluorspar prices have actually gone up. That means inventory -- excess inventory should have positively benefited us on the gross profit, right?

Anish Ganatra: No. So fluorspar prices have gone up, but it depends on what our contracts are, right? I mean if you look at it, this -- the material that we are now consuming is at higher fluorspar price. If you know, when we started off, I think, at the end of March '23, we had high inventories of low fluorspar prices. So that inventory is depleted and the new fluorspar inventory has come in, which was our contract from the last calendar year, and which is why I said we expect this to be recouped because as we go forward, we'll again see the benefit of low spar prices come back into the play.

Sanjesh Jain: Got it. Again, sorry, I'm sticking to a few bookkeeping questions to get the modeling right. The other expenses has also gone up sharply quarter-on-quarter. Any particular reasons for that? Or it is largely to do with the HFO plant getting corrected in the Dahej and that's been booked here.

Anish Ganatra: So the other expenses that you see in the -- as reported comprises both of production-related expenses as well as fixed costs. As I've already told you, there is an element of one-off costs within that. But the way I would hold it for your modeling purposes, if you take the 9-month number, right, and you look at the quarterly allocation, I'm talking consol level, yes. I mean I'm not talking standalone. If you take that at a consol level, that broadly should be the number that we should look at. So INR120 crores to INR130 crores per quarter, roughly.

Sanjesh Jain: No meaning in looking at this quarterly number, it's better to look at...

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Anish Ganatra: Yes, because there are effects, right? I mean in some quarters, like this quarter, we may have a higher CSR spend compared to last quarter, etcetera. So those timing effects also come into play.

Sanjesh Jain: Fair enough, fair enough. I got two few smaller questions. One on the peak revenue from the HFO. Last time when we met, we said that the peak revenue because of currency as well as higher raw material prices now stands at INR5.5 million. But in your -- in the previous question for peak revenue being that INR4.6 million. What has changed in last 2, 3 quarters?

Anish Ganatra: No -- so I'm referring to peak revenue on the basis on which we made the promise to the market on that basis, saying that we had talked to, if you remember, I think it was INR2,800 crores over 7 years, something like that, right? So I'm saying that on that basis, when you talk of INR2,800 crores over 7 years, what we are expecting to see in FY '25, you will largely see that, that would be met.

Sanjesh Jain: So we will be doing INR460 crores in FY '25.

Anish Ganatra: Yes, yes. That's our hope, yes. That's where we are today.

Sanjesh Jain: That's what we are looking at today. Fair, fair. My last one is on the dedicated facility. I think dedicated facility; we ramped up completely. Now we are talking of an 80% utilization. It's more of a timing issue that 80%...

Anish Ganatra: So Sanjesh, just to clarify, the dedicated capacity, as you rightly mentioned, has already been ramped up. In FY '24 itself, we would have achieved the peak revenue

that we'd indicated. The

multipurpose plant, which is not dedicated, I said 80% of our top line revenue, the peak revenue that we had indicated, we expect to see in FY '24 itself.

Sanjesh Jain: That's fine. I think I got confused between the two plants.

Anish Ganatra: No, no worries.

Sanjesh Jain: Sir, one last question on the CDMO. Previously, we said that we will be able to achieve that \$100 million revenue from existing cGMP 1,2,3 and cGMP4 will help us expand from there.

Anish Ganatra: So that's -- sorry, I don't mean to interrupt you, but yes, finish your question.

Sanjesh Jain: I got you -- you got the question and that's what I was...

Anish Ganatra: Okay. No. So what we said was that 1, 2 and 3 would not be sufficient to take us to \$100 million. We would need a 4. If you see what we've done is while announcing the capex for 4 at INR288 crores, we have opened up Phase 1, which we believe is very, very critical to support the MSA that was referred by Vishadbbhai. And that not only supports the MSA, but also unlocks our ability to achieve that \$100 million. So it's a double side thing that you will see just with that portion of the capex.

Sanjesh Jain: And we still hold that by FY '27, we should be hitting that \$100 million kind of number.

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Anish Ganatra: So that is directional, okay... That is directional. It could be '27 or '28. Would I worry about it

if it slipped by a year, I wouldn't care about it. I mean, directionally, we are there. Does pace matter?.

Sanjesh Jain: No, no, that's fine. That's very difficult to predict, but I got the point.

Anish Ganatra: Yes. So the idea is, today, we are investing in the business with that as an aspiration, yes?

Vishad Mafatlal: So Sanjesh, just one thing to add is the sheer fact that -- in this market, we are going ahead with the calculated investment in this business is the belief that the management and the customer have the understanding and the belief in us that we can deliver, we are the right partner of choice and that this business is going to increase going forward. And that time, if we go ahead and invest, we will lose out because customers today are looking at capacity. They cannot wait if the molecules are flying off. So it's our definite belief that going forward, this business has to reach the optimum levels that you have discussed with Anishbhai.

Moderator: The next question is from the line of Siddharth Gadekar from Equirus.

Siddharth Gadekar: First on the specialty chemical business, with capacity utilization that you have alluded to in this quarter for the entire year, if we do a back calculation, it seems the base business specialty, which was there till FY '22 would have declined by anywhere between 45% to 50%. What has led to that significant decline? And how should we look at that business going ahead?

Anish Ganatra: No. So when you talk of the base business, I think you're referring to our legacy capacity in Surat, right?

Siddharth Gadekar: Yes.

Anish Ganatra: Yes. So there are 2 things that have happened this year, yes. There has been 2 sorts of -- one of our molecules in Surat has faced some demand challenges, which has started to recover. But during the year, that has been the case. The other thing also to remember is that we ran several campaigns from Surat last year, which obviously have not seen themselves in this fiscal, but are expected to come back into next fiscal.

The third thing is I referred to the 4 molecules. Out of the 4 molecules, 3 molecules, I believe, are going to come in Surat. So all of that is going to bring the business again in the base. So some of the nature of these businesses is when it's campaign-driven, you kind of tend to see that year-on-year, yes.

Siddharth Gadekar: Okay. Got it. Sir, secondly, on the HFO side, we have always spoken about the debottlenecking, w

hich was expected to come in CY '23. And then we were also talking about a possibility over Phase II. Where do we stand on that project?

Anish Ganatra: So again, see, the thing is I don't know how this gets -- I'm going to clarify this once again. The debottlenecking was a project and is a project that remains in our hopper. It is not a project that has matured enough for us to even take it to the Board. As and when that matures, we will take Navin Fluorine International Limited

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it to the Board, we will announce it to the market. So that is a possibility in the hopper, much like a lot of other projects that we have in the hopper.

We continue to look at these, develop this and those become conversations with customers, okay.

So that is not to be taken as something that we have committed to. Yes. And similarly, on your question on the doubling the capacity of HFO, etcetera. I mean, our discussions with Honeywell and particularly between Vishadbhai and at the highest levels in Honeywell, cover a range of topics and range of opportunities. And depending on the market dynamics, those opportunities are being matured and will sort of see themselves come in to play. Sorry, you want to add something Vishadbhai? Did I answer your question, Siddharth?

Siddharth Gadekar: Yes. So just one last thing on R32 capacity. So going into CY '28, is it fair that we will be operating the capacity at around 66%, 67% capacity utilization?

Anish Ganatra: R32?

Siddharth Gadekar: Yes.

Anish Ganatra: No, R32 is a low GWP product with a very long cycle. So its first cut starts in 2032.

Siddharth Gadekar: But given that we have to produce an average of '24 to '26, so our average will be lower than what we produce in '25, '26. So technically, from '28 our production will be around...

Anish Ganatra: So what will happen is we currently have a capacity that's already in play at 4,500, right? So that capacity is actually operating extremely well, and we may be able to do more than 4,500. But argument's sake, let's just hold that to 4,500. So that 4,500 goes into the quota as an average of 3 years production, so 4,500.

With the current new capacity that we've announced today, we will be able to take in 2 years as opposed to 3 years because that plant will take 12 months to commission. So by February, we commission the plant, which means we won't have production for '24, correct?

Our production for '25 and '26, the production for '25 and '26 will basically get divided by 3. So that's what we'll get into the system in '28. So to answer you in a more simple and direct way, doing the math for you is basically, we are saying 9,000 metric tons will be our expanded

capacity and 7,500 will be the quota to us from '28 onwards.

Moderator: The next question is from the line of Vivek Rajamani from Morgan Stanley.

Vivek Rajamani: So first question on your Specialty Chemicals and the CDMO segments. In 2Q, you had mentioned we'd seen certain deferrals which you were expecting in this quarter. Just wanted to clarify if these are the same molecules which are continuing to see some sort of deferment or postponement even in this quarter? And if you could just spend a minute to kind of explain what exactly is the issues that the customers are facing with respect to some of these molecules?

Anish Ganatra: So some of this is -- it's a combination of deferrals -- and mainly deferrals. And also in some cases, we had to do more work on getting the chemical reactions right. But the deferrals are nothing different to what's happening across the industry at the moment. Everybody is looking

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at year-end and trying to reduce their inventory and cost of carrying the inventory, etcetera. So that's a deferral. It's not an order which is lost, but we expect that to be made up in this quarter.

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Vivek Rajamani: So you mean Q4?

Anish Ganatra: Yes, Q4. That's right.

Vivek Rajamani: Sure, sir. And the second question I had was, and I can understand this is a bit of a difficult question to answer. But just with respect to both your Specialty Chemicals and CDMO. Would it be possible to give a sense of how much do you think your portfolio is immune to these risks or deferrals? Or how much part of your portfolio do you think is actually immune to such risks? And how much is actually very, very reliant on the customers changing the use and demand? Would it be possible to give some sense there?

Anish Ganatra: So I can't -- so again, as you rightly said in the beginning, it's a very difficult question to answer. What I can tell you is strategically we try to play in products which go into early-stage patented life cycle. So that the risk of them being subjected to market dynamics, substitutes, etcetera, is reduced and is minimal, okay? That's our -- that's always been our philosophy, and that continues to be our philosophy. As Vishadhbhai tells us, he doesn't want to be in the me-too business. So that is our thinking, right?

But at the end of the day, the deferral again in CDMO, what you talked about -- see in CDMO, the deferrals are not actually deferrals. They are the nature of the business. The CDMO intermediate business runs on a campaign basis. And those campaigns are ordered in 1 year, but then depending on how they are rolled out, etcetera, could take another year of gap and then come back to you.

So that happens as a very natural part of the business. What we are seeing in the specialty chemical business is what's happening by global majors to control costs, etcetera, and manage their inventories, etcetera, as you get into year end and obviously, look at destocking effects, etcetera, etcetera, which again, you probably know more than I do, Vivek.

Moderator: The next question is from the line of Chetan Thacker from ASK Investment Managers.

Chetan Thacker: Just two clarifications largely. One is on the HFO plant. Just wanted to clarify, so this year, we will be undershooting the optimum number that is there on revenue, and that should get back to that optimal number in FY '25. Is that correct understanding?

Anish Ganatra: So what I'm saying is that in FY '25, we expect the peak annual revenue that we've indicated in rupee terms to be met. In FY '24, we will still be delivering the demand that Honeywell has put on us. So there is not likely to be any unmet demand. Like I said, as we speak and touch wood, the plant today is operating at 80% of what we expect it to.

Chetan Thacker: But the demand itself, you mentioned is subdued. So that would mean that the number itself is lower than the optimal number?

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Anish Ganatra: So the -- so as you have this, Chetan, in any of these agreements, you have a certain minimum demand and a certain maximum capacity demand, right, which you can't go beyond. What I'm saying today is that we have the minimum demand. If the environment was better, you would have probably seen it higher than that minimum demand. That's all I'm saying.

Chetan Thacker: Understood. And sir, just on the specialty chemical bit, so the base business is expected to come back in FY '25. And the additional 3 molecules that will get added, that will also start to contribute in '25. That should be a fair understanding over and above what we're seeing in today's numbers.

Anish Ganatra: So over time, I mean, our philosophy is to optimize and utilize the assets across both the entities. See, we don't see this as entity-by-entity-by-entity conversation. We see it as a collective spectrum conversation on how to optimize the assets, whether they are in Surat or in Dahej.

Chetan Thacker: Understand. Just not talking about on an asset level, but at an overall revenue level, the number

that we are seeing today for FY '24. For FY '25, there will be a bump up which happens as the base business, again recovers, which you mentioned right now, campaigns come back and you see 1 molecule...

Anish Ganatra: So we have visibility to the next -- this Q4 being stronger than Q3, and I'm saying visibility to that. What we are saying, and this includes the deferral of the molecule that I mentioned, okay, as a result of that, too. What we also know and in speaking with our customers that the challenges within the spec chem business are going to play out and recovery is going to be progressively better next year. But we expect that recovery to be better in the second half of next year rather than the first half.

Chetan Thacker: Understood. And on the CDMO bit, again, FY '25 will start getting more towards normalization, and we remain -- we would adhere to the medium-term target of \$100 million once this cGMP4 comes in place.

Anish Ganatra: So directionally right. Again, we will given the efforts that we've taken, the agreements that we've done, including the 2 that we have discussed earlier that Vishad bhai pointed out it will take some time for us to play that out. So the CDMO business should start seeing in the way we've described to you a stable revenue from commercial business with capacities that we use to get higher-margin early-stage products. That will start becoming more and more visible again as we go into second half of next year.

Moderator: The next question is from the line of Archit Joshi from B&K Securities.

Archit Joshi: I just had a few facts checks, especially in CDMO. So you've had a few announcements in the past. So there was -- there's been a contract that we signed with Fermion. And then there was a discussion about the \$16 million PO with an American company. And now speaking of expansion of the MSA with 1 European customer and the commercial opportunity that we have received from an American customer. Is there any overlap with this?

Anish Ganatra: There is definitely overlap.

Archit Joshi: Yes. Right, sir. So...

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Anish Ganatra: There is definitely overlap, Archit. The first name that you referred is actually the European-based API. We had signed an MSA with them covering 1 molecule. Now this expands it to 2 molecules -- 2 more molecules. So in total, 3 molecules. Yes, and the American CDMO is something very new. That's absolutely recent. We've never announced that before. That -- the partnership there is very promising because here we are tying up with a player who's got the skills or experience in the early stages.

And we've got experience and capacity in the commercial stage. So this is going to be a complementary partnership both in terms of how we utilize our common capacities to -- capabilities in a more complementary manner, but also it will open up access for us in the U.S. markets to customers.

Archit Joshi: Got it, sir. And with the same American partner that we are speaking of, we have intended to commission around INR160 crores in Phase 1, which I think Vishadji mentioned earlier is towards this particular contract. But the total capex number being INR288 crores, I was just wondering if there are 2 dedicated blocks separate to service different customers? Or how should we read this?

Anish Ganatra: So say, let me first sort of clarify this, okay. In CDMO business, we do not have any dedicated blocks. When we say dedicated, dedicated, what we mean is we've allocated the capacity. There's no concept of dedicated plants, there's no concept of take or pay or anything of that sort, okay? The other thing that you talked about was the reference you made to the Phase 1.

The Phase 1 supports the European-based API customer and not the American one. The third thing to point out is we have entered into a partnership with

the American API. It's a strategic partnership, which means we have an arrangement, a mutual beneficial commercial arrangement that we will tap into our respective capabilities and we see how to maximize the value of that relationship.

Archit Joshi: Got it, sir. And just one last clarification. I wanted to squeeze in. Earlier, just picking up cues from the previous calls, I think the multipurpose plant that we had announced our capex for, we had close to 3 molecules towards agri, and I think 1 was in the pipeline which you were supposed to go towards pharma. And we are now speaking of 4 more molecules, I think which takes the total tally to close to 7, 8 molecules. So these new 4 molecules would effectively come under the same ambit of the total potential that we are talking of, let's say, INR60 crores to INR70-odd crores.

Would that be a fair assumption?

Anish Ganatra: No. So again, you know what I think you're mixing 2 things up because the MPP 1 client had certain molecules that have been brought into play in the Dahej, and that was an indication. Your first comment relates to that. I think the second comment which I was talking about 4 new molecules, as I said, 3 of those are actually coming in Surat and one is being introduced in Dahej. So they are mutually exclusive in that sense.

Moderator: The next question is from the line of Madhav from Fidelity.

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Madhav: Sir, my question was on the R32 capacity. Just wanted to understand, given that we are -- actually, first question here is, why did you not announce these 4,500 tons earlier, then you can make use of the quota for CY '24 as well because this baseline period has been known. So I'm just wondering why announce it now and not earlier than sort of let go of 14, 16 months of production for the quota?

Anish Ganatra: So again, a good question. I mean I think -- see, this is something that is a homegrown developed technology. Having done the first phase gives us significant confidence of going into the expansion. And so one driver is that. Second, we believe that the R32 pricing environment will see a similar pricing environment that you saw in R22 as the quotas kick in, etcetera, etcetera. Third, we know that it's a low GWP product. So it has a longer play apart from having a play in the transition to HFO eventually, whether in India or outside. Outside the likelihood, overseas of it being used in blends. Similarly, in India, that transition will also go to blends, etcetera. So we have strong belief on the demand for this. We also think that this is very strategic for us in the sense that it secures our play in the industry and the market position that we have. So to answer your question in a simple way, better late than never..

Madhav: Understood. And when you said pricing should be like R22, basically, you're saying that once the quota, etcetera, is frozen after CY '26, as demand kind of grows because India should -- and the world should see good pickup for R32, as you mentioned, across various blends etcetera. So you're saying that's why demand support should be quite tight for this product longer term, is that how we should reason.

Anish Ganatra: Yes, yes. So both the demand side and also I meant that you've seen an R22 that every time the quota kicks in, the pricing sort of becomes more tighter, right, and more stronger. So having -- so that's what we expect to play. Of course, this is a long play. So things will pan out as they pan out. But it's not unfair to expect a similar pricing curve that you saw in our R22 in R32. You would expect to see something similar play out.

Moderator: The next question is from the line of Rohan Gupta from Nuvama.

Rohan Gupta: Just first is on taking from the previous question itself sir, so R32, you had mentioned that the current capacity has been fully utilized. While

we understand that the industry scenario still remains weak and there has been significant capacity additions that have happened. Just wanted to understand, sir, what is driving this demand, whether it's domestic exports from where it will be primarily coming from the exports market? Or what is the driver?

Anish Ganatra: So our -- so first, your -- the 4,500 we talked of is absolutely, we've had very good response. And the uptake is very good. So that is not a question. And also in our conversations both with the industry and globally, we believe that R22 has a very unique play in the transition. As I mentioned earlier, the blending opportunities will increase, but given one, it is low GWP and it is a fairly competitively priced product compared to HFO. So you will see it being played more and more in the blending philosophy even globally. Our view is also that India itself will have short capacity to meet the demand from '28, '29 onwards.

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Rohan Gupta: Sir, my question was around the current demand environment of R32, which you have mentioned that the plant is fully utilized.

Anish Ganatra: Yes. So current demand is fully utilized. It's not a problem. My reference on pricing pressure was in relation to R22, unless I'm -- I don't know if that was what was driving the confusion.

Rohan Gupta: No, sir, I'm talking about R32 only. And just wanted to understand what is the driving factor for R32 which has led to full utilization at our plant?

Anish Ganatra: Driving factor is there's enough demand. I mean that's -- I don't -- sorry.

Rohan Gupta: Sir, second question is on your...

Anish Ganatra: So R32 is also being exported. And as you know, even in U.S. as the quota -- as the restrictions kick in, I believe it's from 1st January of this year, the blending potential for R32 will also

increase, like I said before.

Rohan Gupta: Okay. Sir, second question is some clarification with -- sir, can you hear me?

Anish Ganatra: Yes.

Rohan Gupta: Sir, second question is on the CDMO U.S. -based new contract, which we have done with. So just wanted to understand that about -- a little bit more about this new customer, the kind of chemistries which we will be doing here and the kind of investment which we may need to put for this CDMO/cGMP facility. If I clarify the INR288 crores investment, which has been approved by the Board, it does not include this U.S. -based new customer coming in, right?

Anish Ganatra: So can I just clarify, the U.S. -based partnership is with another CDMO player. It's not a customer. There are 2 capabilities here. We bring in fluorination capabilities, apart from other chemistry synthesis that we are good at. Those players, the CDMO in the U.S. also brings in their unique capabilities to the table. They bring in their access to the U.S. market, we are stronger in the Europe market.

So we're bringing that. So I think it's a partnership in that sense where we share the chemistry capability with each other. We share the market capability with each other, and we allow access. So it's an enabler to future growth. There is no investment involved in that. The European -based MSA, which is a customer where we have to do investment. So the INR160 crores supports that MSA.

Moderator: We have the next question from the line of Dheeresh from WhiteOak.

Dheeresh: So Anish, when you are explaining the project's revenue potential, the key projects that we had undertaken in the last few years, I just want a clarification on that. So Orchid is where we are seeing INR400 crores revenue potential, right?

Anish Ganatra: INR460 crores is the peak annual revenue is what we are saying.

Dheeresh: Understood. And this we expect to do in FY '25 as per my current understanding?

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Anish Ganatra: Yes, i

n FY '25.

Dheeresh: Okay. MPP, which was supposed to be INR280 crores as per my understanding on an annualized basis, we are saying -- we are turning 80% of that in current year and then do full in FY '25, right?

Anish Ganatra: So MPP1, which you said that was, I think, INR260 crores to INR280 crores as far as my memory goes. And I'm saying 80% of that. Yes, that's right.

Dheeresh: 80% in FY '24 we'll do.

Anish Ganatra: As I said, it's the range, yes, INR260 crores to INR280 crores.

Dheeresh: Yes. Yes. Understand, understand. I understand, not a precise estimate just the range I am trying to understand.

Anish Ganatra: I'm giving you a broad sort of indication that while we have had -- we would have thought that should have come in this year fully, it has slipped slightly, but not materially is all I'm saying.

Dheeresh: I totally understand that it's not a point estimate. There will be a range around it, understood that. Freesia which is agro intermediate, that was supposed to be INR160 crores that we have already done full revenue this year, right?

Anish Ganatra: That's correct. That we expect by end of FY '24.

Dheeresh: What about next year?

Anish Ganatra: So next year will have 2 years to run its par once it (new agro -capacity) comes into play, which, again, I think that as we see today, that's the target.

Dheeresh: FY '26 is when you expect to hit INR600 crores.

Anish Ganatra: So if we are saying the chemical reaction we said we will start in March or end of March, and with first supplies coming in July for all practical purposes, I would see the 2 -year period being FY '27, that's when you should start to see or expect to see peak revenues.

Moderator: The next question is from the line of Ranjit from IIFL Securities.

Ranjit: My question is largely on the thought process. Earlier, we were only kind of sticking to R22, now over the years we have seen kind of a diversified to HFO and now we are also getting aggressive in R32. How do we see the refrigerant space evolving probably 5 years down the line? Is there a plan to further diversify into more refrigerants, given that we have an HF capacity coming in the Dahej in 3 years' time frame?

Anish Ganatra: Sir, Ranjit, again, if you look at the refrigerant growth space, even in India is growing at double digit. R32 is also having a CAGR globally of double digit. Will we remain in refrigerant space?

We were pioneers in that space. I think it makes sense for us to remain in that and play into the

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transition from high GWP to low GWP to eventually HFO. So we will be playing our part as a player in the industry in that transition. I don't think we've ever said we would not do that.

Ranjit: So will that also pay way for our entry into blends in the future?

Anish Ganatra: I can't speculate that, but I'm kind of saying the whole landscape is open, depending on what opportunity is available and how our capabilities are there to tap into it.

Ranjit: One last...

Anish Ganatra: But we will move fast wherever we see the opportunity is right, and our capabilities meet that.

Ranjit: Right. Understood. And any plans on utilization of HF capacity that is likely to come up in a couple of years at Dahej?

Anish Ganatra: Lots of things are being worked in the hopper and lots of things will be progressed in a progressive fashion. But we've consciously put in the capacity to ultimately use in the downstream. We are -- and I think we've said this before, we will be looking at emerging sectors, etcetera, as we progress into the future. So some of that will play out as well.

Ranjit: Hopefully, we should hear in next year, next fiscal something -- some announcement on this...

Anish Ganatra: I'm not going to second guess that one. It would be when it would be. We are working at it, believe it, as soon as we can talk

about it, we will talk about it.

Ranjit: Right. So the question was because even on the cGMP4, we have kind of given out a 3-year time period to kind of Phase 1 and Phase 2 so whenever we do make an announcement, even on that new emerging opportunities, one should take a similar time frame. So that was the impact....

Anish Ganatra: So I mean, again, I know what you're saying there, but the intent is there. We're working, it is in the hopper. I mean I don't know what else to say at this stage. It will be -- it will come when it will come Ranjit. But it's not something that we have lost line of sight to. We are putting a lot of effort internally to progress that area. So if things materialize, we'll probably hear on it sooner than later.

Ranjit: Right. And finally, on the gross debt level, can you share the figure for -- the gross debt figure for the December ending quarter.

Anish Ganatra: Gross debt figure is INR 1,200 crores, including I'm talking the expanded debt, including what we take borrowed on working capital, yes.

Moderator: Ladies and gentlemen, in the interest of time, that was the last question. I would now like to hand the conference over to the management for closing comments. Over to you, sir.

Anish Ganatra: All right. I would like to thank every one for taking the time out in joining the call today. I hope we've been able to respond to your queries adequately. Thank you all. Have a good evening, and good night. Thanks.

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Moderator: On behalf of Navin Fluorine International Limited, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

Call: Feb 2024

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February 13, 2024

BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Fort,
Mumbai 400001
Scrip Code: 532504 National Stock Exchange of India Limited
Exchange Plaza,
Bandra Kurla Complex, Bandra (East),
Mumbai 400051
Symbol : NAVINFLUOR EQ

Dear Sir / Mad am,

Sub.: Transcript of Earnings Call held for the quarter ended December 31, 2023

Pursuant to Regulation 30 read with Schedule III of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the Company's Earnings Call held on February 06, 2024 regarding discussion on operational and financial performance of the Company for the Quarter ended December 31, 2023 (Q3 of FY 2023-24) is enclosed herewith.

This intimation is also being made available on the Company's website at www.nfil.in.

Request you to take this intimation on record.

Thanking You,

Yours faithfully,
For NAVIN FLUORINE INTERNATIONAL LIMITED

Niraj B. Mankad
President Legal and Company Secretary

Encl.: a/a

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"Navin Fluorine International Limited
Q3 FY24 Earnings Conference Call "
February 06, 2024

MANAGEMENT : MR. VISHAD MAFATLAL – CHAIRMAN –

NAVIN FLUORINE INTERNATIONAL LIMITED
MR. ANISH GANATRA – CHIEF FINANCIAL OFFICER –
NAVIN FLUORINE INTERNATIONAL LIMITED

INVESTOR RELATIONS PARTNER – ORIENT CAPITAL

MODERATOR : MR. BHAVYA SHAH – ORIENT CAPITAL

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Moderator : Ladies and gentlemen, good day, and welcome to the Navin Fluorine International Limited Q3 and 9 Months FY '24 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Bhavya Shah from Orient Capital. Thank you, and over to you, sir.

Bhavya Shah: Thank you, and welcome to the Q3 and 9 months FY '24 Earnings Conference Call. Today on this call, we have Mr. Vishad Mafatlal, Chairman; Mr. Anish Ganatra, Chief Financial Officer of Navin Fluorine International Limited. This conference call may contain forward-looking statements about the company, which are based on beliefs, opinion, and expectations as of today. Actual results may differ materially. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict. A detailed safe harbor statement is given on page number 2 of investor presentation of the company, which has been uploaded on the stock exchange and company website.

With this, I now hand over the call to Mr. Vishad Mafatlal for his opening remarks. Over to you, sir.

Vishad Mafatlal: Ladies and gentlemen, I would like to welcome you all to Q3 and 9 months FY '24 Earnings Call. I'm joined by our CFO, Mr. Anish Ganatra, and Orient Capital, our Investor Relations adviser. I hope everyone got an opportunity to go through our financial results and investor presentation, which has been uploaded on the stock exchange as well as our company's website. Before I start with my comments on the business performance, I would like to brief you on a few developments at Navin Fluorine. The Board of Directors at the Board meeting held has approved 2 capex's amounting to INR372 crores to be funded through internal accruals. A capex of INR288 crores towards setting up a cGMP4 facility with the capacity of 200 KL. The capex will be done in phases. Phase 1 with the capacity of 100 KL will have an outlay of INR160 crores, which is expected to be commissioned by end of CY '25. Phase 2 of the capex will be initiated based on the progress of MSAs and projections for the business.

I am pleased to inform you we have expanded the MSA with the European-based API customer to cover 2 new molecules, 3 in total. These molecules are in intermediate to a patented commercial product with promising prospects. The MSA is expected to contribute materially to CDMO revenues from FY '26 and beyond.

The proposed cGMP4 Phase 1 capacity is critical to support the MSA and also unlocks the \$100 million top line aspiration for the business vertical. Further, we have entered into a strategic partnership with a U.S.-based contract development and manufacturing company. This partnership will be mutually beneficial by providing access to new chemistry capabilities to Navin in addition to scale-up opportunities and also deepening our customer penetration in the U.S. As indicated at our previous calls, our CDMO business is rebranded as Navin Molecular.

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Navin Molecular brand will help further sharpen our value proposition to offer a wide ranging CDMO services to our customers, supporting projects, including nonfluoro projects through the clinical phases of commercial manufacturing. While the current order book for this segment continues to be built with efforts already done to strengthen and focus our business development team, we are confident we will be able to deliver growth in this vertical which is visible from

on

the second half of FY '25.

Second, a capex of INR84 crores to enhance our HFC capacity, another 4,500 tons of R32 refrigerant gas which will be operational by Feb '25. Our earlier capex of R32 is commissioned

and fully operational at an optimum capacity. The new capex is aimed at securing our market position in the refrigerant gas space over the next decade and beyond and is underpinned by our belief of the market demand growth, also feedback from industry players in India and globally. Coming to our existing facility. As indicated in the past, we continue to drive operational excellence while executing projects in a disciplined fashion within a tight financial framework. In particular, our HF plant, R32 plant, R22 plants are running at optimum capacity. We continue to work jointly with Honeywell to ramp up our plant at Dahej. Though this is taking longer than expected. However, we are hopeful of putting this behind us soon.

The agro specialty plant at Dahej is progressing well, with chemical charge expected by end of March /April, followed by a first commercial supply by end of Q1 FY '25. Our AHF project at Dahej is progressing well and is as per schedule. A capex of INR30 crores towards development of a completely new capability in Surat is on track and is expected to generate revenue from FY '25.

I'm also pleased to inform that with the view to incentivize and retain critical talent, the NRC and the Board has granted 2,27,500 options under the ESOP scheme at the prevailing market price. The options are awarded to a small pool of critical resources across our organization. The Board and I also have progressed on the search for a new CEO. We have shortlisted the pool of candidates that have been further evaluated and hope to conclude the process soon. Our key criteria remains unchanged. The candidate must have strong industry experience with an execution excellence bias and solid understanding of the growth drivers.

Finally, I'd like to end by stating that the quarter has been a tough one, not just for Navin but for the entire industry. Globally, unpredictable weather conditions, destocking of high-value inventory and cash flow management from ag majors has impacted the entire industry. Global agrochemical players are cautious on forecasting of new demand resulting into headwinds for the Indian ag chemical players. We expect clarity on demand visibility by Q1 FY '25. However, our mid- and long-term view of the business remains intact. Our focus is to continue to drive operational excellence while making investments to ensure that as and when the short-term headwinds turn, Navin is well positioned to capitalize on the same. With that, over to you, Anish.

Anish Ganatra: Thank you, Vishad bhai. Good evening and thank you all for attending the earnings call. The revenue and profitability in Q3 FY '24 were below our expectations. Let me take you through Navin Fluorine International Limited
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business-wise performance for the quarter. Our specialty business was impacted due to deferment of campaigns and inventory destocking within our customer channel partners. On the positive side, we have added a new molecule in the last quarter at Dahej and 4 more molecules are in pipeline for the next quarter. We are confident with the strong partnership and technology platform; we will continue to deliver innovative offerings to the customers. Our HPP business was impacted due to ramp-up challenges for our HFO plant. We continue to work closely with our partner to further improve and enhance productivity of the plant. Ref gas, in particular, R22 continues to face pricing pressure, especially in the international markets. We expect the pricing to stabilize by the end of the fiscal.

The R32 plant commissioned earlier in the year has stabilized and is operating at an optimal capacity. Our CDMO business revenues in

the last quarter were below its potential. This business is lumpy in character. Hence, we cannot analyze the performance on a quarter-on-quarter basis.

Some of the key campaigns from the last fiscal are deferred and a couple of early phase molecules dropped off from clinical trials due to data not meeting the defined endpoints. As indicated by Vishadbhai the expanded MSA with European-based API customer and the strategic partnership with U.S.-based CDMO are promising and expect it to contribute along with renewed business development effort to the growth from second half of FY '25.

Moving on to financial performance of the company in Q3 FY '24. The sales in this quarter were impacted largely due to the following reasons: lower sales in CDMO segment, which is a higher-margin business vertical, slower ramp-up and stabilization of production at Dahej, lower orders in specialty due to global inventory destocking, pricing pressure in exports markets for R22, deferment of sales from 4 specialty molecules from Q3 FY '24 to Q4 FY '24.

Lower-than-expected sales resulted in decline of EBITDA margins reflected in the lower operating leverage. However, approximately 3% to 4% of the margin impact is due to one-off fixed cost, deferral of specialty molecules and delayed stabilization of HFO plant, which we expect to recoup. Further, as market conditions improve, we should start to see EBITDA margins rebound to the 24%, -25% range.

I will now share the highlights of our performance for Q3 FY '24- and 9-month FY '24, post

which we will be happy to take questions from all of you. For 9 months FY '24, on a consolidated basis, the company reported revenue from operations of INR1,465 crores as against INR1,380 crores in 9-month FY '23, reflecting a growth of 6% year-on-year.

Operating EBITDA stood at INR288 crores as against INR349 crores in 9 months FY '23, down by 17%. Operating EBITDA margin stood at 19.7% as against 25.3% in 9 months FY '23, lower by 557 basis points. Exceptional item includes gain from sale of surplus unused colony land at Surat for INR54 crores.

The profit after tax stood at INR200 crores for 9-month FY '24 as against INR239 crores in 9-month FY '23, reflecting higher depreciation and finance costs associated with Dahej assets.

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Now coming to the quarterly performance for Q3 FY '24. The company reported net revenue from operations to INR502 crores against INR564 crores in Q3 FY '23. Operating EBITDA was INR76 crores as against INR156 crores in Q3 FY '23. PAT stood at INR78 crores as against INR107 crores in Q3 FY '23. As mentioned earlier, PAT includes exceptional income from sale of surplus unused colony land at Surat.

Within the context of short-term headwinds, we have continued to ensure a tight financial framework. In particular, for the first 9 months of FY '24, the business has generated operating cash flow delivery of INR523 crores.

Focused efforts on reduction of working capital has secured the release of about INR253 crores cash during 9-month FY '24, net working capital days remains within the 90 days of sales guideline provided earlier. Our net debt-to-equity ratio at the end of December stands at 0.38x. The 2 new capex's that Vishadbhai referred, aggregating to INR372 crores, will be fully funded through internal accruals.

So that is it from my side. We will now open the floor for question and answers. Thank you very much.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Abhijit Akella from Kotak Securities. Please go ahead.

Abhijit Akella: A couple of questions, one on specialty chemicals and one set of questions on CDMO. In picking first, if you could please help us with an update on some of the key growth projects we've been implementing. So what exactly

is the capacity utilization of the multipurpose plant? And how do we see it ramping up next year?

Do we still expect it to hit full utilization in CY '24? Also, any discussions with the customers for the dedicated plant, which is already running at optimal capacity to double the capacity there or expand. And finally, the 5 new molecules that you've talked about, 1 introduced this quarter, maybe there's 4 more next quarter. What might be the revenue potential from these?

Anish Ganatra: Abhijit, it's Anish here. Thank you for the questions. So on the capacity, as you know, we never generally talk about capacities. But what I will tell you is that in the spec chem space, we had 3 capex's. One was the MPP1 at Dahej. Then there was the MPP2 at the Dahej, and the agro-specialty plant -- dedicated agro specialty plant, part of it, which is dedicated. So on MPP1, in kind of FY '24, we expect that 80% of the peak annual revenue that we've indicated to you guys will be met.

In MPP2, we believe that in FY '24, we will have already achieved the peak annual revenue. The dedicated agro specialty plant is expected to start chemical reaction by end of March or early April, latest. And the first commercial supplies are expected to be in end of 1Q FY '25. So I don't know if that answers your questions on the capacity on new agro capex's in the spec chem bases. But I'll take your question on the molecules in a second. But let me know if you've got anything more on that.

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Abhijit Akella: No, that's helpful, Anish. So just to clarify, the multipurpose plant for which we had a revenue potential of about INR270 crores. That one is running at about 80% in fiscal '24 itself. You said it? And the other one, which was INR160 crores revenue potential, that one is at full utilization for fiscal '24.

Anish Ganatra: That's exactly right, Abhijit. So I mean, I wouldn't say 80% capacity, but I'm referring to the 80% peak annual revenues, yes.

Abhijit Akella: Okay. Understood.

Anish Ganatra: When we start -- when we factor in or model these multipurpose plants, they're not modelled to run at 100% capacity, right? They're modelled to certain utilization level, given that there will

be batch processing, yes.

Abhijit Akella: Okay. So of the INR270 crores, we are talking about 80% here.

Anish Ganatra: Yes. On the 5 molecules that you mentioned, 1 molecule has come into play in 3 quarter, 4 we were expecting in this quarter. Some of that has been deferred to next quarter because of customer requests and some of that has been deferred because we needed more time on the chemical reaction side, but we expect all of those to come into play by the end of Q4.

Abhijit Akella: Any revenue potential from these that you could share?

Anish Ganatra: I would not like to speculate that at this stage. Leave it to when we get to say it, yes.

Abhijit Akella: Got it. And just the other one I had was on CDMO. So while we've talked about the capex number for this MSA with the European customer, is there a revenue number also you could point at? And the other one was just that there was this large purchase order of \$60 million that we had a year back or so, we were expecting some renewal of that order in CY '24. So any update on that?

Anish Ganatra: So on the CDMO side, see normally that business is not associated with guaranteed MSAs or contracts, right? But -- so if you're asking -- if your question was around as to what is the capacity. That's difficult to -- I mean, in terms of the revenue potential you're looking for, see our typical asset term in CDMO tend to be about 1.75 to 2x. So that wouldn't be sort of different here either. But neither the MSA nor the projections are sort of guaranteed. The thing I can tell you is the commercial product that these intermediates go into is a patented product, and the prospec

ts are extremely promising, and we are very excited with it as well.

Abhijit Akella: Sure. And on the purchase orders, any update on that for the upcoming year?

Anish Ganatra: Purchase order for?

Abhijit Akella: There was this \$16 million PO we had about a year back, and we were expecting a renewal of that order in CY '24.

Anish Ganatra: So that order has been deferred to this quarter -- coming Q4 quarter, the \$18 million.

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Abhijit Akella: So 4Q FY '24 will have an \$18 million delivery.

Anish Ganatra: Sorry. So -- sorry, you are referring to the last year that we've done the molecule in Q4, is it -- is that what you're referring to?

Abhijit Akella: Yes, yes, Q3 and Q4 of last year.

Anish Ganatra: So that as I mentioned in my commentary, those campaigns are not expected to come in this fiscal, they will come in the following fiscal. Sorry, just to clarify that.

Abhijit Akella: Yes, that's fiscal '25, right? The upcoming year, '24, '25.

Anish Ganatra: Yes. Correct. Correct. Correct.

Abhijit Akella: Okay. So we do have that visibility now clearly defined. That order is coming next year.

Anish Ganatra: We expect it's still kind of how good the business is, right? I mean, at the end of the day, the update we have at the moment that it is expected next fiscal, but we constantly remain in touch with the customers and projections could change. There is a lot of dynamism involved in this, Abhijit.

Moderator: The next question is from the line of Rohit Nagraj from Centrum Broking.

Rohit Nagraj: So my first question is on the HFO project. So just wanted some understanding. When we started the project within a period of 3 to 6 months, we went up to the optimal utilization. And now in the last 3 quarters, we've been struggling to again get back to the optimal level or the ramp -up is slow. So is there any deferred demand issue? Or is there any structural issue at plant level? And how do we foresee in terms of the revenue potential, which earlier we were envisaging about INR400 crores to INR500 crores annually. Whether we are on target for that in FY '25 or that is also deferred?

Anish Ganatra: All right. So let me take that in 2 parts. First is the HFO project, as you mentioned about the ramp -up and the stabilization of the production. Now the plant is a very advanced technology plant. Honeywell operates this plant apart from obviously with us in India, in China and in the U.S. And one of our learnings out of this is being that the operating -- the optimum operating parameters of this plant is in a very, very narrow range.

So as we experience issues, we have to be very precise in terms of how the planned parameters are being set. And that's a learning experience. Unfortunately, we did not take into account as we started the ramp -up and the technology absorption. So that has taken a little more than what we would have liked to have. But there are no structural problems. We're very closely working on this with Honeywell to resolve and fix it. And we hope that this will be behind us very, very soon, yes. So that's the first part of the question.

The other part in terms of is there -- on the demand side, now while we are being able to dispatch and meet Honeywell's requirements on what they have ordered from us as a result of the contract that we have, the demand, obviously, also is slightly subdued. So it is -- the orders at the moment

are at the minimum level of what we have under our contract, not at the higher end of that.
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To answer your question on the peak annual revenue from that in terms of what we've promised. We believe that in -- it's already on track. So the FY '23, we commissioned, we said in 2 years, we will be at the peak annual revenue of up to about INR460-odd crores per year

, which we are

on track. That doesn't change.

Rohit Nagraj: Sure. That's helpful. Second question is, again, similar on CDMO. So we've been guiding that - on a normalized basis, we will have about \$40 million of yearly run rate barring any lumpiness on a quarterly basis. So how are we expecting the run rate during FY '24 and in FY '25, as you mentioned that there will be this additional order of maybe \$16 million to \$18 million, would that be over and above this normalized run rate of \$40 million?

Anish Ganatra: So in CDMO, typically see, as I've mentioned this before as well Rohit, the business itself is very lumpy, plus what we've done, as I've told you before, is we changed our mindset. Earlier, we are focused on early-stage molecules. We are now complementing them with commercial stage molecules, right? As we go on into next year, our expectation is that about 30% to 35% to 40% of the revenues will come from commercial stage molecules.

And this is where our entire team is focusing efforts on. We will have some contribution from the European-based API customer into next year's revenue, though, of course, that revenue will come in materially or start to make material impact on the numbers from FY '26. Additionally, the strategic partnership that Vishad bhai referred with the CDMO in the U.S. will also open up opportunities. But all those efforts are ongoing. This is -- obviously, it's going to be in addition to any order that we get from ongoing campaigns. All these efforts are going to be in addition to that. But I wouldn't sort of be able to put a number on it at this stage.

Moderator: The next question is from the line of Sanjesh Jain from ICICI Securities.

Sanjesh Jain: I got a few of them. First, on the R32. We thought that R32 capacity addition was frozen in December '23. Can you just help us understand the regulation now that we are going to expand, does this qualify for the quota determination period because this capacity is coming after December '23.

Anish Ganatra: Okay. You want to finish questions or should I take them one by one.

Sanjesh Jain: Sir, let's take one by one.

Anish Ganatra: Okay. So the regulation around the December '23 date is actually for receiving subsidy under The Kigali Agreement. The quota period is the average production you have in '24, '25 and '26, '27 being the unrestricted year, and from '28, I believe, the quotas kick in, with '32 being the first year of phase down at 10%.

Sanjesh Jain: This capacity will not qualify for subsidy payout, but this whatever we sell from this plant will qualify to get the baseline capacity for the next.

Anish Ganatra: That's right. So the baseline capacity will ensure our position, our ability to tap into that market remains intact. So yes, you're right. The numbers, the production will factor into the quota determination.

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Sanjesh Jain: That's fairly clear. Got the regulation clear now. The second is on the gross profit margin.

Sequentially, it is down by 500 basis points in the stand-alone entity, close to 430 basis points, while the mix in the CDMO business has improved. Anish sir, can you help us understand what is driving down the margins in this quarter despite having a higher CDMO contribution?

Anish Ganatra: So you're referring to stand-alone, right?

Sanjesh Jain: Yes, stand-alone. As well as consol as well. Consol also, we had a equivalent decline in the gross profit margin, which is your...

Anish Ganatra: So on a stand-alone the sort of main drivers over there of lower margin are really the ref gas environment. There's a pricing sort of pressure in R22 which has sort of affected it. The fluorspar crisis, we had high-value inventory in stock, which has kind of played into it as well. Of course, as we deplete that stock, we expect that to be recouped from next financial year.

In addition to that, we've had some one-off charges in the business. So if I look at your 20% to 15%, as you said, sequentially, right, 5% roughly. That 5% broadly is split out in those 3 compartments, about 1% being on spar prices, about 1.8% to 1.9% being on R22, the reasons I talked about, and about another 1.4% relating to one-off charges. So most of this, know, Sanjesh, we expect to recoup as you can obviously see the reasons play out, most of them with loss margin

will be recouped over time.

Sanjesh Jain: Just one follow-up on this, Anish sir. I thought fluorspar prices have actually gone up. That means inventory -- excess inventory should have positively benefited us on the gross profit, right?

Anish Ganatra: No. So fluorspar prices have gone up, but it depends on what our contracts are, right? I mean if you look at it, this -- the material that we are now consuming is at higher fluorspar price. If you know, when we started off, I think, at the end of March '23, we had high inventories of low fluorspar prices. So that inventory is depleted and the new fluorspar inventory has come in, which was our contract from the last calendar year, and which is why I said we expect this to be recouped because as we go forward, we'll again see the benefit of low spar prices come back into the play.

Sanjesh Jain: Got it. Again, sorry, I'm sticking to a few bookkeeping questions to get the modeling right. The other expenses has also gone up sharply quarter-on-quarter. Any particular reasons for that? Or it is largely to do with the HFO plant getting corrected in the Dahej and that's been booked here.

Anish Ganatra: So the other expenses that you see in the -- as reported comprises both of production-related expenses as well as fixed costs. As I've already told you, there is an element of one-off costs within that. But the way I would hold it for your modeling purposes, if you take the 9-month number, right, and you look at the quarterly allocation, I'm talking consol level, yes. I mean I'm not talking standalone. If you take that at a consol level, that broadly should be the number that we should look at. So INR120 crores to INR130 crores per quarter, roughly.

Sanjesh Jain: No meaning in looking at this quarterly number, it's better to look at...

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Anish Ganatra: Yes, because there are effects, right? I mean in some quarters, like this quarter, we may have a higher CSR spend compared to last quarter, etcetera. So those timing effects also come into play.

Sanjesh Jain: Fair enough, fair enough. I got two few smaller questions. One on the peak revenue from the HFO. Last time when we met, we said that the peak revenue because of currency as well as higher raw material prices now stands at INR5.5 million. But in your -- in the previous question for peak revenue being that INR4.6 million. What has changed in last 2, 3 quarters?

Anish Ganatra: No -- so I'm referring to peak revenue on the basis on which we made the promise to the market on that basis, saying that we had talked to, if you remember, I think it was INR2,800 crores over 7 years, something like that, right? So I'm saying that on that basis, when you talk of INR2,800 crores over 7 years, what we are expecting to see in FY '25, you will largely see that, that would be met.

Sanjesh Jain: So we will be doing INR460 crores in FY '25.

Anish Ganatra: Yes, yes. That's our hope, yes. That's where we are today.

Sanjesh Jain: That's what we are looking at today. Fair, fair. My last one is on the dedicated facility. I think dedicated facility; we ramped up completely. Now we are talking of an 80% utilization. It's more of a timing issue that 80%...

Anish Ganatra: So Sanjesh, just to clarify, the dedicated capacity, as you rightly mentioned, has already been ramped up. In FY '24 itself, we would have achieved the peak revenue

that we'd indicated. The

multipurpose plant, which is not dedicated, I said 80% of our top line revenue, the peak revenue that we had indicated, we expect to see in FY '24 itself.

Sanjesh Jain: That's fine. I think I got confused between the two plants.

Anish Ganatra: No, no worries.

Sanjesh Jain: Sir, one last question on the CDMO. Previously, we said that we will be able to achieve that \$100 million revenue from existing cGMP 1,2,3 and cGMP4 will help us expand from there.

Anish Ganatra: So that's -- sorry, I don't mean to interrupt you, but yes, finish your question.

Sanjesh Jain: I got you -- you got the question and that's what I was...

Anish Ganatra: Okay. No. So what we said was that 1, 2 and 3 would not be sufficient to take us to \$100 million. We would need a 4. If you see what we've done is while announcing the capex for 4 at INR288 crores, we have opened up Phase 1, which we believe is very, very critical to support the MSA that was referred by Vishadbbhai. And that not only supports the MSA, but also unlocks our ability to achieve that \$100 million. So it's a double side thing that you will see just with that portion of the capex.

Sanjesh Jain: And we still hold that by FY '27, we should be hitting that \$100 million kind of number.

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Anish Ganatra: So that is directional, okay... That is directional. It could be '27 or '28. Would I worry about it

if it slipped by a year, I wouldn't care about it. I mean, directionally, we are there. Does pace matter?.

Sanjesh Jain: No, no, that's fine. That's very difficult to predict, but I got the point.

Anish Ganatra: Yes. So the idea is, today, we are investing in the business with that as an aspiration, yes?

Vishad Mafatlal: So Sanjesh, just one thing to add is the sheer fact that -- in this market, we are going ahead with the calculated investment in this business is the belief that the management and the customer have the understanding and the belief in us that we can deliver, we are the right partner of choice and that this business is going to increase going forward. And that time, if we go ahead and invest, we will lose out because customers today are looking at capacity. They cannot wait if the molecules are flying off. So it's our definite belief that going forward, this business has to reach the optimum levels that you have discussed with Anishbhai.

Moderator: The next question is from the line of Siddharth Gadekar from Equirus.

Siddharth Gadekar: First on the specialty chemical business, with capacity utilization that you have alluded to in this quarter for the entire year, if we do a back calculation, it seems the base business specialty, which was there till FY '22 would have declined by anywhere between 45% to 50%. What has led to that significant decline? And how should we look at that business going ahead?

Anish Ganatra: No. So when you talk of the base business, I think you're referring to our legacy capacity in Surat, right?

Siddharth Gadekar: Yes.

Anish Ganatra: Yes. So there are 2 things that have happened this year, yes. There has been 2 sorts of -- one of our molecules in Surat has faced some demand challenges, which has started to recover. But during the year, that has been the case. The other thing also to remember is that we ran several campaigns from Surat last year, which obviously have not seen themselves in this fiscal, but are expected to come back into next fiscal.

The third thing is I referred to the 4 molecules. Out of the 4 molecules, 3 molecules, I believe, are going to come in Surat. So all of that is going to bring the business again in the base. So some of the nature of these businesses is when it's campaign-driven, you kind of tend to see that year-on-year, yes.

Siddharth Gadekar: Okay. Got it. Sir, secondly, on the HFO side, we have always spoken about the debottlenecking, w

hich was expected to come in CY '23. And then we were also talking about a possibility over Phase II. Where do we stand on that project?

Anish Ganatra: So again, see, the thing is I don't know how this gets -- I'm going to clarify this once again. The debottlenecking was a project and is a project that remains in our hopper. It is not a project that has matured enough for us to even take it to the Board. As and when that matures, we will take Navin Fluorine International Limited

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it to the Board, we will announce it to the market. So that is a possibility in the hopper, much like a lot of other projects that we have in the hopper.

We continue to look at these, develop this and those become conversations with customers, okay.

So that is not to be taken as something that we have committed to. Yes. And similarly, on your question on the doubling the capacity of HFO, etcetera. I mean, our discussions with Honeywell and particularly between Vishadbhai and at the highest levels in Honeywell, cover a range of topics and range of opportunities. And depending on the market dynamics, those opportunities are being matured and will sort of see themselves come in to play. Sorry, you want to add something Vishadbhai? Did I answer your question, Siddharth?

Siddharth Gadekar: Yes. So just one last thing on R32 capacity. So going into CY '28, is it fair that we will be operating the capacity at around 66%, 67% capacity utilization?

Anish Ganatra: R32?

Siddharth Gadekar: Yes.

Anish Ganatra: No, R32 is a low GWP product with a very long cycle. So its first cut starts in 2032.

Siddharth Gadekar: But given that we have to produce an average of '24 to '26, so our average will be lower than what we produce in '25, '26. So technically, from '28 our production will be around...

Anish Ganatra: So what will happen is we currently have a capacity that's already in play at 4,500, right? So that capacity is actually operating extremely well, and we may be able to do more than 4,500. But argument's sake, let's just hold that to 4,500. So that 4,500 goes into the quota as an average of 3 years production, so 4,500.

With the current new capacity that we've announced today, we will be able to take in 2 years as opposed to 3 years because that plant will take 12 months to commission. So by February, we commission the plant, which means we won't have production for '24, correct?

Our production for '25 and '26, the production for '25 and '26 will basically get divided by 3. So that's what we'll get into the system in '28. So to answer you in a more simple and direct way, doing the math for you is basically, we are saying 9,000 metric tons will be our expanded

capacity and 7,500 will be the quota to us from '28 onwards.

Moderator: The next question is from the line of Vivek Rajamani from Morgan Stanley.

Vivek Rajamani: So first question on your Specialty Chemicals and the CDMO segments. In 2Q, you had mentioned we'd seen certain deferrals which you were expecting in this quarter. Just wanted to clarify if these are the same molecules which are continuing to see some sort of deferment or postponement even in this quarter? And if you could just spend a minute to kind of explain what exactly is the issues that the customers are facing with respect to some of these molecules?

Anish Ganatra: So some of this is -- it's a combination of deferrals -- and mainly deferrals. And also in some cases, we had to do more work on getting the chemical reactions right. But the deferrals are nothing different to what's happening across the industry at the moment. Everybody is looking

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at year-end and trying to reduce their inventory and cost of carrying the inventory, etcetera. So that's a deferral. It's not an order which is lost, but we expect that to be made up in this quarter.

r.

Vivek Rajamani: So you mean Q4?

Anish Ganatra: Yes, Q4. That's right.

Vivek Rajamani: Sure, sir. And the second question I had was, and I can understand this is a bit of a difficult question to answer. But just with respect to both your Specialty Chemicals and CDMO. Would it be possible to give a sense of how much do you think your portfolio is immune to these risks or deferrals? Or how much part of your portfolio do you think is actually immune to such risks? And how much is actually very, very reliant on the customers changing the use and demand? Would it be possible to give some sense there?

Anish Ganatra: So I can't -- so again, as you rightly said in the beginning, it's a very difficult question to answer. What I can tell you is strategically we try to play in products which go into early-stage patented life cycle. So that the risk of them being subjected to market dynamics, substitutes, etcetera, is reduced and is minimal, okay? That's our -- that's always been our philosophy, and that continues to be our philosophy. As Vishadhbhai tells us, he doesn't want to be in the me-too business. So that is our thinking, right?

But at the end of the day, the deferral again in CDMO, what you talked about -- see in CDMO, the deferrals are not actually deferrals. They are the nature of the business. The CDMO intermediate business runs on a campaign basis. And those campaigns are ordered in 1 year, but then depending on how they are rolled out, etcetera, could take another year of gap and then come back to you.

So that happens as a very natural part of the business. What we are seeing in the specialty chemical business is what's happening by global majors to control costs, etcetera, and manage their inventories, etcetera, as you get into year end and obviously, look at destocking effects, etcetera, etcetera, which again, you probably know more than I do, Vivek.

Moderator: The next question is from the line of Chetan Thacker from ASK Investment Managers.

Chetan Thacker: Just two clarifications largely. One is on the HFO plant. Just wanted to clarify, so this year, we will be undershooting the optimum number that is there on revenue, and that should get back to that optimal number in FY '25. Is that correct understanding?

Anish Ganatra: So what I'm saying is that in FY '25, we expect the peak annual revenue that we've indicated in rupee terms to be met. In FY '24, we will still be delivering the demand that Honeywell has put on us. So there is not likely to be any unmet demand. Like I said, as we speak and touch wood, the plant today is operating at 80% of what we expect it to.

Chetan Thacker: But the demand itself, you mentioned is subdued. So that would mean that the number itself is lower than the optimal number?

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Anish Ganatra: So the -- so as you have this, Chetan, in any of these agreements, you have a certain minimum demand and a certain maximum capacity demand, right, which you can't go beyond. What I'm saying today is that we have the minimum demand. If the environment was better, you would have probably seen it higher than that minimum demand. That's all I'm saying.

Chetan Thacker: Understood. And sir, just on the specialty chemical bit, so the base business is expected to come back in FY '25. And the additional 3 molecules that will get added, that will also start to contribute in '25. That should be a fair understanding over and above what we're seeing in today's numbers.

Anish Ganatra: So over time, I mean, our philosophy is to optimize and utilize the assets across both the entities. See, we don't see this as entity-by-entity-by-entity conversation. We see it as a collective spectrum conversation on how to optimize the assets, whether they are in Surat or in Dahej.

Chetan Thacker: Understand. Just not talking about on an asset level, but at an overall revenue level, the number

that we are seeing today for FY '24. For FY '25, there will be a bump up which happens as the base business, again recovers, which you mentioned right now, campaigns come back and you see 1 molecule...

Anish Ganatra: So we have visibility to the next -- this Q4 being stronger than Q3, and I'm saying visibility to that. What we are saying, and this includes the deferral of the molecule that I mentioned, okay, as a result of that, too. What we also know and in speaking with our customers that the challenges within the spec chem business are going to play out and recovery is going to be progressively better next year. But we expect that recovery to be better in the second half of next year rather than the first half.

Chetan Thacker: Understood. And on the CDMO bit, again, FY '25 will start getting more towards normalization, and we remain -- we would adhere to the medium-term target of \$100 million once this cGMP4 comes in place.

Anish Ganatra: So directionally right. Again, we will given the efforts that we've taken, the agreements that we've done, including the 2 that we have discussed earlier that Vishad bhai pointed out it will take some time for us to play that out. So the CDMO business should start seeing in the way we've described to you a stable revenue from commercial business with capacities that we use to get higher-margin early-stage products. That will start becoming more and more visible again as we go into second half of next year.

Moderator: The next question is from the line of Archit Joshi from B&K Securities.

Archit Joshi: I just had a few facts checks, especially in CDMO. So you've had a few announcements in the past. So there was -- there's been a contract that we signed with Fermion. And then there was a discussion about the \$16 million PO with an American company. And now speaking of expansion of the MSA with 1 European customer and the commercial opportunity that we have received from an American customer. Is there any overlap with this?

Anish Ganatra: There is definitely overlap.

Archit Joshi: Yes. Right, sir. So...

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Anish Ganatra: There is definitely overlap, Archit. The first name that you referred is actually the European-based API. We had signed an MSA with them covering 1 molecule. Now this expands it to 2 molecules -- 2 more molecules. So in total, 3 molecules. Yes, and the American CDMO is something very new. That's absolutely recent. We've never announced that before. That -- the partnership there is very promising because here we are tying up with a player who's got the skills or experience in the early stages.

And we've got experience and capacity in the commercial stage. So this is going to be a complementary partnership both in terms of how we utilize our common capacities to -- capabilities in a more complementary manner, but also it will open up access for us in the U.S. markets to customers.

Archit Joshi: Got it, sir. And with the same American partner that we are speaking of, we have intended to commission around INR160 crores in Phase 1, which I think Vishadji mentioned earlier is towards this particular contract. But the total capex number being INR288 crores, I was just wondering if there are 2 dedicated blocks separate to service different customers? Or how should we read this?

Anish Ganatra: So say, let me first sort of clarify this, okay. In CDMO business, we do not have any dedicated blocks. When we say dedicated, dedicated, what we mean is we've allocated the capacity. There's no concept of dedicated plants, there's no concept of take or pay or anything of that sort, okay? The other thing that you talked about was the reference you made to the Phase 1.

The Phase 1 supports the European-based API customer and not the American one. The third thing to point out is we have entered into a partnership with

the American API. It's a strategic partnership, which means we have an arrangement, a mutual beneficial commercial arrangement that we will tap into our respective capabilities and we see how to maximize the value of that relationship.

Archit Joshi: Got it, sir. And just one last clarification. I wanted to squeeze in. Earlier, just picking up cues from the previous calls, I think the multipurpose plant that we had announced our capex for, we had close to 3 molecules towards agri, and I think 1 was in the pipeline which you were supposed to go towards pharma. And we are now speaking of 4 more molecules, I think which takes the total tally to close to 7, 8 molecules. So these new 4 molecules would effectively come under the same ambit of the total potential that we are talking of, let's say, INR60 crores to INR70-odd crores.

Would that be a fair assumption?

Anish Ganatra: No. So again, you know what I think you're mixing 2 things up because the MPP 1 client had certain molecules that have been brought into play in the Dahej, and that was an indication. Your first comment relates to that. I think the second comment which I was talking about 4 new molecules, as I said, 3 of those are actually coming in Surat and one is being introduced in Dahej. So they are mutually exclusive in that sense.

Moderator: The next question is from the line of Madhav from Fidelity.

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Madhav: Sir, my question was on the R32 capacity. Just wanted to understand, given that we are -- actually, first question here is, why did you not announce these 4,500 tons earlier, then you can make use of the quota for CY '24 as well because this baseline period has been known. So I'm just wondering why announce it now and not earlier than sort of let go of 14, 16 months of production for the quota?

Anish Ganatra: So again, a good question. I mean I think -- see, this is something that is a homegrown developed technology. Having done the first phase gives us significant confidence of going into the expansion. And so one driver is that. Second, we believe that the R32 pricing environment will see a similar pricing environment that you saw in R22 as the quotas kick in, etcetera, etcetera. Third, we know that it's a low GWP product. So it has a longer play apart from having a play in the transition to HFO eventually, whether in India or outside. Outside the likelihood, overseas of it being used in blends. Similarly, in India, that transition will also go to blends, etcetera. So we have strong belief on the demand for this. We also think that this is very strategic for us in the sense that it secures our play in the industry and the market position that we have. So to answer your question in a simple way, better late than never..

Madhav: Understood. And when you said pricing should be like R22, basically, you're saying that once the quota, etcetera, is frozen after CY '26, as demand kind of grows because India should -- and the world should see good pickup for R32, as you mentioned, across various blends etcetera. So you're saying that's why demand support should be quite tight for this product longer term, is that how we should reason.

Anish Ganatra: Yes, yes. So both the demand side and also I meant that you've seen an R22 that every time the quota kicks in, the pricing sort of becomes more tighter, right, and more stronger. So having -- so that's what we expect to play. Of course, this is a long play. So things will pan out as they pan out. But it's not unfair to expect a similar pricing curve that you saw in our R22 in R32. You would expect to see something similar play out.

Moderator: The next question is from the line of Rohan Gupta from Nuvama.

Rohan Gupta: Just first is on taking from the previous question itself sir, so R32, you had mentioned that the current capacity has been fully utilized. While

we understand that the industry scenario still remains weak and there has been significant capacity additions that have happened. Just wanted to understand, sir, what is driving this demand, whether it's domestic exports from where it will be primarily coming from the exports market? Or what is the driver?

Anish Ganatra: So our -- so first, your -- the 4,500 we talked of is absolutely, we've had very good response. And the uptake is very good. So that is not a question. And also in our conversations both with the industry and globally, we believe that R22 has a very unique play in the transition. As I mentioned earlier, the blending opportunities will increase, but given one, it is low GWP and it is a fairly competitively priced product compared to HFO. So you will see it being played more and more in the blending philosophy even globally. Our view is also that India itself will have short capacity to meet the demand from '28, '29 onwards.

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Rohan Gupta: Sir, my question was around the current demand environment of R32, which you have mentioned that the plant is fully utilized.

Anish Ganatra: Yes. So current demand is fully utilized. It's not a problem. My reference on pricing pressure was in relation to R22, unless I'm -- I don't know if that was what was driving the confusion.

Rohan Gupta: No, sir, I'm talking about R32 only. And just wanted to understand what is the driving factor for R32 which has led to full utilization at our plant?

Anish Ganatra: Driving factor is there's enough demand. I mean that's -- I don't -- sorry.

Rohan Gupta: Sir, second question is on your...

Anish Ganatra: So R32 is also being exported. And as you know, even in U.S. as the quota -- as the restrictions kick in, I believe it's from 1st January of this year, the blending potential for R32 will also

increase, like I said before.

Rohan Gupta: Okay. Sir, second question is some clarification with -- sir, can you hear me?

Anish Ganatra: Yes.

Rohan Gupta: Sir, second question is on the CDMO U.S. -based new contract, which we have done with. So just wanted to understand that about -- a little bit more about this new customer, the kind of chemistries which we will be doing here and the kind of investment which we may need to put for this CDMO/cGMP facility. If I clarify the INR288 crores investment, which has been approved by the Board, it does not include this U.S. -based new customer coming in, right?

Anish Ganatra: So can I just clarify, the U.S. -based partnership is with another CDMO player. It's not a customer. There are 2 capabilities here. We bring in fluorination capabilities, apart from other chemistry synthesis that we are good at. Those players, the CDMO in the U.S. also brings in their unique capabilities to the table. They bring in their access to the U.S. market, we are stronger in the Europe market.

So we're bringing that. So I think it's a partnership in that sense where we share the chemistry capability with each other. We share the market capability with each other, and we allow access. So it's an enabler to future growth. There is no investment involved in that. The European -based MSA, which is a customer where we have to do investment. So the INR160 crores supports that MSA.

Moderator: We have the next question from the line of Dheeresh from WhiteOak.

Dheeresh: So Anish, when you are explaining the project's revenue potential, the key projects that we had undertaken in the last few years, I just want a clarification on that. So Orchid is where we are seeing INR400 crores revenue potential, right?

Anish Ganatra: INR460 crores is the peak annual revenue is what we are saying.

Dheeresh: Understood. And this we expect to do in FY '25 as per my current understanding?

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Anish Ganatra: Yes, i

n FY '25.

Dheeresh: Okay. MPP, which was supposed to be INR280 crores as per my understanding on an annualized basis, we are saying -- we are turning 80% of that in current year and then do full in FY '25, right?

Anish Ganatra: So MPP1, which you said that was, I think, INR260 crores to INR280 crores as far as my memory goes. And I'm saying 80% of that. Yes, that's right.

Dheeresh: 80% in FY '24 we'll do.

Anish Ganatra: As I said, it's the range, yes, INR260 crores to INR280 crores.

Dheeresh: Yes. Yes. Understand, understand. I understand, not a precise estimate just the range I am trying to understand.

Anish Ganatra: I'm giving you a broad sort of indication that while we have had -- we would have thought that should have come in this year fully, it has slipped slightly, but not materially is all I'm saying.

Dheeresh: I totally understand that it's not a point estimate. There will be a range around it, understood that. Freesia which is agro intermediate, that was supposed to be INR160 crores that we have already done full revenue this year, right?

Anish Ganatra: That's correct. That we expect by end of FY '24.

Dheeresh: What about next year?

Anish Ganatra: So next year will have 2 years to run its par once it (new agro -capacity) comes into play, which, again, I think that as we see today, that's the target.

Dheeresh: FY '26 is when you expect to hit INR600 crores.

Anish Ganatra: So if we are saying the chemical reaction we said we will start in March or end of March, and with first supplies coming in July for all practical purposes, I would see the 2 -year period being FY '27, that's when you should start to see or expect to see peak revenues.

Moderator: The next question is from the line of Ranjit from IIFL Securities.

Ranjit: My question is largely on the thought process. Earlier, we were only kind of sticking to R22, now over the years we have seen kind of a diversified to HFO and now we are also getting aggressive in R32. How do we see the refrigerant space evolving probably 5 years down the line? Is there a plan to further diversify into more refrigerants, given that we have an HF capacity coming in the Dahej in 3 years' time frame?

Anish Ganatra: Sir, Ranjit, again, if you look at the refrigerant growth space, even in India is growing at double digit. R32 is also having a CAGR globally of double digit. Will we remain in refrigerant space?

We were pioneers in that space. I think it makes sense for us to remain in that and play into the

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transition from high GWP to low GWP to eventually HFO. So we will be playing our part as a player in the industry in that transition. I don't think we've ever said we would not do that.

Ranjit: So will that also pay way for our entry into blends in the future?

Anish Ganatra: I can't speculate that, but I'm kind of saying the whole landscape is open, depending on what opportunity is available and how our capabilities are there to tap into it.

Ranjit: One last...

Anish Ganatra: But we will move fast wherever we see the opportunity is right, and our capabilities meet that.

Ranjit: Right. Understood. And any plans on utilization of HF capacity that is likely to come up in a couple of years at Dahej?

Anish Ganatra: Lots of things are being worked in the hopper and lots of things will be progressed in a progressive fashion. But we've consciously put in the capacity to ultimately use in the downstream. We are -- and I think we've said this before, we will be looking at emerging sectors, etcetera, as we progress into the future. So some of that will play out as well.

Ranjit: Hopefully, we should hear in next year, next fiscal something -- some announcement on this...

Anish Ganatra: I'm not going to second guess that one. It would be when it would be. We are working at it, believe it, as soon as we can talk

about it, we will talk about it.

Ranjit: Right. So the question was because even on the cGMP4, we have kind of given out a 3-year time period to kind of Phase 1 and Phase 2 so whenever we do make an announcement, even on that new emerging opportunities, one should take a similar time frame. So that was the impact....

Anish Ganatra: So I mean, again, I know what you're saying there, but the intent is there. We're working, it is in the hopper. I mean I don't know what else to say at this stage. It will be -- it will come when it will come Ranjit. But it's not something that we have lost line of sight to. We are putting a lot of effort internally to progress that area. So if things materialize, we'll probably hear on it sooner than later.

Ranjit: Right. And finally, on the gross debt level, can you share the figure for -- the gross debt figure for the December ending quarter.

Anish Ganatra: Gross debt figure is INR 1,200 crores, including I'm talking the expanded debt, including what we take borrowed on working capital, yes.

Moderator: Ladies and gentlemen, in the interest of time, that was the last question. I would now like to hand the conference over to the management for closing comments. Over to you, sir.

Anish Ganatra: All right. I would like to thank every one for taking the time out in joining the call today. I hope we've been able to respond to your queries adequately. Thank you all. Have a good evening, and good night. Thanks.

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Moderator: On behalf of Navin Fluorine International Limited, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

Call: May 2024

(no extractable text — likely a scanned image PDF)

Call: Jul 2024

(no extractable text — likely a scanned image PDF)

Call: Aug 2024

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August 05, 2024

BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Fort,
Mumbai 400001
Scrip Code: 532504 National Stock Exchange of India Limited
Exchange Plaza,
Bandra Kurla Complex, Bandra (East),
Mumbai 400051
Symbol: NAVINFLUOR

Dear Sir / Madam,

Sub.: Transcript of Earnings Call held for the quarter ended June 30, 2024

Pursuant to Regulation 30 read with Schedule III of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the Company's Earnings Call held on July 30, 2024 regarding discussion on operational and financial performance for the quarter ended June 30, 2024 (Q1 of FY 2024-25) is enclosed herewith.

This intimation is also being made available on the Company's website at www.nfil.in.

Request you to take this intimation on record.

Thanking You,

Yours faithfully,
For NAVIN FLUORINE INTERNATIONAL LIMITED

Niraj B. Mankad
President Legal and Company Secretary

Encl.: a/a

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"Navin Fluorine International Limited Q1 FY25
Earnings Conference Call"

July 30, 2024

MANAGEMENT : MR. VISHAD MAFATLAL – EXECUTIVE CHAIRMAN ,
NAVIN FLUORINE INTERNATIONAL LIMITED
MR. NITIN KULKARNI – MANAGING DIRECTOR, NAVIN
FLUORINE INTERNATIONAL LIMITED
MR. ANISH GANATRA – CFO, NAVIN FLUORINE
INTERNATIONAL LIMITED
MODERATOR : MR. BHAVYA SHAH – ORIENT CAPITAL

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Moderator: Ladies and gentlemen, good day and welcome to Navin Fluorine International Limited Q1 FY25 Earnings Conference Call.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Bhavya Shah from Orient Capital. Thank you and over to you, Mr. Shah.

Bhavya Shah : Welcome to the Q1 FY25 Earnings Conference Call. Today, on this call, we have with us Mr. Vishad Mafatlal – Chairman, Mr. Nitin Kulkarni – Managing Director and Mr. Anish Ganatra – Chief Financial Officer of Navin Fluorine International Limited.

This Conference Call may contain forward-looking statements about the Company, which are based on beliefs, opinion and expectations as of today. Actual results may differ materially.

These statements are not the guarantees of the future performance and involve risks and uncertainties that are difficult to predict. A detailed safe harbor statement is given on page #2 of investor presentation of the Company which has been uploaded on the stock exchange and Company website.

With this, I now hand over the call to Mr. Vishad Mafatlal for his Opening Remarks. Over to you, sir.

Vishad Mafatlal: Ladies and gentlemen, I would like to welcome you all to Q1 FY25 Earnings Call. I am joined by our Managing Director – Nitin Kulkarni; our CFO, Anish bhai and Payal from Orient Capital, our Investor Relations Advisor.

I hope everyone got an opportunity to go through our financial results and investor presentations which have been uploaded on the stock exchange as well as our Company's website.

Before I move on to discussing key business updates, let me introduce Nitin to you all. Nitin took charge as Managing Director of our Company on June 24th. Nitin brings over three decades of rich experience across the specialty chemicals value chain. He is a highly respected leader with a proven track record of driving growth, establishing new business verticals, embedding manufacturing excellence and execution of large projects both brownfield and greenfield. He is well connected in the industry with strong and deep relationships across leading domestic and global majors. In his last role, Nitin was an Executive Director at OC Specialty for over a decade. Prior to that, he had worked with Navin Fluorine for a period of 7 years, heading BD, where he was instrumental in establishing the specialty chemical business. He also worked with Aditya Birla Group Chemicals Business including Tanfac and HUL (Lakme). We welcome Nitin to Navin, and we are sure that the Company will scale new heights under his leadership.

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Moving on to discussion on business:

Our focus remains on achieving operational excellence, ensuring financial robustness, and executing our plans with discipline. We continue to make progress in diversifying our revenue streams, strengthening our partnerships, and building scalable platforms. These initiatives are foundational to our long-term sustainable growth and profitability. In the last quarter, despite adverse market conditions, we recorded a robust 7% year-on-year topline growth. Revenue growth was underpinned by stable orchid operations and strong sales of our new R32 capacity. Agro demand continued to witness near-term headwinds with global majors rationalizing inventory levels, impacting our specialty business.

In CDMO, our strategy to increase share of late commercial molecules is bearing results with increasing success with big pharma customers. We continue to believe second half of Navin Fluorine will be better than the fi

rst half with improving margin trajectory.

Let me also give you a quick update on the capacity expansion:

Over the past year, we have launched several expansion projects, and I am happy to report that all of them are advancing smoothly. Our agro-specialty project with a CAPEX of Rs. 540 crores is targeted to commence commercial production by September. As mentioned, we have secured firm orders for the dedicated capacity for Financial Year 2025. Our AHF project involving an outlay of Rs. 450 crores and enhancing our HF capacity by 40,000 metric tonnes at Dahej is on track to commence by end Financial Year 2025, early Financial Year 2026. This expansion will support the growing demand from emerging and new sectors. Phase 1 of the approved Rs. 288 crores cGMP-4 CAPEX is underway, progressing to plan for commissioning by end of Calendar Year 2025. Additional R32 CAPEX of Rs. 84 crores to boost capacity by 4,500 tonnes is on track for completion by February 2025. Given the high operating level of our existing R32 capacity and with a solid pipeline of inquiries, additional capacities will be ramped up at a faster pace upon commissioning.

The Rs. 30 crores CAPEX for development of new capability in Surat, which is progressing as planned to be commissioned during quarter 2 Financial Year 2025. Our existing partnerships with key global players continue to deepen while we continue to make progress on expanding to newer partnerships, both in the product and service play.

Before I end, let me once again assure you our long-term view of our businesses remain intact, and we are well positioned to secure growth opportunities.

I would now like to request Nitin to discuss the Operational Highlights of the business.

Nitin Kulkarni: Thank you, Vishad Bhai. Good evening, everyone. And thank you for joining our call at this hour.

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It is still early days for me at Navin, though my initial impressions are extremely encouraging. And I believe that we have done reasonably well in this quarter in what is otherwise a challenging industry environment. While I continue to connect with employees, customers and other key stakeholders, I am also clear that in the near term and particularly in coming quarters, our key priority will be to maximize capacity utilization, improve productivity and drive efficiencies while commissioning projects and developing growth opportunities.

Let me start my discussions with segment-by-segment performance update:

So, to begin with the HPP vertical, the revenue for this vertical increased from Rs. 169 crores in Q1 FY24 to Rs. 281 crores in Q1 FY25 which is 66% YoY growth. Good performance was a result of stable HFO operations and strong sales of new R32 capacity. We are seeing healthy domestic and export order book for R32. The pricing for this product is showing an uptick in the domestic market and this reaffirms our decision to double our R32 capacity which will be operational by February 2025.

Compared to Q4 FY24:

R22 prices are also showing signs of improvement in the export market. We have also seen an increase in volumes in the last quarter at our HFO plant in Dahej, reflecting both in the quarterly sales as well as in margins. Our HS, R22, R32 and HFO plants have operated at optimal capacity for another consecutive quarter.

As far as Spec Chem, our specialty vertical is concerned, the revenue for this vertical decreased from Rs. 230 crore in Q1 FY24 to Rs. 160 crore in Q1 FY25. This is 30% YoY decline. As anticipated, specialty chemical vertical got impacted due to inventory level rationalization by global agro major reflecting in deferred purchasing decisions. We continue to maintain that demand scenarios should start to show recovery in second half of FY25. Irrespective of such market conditions, during this quarter, we have continued to strengthen our product pipeline in specialty chemical vertical

by leveraging on our newly established R&D center at Surat. We have added a new molecule at Surat for global agro major with a peak annual revenue potential around Rs. 40 to Rs. 50 crore over a period of next three years. Complementing to this, we have also signed the supply agreement for a patented agro product catering to the Japanese market with an incremental annual revenue potential of Rs. 20 to Rs. 30 crores from Calendar Year 2025.

In the coming quarter, our key priority remains to safely commission the new specialty CAPEX, which is already in place. As far as CDMO vertical is concerned, the revenue of this vertical decreased from Rs. 92 crore in Q1 FY24 to Rs. 81 crore in Q1 FY25. There is a decline of 13% YoY in this particular segment. As we have mentioned in the past, this business cannot be analyzed on a quarterly basis. And our focus here is to improve order visibility, increased share of late stage and commercial molecules while deepening our relationships with big pharma, biotech customers and we are progressing well in this direction. In the last quarter, drug

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application of European big pharma players expanded in one of the therapeutic area, leading to optimism on the initial peak annual revenue projections for the end run. This is clearly a positive development for us.

Apart from these three verticals, our R&D efforts on the performance advance material business continues to make progress, including co-development with leading global performance chemical majors catering to sunrise sectors like semiconductors.

I think with this note, now I would like to hand over to Anish to brief you on financial performance in the Q1 quarter. Over to you, Anish.

Anish Ganatra: Thank you, Nitin. Good evening all and I welcome you all once again on the earnings call. Moving on to the Financial Performance of the Company in Q1 FY25:

We reported revenues of approximately Rs. 524 crores in Q1 FY25, an increase of 7% year-on-year basis, largely led by an increase in revenue from our HPP division. Operating EBITDA for Q1 FY25 was approximately Rs. 100 crores, a drop of 12%. On a year-on-year basis, this reflects the exceptional ref gas pricing witnessed in Q1 last year. Lower specialty sales has also some impact from the lower CDMO mix in the overall revenue basket. Operating EBITDA margins stood at 19.2% as against 23.3% in Q1 of FY24. We continued our trajectory on improving the margins from 15% in Q3 FY24 to 18.3% in Q4 FY24 to 19.2% in the current quarter, and remain on track to improve it gradually during the year.

Profit after tax in Q1 FY25 stood at Rs. 51.2 crores, as against Rs. 61.5 crores in Q1 FY24, a drop of 17%. This reflects higher depreciation costs associated with commissioning of new CAPEXs. We continue to ensure a tight financial framework while it's driving growth. In Q1 FY25, the business generated operating cash flow delivery of Rs. 107 crores, aided by a continuous effort on driving working capital down. Our net debt to equity ratio at the end of June 24 stands at 0.38x, reflecting the strength of our balance sheet. That's all from my side. We can now open the lines for Q&A.

Moderator: Thank you very much. We will now begin the question-and-answer session. We have our first question from the line of Sudarshan Padmanabhan from JM Financials. Please go ahead.

Sudarshan Padmanabhan: My question is to dwell a little deeper on your earlier commentaries on the agrochemical environment. So, I mean, even if you are looking at the commentary by other players like (Inaudible), it looks like the scenario continues to remain weak, especially the prices have been coming down. While it is heartening to see that we have been able to get products from Japanese customer and other products in place and going ahead with our Dahej CAPEX. From your investment and return on capital perspective, one i

s with the prices going to the probably the worst levels that we've seen in decades. Is this impacting your ROCE in terms of what you would have initially thought of versus what you are currently negotiating in terms of margins and

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ROCEs and prices? And with respect to this environment, one, how worst do you think it can further go or you can do the bottom? How are we tackling it in terms of our strategy, how are we looking at us doing relatively better in this environment ?

Anish Ganatra: Thanks Sudarshan, you have asked a couple of questions, so let me try and take them one by one. I mean, the first thing on the agrochemical sector itself, again, as you rightly pointed out, that the overall market is reflecting the industry scenario. And this is really a reflection of a couple of things happening here. Obviously, the higher for longer interest rates are affecting, how much people hold as inventory, and everybody is trying to rationalize the inventory levels. Purchasing behaviors are also changing. Having said all of that, the fundamentals at the agrochemical level remain very, very strong in the crop protection business. Every farmer and every end user is ultimately very keen to increase their yield per acre and protect their yield per acre. So, we don't see any fundamental shift in the industry dynamics. We see this more as the market stabilizing as it finishes off the de-stocking levels, establishing new inventory levels, and expect that the demand will start to gradually recover in the second half of the year. So, that's the first question. Your point about the investment and return on capital is actually linked to that. So, while we see these near-term headwinds, we see the absolute EBIT numbers or EBITDA numbers coming down (in line with turnover). But obviously, we are trying to ensure, and we have shown that, that our EBITDA percentage margin is improving quarter-on-quarter, even in this environment. And we will continue with that journey with the intent that ultimately the EBIT will start to reflect a better ROCE that we had originally envisaged. And obviously as the market recovers, you will start to see the ROCE picture that we originally envisaged on the projects.

You had one more question on worse bottom. Can you please repeat that for me?

Sudarshan Padmanabhan: Yes, so what I'm trying to understand is today when you are looking at the product called Glufosinate, the prices have come down so sharply that hardly seen the scenario where the prices, I mean, nobody is making money or roughly the largest people are making money. Most have been integrated. But it does not make sense to manufacture certain molecules and then the prices are likely to kind of reverse. I mean, I'm just trying to figure out whether this is the right one?

Anish Ganatra: Yes, see, I mean, again, you have got to appreciate our portfolio on the agrochem side. A large part of our portfolio is on the innovator side, and to some extent, therefore, we remain insulated from the onslaught of the generics, okay Now, again within that context, one has to remember that we continuously work with our customers to look at new ways and new routes, new chemistries to produce the same outcome more efficiently, more effectively, and thereby help them remain competitive and also protect our EBIT margins. That's just the dynamic nature of the business and that will continue frankly. The environment that we are in, it's obviously made it more imperative, and we continue to work with our customers on that front.

Nitin Kulkarni: Yes, Nitin here. So, basically just to add on what Anish just brief you, if you really look at our customer base in agro space, then these are the top five global innovative companies and the Japanese organizations. And most of the business relationships which we have with them is based on the long-term supply contracts where

we bind each other with respect to the cost

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structure based on our understanding and mutual agreements. And so, what is happening though the Chinese competition is really going very aggressive in the price reduction. But at the same time these global majors wants to keep the alternate supply chain on where they consider Navin in the fluorochemical as one of the partner. So, the pricing structure under which we have entered into understanding with them, it is not going to hit our bottomline and it will reflect the same numbers when it comes to EBITDA which are happening currently at Q1 or Q2 level which we are projecting.

Sudarshan Padmanabhan: One is on the biotech side, fundamentally things have improved. And there are a fair amount of developments happening on the innovator side as well as on the patented side where the large diabetes drugs are going off patent and obesity drugs are going off patent. So, on both the sides, I mean, are we seeing any kind of opportunity with the innovators where we can participate in some of these large initiatives?

Anish Ganatra: So, we are working with innovators and the molecules that we are working on, they are all late stage and commercial molecules. So, they are not in the realm of going off patent or anything like that. I mean, as we've said on the slides, you know, that effectively, our work at the moment and just to give some example here, some color here, right, that we're talking of how our efforts on securing more business is becoming more widespread. The work and the contract we've got with the UK major pharma, we have actually progressed that further from development to scale up now order being received. Similarly, on the Europe major, a pre-validation has been completed. Usually, this takes about 6 months before you get into the next stage of development or the validation, which again we expect to see ourselves securing that order. Similarly, in the US major pharma example that we've quoted there, we've completed the development work and a scale-up order has been received. The idea of showing this is showing the pipeline, showing the breadth of our business development efforts that is going on. And also, our eventual target would be to end up with having one more MSA or a couple more MSA over the years to start showing that growth. But I agree with you that if you start looking at the next 2-3 years, this is a very exciting opportunity for us in terms of growth.

Moderator: Thank you. We have our next question from the line of Keyur Pandya from ICICI Prudential Life Insurance. Please go ahead.

Keyur Pandya: First question is on the overall industry and industry growth construct. So, as of now, we are talking about the destocking phenomenon, which is more of a supply side issue. Are we seeing any challenge on the end demand side looking at sharp fall that we have seen in global crop prices or adverse weather conditions? So, that is the first question.

Anish Ganatra: I mean, see fundamentally we have to understand that what drives the demand in the Agrochem sector. Ultimately, we are catering to the crop protection business. Crop protection for an end user is directly proportional to their outcomes on yield per acre. Agriculture demand is growing as everybody knows that. The crop protection need will continue to grow. So, fundamentally at a construct level, nothing is changing here. This is a phenomenon that we are going through. We

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are seeing how inventory levels were stocked up following COVID. Interest rates were high, so, people are looking to bring the inventories down. It is the same story playing out. And as things play out, the weather is playing its part in the game with changing crop patterns etc. So, what's happening out there is farmers are now actually looking to stock up things c

loser to the time of

application as opposed to buying it ahead of a season, and all this starts playing its downstream effects, including deferred purchasing decisions, etc. So, while it's a temporary thing, and as we had already anticipated, if you refer to our discussions even in the last call, we had said that FY 25 is going to be a story of two halves, first and second, right? The first half, we'd always said that Agchem delivery from our discussions with our customers looks to start recovering in the second half and that too in a gradual fashion. So, I think it's playing out as anticipated to be honest.

Keyur Pandya: Okay, noted. Second question is on the Rs. 540 crores CAPEX that we are commissioning in September '24. If you can just throw more light on the product and is it catering to the end product is patented or it is off-patented, and any of these new projects, are they impacted by over supply from China and there's more competitive prices being asked from your customers. So, does the economics change for the new project?

Anish Ganatra : So, the way this is constructed Keyur is that when we get into these arrangements, we ensure that the commercial arrangement protects our minimum sort of offtake as also our economics.

And that is the fundamental way how these contracts are constructed. Now to answer your point, that particular molecule is actually a requirement for at least four large majors, not just one. And it goes into multiple products, some generics and some patented as well. So, it's a combination of everything. Like I have said before, the pressure from Chinese generics means that we will have to work closer with our customers in giving them value and that is an ongoing conversation and that's an ongoing business as usual thing to be honest. No business can sit here and take a pricing call for the next 7 years and hold that constant. You will have to constantly work with your partners and find different ways, different R&D and that's what we bring on the table. One of our thinking behind setting up a R&D center in Surat at a significant cost and setting it up as a world-class unit was also to ensure that one, we continue to build up pipelines, which we are doing, as also work with these customers on different synthesis, different routes to deliver greater value while also delivering value to our bottomline.

Keyur Pandya : Sure. Just one last bookkeeping question. The interest cost that we have seen Q-on-Q has seen a fall of Rs. 2 crores or Rs. 3 crores. I mean, just mathematically looking at increased gross borrowing, interest cost probably should have gone up. So, is there any abnormality or we should continue with this kind of quarterly run rate of interest cost? Thank you and all the best.

Anish Ganatra : So, again, so you are right, the interest cost has come down Q-on-Q and year-on-year, certainly.

I mean, that's partly because of the various efforts we've taken. So, just to give you an example, as our cash position improves with greater focus on working capital, we're also borrowing less on an average on the working capital. So, that helps you drive some savings on the interest cost.

Simultaneously, we also are working with our lenders to reduce the spread rate. So, some of

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those also start featuring there because we are optimizing. As we continue to strengthen our balance sheet, we believe we can command better spread rates and that's also playing out over there. The third thing you see is that, you have got to remember that over the years, since last June, we've also funded a significant portion through inter-Company borrowings, which do get interest paid, but then they get offset when you look at the consolidated numbers because it's from one entity to another entity. And so there are several factors here to answer your question on run rate. Obviously as the new agro chem, a

grofluoro specialty plant comes on stream, the

interest associated with those borrowings will start to see themselves future in the P&L. Yes, so you should factor those kinds of things as we progress. But otherwise on where we are today, this is the run rate really.

Moderator : Thank you. The next question is from the line of Chetan Thacker from ASK Investment Managers. Please go ahead.

Chetan Thacker : Sir, just one question on the Spec Chem business in particular. So, last year we had anyways witnessed fair degree of erosion on the base business, which was there in FY23 and new products had contributed to FY24 revenue. Going in that line for FY25, what explains this dip in the first quarter and how should we see that? The expectation was at some stage the base business also comes back and new products also start to contribute. How should we look at the Spec chem business in FY25 and particular in 26?

Anish Ganatra : That is a good question Chetan. I mean if you look at what we are doing, once again I'm going to bring back to the R&D and the molecules we are introducing. If you look at the two molecules that we've talked about, one is the agro molecules being added in Surat with the annual revenue potential of Rs. 40 or Rs. 50 crore that Nitin talked about that's coming in Surat. The CAPEX of Rs. 30 crore to a development of new capability again is coming in Surat and that's going to be commissioned and will be coming in this quarter itself, Q2 only. And again that will start to show incrementally revenue from the following quarter onwards. So, while we are seeing that Surat assets are the assets in the base business, we continue to look at new molecules to replenish that. And obviously, between Dahej and Surat, we optimize our MPP to make sure that depending on where a molecule can be made more efficiently at the scale required, given that Dahej is a new asset, that molecule gets delivered to Dahej. And what we also then do is make sure that our utilization in Surat is continued with some of the new molecules that we develop. That's an ongoing journey. I mean, we don't look at this as NFIL and NFASL, just to clarify. It is a consolidated asset that we optimize across both locations.

Chetan Thacker : Understood. And just to get a sense we do not expect the base business to come back in the meaningful manner in FY25, that would be a fair assessment given what you are hearing from your customers at this point of time?

Anish Ganatra : So, I think what you should see, and I'll probably say what I have said before, is that we should start to see some uptick in demand at the end of Q2, which again, we can probably give you an update at that point in time. But obviously as that demand upticks, the uptick will go both in the

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base and the new assets also being commissioned. But to answer your point over there, in a meaningful sense, we should start to see the base grow also more in the next year onwards. That's the way I would hold it.

Moderator : Thank you. We have our next question from the line of Sanjesh Jain from ICICI Securities. Please go ahead.

Sanjesh Jain : I got first question on the NFASL side, which is console minus standalone. The revenues there have declined 28% quarter-on-quarter, while we have said that HFO production has optimized. What explains this sharp drop in sequential while the HFO which is the larger CAPEX among the three performing well and also request to share the capacity utilization in the MPP plant as well as dedicated agro plant. That's my first question?

Anish Ganatra : Hi, Sanjesh. So, good evening. See NFASL, as you rightly said, we're seeing HFO at optimal performance. The decline you see is really the effects of the Agchem conditions that we talked about. Again, over there, one has to remember that both within the MPP, we have contracts which are take or pay and committed

contracts. And also in the dedicated plant, there's a take or pay contract. So, some of those orders have come in this quarter. And to the extent those contracts relate to a delivery in a calendar year. So, some of those will be deferred in the next quarter. So, that's the way I would look at it. Utilization, again, to your point, I have mentioned this in the last sessions, Sanjesh. We should look at utilization more from a point of view of peak revenues achieved over a whole year rather than one quarter to another quarter because in this environment, purchasing decisions are getting deferred to the point of, as we said, if the end user is talking of looking at deferring decisions closer to application, the entire channel inventory is also looking to defer decisions and minimize and optimize their inventory area. So, if we look at the full year position, I think we would still be at similar levels that we talked in the last call, which would be for MPP, I think this year you would see something like 70% to 80% utilization, Freesia you would see probably 80% utilization as well, as we talked last based on what we have over site of our projections and the order book, yes?

Sanjesh Jain : Got it. That's fairly clear. An associate question there again is gross profit margin. Revenue, I can understand. As you said, there is a pushback. There is also a 400 basis point gross profit margin decline on a standalone minus consolidated. Is that the change in the product mix is also having an impact on the margins?

Anish Ganatra : So, the gross margin and you are saying standalone minus NFASL. So, you are looking at NFIL, is it? And you are comparing the drop versus what?

Sanjesh Jain : Last quarter.

Anish Ganatra : So, again on the last quarter, when you look at this, on the gross profit level in the last quarter, see some of the things we will find will be related to both. So, if I look at the NFIL, basically ref business and the Agchem business in the baseline, right, and CDMO business. CDMO, revenues

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are lower. So, you will see some of that getting played out on a year-on-year basis. And also, from a point of view of, if you compare year-on-year, I think you will see the stark differences because Q1 of last year, obviously had a huge amount of uptick from the ref gas price environment, right? If you look on the consolidated level, you will find that compared to the last quarter, we are actually having a higher margin gross profit.

Sanjesh Jain : That's all because of the standalone. We had a higher contribution of domestic ref gas as well as the CDMO. But when I deduct it from consolidated minus standalone, what I get is NFIL, which is advanced science, NFASL. There is a drop of 400 basis point in the margin, which is in our subsidiary?

Anish Ganatra : There you will see because of the deferral of orders in the Agchem, right, because HFO is doing pretty well. So, there's only two verticals over there. That would be obvious. That is linked to what we just said, Sanjesh, that the purchasing behaviors are today what we see that customers are deferring purchasing to more closer to applications. So, that we see play out.

Sanjesh Jain : But we haven't changed any pricing whether it is HFO or Agchem or in the MPP, we haven't made any changes to the pricing.

Anish Ganatra: No, see in HFO, our gross profit is pretty much (protected with) pass through, right? If we have a certain cost increase, it gets passed through and in the Agchem again, we haven't changed prices in that sense. So, I don't see that as the reason.

Sanjesh Jain : That is not the reason. That's fairly clear. Thanks for all the answers and best of luck for the coming quarters.

Moderator : Thank you. We have our next question from the line of Madhav from Fidelity. Please go ahead.

Madhav: First question is the specialty chemical business. The decline that we've seen, is it entirely

attributable to inventory restocking or have we seen any wallet share loss with our customers given Chinese are more aggressive in the market or any price erosion in any of our key products in specialty chemicals?

Anish Ganatra : So, a large part of the impact in the Spec chem is on volume side. Some amount you will see that on the pricing side while we've not sort of, as I have said, from us when we look with the customer, we look more at our margins. And if we are able to protect our margins through different synthesis and routes, we do that. So, some of that also is being played out.

Madhav: I was asking that for our key products, which we are supplying to our customers, has there been any change in wallet share? Like have they shifted sourcing to China because they are like sort of driving down the price? So, have you seen any loss of wallet share?

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Anish Ganatra : No, not for the key customers, like I said, because our philosophy has largely been contracting and holding with firm arrangements, we don't see that shift. We see more deferral of buying decisions from one quarter to the next.

Madhav: And the second question was on the R32 capacity which came in the 5000 tonnes, was that running at peak utilization in Q1? So, if I just do a maths, like 1250 tonnes is peak capacity is what we run at or it runs differently based on the season?

Anish Ganatra : No, R32 is more than the capacity. So, we've had a very solid and strong response in the market on R32. It's ramped up to what you can, it's juiced out.

Madhav: Just last part if you could remind me like when did we start producing the new R32s?

Anish Ganatra : This was in July last year. That's when we started. Of course it took a couple of months to ramp up, but that's when we started.

Moderator: Thank you. We have our next question from the line of Abhijit Akella from Kotak Securities. Please go ahead.

Abhijit Akella: Welcome to Mr. Kulkarni and all the best. So, just two from my side. Anish Bhai, just one on the Rs. 540 crore Agchem plant which is about to get commissioned. So, just sort of wondering what sort of capacity utilization we could expect maybe for fiscal 25 this current year and then how much for next year from that plant. And number two, what would be incremental depreciation and finance cost attributable to that plant B, I guess it will start hitting the financials from 2Q onwards or will it be 3Q onwards, please?

Anish Ganatra : So, on the first question about the 540 crore, the utilization for this year etc., as we've said before, Abhijit, the firm purchase order from customer for this year's capacity is already with us. So, that will start in September and then slowly ramp up to the end of the year, right? That's what we are looking at. And our endeavor is to meet the firm customer order that we already have in place for that. The strategy around that plant, as you know, half of it is dedicated and half of it was own account. Our approach for this year was always to meet the customer demand and carry through some qualifying campaigns so that going into next year we have those orders.

Additionally, as I have also said before, that at the customer's cost, we are also upgrading the

flexibility of that plant to cater to additional molecule. On the second question around depreciation and interest, so obviously when it starts in September, we will start taking both the depreciation charge and the interest into the P&L. Interest, I would roughly take as about 8%, which is what we would look at in terms of what would go into the P&L. And depreciation over 20 years, roughly. Again, we'll look at that at the time when we capitalize, but that's the typical charge we will take on.

Abhijit Akella : Sorry, Anish Bhai, I missed, you said 10 years, is it?

Anish Ganatra : 20.

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Abhijit Akella : And the 8% will be on the entire CAPEX amount of Rs. 540 crores?

Anish Ganatra : Yes, finance cost will come in. And again, of course, it will come in only for a month or as long as the plant is commissioned during this period. And then on a quarterly basis from the following quarter, the whole thing will hit the P&L.

Abhijit Akella : And we have orders in hand for the 50% that is the dedicated portion. So, that is what we should expect in run at full utilization this year?

Anish Ganatra : Yes. Because if you look at it, if the plant comes in September, then from September to March, the full plant is only available for 50% of the whole year. So, so it's actually the full capacity is what we actually have the orders for.

Abhijit Akella : So, the entire 100% of the plant is sold out as of now?

Anish Ganatra : If you think of this year, so if you remember, half of that capacity was dedicated and half was to our own account. Now given this, we would always have to run qualification campaigns. So, our original base case plan was that for the first year, we will run this plant to meet the dedicated capacity, which is exactly what will happen, which is half, right? So, the plants aren't divided. It's not like I will run only half a plant to meet the demand, the capacity is divided. If the whole plant is running and I have orders for that capacity, in six months, I have my intent and endeavor will be to meet that order fully. Additionally, I would also want to do a couple of metric tonnes, 100 metric tonnes or so, to actually do qualification rounds so that my order book for the following year gets secured.

Abhijit Akella : Just one other thing was on the hydrogen fluoride plant that's going to come up by end of the year, the AHF plant. Approximately how much would we expect to consume captive versus sell in the merchant market? Thank you.

Anish Ganatra : So, the AHF plant is double our current capacity in Surat as you know. So, combined, we will have, I mean, again, I have to probably take you a little bit back here because when our sort of HFO plants started in Dahej and we started to utilize more HF captive, we actually stood out of the captive market for some time because we didn't have HF. Since then, not only HFO is there, but we've now got two R32 plants. With the result that today, we are actually waiting, we are short of HF in some sense, right because as soon as our R32 plant comes in, again, we are going to need more HF. So, a lot of the HF capacity that's coming on board will start to get utilized internally. Originally, we would look at meeting the market demand to about so I'm just saying this because this is what our peak merchant sales were at one point in time, about 7000-8,000 metric tonnes. So, that's where we would go with the merchant sales. And then of course, as Nitin has also alluded in his speech about the work that's ongoing for the semicon side and the advanced materials, more downstream applications of that HF will start coming through. But that will take some time to mature. So, again, you do an HF plant in this business to stay in business.

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Moderator : Thank you. We have our next question from the line of Ankur Periwal from Axis Capital. Please go ahead.

Ankur Periwal : First question on the Spec chem side. So, the new project that we have announced, Japan based, the customer, Rs. 20- Rs. 30 crores is incremental. The Rs. 40-Rs. 50 crore revenue that we were talking of on the agro side, is it also incremental or is it a part of the earlier MPP that we had commissioned?

Nitin Kulkarni No, this is incremental.

Ankur Periwal : Sure. And how about the molecules that we were commissioning on the Agchem side? If I recollect, there were 4 agro and 1 pharma. Are all of them commissioned now or what is the

status?

Anish Ganatra : No, so these molecules, if you are referring to the pipeline, see our intent is always to do about 4 to 5 molecules each year. And roughly, historically, we've said it will be three to four in agro and one in pharma. But that doesn't mean that's how it plays out, right? As those molecules get done, those campaigns get delivered. And then again it's a campaign nature. You might run a campaign this year, and something may come tomorrow. But the idea is to continuously provide the pipeline for your MPP plants to be utilized fully. And then, if obviously it goes beyond the MPP side, the conversation on dedicated starts, yes.

Nitin Kulkarni : So, if you go through our presentation in the specialty chemical commentary, you will find the various initiatives and the incremental revenue which we are going to get with these three molecules.

Ankur Periwal: Sure. Anish bhai, my question was more specific to the MPP that we had done, Rs. 235 crore CAPEX wherein we were doing four agro and one pharma, we had deferred one pharma earlier. So, has that product come back now or is there any visibility on that?

Anish Ganatra : You are talking of the Dahej MPP plant, that has already commissioned. So, there is Dahej MPP, we are currently doing, I think, about 4 to 5 molecules over there. And with those molecules, some of them like the one that we talked here, the Japanese market will actually be done from Dahej. So, that Rs. 20 to Rs. 30 crore will come into Dahej. So, those agro molecules will come there. I don't think there is a pharma molecule there, to be honest. I don't know where that has come up, but I don't think there is a pharma molecule there.

Ankur Periwal : Okay, fair enough. And just lastly, on the HPP side, you did mention that R32 has been running probably ahead of capacity. Will be fair to say that from a volume perspective, both HPP and R32 would have hit the peak give and take in this quarter, Q1?

Anish Ganatra : I think from a capacity side, true. From a pricing side, not yet. And I think what we are seeing, as we said, but pricing side, we are seeing signs of recovery. And one has to remember that R22, with the cut coming in, is expected to continue to see price rises in the export market. So, that's

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going to become better. R32 is already seeing price rises, even Q-on-Q. And we see that market firming up as well. Additionally, during the quarter itself, we've had a very strong response from even the US and Europe on our R32 demand. And those demands are coming in at a price equivalent or better realization than India. So, despite what one talks about the dumping and all that.

Moderator : Thank you. We have our next question from the line of Surya Narayan from Phillip Capital India. Please go ahead.

Surya Narayan : My first question is on the CDMO business. In the recent quarter that we have seen, even domestic supply is also the kind of key contributing. So, what is the nature of this domestic CDMO business?

Anish Ganatra : Sudhir Narayan, so thanks for the question. I mean, again, if you look at, the typical process of us getting registered with a large player takes time, right? And with the European CDMO, all our molecules under that MSA are likely to be registered. One is already been done. I think two more are expected later in the year. So, until those registrations are completed, we are actually supplying that molecule to a domestic customer at the behest of the global major. It is part of the supply agreement. But that is only till our registration is completed, and then it moves on direct to export. So, it's a temporary thing that you see there.

Surya Narayan : My second question was about this Rs. 540 crore project, which is going to be commissioned soon. Here, you have indicated that you have firm orders, obviously. But given the kind of situation, that was the understandi

ng since some time. But the market is not progressing the way

it was expected because on account of let's say inventory rationalization continued and the Chinese aggression and all that. So, given that, are we sure about the offtake that we will be seeing for the firm order that is there, sir?

Anish Ganatra : Yes, indeed. It's a firm non-cancellable order from a global major. And again, it's a relationship we have, we closely work with, Nitin talks to them regularly. So, does Vishad Bhai and there is absolutely full commitment behind that order.

Nitin Kulkarni : See, this is not a single product relationship with this global act player. There is a basket of products, which is more than 4 or 5 products we offer to them under certain agreements and commitments. So, already this is a matured relationship, and this particular project is part of this relationship to have the robust supply chain. So, all the understanding and deliverables are intact and there is no change in any, I will say, conditions or deliverables than what we have already agreed to. So, everything is well in place.

Surya Narayan: Just last one, sir. One clarification about the pricing trend for the let's say HFO, whether there is any dent or any correction that you are witnessing and the same would be the question about

even for CDMO, have you seen any kind of price erosion kind of a trend for your existing products?

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Nitin Kulkarni : No, as far as HFO is concerned, we have the pass-through understanding with the customer.

Anish Ganatra : So, our margins are protected completely. There is no sort of price conversation over there. On the CDMO front, again, if you look at the scale of these molecules, when you work with late-stage commercial and any of these molecules that are potentially blockbusters, the end product is more than billions of dollars, right? And the intermediate cost is a very small fraction of it. It's a service industry rather than a cost driven industry. You have got to make sure that you take the product, run the chemistry and provide it in time. That's the main part of the business.

Nitin Kulkarni : So, the quality and the on-time delivery, that is the key rather than looking at some commercial benefits here and there.

Moderator : Thank you. We have our next question from the line of Vivek Rajamani from Morgan Stanley. Please go ahead.

Vivek Rajamani : I have a question on the Spec chem side, but I think you have answered that a lot of details. So, just one question on the CDMO. I know it is bit tough to kind of give a number here, but given the extent of pipeline that you have, would it be possible to give a simplistic guide path in terms of how we should think about F25 versus F24 and maybe F26 versus F25?

Anish Ganatra : So, F25 will definitely be better than F24. There is no sort of, as the quarters go past and as the order book visibility improves, our confidence on that is increasing. So, there's no doubt about that. FY26 rather than say that, I would probably give you an indication that if all of this plays out in the way we are thinking, FY27, the 100 million aspirations should be with us. We should be there.

Vivek Rajamani: So, FY27 is where you think you will hit your 100 million aspiration, correct?

Anish Ganatra : Correct. And there's a logic, right, that the extra capacity that we are putting on is coming on stream at the end of calendar year 25. That itself is coming in FY26. So, a year from there is what we are saying.

Nitin Kulkarni : And that is quite sizable on capacity we are putting in .

Moderator: Thank you. We have our next question from the line of Archit Joshi from B&K Securities. Please go ahead.

Archit Joshi: One question on the Rs. 540 crore CAPEX, we had a Rs. 600 crore sales guidance that we ventured a few quarters ago given the deterioration in prices that we have seen over the last few

quarters would that number still stay and also if you can give a margin guidance as to what we can expect that to be. Thank you.

Anish Ganatra : So, the Rs. 540 crore CAPEX will come on stream in September which will be FY25, and peak revenues are still being targeted in 2 years. So, we are still holding the FY27 for peak revenues

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and I think we have said 1.1 or something like that on the peak revenues. That continues to be the case as we stand now. Our intent and endeavor is always to make sure that the return, which is the EBITDA margin out of the project starts to deliver where we think it is. And in terms of guidance on that, I think again, yes, see one way to look at it is we've always been guiding an overall number that we see ourselves in at 24% to 25% EBITDA, right? So, that's what one would hold on. But remember, these are all snapshot numbers that I'm telling you. They're true as I tell you. As things move, things will move. There is a business dynamism around lot of these.

Archit Joshi : So, the price deterioration has not impacted that peak number that we were targeting. That was the only limited clarification I was thinking?

Anish Ganatra : No like I said, we are also adding in the flexibility for a different molecule. So, it's a combination of everything. But the drive will be to get to the peak.

Moderator : Thank you. The next question is from the line of Rohit Nagraj from Centrum Broking. Please go ahead.

Rohit Nagraj : The first question is in terms of the CDMO for pharma and on the agrochemical side under the specialty chemicals basket. What would be the geography in terms of Europe and US? And in the last couple of years after the COVID-related restrictions have been over in China, have we seen competition from Chinese people for the newer projects, obviously for the historical projects they are already secured but in terms of newer projects on both these segments. Thank you.

Anish Ganatra : So, CDMO pharma, I mean frankly has got a lot of tailwinds just from the Bio Secure Act. I mean if you look at what's happening, we are seeing an increasing number of RFPs from global majors. Everybody is looking to derisk their portfolio and obviously India is going to benefit out of that. So, frankly, we are happy with the level of inquiries we are getting. Our aim is to convert more and more of those into orders and then from orders to large orders and then possibly some MSAs. Yes, that's the way we look at it. On the agro side, again, we have made some entry into the CDMO space there too. And the idea again is that while we work and as we have our R&D center in Surat, the idea will be to work closely with large innovators early in their product development stage so that we can help them not only develop the molecule but also test it at lab and pilot levels and then eventually scale it commercially for us. Nitin, you want to add anything on that?

Nitin Kulkarni : No, he was talking about the geography, where we are. So, we are quite present in Europe, US, as well as he was talking about agro as well as pharma. So, I think Japan, Europe and US, these are the three regions where we are actively involved when it comes to CDMO linked with agro as well as pharma. And we haven't seen any decline in the demand for the products which we are supplying to them from last more than three to four years except the deferment of the volumes when it comes to agro segment because of the current market conditions.

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Rohit Nagraj : Just I can squeeze in, in terms of CAPEX, so current CAPEX will get over by FY25 end. What is the next leg of CAPEX that we will need for maybe growth beyond FY27? When will we start working on that. Thank you so much.

Anish Ganatra : Yes, so again a good question. I mean, as we finish this FY25, we will be sort of act

ual CAPEX

outflow which will be in the range of about Rs. 600 to Rs. 650 odd crores. By the middle of calendar year 2025, we will start to formulate some views on where the next growth of CAPEX is, but what we are doing in the meantime is ensuring that our balance sheet strength, the conversion of EBITDA into cash flow and our net debt to equity remains within the guidance that we've indicated, such that those CAPEXs are then pushed out. Some glimpse has already been given in Nitin's conversation earlier, where he shared about the work that is being done in the performance material area. So, all I can say is, watch that space.

Moderator : Thank you. Ladies and gentlemen, that would be the last question for today due to time constraints and I would now like to hand the conference over to the management for closing comments.

Anish Ganatra : All right, I just want to take the opportunity to thank you all for taking the time out and joining the call today. Hope that we've been able to answer your queries adequately. And thank you, and good evening, all. Good night. Take care.

Moderator : Thank you. On behalf of Navin Fluorine International Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Oct 2024

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October 29, 2024

BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Fort,
Mumbai 400001
Scrip Code: 532504 National Stock Exchange of India Limited
Exchange Plaza,
Bandra Kurla Complex, Bandra (East),
Mumbai 400051
Symbol: NAVINFLUOR

Dear Sir / Madam,

Sub.: Transcript of Earnings Call held for the quarter and half year ended September 30, 2024

Pursuant to Regulation 30 read with Schedule III of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the Company's Earnings Call held on October 23, 2024 regarding discussion on operational and financial performance for the quarter and half year ended September 30, 2024 (Q2 & H1 of FY 2024-25) is enclosed herewith.

This intimation is also being made available on the Company's website at www.nfil.in.

Request you to take this intimation on record.

Thanking You,

Yours faithfully,
For NAVIN FLUORINE INTERNATIONAL LIMITED

Niraj B. Mankad
President Legal and Company Secretary

Encl.: a/a

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"Navin Fluorine International Limited
Q2 FY '25 Earnings Conference Call"
October 23, 2024

MANAGEMENT : MR. VISHAD MAFATLAL – CHAIRMAN – NAVIN
FLUORINE INTERNATIONAL LIMITED
MR. NITIN KULKARNI – MANAGING DIRECTOR –
NAVIN FLUORINE INTERNATIONAL LIMITED
MR. ANISH GANATRA – CHIEF FINANCIAL OFFICER –
NAVIN FLUORINE INTERNATIONAL LIMITED
MS. PAYAL DAVE – INVESTOR RELATIONS ADVISOR –
ORIENT CAPITAL

MODERATOR : MR. BHAVYA SHAH – ORIENT CAPITAL

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Moderator: Ladies and gentlemen, good day, and welcome to the Navin Fluorine International Limited Q2 and H1 FY '25 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing the star, then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Bhavya Shah from Orient Capital. Thank you, and over to you, sir.

Bhavya Shah: Thank you, Steve. Welcome to the Q2 and H1 FY '25 Earnings Conference Call. Today on this call, we have with us Mr. Vishad Mafatlal, Chairman; Mr. Nitin Kulkarni, Managing Director; and Mr. Anish Ganatra, Chief Financial Officer of Navin Fluorine International Limited.

This conference call may contain forward-looking statements about the company, which are based on beliefs, opinions and expectations as of today. Actual results may differ materially. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict. Our detailed Safe Harbor statement is given on Page 2 of investor presentation of the company, which has been uploaded on the stock exchange and company website.

With this, I now hand over the call to Mr. Vishad Mafatlal for his opening remarks. Over to you, sir.

Vishad Mafatlal: Ladies and gentlemen, I would like to welcome you all to Q2 and H1 FY '25 Earnings Call. I'm joined by our MD, Nitin Kulkarni; our CFO, Anish bhai; and Payal from Orient Capital, our Investor Relations Advisor. I hope everyone got an opportunity to go through our financial results and investor presentation, which have been uploaded on the stock exchange as well as on our company's website.

I am pleased to begin by announcing that the Board has decided to declare an interim dividend of INR5 per share. At Navin Fluorine, we are committed to operating sustainably and responsibly. This commitment is reflected in our corporate culture and strategic approach. In the last quarter, we released the second edition of Navin Fluorine's sustainability report, where we continue our journey towards sustainable excellence. Building upon the foundation laid in our inaugural report, we are proud to present our progress, achievements and ongoing initiatives in advancing sustainability across our operations. I would request all of you to refer to our sustainability report uploaded on our website.

As we move forward, I want to take this opportunity to share a broader perspective on our strategic direction. As we have mentioned, we remain committed to operational excellence, and this does not only mean optimizing our processes, but also embracing innovation, enhancing productivity and ensuring that every facet of our operations remains efficient and resilient. In Navin Fluorine International Limited
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line with our commitment, we have focused on maintaining disciplined execution with highest standards of safety, compliance, reliability and efficiency.

Additionally, we continue to focus on strengthening partnerships and building scalable platforms. Both Nitin and I have met our key customers across geographies in the last few months, and we will continue the engagement to deepen our partnerships. Collaboration is key to unlocking new growth opportunities. And by nurturing these relationships, we aim to create long-term value for all our stakeholders.

In addition to this, a robust financial framework underpins our growth. Our net debt to equity remains below our guidance range of 0.5x. In the last few quarters, we have made efforts in optimizing the working capital cycle, ensuring robust operating cash flows. We remain focused on maintaining fi

nancial discipline, ensuring that our resources are allocated strategically, aligned with our long-term vision. We are confident about the future and the opportunities it holds. Thank you once again for your continued support.

With that, let me hand over to Nitin to share our operating and business performance during the quarter.

Nitin Kulkarni: Thank you, Vishad bhai, and good evening, everyone, and thank you for joining the earnings call. We appreciate your time and continued support. I want to start by recognizing that our

relationships with strategic partners are growing stronger and deeper, reflecting the collaborative approach we have developed over time. As we navigate the evolving market landscape, our key priorities remain clear; maximizing capacity utilization, improving productivity and driving efficiencies across businesses. These priorities will guide us as we commission new projects and develop future growth opportunities.

Now let me walk you through the performance of our key business verticals starting with our High-Performance Product that is (HPP) business.

During the second quarter of FY '25, the HPP business achieved 23% growth with revenue increasing from INR238 crores in quarter 2 FY '24 to INR293 crores in quarter 2 FY '25. In the last quarter, all HPP assets continued to operate at optimal level. The growth is mainly attributed to higher R32 sales and better realization for R22. Additionally, the expansion of R32 capacity with a capex of INR84 crores is proceeding as scheduled and is expected to be completed by February 2025.

Our interactions with existing and new customers is giving us confidence on offtake of the upcoming capacities as these are operational. Our AHF project, which involves an investment of INR450 crores, is on track, and we anticipate commissioning by the end of FY 2025 or early FY '26.

As we move forward to Specialty Chemicals business, we experienced a decline in revenue for this business with a degrowth of 15% from INR185 crores in quarter 2 FY '24 to INR158 crores

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in quarter 2 FY '25. Sales in this sector were affected by the current global situation, leading to cautious demand behaviour amid continued competitive pressure being witnessed globally.

Our strong customer relationship and strategy to drive value for our customers has started to show positive results as we speak. There is a strong visibility to order pipeline for Dahej and Surat assets that will drive improved capacity utilization and growth from Q3 onwards. We are continuing to make progress in product innovation within this vertical, too. Recently, we introduced a new molecule at our Surat facility, and we are on track to launch 2 additional molecules in the upcoming quarter.

On the capital expenditure front, our upcoming agro specialty plant at Dahej with a planned capex of INR540 crores is under commissioning jointly with our customers to ensure a safe and efficient start-up and commence commercial production by November '24. Simultaneously, our Surat project with an outlay of INR30 crores is commissioned, and the first dispatch will be in November 2024.

Moving into the CDMO business. CDMO revenue has increased from INR48 crores in quarter 2 FY '24 to INR68 crores in quarter 2 FY '25, reflecting a growth of 41% year-on-year. We have a strong order visibility with firm orders for the second half of FY '25. Additionally, our strategic focus on late stage and commercial molecules continues to give positive results with the business continuing to witness higher levels of customer inquiries than previously.

We are encouraged by the traction with our European CDMO partner and the deepening of our relationship with them. Customer projections are strong for FY '26. We have additionally secured order for 2 new late-stage intermediates, which are scheduled for supply in Q4 of this year.

Further

ore, we continue to make progress with our EU major and U.S. major clients. For the EU major clients, we have supplied quantity for process performance qualification for late-stage study. And for our U.S. major clients, we have received scale-up order for supplies in Q3 FY '25.

On the capital expenditure side, our cGMP4 project is advancing well. Phase 1 involving an outlay of INR160 crores is progressing as planned, and we aim to have it commissioned by end of quarter 3 FY '26.

So in conclusion, our strategic initiatives, combined with continued investment in capacity expansion and product innovation position us well to drive sustainable growth across all our business verticals. Thanks for your continued trust and support. We look forward to sharing more updates on our progress in coming quarters.

Now I would like to hand over, Anish, to brief you on financial performance. Over to you, Anish.

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Anish Ganatra: Thank you, Nitin. Good evening all, and I welcome you all once again to the earnings call. Moving on to the financial performance of the company in Q2 and H1 FY '25.

Quarterly performance :

■ We reported revenues of INR519 crores in quarter 2 FY '25, an increase of 10% year-on-year, led by an increase in revenue from our HPP and CDMO businesses.

■ Operating EBITDA for Q2 FY '25 was approximately INR107 crores, an increase of 9% year-on-year.

■ Operating EBITDA margin stood at 20.7% as against 20.8% in Q2 of FY '24 and improving sequentially from 19.2% in Q1 of FY '25, reflecting higher realizations in HPP as also benefits from efficiencies secured within the businesses.

■ Profit after tax in Q2 FY '25 stood at INR58.8 crores as against INR60.6 crores in Q2 FY '24 and INR51.2 crores in Q1 of FY '25.

Half yearly performance ,

■ For H1 FY '25, on a consolidated basis, the company reported net operating revenue of INR1,042 crores as against INR963 crores in H1 FY '24, reflecting a growth of 8%.

■ Operating EBITDA stood at INR208 crores as against INR213 crores in H1 FY '24, down by 2%. Operating EBITDA margin for H1 stood at 19.9% as against 22.1% in the same period last year.

■ Profit after tax in H1 FY '25 stood at INR110 crores as against INR122.1 crores in H1 FY '24, a decrease of 10%.

We continue to ensure a tight financial framework while driving growth. As of 30th September, our net debt to equity stands at 0.39x, well within our guidance range of 0.5x and reflects the strength of our balance sheet. Operating net working capital days at the end of 30th September is approximately 104x days of sales.

That's all from my side. We can now open up the lines for Q&A.

Moderator: The first question is from the line of Vivek Rajamani from Morgan Stanley.

Vivek Rajamani: Two questions from me. Firstly, on the Specialty Chemicals, I just wanted to understand what gives us the confidence of the visibility or the improved visibility for the second half given that we have seen some deferrals in the past. So could you just give some color in terms of what's changed in terms of the conversations that you're having with your customers?

Nitin Kulkarni: So to give you the feedback, these are the firm numbers because we have entered into the supply understanding for most of the spechem (Inaudible) molecules, which we are talking for the not only quarter 3, quarter 4, but for the calendar year 2025. So based on our existing capacities, we managed to speak and entered into the understanding with the customers and that has helped us to address our 3 products, which are one of the, I would say, high-volume, high-value products

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to enter into the -- for the supplies, including quarter 3, quarter 4 for -- and the balance of the calendar 2025. So what we are talking over here is not any assumptions, but based on the firm orders, which

we have received.

Vivek Rajamani: Sure, sir. And just a clarification on this. In terms of these orders, are these multiyear orders? Because you're saying you have the visibility even in calendar '25, correct?

Nitin Kulkarni: Correct. So the -- but there is a basket of products where we have received the visibility along with the PO till calendar year 2025. And based on that, we are giving the feedback to you.

Anish Ganatra: Just to add, I mean, I'm just complementing what Nitin said there, Vivek. If you look at what Nitin mentioned, it's covering not only Surat assets, but also the Dahej assets. We talk of the MPP and the dedicated agro plant. We have line of visibility to their full order book, not just for the remainder of this year, but going into next year.

Vivek Rajamani: Sure, sir. That's great to hear. And the second question was on CDMO. I know it's difficult to give a clear number over here. But given that you're making traction with both your European client and the U.S. client, and obviously, you have some 2 new molecules. Could you just give us a sense of what is the trajectory we should expect for the second half of this year as well as going into fiscal '26 in terms of how these will ramp up?

Anish Ganatra: So, again, on the CDMO front, Vivek, the order book is, again, based on the discussions that Nitin and Vishad bhai have had with the customer. And again, we should look to at least a like-for-like Q3, but a very strong Q4, and going forward, even stronger.

Moderator: The next question is from the line of Sanjesh Jain from ICICI Securities.

Sanjesh Jain: I got 3 questions from all the 3 segments. First, on the CDMO, if I remove the domestic, which I believe is a supply for the European client, the rest of the business doesn't look very exciting at under INR30 crores of revenue. What's happening on that initial stage? Has that completely been defocused? How are we looking at that part of the business?

A connected question is that now we have multiple order book, one, to be supplied to European client; two, late-stage product to be supplied in Q3, Q4. One scale-up project for a U.S. client. So it appears to be jumbled up. Do we have capacity to meet all these orders requirement on

time? So that's on the CDMO.

On the Specialty, domestic suddenly has shown a sharp improvement quarter-on-quarter. I thought we were defocusing the domestic pharma part of business and largely focusing on the agrochemical and that side of the business. What has driven this domestic revenue growth in the Specialty part of it?

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And the third question on HPP, Nitin, I guess you mentioned in your opening remark that we have reached optimal capacity. Is it fair to assume that until the new capacity on R22 to come, it's only pricing, which will drive the incremental growth in the HPP?

Anish Ganatra: Thanks for your questions, Sanjesh. On CDMO, again, your question about capacity and to look at whether we can meet the orders, I think, again, this -- we've timed the entire project of GMP4 coming in alongside considering what capacities are needed, one.

Second, on the order other than the large CDMO, European CDMO, your question around the fact that -- are you deemphasizing early stage? So the answer to that is no. We're not deemphasizing, but obviously, the commercial molecules will start to occupy greater pie because their volume is large, right? I mean that's the very nature, that's the precise reason why we are going into that business, right? And so it's not deemphasizing, but it's balancing. And like we've always said that you will see a proportion of 60% odd coming from commercial going forward. But remember, the pie size grows bigger, not smaller. So that's what will come in over there. On the Specialty side, the domestic revenue, some of it is very opportunistic. We saw an opportunity to do some of the old molecu

les that we were doing in the pharma, and we picked it up in the current market scenario. So that is there, plus also we supply to local customers on behalf of large global players. So some of that also plays into the domestic pie. I wouldn't read over there any different message because as Nitin has mentioned before, on the Spec Chem side, both Surat and Dahej, we are witnessing and we are seeing a very strong order book in hand in the Q3 and Q4.

Nitin Kulkarni: Just to add to that, means, Sanjesh to be very frank with you, I fail to pick up that, how you arrived that only domestic sales has given us the betterment because basically, most of the Spec Chem business, I think the major portion is for the exports as well as the products, which we supply in the domestic market, those are also as a part of the supply chain. So there are a couple of products which are in the supply chain, which normally gets exported. So this is -- everything is triggered off more than 70% of the business into the agro space only and that too also with the innovators.

So pharma, there is a very small portion of this particular revenue, that too also often would be one of the traditional molecules, which customer requested us to restart the operations. So absolutely, as far as the Spec Chem business is concerned, the growth which we have observed in Q2 or whatever we have done and what we are talking in Q3, Q4 and forward is based on the existing global agrochemical customers, which are already working with us and to whom we are giving these products. As far as your point of the R22 expansion is concerned, is it about 22 or 32?

Anish Ganatra: No. So your point -- Sanjesh, please repeat your question, if you don't mind, on the HPP.

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Sanjesh Jain: I said that we have optimized the capacity utilization on most of the product is what Nitin said in his opening remarks. That means until the new R32 capacity come in, it is only pricing, which can drive the growth in that segment.

Anish Ganatra: No, no. So new R32 is absolutely a new capacity that will come in. Also, as we've mentioned before, remember on the HFO project, we've always said that what we are doing today is we've got the plant running to optimal capacity that's still meeting about 80% of the demand. So there is growth over there, too, right? So there is stuff happening on that front. Plus even within the R32, there are options to build, which we are working on to debottleneck and get greater capacities, but that's still work in progress. It will be a pricing and volume growth.

Nitin Kulkarni: Exactly. Plus, we are putting up this R32 capex, which you are already aware, which is going to come in the Q4 of the FY '25. So based on the visibility what we see with respect to volumes and price, definitely, this is going to drive the future growth.

Sanjesh Jain: Just one follow-up on all those answers. Anish, you said that cGMP4 will help us, but I was more asking from the second half of FY '25, now we have to deliver so many -- 4 products. Do we have capacity from these?

Anish Ganatra: So Sanjesh, again, these products are campaign driven. So their quantities tend to be smaller. The commercial-stage product that we have talked about are actually study-stage products. And we clarified that even last time, right? Those are being worked. So those volumes will come in. There will be even more RFPs that we are receiving, as also Nitin mentioned in his commentary. So there is work that will carry on, but there is no concern on the capacity and the growth. If you remember what we've done in Q4 of FY '23, if I remember, that number is significantly high just with the current base. So we are not really concerned on the capacity side there. Of course, our idea because of the continuous growth in the business that you're looking for, you will have a cGMP4 that will largely, as we've talked a

t the site visit, Phase 1 will get virtually dedicated to the European CDMO player. The other capacities will continue to fuel the growth for new pipeline coming in and will also support Phase 2 of cGMP4.

Moderator: The next question is from the line of Madhav Marda from Fidelity.

Madhav Marda: I have 2 questions. Firstly, on the Specialty Chemical business, when we say that we have strong visibility into second half of FY '25, does that mean that, if you compare to the last year of the second half, we are looking at year-over-year growth coming back for us, because first half has been obviously impacted by the industry-level challenges, which everyone is facing?

Anish Ganatra: None, yet. Remember, we shared our way and approach in the Spec Chem business, and particularly, both Nitin and Vishad bhai have been very clear how we need to respond to the current market scenario. And that has played -- started to play and show success. So I think you should expect to see a year-on-year growth coming through.

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Nitin Kulkarni: And this is what we are talking is based on the POs and the firm orders which we have in hand.

Madhav Marda: Okay. So second half, Specialty Chemical, you're saying can grow over last year, according to you. Okay.

Anish Ganatra: Yes. Correct.

Madhav Marda: And my second question was on the CDMO business. Given that we're addressing pipeline molecules of pharma customers, innovator customers, would it -- just a suggestion, could we start giving, just in the presentation, how many molecules we have in different phases, like Phase 1, Phase 2, Phase 3 and how many are in process of the registration, just as a disclosure, so it just becomes easier for us to track it every quarter?

Anish Ganatra: So again -- point taken, yes, point taken.

Madhav Marda: Just like total number of molecules that we are addressing and just the phase wise schedule.

Anish Ganatra: So we don't see typically the number of molecules. I mean, we've shared a couple of key material ones. If you remember, Madhav, when we spoke -- when we started sharing this, the idea was and the intent was to show how our strategy is working across the globe. Therefore, we shared the geographies and the most material molecules that we think today are potential molecules, right?

There are several others we are working for. But each of these were different chemistries. We don't count or monitor the business in that sense, to look at the number of molecules in different stages, et cetera. Our bigger thing that we are focused on is ensuring that the pie grows and the proportion of the pie starts to look more like 60: 40, 65: 35, between late stage and early stage.

Madhav Marda: No, no, I understand that. I was just saying that given that this is a CRAMS or a CDMO business for innovator pharma customers, that's how the peers disclose in India, if you look at some of the other names. So it's just helpful for us to maybe make a comparison in that way.

Anish Ganatra: We'll think about it, so point taken, but that's not how we internally look at, so -- but point taken.

Moderator: The next question is from the line of Abhijit Akella from Kotak Securities.

Abhijit Akella: So just one clarification first regarding the CDMO outlook for the second half. Anish bhai, if I heard you correctly, based on the order book, we expect at least a flattish third quarter year-over-year, followed by a very strong fourth quarter, and then even stronger in FY '26. I hope I got that correctly.

Anish Ganatra: Yes, I think that's a fair take, Abhijit.

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Abhijit Akella: Okay. Got it. And both for CDMO for, say, fiscal '26 as well as Specialty Chemicals, given the kind of order visibility you have, would you be able to help us with some sort of percentage growth guidance for fiscal '26?

Anish Ganatr

a: So we don't give guidance. I've given you directionally, but unfortunately, I won't be able to give you guidance.

Abhijit Akella: Okay. Then just on the INR540 crores project, how much timeline seems to have slipped a little bit? Talking about November, it does seem to have slipped since -- it was previously envisaged, I think, for December last year. So what exactly is the issue there? Are there any technical problems? Or is it just market environment? And then how much revenue can we expect from it in fiscal '25 given that we only have 4 or 5 months now left to deliver?

Nitin Kulkarni: This is Nitin. So just to give you the answer about the market or the PO, absolutely, there is no problem. And we have the existing PO in hand for the customer which we are doing this project. And they are also partnering with us for the technology support. So this is one of the most complex and the high-end technology. And there are multiple touch points to really bring it to the optimization levels and to reach to the process efficiencies. So, so far, everything has progressed quite well.

Of course, as you also know, during the start-ups, the way we faced problem during Orchid time, similar type of challenges which we are facing, which we have addressed quite well, and everything is now moving into the right direction. So there are some, as you rightly said, delays, but those delays are not where we are stuck somewhere or we are clueless. Absolutely, we are bang on as far as the progress of the, I will say, stabilization concern. And as we said that November is the month when you will see that we have started dispatching and producing this product.

Abhijit Akella: Got it, Nitinji. Just last question, if I may, before I get back in the queue. One is the -- for the non-dedicated portion of that contract, which I presume you will start supplying commercially next year, will the margin profile be materially sort of more dilutive compared to the dedicated portion? What sort of margin profile should we work with?

Anish Ganatra: So, Abhijit, again, for the non-dedicated portion when it comes in, we will have to remain competitive to the market. And whatever that is, we will remain competitive. I mean I think the work that the team is doing here is absolutely focusing on making sure that the plant comes up efficiently and reliably. And part of the reason why the effort is being put on making sure that it comes in, in the right way is to ensure the reliability remains high, and therefore, we are able to have good norms, good yields, good outcomes, which will help us also to remain...

Nitin Kulkarni: Competitive.

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Anish Ganatra: Yes. It's true for all seasons, right? I mean, no matter what the market is, ultimately, if you are the last man standing, then you are likely to remain profitable no matter what. So that's our intent, yes.

Nitin Kulkarni: Absolutely.

Abhijit Akella: Okay. So got it. The Surat, INR30 crores capex, what would the revenue potential from that be? Just that's the last thing from me.

Anish Ganatra: The peak revenue is about INR50-odd crores. We'll start with the campaigns in this year from the product, and it will start -- it's starting in this quarter itself actually. And we'll slowly ramp it up over the next sort of 1.5 years or so.

Nitin Kulkarni: Yes, so just to add to what Anish said, so this -- already project commissioned, we have started the operations, and from next month, you will find the deliveries. And for this particular capex and the product, we again -- like my other comments, we got the firm PO in hand for the next year, complete.

Anish Ganatra: Also, Abhijit, remember, this is not a dedicated plan. So it's an extra capability we've introduced in Surat. So how we optimize and run that asset will also depend on other competing push for that capacity, yes.

Moderator: The next question is fr

om the line of Ankur Periwal from Axis Capital.

Ankur Periwal: First question on the customer feedback and your comment on the overall order book, especially for the Specialty Chemical business. This order book visibility, which is both from Q3, Q4 as well as for the next financial year, is it largely led by the new products that we were doing with the Global Innovators? Or the older product portfolio and seeing some recovery in terms of demand here?

Nitin Kulkarni: So, Ankur, this is basically a mix of both. And rather, I will say, the old molecules as well as -- means, we are talking of all 3 old molecules, order visibilities there, rather it is better than what we have seen in the current financial year. And it is reciprocated in the orders or in the contracts also. So it is -- basically what we are talking is you can say 50%, 50% blend between the new products, which we have launched in the last 6 to 8 months plus what we are talking about this INR30 crores project plus the traditional molecules for which we have already these capacities in hand.

Anish Ganatra: I think the thing to bear in mind there, Ankur, is also a fact that we've said about the Dahej assets,

which you should think of about -- so this includes both Surat and Dahej, but specifically for Dahej, you should think of the NPP and the dedicated agro. And in both those cases, you have the par numbers, right, already with you. So when we are talking of a strong order book, we are virtually saying of how much increase and good utilization of that capacity will start to come through. So it's a combination of everything.

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Ankur Periwal: Sure. Sure, Anish. That's helpful to hear. Second bit on the CDMO demand, which you had highlighted. So if I -- just clarifying there, while the Phase 1 of the new cGMP4 will be dedicated for the earlier contract that we have in between the new products that we launched, it will be more on campaign-based. In the longer term, these products will get probably used or will be getting manufactured in cGMP4 Phase 2?

Anish Ganatra: So it's a bit premature on where they will eventually scale up. But as you know, the pipeline for registration of projects, et cetera, is quite elongated in this business, right? So where we are doing is these are late-stage molecules. They are still in study phase, and the idea is to continuously build our pipeline. So while we are growing the -- growing and deepening our relationship with European CDMO, some of these promising molecules also we hope will materialise. And this is just, at this stage, all I can say, the risk profile in that businesses, right? So the idea here is that one of these will come in, and like we've talked at the site visit also, the fact that these are late stage and they are all innovator, they're all blockbusters. So not necessarily all will come. One could come, not necessarily even one could come. We don't know that yet today. But the idea is that it does take time for them to get to the scale-up position.

And if you remember, even for the European CDMO molecule, we had said that the work actually on that had started 2 years ago, if you remember. So there is enough sort of headroom available for us to continue doing what we are doing in the capacities we have, 1, 2 and 3 is also a good size capacity. The potential for that is also quite good. Phase 1, when we say dedicated, we think we are actually dedicating in terms of allocating it to Fermion. And you -- and then Phase 2 comes in when some of these mature, yes.

Ankur Periwal: Sure, Anish. And just last one, if I may. We did mention our focus to gain volume, bring in efficiencies and sort of scale up the capacity utilization across all plants. And at the same time, our guidance on the margin's trend guidance or, let's say, directionally, we are looking at a 25% sort of a margin outlook. Will this -- the bridg

e over here, will it largely be because of the shift

in product mix, revenue mix more skewed towards Specialty and CDMO? Or there is some bit of pricing element uptick as well that we are building in, in our broad assumptions?

Anish Ganatra: It's a basket of things. See, where we are. We had said that, if you remember when we had hit, I think it was Q3 of last year when we did 15% margin, we are talked of our journey from 15% to 20%, 20% to 25%. I think we are well on track on that journey, and it will slowly and progressively get to that target number. Our intent is to get there in a sustainable manner. That's the main thing.

Moderator: The next question is from the line of Anubhav Sahu from McPro Research.

Anubhav Sahu: Yes. I have a couple of questions. So one is on European CDMO agreement, which as I remember back, it's a 3-year supply agreement starting from calendar year '25, which you also have mentioned that from Q4 '24, we would be starting supply of 2 intermediates. So these 2

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intermediates, which you've mentioned, are they additional ones than the original 3 molecules we talked about? Does it change in terms of the number of molecules which we are catering to this point?

Anish Ganatra: So these 2 new ones are actually 2 new molecules as the name suggests. So that's what we intend to say. You're right on that. And the 3-year agreement is renewable automatically. So -- as we've said before, that this particular end-stage molecule is for a drug that...will come.... is patented all the way in most geographies till 2035 and beyond.

Anubhav Sahu: Okay. A second part for this is the timeline of supplies. I mean though you have kind of took this question earlier, but still just trying to understand that because there would be a dedicated facility, cGMP, for this client. So is the supply is going to be more backended in some ways? How do you take such...?

Anish Ganatra: So remember, when I said dedicated facility, we call it dedicated because in our capacity allocation, we are taking that, that particular capacity is required for something like this at its peak, right? Before that, of course, the plants are fungible. We've got capability and flexibility

to deliver that growth, as it progresses to that peak, even from 1, 2 and 3. So the sales will start. In fact, the sales have already been there. I mean, I think someone on the call before referred to the supplies domestically for the same molecule, right? So that is already in the process. It's not like we've not done the dispatches under that contract.

Anubhav Sahu: Okay. But the commercial one will start from Q4, this is what you mentioned?

Anish Ganatra: Sorry.

Anubhav Sahu: The commercial supplies will start in Q4. Is that the case?

Anish Ganatra: No, no, the commercial supply for the European CDMO MSA has already started, okay? It's already started. We have now firmer order positions, which I'm saying will show you the growth in Q4 and in the coming quarters.

Anubhav Sahu: Okay. My last question is on the -- I'm just trying to understand the demand-supply dimension specialty. So just trying to have a perspective from you that which is the bigger factor, whether it is a moderation in demand or China dumping in other regions? Or is there still a case for channel inventory rationalization? Which one -- of these 3, which is the more concerning factor for this right now?

Anish Ganatra: Okay. So I think, again, channel inventory in our view is like a dead horse, yes, there's too much beating going on, on that. I think we have to recognize the fact that -- and as we've said this before, that this market means that in a strategic relationship, you have to work closely with your partners. We were early to recognize that, and we have played that to our strength.

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So as we talked and

established our equations with the customers, we have agreed that we will remain part of their supply chain, work with them on delivering the products. And like I said, there will be a reduction in pricing, but the absolute EBITDA will be protected or increased because we've now got higher capacities that we are committing to them.

Moderator: The next question is from the line of Dhara from ValueQuest.

Dhara: Sir, my first question was on the subsidiary. So if I do consol minus stand-alone, your subsidiary has reported a 15% Y-o-Y decline on revenues. This is the subsidiary from where you're doing all the new projects. So if you can help us understand what is driving the 15% degrowth on the top line?

Anish Ganatra: Yes. So again, Dhara, again, on the subsidiary, and this is what I was saying before, the Specialty business, we've seen a difficult time. And obviously, Q2 has seen that not all our capacities are utilized well. But that's exactly what we are talking about, that we were early to recognize that this would be the situation. And we've taken corrective actions, which now are giving us line of sight into Q3 and beyond for higher level of capacity utilization and the conversation, we've just shared, Nitin, myself and Vishadbhai.

Dhara: These are all new projects that we have executed, the INR195 crores capex, the Dedicated project, the Honeywell project that you couldn't secure. So if you could specifically called out where the underperformance is?

Anish Ganatra: So Honeywell project, as again, we've said, is actually doing quite okay. We've said there's no problem. 80% is there. I've talked about the 80% capacity over there, and that's not because we have issues, our issues on the plant are fully behind us. We have tested the plant to run at 100 or even higher 100%. So we have that in place, right?

The Honeywell order book will increase as time goes by. We are already seeing interest rates being softened. The industry on the construction side will boom. This is one of the end users of the product, so that will come in. On the Spec Chem side, it's market related, the market dynamics. And like I said before, we recognized it, and we responded to it to come back out of it and come back out of it strongly.

Dhara: Sure. The second question that I have is on the European CDMO contract. Sorry, I'm harping on this question again. But as I understand, the cGMP4, the INR160 crores capex, will take care of the larger ramp-up of this project with European CDMO. But if you have to put a number to FY '25 that will be doing in your existing cGMP1, 2, 3, what sort of revenue potential?

Anish Ganatra: I won't put a number to it. But if you look at our -- in the cGMP or in this particular business, and when we've talked about the capex, we've talked of peak annual revenues at 2x of capex. So you should look at the peak annual revenue. That will come in over time, yes. I'm not going to give a guidance of which year and when. But I've already -- there is a guidance out there of the \$100 million by FY '27. We stand to it, yes.

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Moderator: The next question is from the line of Rohit Nagraj from Centrum Broking.

Rohit Nagraj: Sir, first question is one of the competitors has announced that they are planning new HFO capacity in India. So what is our dialogue with Honeywell, as I think earlier we were contemplating of debottlenecking the capacity and maybe subsequently doubling the capacity for which we have kept the space at Dahej? So what is the current status? And what would be the roadmap for this year?

Anish Ganatra: So, Rohit, again, I will not be able to talk of the rationale of what the competitor may have announced. All I can tell you is that our conversations with Honeywell with like any other strategic customers are continuing, ongoing, and there is always opportunities that we are exploring to deepen. But at t

his stage, I can't talk about the debottlenecking or anything because as these projects will come up, we will sort of discuss with the customer, and also, once the internal commercials, et cetera, are clear, then we talk about it with the Board. Once approved, then we come out with it.

The other thing to remember also, whether there's new capacity coming in for HFO, the market for this is always going to increase. It's not shrinking. So there's enough space for everyone in that.

Rohit Nagraj: Sure. That's helpful. And second question is you just now mentioned that for the CDMO we still have the target of \$100 million in FY '27. So what could be the contours of the same given that FY '25 we will be having closer to, say, \$40-plus-minus million, and we are contemplating almost 2.5x increase in the next 2 years?

Anish Ganatra: So I mean, again, I think we've said a lot for you to do the math because it's the first phase of cGMP4. At INR160 crores, it's going to give you 2x revenue. You know where that is coming from. And obviously, we've had a track record of doing the base business at a certain level. And like we've said, there were certain molecules that have not come in, in the past will come in, in the future. That optimism and that assurance is still remaining.

Simultaneously, Nitin and the team are also working deeply to extend the reach of our relationship with the customers, both new customers and deeper. So there's a combination of things, including the ones that we've shared with you, some of the molecules that we are working on in late stage. Late-stage molecules have a risk profile, that risk profile is relatively low compared to early stages, right? So some of them will work. There's a portfolio effect that will play out on all of this.

Moderator: The next question is from the line of Reshma Jain from DSP Asset Manager. Sorry to interrupt, the current participant has been disconnected. We'll move on to the next participant. It's from the line of Keyur Pandya from ICICI Prudential.

Keyur Pandya: 2 questions. First, on the growth side for FY '25, now since this INR540 crores project is commissioned with some delay, so the growth in this Specialty Chemical would be driven by Navin Fluorine International Limited
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this INR190 crores capex MPP? And if that is so, then if you can just talk about number of molecules or what kind of utilization is working at?

And second, is it fair to assume that next year's growth would be largely driven by 2 key segments? I mean, one, ramp-up of this INR540 crores project, and second is CDMO, very first question.

Anish Ganatra: Sorry, I lost you there. What did you say second was, Keyur?

Keyur Pandya: So one is ramp-up of this INR540 crores project, and second is CDMO for the next year...

Anish Ganatra: So I don't think that's correct. See, all our verticals, I mean, if you look at the growth we've done in HPP and the further growth potential that even exists in the base business. And I'm not even talking about new R32 that's coming in, right? So you got new R32 that's coming in. You've got AHF that is going to come in next year. So that will also start trickling into the revenue and the growth. So our pillars of growth are very strong in HPP. Spec Chem, I think we've already given you a good purview of what we see in Q3, Q4 and beyond. And CDMO, again, we've given you. So actually, the growth will come from all 3 verticals.

Keyur Pandya: Just one follow-up. So on the current project, so the MPP of INR190 crores project, how would be the utilization, I think the revenue potential of INR270 crores, INR280 crores? If you can just talk about what number of molecules or the revenue run rate debt which are -- which we have...

Anish Ganatra: So in the MPP molecule, MPP plan, particularly around capacity utilization, see, when we last spoke, I have said capacity in MPP is very difficult to define in tonnage term

s. But in terms of

value, we have talked about saying that, that MPP would be somewhere around -- we would be in the range of about 70%, 75% in terms of the peak annual revenue. But of course, as we go into the next year and coming year, given the order visibility that we have, we expect that to

increase.

Plus we also use the MPP to continuously do new molecules. And part of the reason for doing those new molecules is to actually keep the pipeline strong so that you are able to utilize your own assets and also use that as a decision-making if you wanted to make further investments into it.

Keyur Pandya: Noted. Just last question and second question, so on the capex side, capex for FY '25 and '26 and the areas of capex?

Anish Ganatra: So the capex that will continue into '25 and '26, of what I can tell you now, are only the Board-approved projects, which are R32, AHF and the cGMP4, yes. Those are continuing. Like we said before, there are several projects we are working on in the hopper. Some of that will mature, and we do hope to look at progressing at least one of those options by middle of next year, middle to late middle. This is just rough indication, yes. And that's to fuel the growth beyond '27, as we are talking about. Does that help, Keyur?

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Moderator: Actually, sir, Keyur has been disconnected. We will move on to the next question. It's from the line of Archit Joshi from B&K Securities.

Archit Joshi: I just have one question on CDMO. While we have discussed a lot of permutations around the \$100 million target that we have for the business segment, what would be the significance and the roadmaps that we expect for the U.S. major and the U.K. major that we have been dealing with? How would be the nature of that business? Would it be campaign-based? Or do we expect something significant, let's say, in a 2-, 3-year timeline?

Anish Ganatra: It will progress. It's very difficult to give you that timeline, and that's the reason why we work with a hopper of products over there. So it's not just these 2, but there are others as well. These 2 currently look most promising. But again, that's all I can tell you today, but which one, what will come out, very difficult for me to second guess that, Archit.

Archit Joshi: Would it be fair to assume that these will be some of the important or, let's say, significant ones while we are considering the \$100 million number, given that...

Anish Ganatra: So think of it this way. I mean, I would answer your question in another way. I mean if you look at FY '23, I think our revenues were in the range of about INR330 crores, INR350-odd crores, right? And that was with neither Fermion nor the European CDMO, nothing, right? So if you just extrapolate that, the potential of the business is there for you. We have reinvigorated the business development teams. There's a lot of direct involvement from Nitin and his -- and the CDMO business leadership in this area.

There will be growth. It doesn't have to depend on just 1 or 2 of these molecules, if you know what I mean. It depends on the overall macro in the industry. And we know the macro in the industry with the Biosecure Act that there is greater emphasis to -- for the large players to look at optionality other than China, and India tends to be more competitive in that space once you step out of China.

Moderator: In the interest of time, we will take the last question from Nitesh Dhoot from Dolat Capital.

Nitesh Dhoot: Sorry if I'm repeating this question, but the CDMO revenue mix has moved significantly in favor of India at 61%. Is there...

Anish Ganatra: Nitesh, it's sounding all jumbled up. Maybe you will have to either come closer to the microphone or talk slowly.

Nitin Kulkarni: And loudly.

Anish Ganatra: And loudly.

Nitesh Dhoot: Sir, is it any better?

Anish Ganatra: Yes, better. Just go slow.

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Nitesh Dhoot: Yes, sure. So I was asking on the CDMO revenue mix that has moved significantly in favor of India at 61%. So while -- so is it to do the increase in the late-stage molecules, and how -- and this is how it will be going forward?

Anish Ganatra: No, I don't think you should read anything into that. That supply into India is at the behest of a global customer. So that's just being supplied today to India. It may continue to India. The proportion will change. We know for sure. It's also an equation of the registration timeline. And I think we've shared that before as well, Nitesh. When you -- I think you were at Dewas right [Inaudible].

Nitesh Dhoot: Just one more question that is on the finance cost. So what I see is that the net debt has increased

by over 20% year-on-year, but the interest cost has gone down by around 30%.

Anish Ganatra: No. So net -- sorry, did you say net debt has increased by 20%?

Nitesh Dhoot: That's year-on-year, I mean, if I'm looking at Q2 to Q2.

Anish Ganatra: Okay, okay. So if I look at March to now, right, if you look at March to now, our debt hasn't increased that much. But to point you on your finance question, I think I know where you're coming from. You're looking at the interest cost, aren't you?

Nitesh Dhoot: Yes.

Anish Ganatra: Yes. So see, what happens, Nitesh, over there is our project loans that we take, some of the project loans are generic project loans. And in the early stages of the projects, a lot of the allocation happens between the projects and the GST-associated with capex, but as you know, the GST on capex is a working capital item, which gets unwound at a later stage.

So earlier, the amount of projects, the interest cost that is attributed to the non-fixed asset type expense, but still capex in nature, gets -- hits the P&L. And now as your spend increases towards the fixed assets itself, that gets allocated to capital. That's the way to think about it, yes?

Moderator: So, Mr. Nitesh, did it answer your question? Sir, the current participant has been disconnected. As this was the last question, I would like to hand the conference over to the management for their closing comments.

Anish Ganatra: All right. So thank you all for the time today. On behalf of Vishad bhai, Nitin and the management of Navin, I would like to wish everybody a very happy Diwali, and also, of course, Payal. Couldn't miss you, Payal. Yes. So again, Happy Diwali to you and your families and stay connected. Thank you.

Nitin Kulkarni: Thank you.

Moderator: On behalf of Navin Fluorine International Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Feb 2025

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February 05, 2025

BSE Limited

Phiroze Jeejeebhoy Towers,

Dalal Street, Fort,

Mumbai 400001

Scrip Code: 532504 National Stock Exchange of India Limited

Exchange Plaza,

Bandra Kurla Complex, Bandra (East),

Mumbai 400051

Symbol: NAVINFLUOR

Dear Sir / Madam,

Sub.: Transcript of Earnings Call held for the quarter and nine months ended December 31, 2024

Pursuant to Regulation 30 read with Schedule III of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the Company's Earnings Call held on January 30, 2025 regarding discussion on operational and financial performance for the quarter and nine months ended December 31, 2024 (Q3 & 9M of FY 2024-25) is enclosed herewith.

This intimation is also being made available on the Company's website at www.nfil.in.

Request you to take this intimation on record.

Thanking You,

Yours faithfully,

For NAVIN FLUORINE INTERNATIONAL LIMITED

Niraj B. Mankad

President Legal and Company Secretary

Encl.: a/a

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"Navin Fluorine International Limited
Q3 FY '25 Earnings Conference Call "
January 30, 2025

MANAGEMENT : MR. VISHAD MAFATLAL – CHAIRMAN – NAVIN
FLUORINE INTERNATIONAL LIMITED

MR. NITIN KULKARNI – MANAGING DIRECTOR –
NAVIN FLUORINE INTERNATIONAL LIMITED

MR. ANISH GANATRA – CHIEF FINANCIAL OFFICER –
NAVIN FLUORINE INTERNATIONAL LIMITED

MS. PAYAL DAVE – INVESTOR RELATIONS ADVISOR –
ORIENT CAPITAL

MODERATOR : MR. BHAVYA SHAH – ORIENT CAPITAL

Navin Fluorine International Limited
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Moderator : Ladies and gentlemen, good day, and welcome to the Navin Fluorine International Limited Q3 FY '25 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Bhavya Shah from Orient Capital. Thank you, and over to you, sir.

Bhavya Shah: Thank you. Welcome to the Q3 and 9-month FY '25 earnings conference call. Today on the call, we have with us Mr. Vishad Mafatlal, Chairman; Mr. Nitin Kulkarni, Managing Director; and Mr. Anish Ganatra, Chief Financial Officer of Navin Fluorine International Limited.

This conference call may contain forward-looking statements about the company, which are based on beliefs, opinions and expectations as of today. Actual results may differ materially. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict. Our detailed Safe Harbor statement is given on Page 2 of investor presentation of the company, which has been uploaded on the stock exchange and company website.

With this, I now hand over the call to Mr. Vishad Mafatlal for his opening remarks. Over to you, sir.

Vishad Mafatlal: Ladies and gentlemen, I would like to welcome you all to Q3 and 9 months FY '25 earnings call.

I am joined by our Managing Director, Mr. Nitin Kulkarni; our CFO, Mr. Anish Ganatra and Ms. Payal from Orient Capital, our Investor Relations Advisor.

I trust that everyone has had a chance to review our financial results and investor presentation, which have been made available on both the stock exchange and our company's website. The environment in which we operate continues to be uncertain, driven by factors such as geopolitics and global macro. Despite these uncertainties, I am pleased to share that we have remained resilient and have committed to demonstrate adaptability in our operations.

Our focused efforts, combined with the strength of our relationship with our customers has allowed us to drive sustainable performance. I would like to highlight 2 key milestones we achieved in the last quarter. Firstly, we successfully commissioned our agro specialty plant at Dahej with an investment of INR540 crores.

Secondly, in Q3 FY '25, we surpassed revenue run rate of INR600 crores. In HPP vertical, we secured better realizations by optimizing the product mix with improved capacity utilization. In Specialty Chemicals and CDMO verticals, we have continued to drive higher capacity utilization with a strong order book outlook.

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Our operating EBITDA for the last quarter has seen an increase of 95% Y-o-Y, achieving a sustainable EBITDA margin of 24.3%. We continue to drive discipline in cost management, maximizing operational efficiency, generating robust cash flows and effectively managing risks to secure short-term performance and long-term strategic goals.

Our priorities remain ; one, manufacturing excellence with highest level of HFC practices; two, deepening the relationship with existing customers, while pursuing new customer acquisitions; three, disciplined project execution; fourth, pursuing growth opportunities within a tight financial framework. All these will result in long-term value creation for all our stakeholders.

I'm pleased to share that our Dewas site has earned the Gold Medal in the EcoVadis assessment, recognizing our commitment to sustainability and responsible business practices. Thank you once again for your continued support.

With that, I

would like to now hand over to Nitin to provide a detailed overview of our operating and business performance during the quarter.

Nitin Kulkarni: Thank you, Vishad bhai, and good evening to everyone. I would like to start by expressing my sincere appreciation -- am I audible?

Moderator: Yes, sir, please go ahead.

Nitin Kulkarni: Yes. So I would like to start by expressing my sincere appreciation for your time and ongoing support. As always, it is a pleasure to connect with all of you during our earnings call. I would like to share some updates regarding our operational progress and performance across our business verticals.

We are pleased to announce the successful commissioning of our agro specialty plant at Dahej with an investment of INR540 crores. This project is significant step forward for us and I'm happy to report that the commercial dispatches have been started. Our focus remains on maximizing capacity utilization, enhancing productivity and driving efficiencies across all our business lines, while deepening relationships with all customers. These priorities will guide us as we bring new projects online and continue to explore growth opportunities for the future. Now let me take you through the performance of our business verticals. So HPP ; HPP business has shown growth in the third quarter of FY '25. The revenue from this segment rose from INR251 crores in quarter 3 FY '24 to INR306 crores in quarter 3 FY '25, reflecting a year-on-year growth of 22%.

During the quarter, HPP business benefited from volume growth in HFO, R22, R32 and

inorganic salts along with improved price realization across our products. The additional R32 capacity of 4,500 metric tonnes is progressing as planned and will be commissioned by February 2025. We remain constructive on the demand outlook for R32 in India and globally. We are engaged with a few global measures for evaluating an enhancement of R32 capacity.

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Furthermore, we are making progress on our AHF project with an investment of INR450 crores, and the project is on track for commissioning by early FY '26. On second front, the Specialty Chemicals business, has shown revenue increase from INR175 crores in quarter 3 FY '24 to INR221 crores in quarter 3 FY '25, reflecting 26% growth year-on-year. A key driver of this growth has been the increased capacity utilization at both our Dahej and Surat plant. Looking ahead, we have strong order visibility for quarter 4 FY '25 and beyond, particularly with the ongoing ramp-up at Surat and Dahej facilities. We are also introducing 1 new molecule in Q4 FY '25 and second in Q1 FY '26.

On CDMO business, the CDMO business revenue from this segment increased from INR73 crores in quarter 3 FY '24 to INR79 crores in quarter 3 FY '25, reflecting an 8% year-on-year growth. We remain optimistic about this segment, supported by strong order book for Q4 FY '25.

On the European CDMO front, I'm pleased to share that the registration formalities are in advanced stage and direct dispatches commenced during this quarter. Looking ahead, projections for FY '26 and beyond continue to remain strong, with an order book for CY '25 already secured. We also anticipate an additional molecule supply in FY '26.

We have received an order from a major European customer with supply schedule for FY '26. Furthermore, for our U.S.-based major customers, we have received a scale-up order with supplies planned in Q4 FY '25. Regarding the cGMP4 project, the first phase of INR160 crore investment is progressing as planned and is expected to be commissioned by the end of quarter 3 FY '26.

In summary, we are pleased with the progress we have made across all our business verticals in Q3 FY '25. On this note, I would like to hand over to Anish to brief you on financial performance. Over to you, Anish.

Anish Ganatra

a: Thank you, Nitin. Good evening, all, and I welcome you all once again on the earnings call. Let me discuss the financial performance of the company in Q3 and 9 months FY '25. Quarterly performance. We reported revenues of INR606 crores in Q3 FY '25, an increase of 21% year-on-year and 17% quarter-on-quarter led by an increase in revenue across all the segments. Operating EBITDA for Q3 FY '25 was INR147 crores, a growth of 95% year-on-year and 37% quarter-on-quarter. Operating EBITDA margins stood at 24.3% as against 15.13% in Q3 FY '24, and improving sequentially from 20.7% in Q2 FY '25, reflecting higher realizations in HPP, higher capacity utilization at Dahej and Surat, and efficiencies secured within businesses. Operating PBT for Q3 FY '25 was INR98 crores as against INR33 crores in Q3 FY '24 and INR66 crores in Q2 FY '25, an increase of 195% year-on-year and 49% quarter-on-quarter. Profit after tax in Q3 FY '25 stood at INR84 crores.

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9-month performance, for 9 months FY '25 on a consolidated basis, the company reported net operating revenue of INR1,648 crores as against INR1,463 crores in 9 months FY '24, reflecting a growth of 13%. Operating EBITDA stood at INR355 crores as against INR288 crores in 9-month FY '24, up by 23%. Operating EBITDA margin for 9 months stood at 21.5% as against 19.7% in the same period last year.

Profit after tax in 9 months FY '25 stood at INR194 crores. As of 31st December 2024, our net debt to equity stood at 0.41 and net working capital days to at 99 days of sales, well within the financial framework that we have indicated earlier.

That's all from my side. We'll now open the lines for Q&A.

Moderator: Thank you, sir. We will now begin with the question-and-answer session. The first question is from the line of Sanjesh Jain from ICICI Securities.

Sanjesh Jain: Couple of them. First, on the Nectar project, we have started dispatches, but is the performance of the plant on the expected line in terms of yield, operation and all, and has it been running on the expected line there?

Anish Ganatra: Do you want me to respond 1 by 1 or you want to put your questions...

Sanjesh Jain: I will put my questions first in that case. The second question is on the CDMO, particularly on

the Fermion product on the European MSA what we have signed . It appears to be one of your competition has been reporting a very strong number, while for us CDMO has been more like a flatish. Is that a lot of it will get captured from Q4?

And from the registration perspective, now you said that you have started dispatching directly. Is it fair to assume that now with the registration probably completed soon, we should be scaling up? And when you say we have secured the order for CY '25, what is the quantum of order that we are talking about?

And the third question is on Specialty. Domestic continues to do quite well and export is dull. Is the classification difference or there is a delivery difference? How should one read about it? And the last question is on AHF. Once the AHF plant start, what is the savings that we could do as we are buying AHF now from the outside market? These are my questions.

Anish Ganatra All right. Thanks a lot, Sanjesh. And firstly, again, thank you to you. I'm kind of remembering the time in Dewas when you highlighted the EcoVadis...

Sanjesh Jain: Yes. I wanted to congratulate on that...

Anish Ganatra : So I'm sure you've picked that up. So thank you again for the feedback.

Sanjesh Jain: And congratulations.

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Anish Ganatra All right. So on the Nectar Project , Sanjesh, see, as you are aware, that's a 3 phase -- there are 3 phases or 3 stages involved in that particular project. It's a very complex chemistry involving high degree of chlorination at

high temperatures as well as then freezing at very high temperatures. So because it's a complex chemistry, we are very, very clear that we want to ramp this project progressively, but in a safe and reliable manner. And this will ramp up, but it will take its time. We're not going to rush. We're not going to take any shortcuts. It will take some time to progress, okay? So that's on the Nectar project.

On CDMO , Fermion MSA , we talked about one of our competitors reporting a very strong number. See, frankly, our registration process is in a very advanced stage. The customer is very confident of getting a favorable registration sometime in the timeframe of April or May.

Meantime, they have started to take direct dispatches from us already. And orders are in place for calendar year '25.

Now these are initial orders. I will not give a value to them at this stage. But rest assured, it will be at or equal or higher than where we are today for this calendar year, okay? The other thing to remember is that for us, Fermion ramp -up will also be progressive, and we continue to hold the view that we had indicated that for FY '27, the \$100 million target that we put for CDMO, 30% of that will come from this contract roughly. Yes.

Specialty, the division of export versus domestic is again a supply chain factor. We basically get orders which are directed to supply domestically. So that's how they get reported. But rest assured, the profile of the customers remains to be international, and orders are prepared on contracts with the m. So that's, again, the nature of how the business is rather than being exports or domestic.

AHF, your question was on , sorry...

Nitin Kulkarni : It's just how much savings you will get from.

Anish Ganatra : So you're talking about the quantum, right?

Sanjesh Jain: Yes. Yes. We are now buying from the outside market, right? Once we...

Anish Ganatra See, for AHF with the R32 capacity coming in, etcetera, etcetera, we are going to be a big consumer ourselves on a captive front. Plus you must remember that years ago, we actually exited or reduced our footprint in the merchant sales. So there is a huge opportunity that needs to be tapped over there, and that's exactly what we will do as the project comes into play and ramps up.

Sanjesh Jain: Like how much external sale are we targeting? Or what the quantum we were doing earlier?

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Anish Ganatra: So our -- I think, again, Nitin had at one of the earlier sessions already talked about that our own demand would be good enough to contain up to about 25,000 to 27,000 metric tonnes, and we're looking to operate the external order will be in the range of 6,000 to 7,000 metric tonnes.

Sanjesh Jain: Got it. And just one last question before I come back in the queue.

Anish Ganatra: Yes.

Sanjesh Jain: Anish sir, do you want to upgrade the margin guidance for next year now that we are already hitting '25.

Anish Ganatra: I'm not going to upgrade. I had mentioned, if you remember, when we were at 15%, Vishad bhai and myself have put the journey out there, 15% to 20%, 20% to 25% we are on that path, and we've indicated that we would exit FY '25 near 25% or at 25%. And that's exactly what we are working.

Our aim here is to make this very sustainable, grounded in the -- in the kind of foundation of the company. And then as we move on and leverage comes in both with CDMO and HPP and speciality we will see what we will see, but we will not guide anything beyond the 25% at this stage.

Sanjesh Jain: Fair enough. Fair enough. Best of luck for the coming quarters.

Moderator: The next question is from the line of Madhav Marda from FIL Industries.

Madhav Marda: My first question was on the Specialty Chemical business, especially the agro CDMO business, which we do. Could you just give us some qualitative thoughts in terms of

-- I think you did

sound confident about a good ramp -up in FY '26 for the Spectrum business. So are we seeing the cycle kind of turning finally after almost 6, 7 quarters of weakness? That's my first question.

Anish Ganatra Okay. Again, do you want me to take them 1 by 1 or you want to put your questions out.

Madhav Marda: So my second question was just on the R32. There has been obviously some pricing positive, which has been playing out in recent times, probably led by better prices from China. I just wanted to get a sense from your side in terms of calendar year '25, how do you all look at R32 pricing for us, domestic and export market?

Anish Ganatra Okay. So on specialty, see again, with the ag chem sector, if you take a long -term fundamental view, that remains very, very constructive, okay? The demand for agri products is not going down. Additionally, if you look at some global statistics, there is a number out there which says that 40% of the produce actually gets lost to pests. So crop protection is quite significant and big. And thirdly, you must remember that agri also now plays a big role in energy transition for biofuels. So all these growth factors from a long -term point of view, there is solid sort of fundamentals remain, right.

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Now in the near term, we are going to see pricing pressure. There's no doubt about it. Like we said last time, we were early to recognize this. We played our sort of navigated that space, ensuring that our relationship with customers bring up the orders, give us the higher volumes and we work with them on newer molecules that we are bringing to the market in an accelerated fashion.

Third thing, your point about R32 timing and China in pricing about calendar year '25. See, again, it's a factor of demand/supply, right? It's market conditions R32. We are very, very constructive about the market. And we believe that the pricing market should see upside from where we are now, difficult to quantify what that would look like. But certainly, the market remains very constructive for securing the upside.

Madhav Marda: Got it. Just on the agro part, I think -- when we said that we readjusted pricing to kind of ensure that we get our volume and plus come in with the new launches. So is it fair to say that in quarter 3, this pricing adjustment, which you've taken is kind of already in the base or -- I mean each quarter, it will reflect, but like quarter 3, is that the pace for our base business already? Or there's still some adjustment pending?

Anish Ganatra: No. So a large amount of pricing on the existing products is already building, okay? Now I think I had also indicated earlier that at best from a consol point of view, this would be a 0.5%, 1% in fact max between that range, okay? Now against that, how are we sort of responding to it. So this is not a transactional conversation with the customer, okay, for most.

It's not just a pricing conversation. It's a conversation to be part of their supply chain network, giving them the value they're looking for, from a flexibility perspective, adaptability perspective, driving process improvements in their existing process, driving cost down. And in return, securing the higher volumes as also a play in the future road map of our innovator customers, yes.

So it's a strategy that is being played out here. And that's the result of what you see in the numbers today. We're seeing solid capacity utilization at Dahej and Surat. I mean, Dahej as an example. this quarter, we've done on an average about 85% capacity utilization versus something like 40% to 50% in the last quarter.

Moderator: The next question is from the line of Sudarshan Padmanabhan from JM Financial.

Sudarshan Padmanabhan: My first question is on the CDMO side. I mean, if I'm looking at -- you talked about the Fermion contract, but also

the visibility over the 2 years with other products, a lot of these products are under patent and there is a huge runway of growth. I mean today, when I'm talking about Fermion

contract itself, I mean, they are trying to expand the product for other applications in oncology as well.

So from that side, I mean, beyond the \$100 million, are we today in a spot where we have probably hit kind of a sweet spot with a few products hitting commercial in the late stage, which

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gives you visibility, not necessarily yet for 2 years, but say 3, 4, 5 years with the growth engine that we see. I just want to process on the cycle on that side.

Anish Ganatra Yes, I get where you're coming from Sudarshan. So good question. Thank you for that. I mean on the contract. See again, at any given point in time, we are working with close to about 35 to 50 molecules, okay, and -- in any year, right? And roughly, if I look at it, about 8 to 10 would be in the commercial space. So we are not sort of banking on one, commercial or late stage, right?

And then the others are your early -stage molecules, which eventually provides the long -term pipeline as they move into commercial. So it's a combination of things. Are we in a sweet spot or not , difficult to tell but we are certainly well diversified in terms of our footprint across the portfolio.

Sudarshan Padmanabhan: Sure. And with respect to the capex , I mean, now that we have capex for -- say the Phase 1, typically you're coming with INR160-odd crores that will come in the third quarter. I mean, do you think that probably with the scale up that you're seeing with the Fermion contract and other, I mean do we have enough land probably to go in for a brownfield or what is our thought process in terms of developing the capacity?

Anish Ganatra: Yes. Again, Sudarshan, I can't remember if you visited Dewas, but there is enough and more land available for 2 or more equivalent size of cGMP4 at the same site with common infrastructure, common utilities, common sort of administrative support, R&D blocks, et cetera. So there is enough scalability in the infrastructure. There's no doubt about it. Obviously, we will be very, very disciplined in the way we look at any project and execute capex .

Today, we've approved the INR160 crore s Phase 1 part of the capex that's expected to come on stream in November. And as that ramps up and as some of the other molecules that we are working on move to a higher volume or scale and there is visibility to that, we will quickly expand that. So as we are doing the Phase 1 of cGMP4, we are making sure that to do the Phase 2 of cGMP4 is an accelerated journey because the common infrastructure elements of one are actually being addressed as part of Phase 1 itself.

Sudarshan Padmanabhan: Sure. And one final question before I join back the queue is on the specialty in the chemical side, the 2 molecules. I mean would there be -- I mean, these 2 molecules are they in the agri space, the pharma space. What is the kind of scale up that you see -- in the near term as well as from a longer -term perspective?

Anish Ganatra: Yes. These are in the innovator agri space. Again, it's part of the strategy, as we said, we are playing into with our innovator customers to be part of the future pipeline. And more than the near-term value, what this does indicate is the pipeline of new projects, new molecules coming in, which, again, at some point can support a further expansion and growth again.

Moderator: The next question is from the line of Rohit Nagraj from B & K Securities.

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Rohit Nagraj: First question is on the AHF capacity. Based on our understanding, how many years we will be able to fulfill the capacity at optimal level barring the external sales? So how much

time will it

take maybe 4 years, 5 years to completely utilize the capacity for captive consumption?

Anish Ganatra Yes. So see, the AHF capacity that has been put on. I mean, like I've always said, that's a license to dream project. It's a project ,if you can't -- don't have AHF, there's no license to grow in this business, right? So the idea here is to keep that capacity, make sure we expand it, but we expand it in a meaningful manner. Our eventual goal is to keep increasing the realization per kg of AHF, and that's what we will strive to. So with the AHF capacity coming in, you should be looking to Navin in the coming years to look for entry into higher and higher value chain elements.

Rohit Nagraj: Sure. The second question is in terms of the capex that we have planned. Now more or less, all the projects are actually on track. And if we were to move for the next leg of project, I mean, there is a cGMP Phase 2 capex , but beyond that, on the HPP front, are we looking to debottleneck the Honeywell project? Or is there an aspiration to go in for brownfield expansion for the HPP, which we had anticipated at some time ago.

Anish Ganatra Sorry, that's still Rohit, I missed the name maybe. It's Rohit, right? Yes, Rohit. So in terms of --

in terms of the capex going forward, etcetera, like we've said, the capexes, which are currently on stream, start to look at giving us line of sight to FY '27 growth. I think Nitin in his commentary has also referred to some conversations and engagements going on with global majors regarding a potential R32 expansion.

We are also simultaneously and like we've said before, again, that we always have a hopper of projects. And these hopper of projects compete with each other in terms of driving value from being our shareholders, right? So we will progress these offers and bring them to a stage of maturity. We continue to hold the fact that within this financial -- coming financial year FY '26, hopefully, in the first half you should see some announcements coming in.

Moderator: The next question is from the line of Ankur Periwal from Axis Capital.

Ankur Periwal: Congratulations on a good set of numbers. First question on the Specialty Chemicals side. You did mention that the INR540 crore capex, we will be ramping up this project -- the sales on this project gradually. Any timeline you can share when should we expect this business -- this product to reach its optimum revenue run rate?

Anish Ganatra Yes. So we had -- when we sanctioned the capex, we indicated peak annual revenue of about INR515-odd crores, if I remember correctly. And we've said that would be done in 2 years from commissioning. I think we still hold that view. So we are in FY '25, FY '27, you should start to see it getting closer to its peak, if not the peak.

Ankur Periwal: Sure. And similar run rate and timeline for the other capexes that we had commissioned, INR235 crores one and INR125 crores.

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Anish Ganatra INR235 crores and INR1...

Ankur Periwal: MPP for special and then I think...

Anish Ganatra: So see, again all these peak annual revenue conversations are like a snapshot, right. I think that true at the time when you make it, prices change, volume change, etcetera. But as we look at this, and I'll probably give you a flavor beyond what you're asking for. But say, if you're looking at R32 capexes, the INR84 crore capex in HPP, we are well beyond the peak annual revenue. We had indicated 2x. We think we'll be at 2.5x in 1 year. So it will be the new capacity coming in for R32.

cGMP -4, we have indicated 2x, and we still hold that. And again, like I've said before, that will be FY '27 as part of contributing to our aspiration of CDMO segment in that year. In terms of Orchid we think that the peak annual revenue, it was a project that was commissioned in FY '23

and we are looking -- we should have been at peak in FY '25, but I think we have seen in the next financial year based on the order book that we have currently for Orchid, we will exceed the number basically in FY '26.

For MPP, again, very similar FY '26, we have enough order book and line of sight to the order book to be very close to the peak annual revenue we have indicated. The dedicated MPP will also be similar. It will start -- we had achieved peak revenue in FY '24. But like we said, we are looking to secure higher volumes and play a different sort of strategic card here. So that also will start to see ramping up and going up to a higher number as we look into FY '26 number.

So in the ag chem space, because of the global challenges, I think there has been some delay in the peak revenue. There's no shying away from that. But our focus remains on ensuring that we secure the capacities, run the plants to full and optimum level, securing the operational efficiencies and in FY '26, we will -- for the plants themselves and the specialty. Most of them will be in the range of 90% plus utilization.

Ankur Periwal: Great, Anish. Just one bit on our gross margin expansion in this quarter. If I look at quarter-on-quarter, we are largely flattish, while in the initial comments, you did mention HPP did saw a pricing as well as volumetric growth. So is it that the full benefit of that pricing is going to slow down because that would have -- should have been more margin accretive? And second part here on our overheads, whether manpower or the opex. So pretty impressive control over there. Should we expect this run rate to continue?

Anish Ganatra: Yes. So our view on the -- so let me take when you say flowdown, we are talking largely about the EBITDA number, right, flowing it down to the EBITDA, right?

Ankur Periwal: Right.

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Anish Ganatra: So again, if I look at the journey of 15% to 20%, 20% to 25%, right? I will say that 5%, as we have always indicated, is coming from operating leverage. And that leverage now is a sustainable

leverage given the line of sight we've got to the order books, okay .

The other big chunk of that, which is a 4.9 -odd percent of the journey from 15% to 25% is largely an effort of the team. The team is kind of working very hard to drive procurement efficiencies, margin improvements to both product mixes, placing the products, getting better realizations than what the market is getting, and also simultaneously working towards securing fixed cost savings.

So that, we believe, is something that we have in our control, and we've driven a lot of effort around that to bring the numbers in. And obviously, 0.4x, 0.4% is roughly the For ex impact in this quarter. So if you see the journey from 15.1% to 24.3%, this is what would sort of make it up. So that should give you a good sense of the fact that the margins are sustainable from where we are today.

Moderator: The next question is from the line of Jignesh Kamani from Nippon Mutual Funds.

Jignesh Kamani: Congratulations for a good set of number. Just on the Specialty Chemicals side. So if you talk about first half, we reported close to around 30% kind of decline and in third quarter, we replaced close to 26% basis of the revenue growth. And at the same time, we commissioned the Project Nectar also in November. So it's safe to assume even ex Project Nectar , our Specialty Chemicals grew in double digit, you can say?

Anish Ganatra Yes, yes, absolutely. I mean the Nectar Project only started dispatches on 9th of December. So its contribution to this quarter is not really that material.

Jignesh Kamani: Understood. So from where growth is coming because suddenly, growth has picked up drastically compared to first half?

Anish Ganatra I think again, see over here, Jignesh, as we've always said before, we had s

tarted to work on this

strategy. Nitin and the team had sort of picked this up and make sure that we connected with the customers, driving the value proposition with them bringing the orders and also participating in the future growth of the innovator. So that strategy is in play, and that's what you are seeing for us.

Now if you sort of -- again, if you look at our operations that in the business itself. The driver for this, when a customer comes and gives you higher volume, they're always looking for your team and their capability to drive efficiencies and process improvements and we have been successful in demonstrating that we then start giving us a view of the order book in the coming year.

Jignesh Kamani: Understood. Second thing on the Project Nectar. So anchor client was supposed to, you can say, pick up annually, close to around INR300 crores kind of, you can say, order from as you can

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see. And since this year, it will represent close to around 4 months , is it safe to assume that we will be doing close to around INR80 crores from the anchor client this year, and maybe we will ramp up to close to INR300 crores kind of level next year. And adding to that, are we extended our product basket in the project Nectar, and you were in discussion with 3 to 4 more perspective clients. Any update on -- you can say there on whether we are able to supply the commercial molecule to them, meaning is it approval process have a stay?

Anish Ganatra So I think, again, the project Nectar like we said, the ramp -up will be progressive. We are prioritizing safety and reliability there. It will be slow. We do not -- and we've learned from our earlier sort of experiences -- like all organizations evolved and learned from that, right?

So FY '25, you will see a ramp up. It will not be a full 100% ramp -up. It will be a gradual ramp -up from where we are today. FY '27, as I said, you should see the par that we've indicated, which necessarily means that next year, you should roughly see about 40% to 45% of the par coming in.

Jignesh Kamani: Okay. And any update on the potential 2 or 3 customers apart from the anchor customer, which we are planning to help under dual cycle?

Anish Ganatra Yes, which will be part of the plan, as we've said, given that we've just started now which will be the plan in the coming years. So coming year, we'll be meeting the customers' requirement both for this molecule as well as for the additional molecule that the customer has funded, which we talked about before, if you remember. And also, we will be doing some qualification batches for securing the FY '27 order book.

Jignesh Kamani: Under stood. And my last question on AHF, since now capacity will commission shortly. I can say -- and we will be aiming to have a 6% to 7% kind of merchant sale . On the purity level to supply to EV, do we have a technology and capability or are we thinking in that line maybe not now, maybe 2 years down the line? Or we need to have a technology tie -up if you want to venture into high -purity AHF grade, which can be...?

Anish Ganatra No. So like I said, one of our focus areas on AHF is to improve the AHF realization, yes, per kg. And in that sense, we are already working on at our end to develop high -purity kind of AHF in

technology through collaboration with partners, yes. But at this stage, unfortunately, I'm unable to disclose any of that beyond what I've just said because of commercial sensitivities, yes.

Moderator: The next question is from the line of Abhijit Akella from Kotak Securities.

Abhijit Akella: So Anish, the R32 expansion project that Nitin and you alluded to earlier on the call, for which your discussions are ongoing. Could you please give us some color around that? How large could the further expansion be what time lines, how much capex, etcetera?

Anish Ganatra

a: Abhijit, thanks for the question. Can I request some patience on that? See, the thing is, for us, the new R32 capacity is any way coming half, okay? So our sort of -- these conversations

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develop because effectively, what happens is when your new capacity company and you start seeing inquiries and you start seeing stronger inquiries then obviously, the conversation starts moving towards saying that can we do something more meaningful that's more strategic than transactional, right? And that's exactly the conversation happening. So just bear with us when we can disclose, we will disclose.

Abhijit Akella: Okay. Got it. The second one was just on the Specialty Chemicals disclosure about these 2 molecules being introduced in Q4 and Q1, the third bullet point on that slide. So are these part of the multipurpose plant or something separate?

Anish Ganatra: No, no. Multipurpose plant. This is securing the pipeline for future, yes, and securing a growth opportunity that can be taken in the future if appropriate.

Abhijit Akella: Got it. So this is part of the INR270 crore's revenue potential of that plan?

Anish Ganatra: Yes. Yes, indeed. Indeed.

Abhijit Akella: Understood. Understood. And final thing on the...

Moderator: Sorry to interrupt, Abhijit. I would request you to re-join the queue so that the management can address as many participants as possible. The next question is from the line of Krishan Parwani from JM Financial.

Krishan Parwani: Sir, congrats on very strong set of numbers. Just 2 questions from my side. Firstly, on this INR30 crores Surat capex. I just wanted to understand what the sales be gradual in FY '26 and peak in FY '27? How that is...

Anish Ganatra: So INR30 crores capex has got an asset turn of about 1.2-ish, and yes, you should expect that in the FY '26 numbers to come in at the best case. Yes, it's already started. The project was commissioned, and we were planning -- working under sort of way as we speak.

Krishan Parwani: Understood. And on the CDMO side in the presentation, you mentioned that U.S. major, the scale-up order received. So is it like a new contract that you are in the midst of signing or how is it, can you please share some details there?

Anish Ganatra: So this is still at a stage where we received the scale-up order. Last time we -- I think it is probably the one that you're referring where we have got a process pre-process order that we had received last quarter, which we delivered. We've now got a scale-up order for the same particular molecule.

And yes, eventually, this may be one of those that will translate into the -- into MSA. Like we've always said before, that we are working on certain commercial molecules and the idea is to bring in more Fermion type activity there, which can then sort of support the growth of CDMO beyond even the \$100 million number that we said.

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Krishan Parwani: Okay. So you do have the capacity in order to, let's say, if you get the contracts, you have the capacity to execute it?

Anish Ganatra: Yes, of course, Yes. Yes. Yes.

Krishan Parwani: Okay. Perfect.

Anish Ganatra: I mean the -- you know Krishan you very well know that this is in this business, it takes time, right? So by the time you start doing work with the customer, it's not a 1-year relationship. It's a multiyear relationship. So there is enough opportunity to bond and grow together.

Moderator: The next question is from the line of Pranitha from Morgan Stanley.

Pranitha: My question is on the CDMO outlook, especially for FY '26. Can you give us some color on that?

Anish Ganatra: CDMO outlook for FY '26, again, we are looking at a strong sort of growth from where we are today. But this is something that is an active area of attention by the leadership

ip team in terms of

driving the sales and the relationships, okay? Some of the molecules that we are working on and

have worked in the past, we are looking to get orders back again and that's an ongoing journey. But we remain very constructive of the business in CDMO, driven by the inquiries we are receiving and just the slate of product portfolios that we are working on.

Pranitha: Okay. Just one more question on the domestic refrigerant gas. I was wondering if you could give us some color on the domestic dynamics in terms of supply and demand. So what I see is that there's a lot of new supply coming in from you guys. And -- but the current tightness, what is driving that? Is it seasonality? Or is it something more fundamental?

Anish Ganatra I think that is -- so to answer your question that the demand/supply on the refrigerant gases and in particular on R32 is a global phenomenon. It's not just India, okay. India does play a role. I mean, OEMs, and I'm sure you track those numbers and forecast by OEMs when they talk of what they expect on the R32 market in the next couple of years. And at the same time, the global demand is quite strong.

So we are seeing a lot of inquiries from global majors and hence, again, I'm going to refer back to what Nitin brought up in his commentary. Simply at our -- the level of inquiries such that level and the scale of the inquiries such that you move from a transaction to a strategic conversation.

Moderator: The next question is from the line of Jason Soans from IDBI Capital.

Jason Soans: Just wanted to know, I mean, after some subdued quarters, we are again seeing some good recovery margins also recovering to a healthy 24% levels. I just wanted to know, are we looking at this ag chem recovery? Is it sustainable? I mean what are the -- what is underneath it? Is it some demand improving, some channel restocking. Just wanted to know, could it be an

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inflection point for the chemical sector to recover from here on with capex intensity, et cetera, picking on from these levels? Or does the situation still remain quite difficult.

Anish Ganatra So again, see, this is not something that is by accident, right. I mean, we had said in Q3 of last year that we would drive the margins from 15% to 20% to 25%. And we focus on the priorities were set by the Chairman at the time, and those priorities continue, right. So our focus is to make this very, very sustainable.

And what has happened here is that while we have continued to work and work on things that we can control and make a meaningful difference internally, we have also adapted and navigated the market space by recognizing what the customer wants. What our strategic partners are looking for, and working with them closely to secure the order book.

Like I said, we were okay to compromise on the EBITDA margin per unit of ag chem product, but in the benefit, in the bigger benefit of a higher EBITDA number. And some of the results that you see today are a reflection of that strategy along with, of course, the positive tailwinds that you've seen on the HPP vertical.

Jason Soans: Sure. And sir, I just wanted to also know that, I mean, you did give quite a detailed outlook for the CDMO business. Sometime back we were getting some good demand traction from biotech pharma as well. So just wanted to know in terms of demand from biotech, how is the outlook from that side from that vertical? And also just to add with that -- with this ambiguity in the BIOSECURE Act, does that impact us or regardless of that, we are on a good enough firm footing in terms of the CDMO business?

Anish Ganatra: No. So BIOSECURE obviously turned out to be a lot more muted than anybody expected it to be.

Jason Soans: Right.

Anish Ganatra: But I think what it did do is raise a question with every large customer. And we are seeing the

benefits of that. We're also seeing higher inquiries coming in as a result of this.

Our focus in CDMO is to work with innovators in therapeutic areas where we know there is potential in the future. So things like oncology, things like neurology, those are the areas we are sort of focused on driving. And of course, at the end of the day, marrying that to our core capability on chemistry side.

Moderator: The next question is from the line of Nirav Jimudia from Anvil Research.

Nirav Jimudia: I have 2 questions. So first, on the AHF side. So like we are on the verge of commissioning the plant. If you can share your thoughts on the availability of fluoride like which is due controlled by a few countries, Mexico, China and Africa mostly. So some of the reports also said is that Chinese are faster depleting their reserves for fluorospar given the kind of 6 million, 7 million

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tonnes of production they are seeing currently, given the kind of ecosystem they are building on. So from a sustainability point of view, how the company is placed in terms of the long-term availability and the contract for fluorspar? This is question number 1.

Anish Ganatra : So in the same way that we have strategic relationship on our customer side with strategic relationship with our vendors on the fluorspar. And we don't see any supply risk from that. Certainly not even in the conversation, frankly. And I'm looking at frankly, if he had ever heard anything on supply risk around this.

Nitin Kulkarni: No, definitely, we have not heard -- we have some multiple suppliers on a long-term contract basis. But the -- this point is very well taken, and we also know that we need to go beyond these contracts also to secure our fluorspar supply.

So if you look at our expansion of the new INR450 crore's project of HF, so this particular plant can use any fluorspar of any origin right from Mexico, to China, to South Africa, to Vietnam, to Thailand, and particularly, we have spent some money on the table just to ensure that this single infrastructure can help us to play with the multiple fluorspar sources to secure our supplies of fluorspar.

So definitely, although we have a very strong relationship with our existing fluoride partners. We've also kept a cushion to ensure in case of any crisis, in case of any supply disruptions, we have other sources from where we can easily use the fluorspar.

Anish Ganatra Yes. No, I think that's -- I mean the -- as Nitin I mentioned, there's a lot of flexibility built up in the new plant to take diverse sources of fluorspar.

Nirav Jimudia: Got it. Sir, second question is on the inorganic fluoride business. So your FY '24 annual report says that we had a decent amount of volume growth in FY '24, but the pricing was under pressure. And given the kind of market leadership in aluminum, potassium and the sodium fluoride, which we have been holding for quite a number of years.

If we can hear your thoughts here in terms of how this business is shaping up, whether this incremental AHF is dedicated for some of the newer products in the inorganic fluoride side, some thoughts here.

Anish Ganatra : I'm going to look at Nitin to take that one.

Nitin Kulkarni: So we are basically -- of course, the aluminum fluoride, definitely, we are not into that play since last, I think, 2 or 3 decades. And our entire focus is into the salts, which you spoke right now.

And if you see compared to last year, our shift is towards the high purity material. I'm not talking about here buzzwords like the electronic chemical, related salt, or the EV battery-related salts, but there is a niche segment where the high-purity KF as well as the sodium fluoride and the other inorganic salts are playing a role. And we have carved out that particular area as our focus

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area, and that is the reason, of course, there is a price pressure, but not while the way we are looking at the normal KF price in the market.

So we have a blend of this product mix, which is, as we said, we have worked on a certain product mix, which is giving us this opportunity to help to increase our contribution line, of course, by bringing in the operational efficiencies. And of course, that is going to be our focus area plus there are certain inorganic salts, which are finding an application in pharmaceutical industry. And fortunately, that particular demand have seen some uptick in last 2 quarters. So that is also helping us.

Nirav Jimudia: Got it. Sir, last clarification to Mr. Anish. So has the increased prices of sulfuric acid fully factored in, in Q3 or some bit of cost increases have to be felt in Q4 also?

Nitin Kulkarni: Sulfuric acid prices. I mean -- sulfuric we are the next...

Nirav Jimudia: My apologies, sulfur.

Nitin Kulkarni: Sulfur. No. We haven't experienced...

Anish Ganatra: Yes. It's not -- I mean, whatever it is, it's in the numbers, there's nothing more to factor beyond that.

Moderator: The next question is from the line of Keyur Pandya from ICICI Prudential Life Insurance.

Keyur Pandya: Just one bookkeeping question is on the new plant. So the full depreciation interest and opex has been factored in this quarter or that would be next quarter? And any specific reason for say Q-on-Q fall in employee costs. That is first question. Second on...

Nitin Kulkarni: First question fall in?

Keyur Pandya: Fall in employee cost Q-on-Q.

Nitin Kulkarni: Okay. Okay.

Keyur Pandya: Second question is on cGMP3 capacity. So what is the peak revenue that we can do from cGMP3? Last I remember it was around, say, INR450 crores to INR500 crores. And that is the case -- I mean is it fair to assume that in the first year of operation itself, cGMP4 would achieve say INR350 crores kind of revenue in FY '27? These 2 questions.

Anish Ganatra : Okay. So your question on depreciation and interest for Nectar. Again, the asset was capitalized on 9th of December. So from 9th of December, depreciation and interest start s into the P&L. And you will see the full quarter effect obviously in the coming -- in the fourth quarter of this year and then going forward, right? So that's already factored in.

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On employee cost, we have an ESOP reversal over there of about INR5 crores. But we think the sustainable run rate for employee cost is going to be in the range of between INR70 crores to INR75 crores per quarter, okay . It's not going to exceed that. In fact, it will probably to be coming down from INR75 crores onwards. Yes, if I was to take the reversal out, okay? So this sort of, again, if you see our percentage of cost to sales on employee, you will see that in Q4, we'll start to sort of bring it down more closer to a level. And it's already at 11.5% in Q3.

Keyur Pandya : Okay. And on CDMO?

Anish Ganatra : On CDMO, cGMP3, see cGMP3, again is a -- cGMP4, right , I think that's what you meant that when that asset comes in, you will start to see whether the peak revenue will start immediately. Now cGMP4 is going to be Phase 1 is going to be dedicated clearly to the Fermion contract. So there is already very close partnership between us and Fermion as the asset is being constructed. And the idea is to ramp it up very, very quickly as soon as it sort of comes on stream, yes. So hopefully, you should be able to see the peak revenue within the year. And that's what we indicated that FY '27, you should start to see the number that we talked about.

Keyur Pandya: And the peak revenue of cGMP3?

Anish Ganatra : cGMP3, 1, 2 and 3 again, simply going by the past, which I think was in FY '23, there is enough bandwidth to do up to about \$50 million to

\$60 million to 1, 2 and 3.

Moderator: The next question is from the line of Surya Patra from PhillipCapital.

Surya Patra: My first question is on the Specialty Chemical export domestic mix this quarter. It looks like that mix has reversed this quarter from the earlier trend, anything to read out of it, sir?

Anish Ganatra : Nothing other than the fact that the supply is being made at the biggest global customer to their local supply chain partners.

Surya Patra: Okay. So going ahead, so it is a quarter -specific story or -- so nothing to read out of it or it can continue like this going ahead?

Anish Ganatra : These are campaign -driven things. So they could move from one campaign to another, very difficult to predict because, see, again, the global innovators, and I have said this before, they are looking at increasingly flexible supply chain partners, not just with us, but with all their counterparts, right? The flexibility means that some of these things will keep varying. I think in some sense, the export versus domestic will start to become more like a mismatch to be honest.

Surya Patra: Okay. Just last question from my side is that this for the Nectar Project . See, obviously, you have been consistently indicating that you have your order book for FY '25. So you have started building up visibility for '26, sir, for this project?

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Anish Ganatra : See, again, Nectar Project starting now, the plan like we've always said, right, there is a dedicated portion and then there is...

Surya Patra: Your voice is not audible.

Anish Ganatra : Is it better now. Can you hear me?

Surya Patra: Yes.

Anish Ganatra : See, for Nectar Project like we've always said, right, there is a capacity which is for the dedicated portion and then there is a capacity to our own account. The way the ramp -up plan is, is to first fill in the dedicated capacity because the technology belongs to the dedicated partner. We are working together in both the implementation of the project and also ramping it up.

And like I said, we are also working towards making another molecule with some modifications at the behest of the same customer. So the first year will always be focused on completing the dedicated part of it. And as we do that, we will also create space to complete our qualification campaigns for the open part, and that will come in the following year, which is why we had kind of always indicated that it's a 2 -year journey to the par.

Surya Patra: Okay. Okay. There is no demand in cost equation or cost concern for this project to be successfully or to see a kind of meaningful ramp up. There is nothing like that.

Anish Ganatra : No, nothing. I mean, nothing like that, but being cost efficient is good for all seasons, right? So that push is always there.

Moderator: Ladies and gentlemen, in the interest of time, we would take that as the last question. I would

now like to hand the conference over to the management for the closing comments.

Vishad Mafatlal: All right. We like to thank you all for participation and all your support.

Anish Ganatra: Yes. Thank you.

Nitin Kulkarni: Thank you. Thank you, everyone.

Moderator: Ladies and gentlemen, on behalf of Navin Fluorine International Limited, that concludes this conference. Thank you, and you may now disconnect your lines.

Call: May 2025

Navin Fluorine International Limited 602, 6th Floor, Natraj by Rustomjee, 194, M. V. Road & Western Express Highway, Near Kanakia 351 Building, Andheri (East), Mumbai 400069 India. T: +91 22 6650 9999 F: +91 22 6650 9800 E: info@nfil.in W: www.nfil.in CIN: L24110MH1998PLC115499

May 16, 2025

BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Fort,
Mumbai 400001
Scrip Code: 532504 National Stock Exchange of India Limited
Exchange Plaza,
Bandra Kurla Complex, Bandra (East),
Mumbai 400051
Symbol : NAVINFLUOR

Dear Sir / Madam,

Sub.: Transcript of Earnings Call held for the quarter and financial year ended March 31, 2025

Pursuant to Regulation 30 read with Schedule III of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the Company's Earnings Call held on May 09, 2025 regarding discussion on operational and financial performance for the quarter and financial year ended March 31, 2025 (Q4 & FY 2024-25) is enclosed herewith.

This intimation is also being made available on the Company's website at www.nfil.in.

Request you to take this intimation on record.

Thanking You,

Yours faithfully,
For NAVIN FLUORINE INTERNATIONAL LIMITED

Niraj B. Mankad
President Legal and Company Secretary

Encl.: a/a

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"Navin Fluorine International Limited
Q4 FY '25 Earnings Conference Call "
May 09, 2025

MANAGEMENT : MR. VISHAD MAFATLAL – CHAIRMAN – NAVIN
FLUORINE INTERNATIONAL LIMITED
MR. NITIN KULKARNI – MANAGING DIRECTOR –
NAVIN FLUORINE INTERNATIONAL LIMITED
MR. ANISH GANATRA – CHIEF FINANCIAL OFFICER –
NAVIN FLUORINE INTERNATIONAL LIMITED
MS. PAYAL DAVE – INVESTOR RELATIONS ADVISOR –
MUFG INTIME IR

MODERATOR : MR. BHAVYA SHAH – MUFG INTIME IR

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Moderator : Ladies and gentlemen, good day, and welcome to the Navin Fluorine International Limited Q4 and FY '25 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Bhavya Shah from MUFG Intime IR. Thank you, and over to you, sir.

Bhavya Shah: Thank you. Welcome to the Q4 and FY '25 Earnings Conference Call. Today on the call, we have with us Mr. Vishad Mafatlal, Chairman; Mr. Nitin Kulkarni, Managing Director; and Mr. Anish Ganatra, Chief Financial Officer of Navin Fluorine International Limited.

This conference call may contain forward-looking statements about the company, which are based on beliefs, opinion and expectations as of today. Actual results may differ materially. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict. Our detailed Safe Harbor statement is given on Page 2 of investor presentation of the company, which has been uploaded on the stock exchange and company website.

With this, I now hand over the call to Mr. Vishad Mafatlal for his opening remarks. Over to you, sir.

Vishad Mafatlal: Good evening, ladies and gentlemen. It gives me great pleasure to welcome all of you to Navin Fluorine's Q4 and full year FY '25 Earnings Call. I am joined today by our MD, Mr. Nitin Kulkarni; our CFO, Mr. Anish Ganatra and Ms. Payal Dave from MUFG, our Investor Relations Advisor.

Let me begin by saying that this has been a good quarter for Navin Fluorine, a quarter where multiple strategic levers came together to deliver a robust performance. We reported our highest ever revenue of INR2,349 crores and highest ever quarterly revenues of INR701 crores with EBITDA margins in the last quarter, reaching 25.5%. We have adhered to our financial framework maintaining our debt-to-equity ratio of 0.37 and generating operating cash flows of INR571 crores in the past year.

I am pleased to announce our strategic agreement with Chemours to produce their proprietary product, Opteon, a two-phase immersion cooling fluid. This manufacturing partnership leverages Chemours innovation and Navin's manufacturing expertise to address the data cooling center needs created by AI and next-generation chips. With this partnership, we will foray into Advanced Materials segment in line with our strategies communicated to you all in the past. This partnership is a significant milestone for us. It reposes Chemours confidence and trust in Navin Fluorine's capabilities to absorb and commercialize high-end technologies, and we are grateful for the same.

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We have also tied up with BUSS ChemTech AG, Switzerland as a technology partner to commercialize solar and electronic grade HF exclusively for us. BUSS ChemTech AG is a leader in this space for over a century. We are pleased to announce our R32 project commercialized in March 2025 and is currently operating at optimal capacity.

This is a significant validation of our R&D and execution capabilities, and it adds further momentum to our High-Performance Products business, where we continue to see strong demand and pricing traction in both HFO and R32.

Encouraged by the continued growing demand of R32 across all geographies, including in India, for the RAC market, we are actively engaged with global partners to leverage on this opportunity further. We have a robust order book visibility in our CDMO business and a strong pipeline in Specialty Chemicals business.

Our ongoing AHF project is progressing well with the completion expected by Q2 FY '26. And the cGMP4 Phase I facility remains on track for commercialization in Q3 FY '26. To conclude, we remain focused on scaling our businesses, strengthening our technology platforms, building up strategic partnerships and delivering sustainable growth to create long-term value for all our stakeholders.

Thank you once again for joining us today. With that, I would like to now hand over to Nitin to provide an update of our operating and business performance.

Nitin Kulkarni: Thank you, Vishad Bhai, and good evening to everyone. A significant development is our

strategic agreement with Chemours for the manufacturing of a new two-phase immersion cooling fluid, which is part of their Opteon series. Under the agreement, Navin Fluorine will establish manufacturing facility at Surat at an estimated capex of US \$14 million, including US \$5 million of contribution by Chemours. The project is expected to be operational during quarter 1 of FY '27.

As market adoption deepens Navin Fluorine and Chemours will get into discussions for servicing of potentially higher demand. Our performance in Q4 reflects not just strong market demand, but also the disciplined execution and operational resilience that our team has demonstrated across segments. We have seen sustained momentum across our verticals. In High Performance Products (HPP) we recorded revenue driven by robust demand and improved pricing realization.

This quarter, we commercialized second plant of R32. Our AHF project is expected to be commissioned by quarter 2 of FY '26. Our tie-up with BUSS ChemTech AG for high-purity HF aligned to the expected commissioning of our AHF plant will help us to foray into solar and electronic grid market, both in India and overseas.

Moving to the Specialty Chemicals business. We are operating at optimal capacity utilization at both Dahej and Surat, and we have good order visibility for FY '26. After successful validation by our global agrochemical partners, we are also introducing two fluoro intermediates for their new innovative AI in FY '26.

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Commercial production at our Dahej facility for fluorospecialty project, which commenced in December 2024 and is currently ramping up well. In Surat, following our INR30 crores expansion, we initiated for dispatch of this particular product in February 2025.

The CDMO business recorded strong performance in the last quarter. This growth has been driven by both repeat orders and new project wins. Looking ahead, our cGMP4 capex of INR288 crores is progressing as planned. Phase 1, which involves INR160 crores of investment is on track to be commissioned by end of quarter 3 FY '26.

Overall, I want to emphasize that Navin Fluorine is currently in a good position, both operationally and strategically. We are advancing with disciplined project execution and targeted capital investments, all within a well-defined financial structure. At the same time, we are pursuing growth to keep pace with an evolving market landscape. Our efforts remain focused on strengthening our existing verticals, expanding into new product lines, and upholding the highest standards of safety, compliance and operational integrity.

On this note, I would like to hand over to Anish to brief you on financial performance.

Anish Ganatra: Thank you, Nitin. Good evening, all, and I welcome you all once again on the earnings call.

Moving on to the financial performance of the company in Q4 and FY '25. Quarterly performance, we reported revenues of INR701 crores in Q4 FY '25, an increase of 16% year-on-year and quarter-on-quarter, led by an increase in revenue across all the verticals.

Operating EBITDA for Q4 FY '25 was approximately INR179 crores, a growth of 62% year-on-year. Operating EBITD

A margin stood at 25.5% as against 18.3% in Q4 of FY '24. Operating PBT for Q4 FY '25 was INR115 crores as against INR67 crores, an increase of 72%. Profit after tax in Q4 FY '25 stood at INR95 crores as against INR70 crores in Q4 FY '24, an increase of 35%.

FY '25 performance. For FY '25 on a consolidated basis, the company reported net operating revenue of INR2,349 crores as against INR2,065 crores in FY '24, reflecting a growth of 14%.

Operating EBITDA stood at INR534 crores as against INR398 crores in FY '24, up by 34%.

Operating EBITDA margin for FY '25 stood at 22.7% as against 19.3% in the same period last year.

Operating PBT for FY '25 was INR336 crores as against INR228 crores, an increase of 48%.

Profit after tax in FY '25 stood at INR289 crores as against INR271 crores in FY '24. As of 31st March '25, our net debt-to-equity stood at 0.37, and net working capital days at 90 days of sales, well within the financial frame indicated earlier.

That's all from my side. We can now open the line for Q&A.

Moderator: The first question is from the line of Sudarshan Padmanabhan from ASK NDPMS.

Sudarshan Padmanabhan: Congrats on the great set of numbers and tie up. Sir, my question is to understand a little bit more with respect to the tie-up with Chemours, especially if I look on the nature of the products

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that we are dealing with. I mean this opens a completely new arena of business for us in terms of targeting the AI customer in terms of fluid.

What I'm trying to understand is at the size of the capex today with respect to the price and the potential of the industry, I think Chemours themselves talk about \$550 million to \$3 billion. I'm trying to understand, one, your scalability with Chemours. Number two, can you take this technology and knowledge and extrapolate it to other products so that you can target a wider range of customers?

Anish Ganatra: All right. Thanks, Sudarshan. So yes, we are also equally excited with the tie-up on Chemours and the fact that it opens up a completely new product line for us. As mentioned by Vishal Bhai and reiterated by Nitin, this is a foray by Navin into the advanced materials play. Though it's not something that's happened by accident. We've always indicated this as part of a strategic priority as we keep progressing on our growth journey.

Now the size of capex and scalability, etc I think, again, we've said this very clearly in our disclosures too, that this is the initial capacity to help Chemours with the adoption -- with accelerating the adoption of their proprietary product into the market. Technology belongs to them. So clearly, it's not something that we would -- we have any rights to the technology or its end product or its use, yes?

Sudarshan Padmanabhan: Sure, sure. So I mean, in the sense of targeting the larger audience within the space. I mean I'm just trying to understand because this is a first step into this space, whether this will open up a new business for us altogether, as I'm fast-forwarding, say, three, four years?

Nitin Kulkarni: Yes. So basically, what Navin is demonstrating is our ability to understand, absorb and commercialize the proprietary products based on the various platforms on which we are operating. So this particular venture has demonstrated that Navin got the skill set from a ground level to the commercialization of the product, where at each and every state, we have the required infrastructure, the analytical tools, the skill set, the people to gain the confidence and demonstrate on the ground, our ability to make the product, which is required for such a high-end technology.

So our job is here to demonstrate our abilities to work on these platforms where such technologies, we can easily absorb and take it forward. So giving the answer to your question, because of this particular capability

of Navin, we are working with other areas in the new age industry also, which covers like semiconductor inches, the doping gases, the specialty additives required for such applications.

So there is a hopper where we are working with other global majors or other applications for other new age technologies. So for this particular application, as Anish Bhai said, this is exclusive for Chemours. This is their technology, and we are just going to -- we have absorbed and we are going to scale it up and as things progress, it will go further.

Anish Ganatra: So Sudarshan, just to add, we've always said that our -- that we are working on a portfolio of products within the advanced materials space. This one has crystallized first. So this is the beginning, as we've said.

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Sudarshan Padmanabhan: And just on the numbers, I mean, what is the kind of asset and qualitatively the margins that we can do?

Anish Ganatra: So Sudarshan, this is an initial capacity that we've put in for Chemours to help with the adoption.

The capacity by itself is sufficient to support several field trials of the product in terms of actually doing dozens of field trials to accelerate the adoption. The value proposition of the product is such that it is something that is considered essential to the evolution of data centers as next-gen GPUs and chips advance. The sense is that two-phase immersion cooling is going to be the most effective solution in the play.

And so like we said in our announcement, as this market sort of adoption accelerates, there will be a conversation for a greater capacity. Unfortunately, in the contract confidentiality terms we're not allowed to disclose any asset turns or value or capacity around it. But you have a size of the capex, so you're free to make your judgment on that.

Sudarshan Padmanabhan: Sure, thanks a lot for your elaborated answer. One final question before I joined back the queue is that it's hardening to see the CDMO gaining good traction. One, of course, Fermion is scaling up well for us. I mean just to reiterate, we've talked about a lot of products getting into the commercial space from this stage. So if you can qualitatively talk about with respect to because we are putting a lot of capex in the space, qualitatively how many products or what is the kind of scale that we can expect in an accelerated mode in the period?

Anish Ganatra: I think as we've said before, that at any given point in time, we are working on 10 to 15 commercial or late-stage products that have the potential to grow up. If you look at our slides in the update that we've given today, we've talked about a commercial order for a U.S. major that's

expected for delivery in FY '26. This order follows on a successful scale-up order that was delivered in this quarter.

So I mean, as we've always said in this vertical, we work with innovative molecules and innovative molecules by definition, you talk of blockbuster level concepts, yes. So I mean the capacity, we think, is actually going to be needed to achieve our growth aspirations.

Moderator: The next question is from the line of Vivek Rajamani from Morgan Stanley.

Vivek Rajamani: Hi sir, thank you so much for the presentation and congratulations on a great set of results. I'll probably extend the previous participant's question on CDMO. Given the progress that you've made with the new customers, can you give us a sense of how we should be thinking of the CDMO revenues into fiscal '26-'27 vis-a-vis where we are in Q4, which is already a great start. So just some thoughts in terms of how that could evolve. And this is an extension to that. You had mentioned that from a strategic perspective, you're shifting into more late-stage molecules to reduce the lumpy nature of CDMO. Just wanted to understand with the contracts that you have, how much -- how

far do these contracts get you with reaching that objective?

Anish Ganatra: So Vivek, thanks for the question again. I mean on the CDMO side, as we've said before, the strategy was to balance early stage and late-stage molecules. Late stage and commercial

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molecules are going to add scale and growth into this business, and that's where our focus was.

This will remove the lumpiness, as you rightly said.

We will be looking to sort of continuing to hold our aspirational target to be \$100 million. Like I said, \$100 million is not -- it's a milestone. It's not the destination. So effectively, even if we are 90, it doesn't change the dial. In fact, it's a tipping point for CDMO to become a material business.

The U.S. major commercial molecule that we talked about, if that molecule succeed, again, that's a big sort of molecule to come into our portfolio and will become hopefully something like a Fermion type. The other thing to remember here is that as we sort of scale this, so between now and the \$100 million target, and like I said, you can take a rough number there, but the growth will be sort of gradual and progress. It's not kind of -- we're not talking many years. We're talking 2 years. So I'll leave the math to you.

Vivek Rajamani: That's clear. Maybe the second question I had was just with respect to the conversations that you're having with your broader customer base across segments. Just wanted to get a sense in terms of everything that's been happening in the last couple of months. Do you get a sense of how customers are thinking about '25-'26. Is there -- are you getting a sense of them changing any strategy from a procurement perspective. Any high-level thoughts with respect to tariff would be super helpful.

Anish Ganatra: So tariffs are, and I think, again, following on the announcement of tariffs, of course, the impact is now very subdued as we speak now. But the kind of case for Navin was neutral to positive, as we've indicated before. If you look at different verticals, now HPP, the growth gets driven through all the sort of regulatory changes that are happening in the end markets there, whether you talk of the Montreal protocol, etcetera.

And those the HPP vertical is virtually, I think, insulated from the tariff conversations. On the, AG chem side, again, talking to our customers, none of them are indicating anything substantially change in the strategic direction on outsourcing or doing more of work outside with players in India, etcetera, as a result of the tariff conversation. CDMO also, as I've indicated before, because we play with innovative large customers, these customers, when they look at their molecules, the intermediate is a very small component of them.

For them, it's more important to ensure the success of their molecule rather than worry about the tariffs, I think at least. But it's a space that we continue to watch all the time. As of now, we've not seen any sort of any sort of headwind as a result of the tariffs. And the fact that we are making some good progress on our strategic priorities is a good indication of the customer mindset in this space.

Moderator: The next question is from the line of Sanjesh Jain from ICICI Securities.

Sanjesh Jain: Good evening sir, Thanks I got a few, but will restrict to two. First, on the BU SS ChemTech, we did announce the arrangement and exclusive technology transfer. We are already building an HF capacity, there should be more distillation, right, to bring in the purity here. We are talking about PPB level or it is still PPM level? That's number one.

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Number two, what really the application does it have in solar and on the electronics side, what really characteristics or the effect does it add? And how big the opportunity is for us? Beca

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think India is adding a lot of solar capacity. In that backg round, can you help us understand that?

Anish Ganatra: Yes. Thanks, Sanjesh. I will request Nitin to take this.

Nitin Kulkarni: So Sanjesh, here we are talking about the N3 and N5 specification. We are not talking of only PPM or PPB, PPB is part of the N3 and N5. So we are really talking about the N5 grid, which goes into the high electronic grid. So this is not just the distillation to make high -purity product. It is actually to meet the N5 grade of electronic industry. That is the reason we are talking about the opportunity not only within the Indian space, but outside India.

And second, N3 that is what we currently talk about the solar application. And definitely, if you look at the number of the gigawatt installations which are happening in the country and the way forward, the program is, the demand is going to be very robust. It is already in place. And I think this is a good opportunity for us to cater to the global electronics as well as solar application area. So this is not just a pure distillation. It is much beyond that, which includes clean rooms as well as packaging.

Anish Ganatra: So just to add Sanjesh, again, this is something that we've indicated as our strategic priority to get more value for money from every kg of HF, right? So it's aligned with that logic. And so I just wanted to make sure you got that. Thanks Sanjesh.

Sanjesh Jain: No, that's clear. But are we putting any other asset for this? Or how is it? We haven't announced any capex?

Anish Ganatra: Not yet. But this will -- could culminate into that.

Nitin Kulkarni: The first step was not to bring the right partner in place. And that too also, which will protect our long -term interest. So I think we have crossed that hurdle quite well. And I will say this is a very significant development moving forward into the N5 and entry specification.

Sanjesh Jain: This is not similar to Opteon, right? This is not contract manufacturing, this tech transfer and branding by Navin?

Nitin Kulkarni: Correct. Correct. This is pure Navin product play like 32.

Sanjesh Jain: Very clear, very clear. Just one small question on Opteon. Opteon is a fluorine product or some other chemistry?

Anish Ganatra: Again, under the agreement, Sanjesh, we are not allowed to talk about the chemical composition of this product. So unfortunately, we'll not be able to clarify on that.

Sanjesh Jain: No problem. Just one last question probably on the gross profit margin and the inventory days. I thought we had a benefit of R32 pricing. We had higher contribution from CDMO. We had optimized all the product. And at the gross profit margin sequentially what really or how should we see the gross profit margin? That's number one.

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Number two, inventory days have come down from, what, 80 plus now to 45, close about that. Is it a sustainable number or there was a huge order and we have used or consumed a lot of inventory. How should we see this inventory days of 80. I think we were targeting 90 something. We have overachieved that.

Anish Ganatra: So our net working capital days was we had indicated 100 and where we are today is 90.

Inventory reduction that you're talking about is definitely sustainable because -- it's not something that has happened by accident. We've been continuously monitoring the levels of inventory and matching that to orders. Yes, we had a scenario where there was raw materials that were there, which were used up in the order as they came in.

So, it's not something that's a one -off. It's something that we have a lot of discipline in terms of our procurement around inventory and aligning that with the order books. So that was what was the other question? Sorry, I missed that.

Sanjesh Jain: Gross profit margin, mix plus pricing.

Anish Ganatra

a: Yes. So on the gross profit, I mean, you're right. In terms of the pricing advantage, we are seeing good sort of tailwinds in the HPP business, particularly on the different refrigerant gases in the portfolio around that, whether you look on it year -on-year, quarter -on-quarter. And we continue to sort of have a good constructive outlook on that side of things.

There have been some cost increases, particularly in certain raw materials like sulfur and the like, which has sort of impacted the margins. But it's a small dip. I mean, if you look at it on an overall basis for a year to year, it's still pretty robust. So again, sulfur prices are also, I believe, sort of softening. So we see some correction on that as well.

Moderator: The next question is from the line of Madhav from Fidelity.

Madhav: My first question was if you could just give some sense around the R32 market, sensing that

pricing has been quite healthy there. So if you could give us some sense in terms of how the pricing dynamics are today and just your outlook for the next maybe FY '26 or for the next few quarters, how that could shape up? And I think you also did indicate that you are discussing with some global clients for some sort of a partnerships. So if you could elaborate a bit there as well?

Anish Ganatra: So Madhav, thanks for that. I mean, see, R32, we've always stayed away from giving specific pricing guidance because, frankly, price is a factor of demand and supply, right? And when we start looking at demand factors that influence the pricing, we remain very, very positive on it. And we see first-time evidence of it. I mean, if you think about our new capacity coming on board, I mean, we've not had -- we've had sort of multiple inquiries on the capacity much before even the capacity came on stream.

And in fact, in the last call, if you remember, we did indicate that some of these inquiries are large enough for us to have a strategic conversation. Now since then, what has happened is these inquiries have come from multiple global majors. And as a result of that, our own thinking has evolved and progressed in terms of thinking what is the right size, what is the right sort of

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capacity to think over here. And in due course of time, as we close out the commercials around it and take it to investment stage, we will definitely come out and tell the market about it.

Madhav : And also on the fluoro speciality project, the INR540 crores, what's the utilization rate there? And how does FY '26 look in terms of ramp -up for that?

Anish Ganatra: So on that particular one, like we've said before, that's a 3 -stage complex process that we are undertaking, and we are slowly progressing and progressively ramping it. We are not rushing into it. I won't talk about the capacities now, but while the capacity is being used to deliver the dedicated molecule, we are also modifying the capacity to also address a new molecule and the customers' funding, which I had indicated even in earlier calls.

But we remain very positive about the utilization of this asset by the end of this year. So what we are talking there, remember, if we were 540, we had indicated a par value. We think we'll be about 50 -plus percent by the end of the year or that number, roughly.

Madhav : 50% plus utilization by the end of FY '26?

Anish Ganatra: So I mean, utilization in terms of because we are adding in one more molecule on that, I wouldn't sort of use it in terms of tonnages or machine hours, but more in terms of the par value. And therefore, I'm saying that about 50% to 55% is what you will see by the end of the year, revenue coming in from that asset.

Madhav : Just one last more question. The capex , which you announced with Chemours, \$14 million capex . So I mean, with our balance sheet, we could have easily funded the whole thing by our own sales. An

y reason why Chemours investing \$5 million? I mean that's a very small amount for Navin. So why don't we just invest the whole thing on our own?

Anish Ganatra: Yes. So Madhav, you're right. I don't think it's about the value and the quantum of investment. It's symbolic, and it's a question of partnership. And that's what that number indicates. It indicates skin in the game, it indicates a partnership. It indicates that both of us are committing resources and effort around developing something that's revolutionary and needed for the growth of data centers and next gen chips as they advance.

Madhav : And any guidance on margins for FY '26, directionally where we could be?

Anish Ganatra: So I think we've said this before, we had reset this to 25%. For now, we will hold it to that number. We're working very hard to make sure that gets delivered. I mean, just on this call previously, somebody asked me about tariffs, etc . You know the global scenario such there are headwinds and tailwinds. And we are going to work very hard to maintain that margin. That's where we are. We'll come and revisit that at the end of the year.

Madhav : 25% of the full year business?

Anish Ganatra : Yes. So if not -- again, this is the range. We're talking between 23% to 26%, 27%. It could be anywhere in between. So it will be in that ballpark there. That's what we are striving towards, yes.

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Moderator: The next question is from the line of Krishan Parwani from JM Financial.

Krishan Parwani: Congrats on very strong set of numbers. Two questions from my side. First, as per my understanding, production of electronic grade HF first requires gasification of anhydrous HF. So would the tech tie -up enable us to do the same? Or have you developed that in-house?

Anish Ganatra: Krishan, I'll ask Nitin to answer that.

Nitin Kulkarni: I didn't get you, Krishan, what you are asking.

Krishan Parwani: So I was just asking the gasification of the anhydrous HF is required in production of electronic grade HF, So the tie-up that you have done?

Nitin Kulkarni: So it is required for our normal HF production also.

Krishan Parwani: Okay. So that is in-house. And secondly, on CDMO for the commercial order from the U.S. major, would you need a separate capex or not now?

Anish Ganatra: No, not now. Not now.

Moderator: The next question is from the line of Rohit Nagraj from B & K Securities.

Rohit Nagraj: Thanks for the opportunity and happy to know that we have achieved the 25% exit EBITDA run rate. First question is looking at the balance sheet, we have a gross block of around INR3,000 crores, what is the kind of asset terms on an aggregate basis, we are looking from this gross block. And normal circumstances, when can we achieve that peak revenue potential?

Anish Ganatra: So I think, again, Rohit, I mean, there's assets over there, like if you look at the -- any asset that we commissioned, we talked 2 years to get to par, right? Now it's just in this last year, if you look at it, we are talking of the chloro specialty capex coming on board, which was about INR500-odd crores in terms of what we had approved for and also the R32.

Now the asset turns vary by businesses. So if you look at HPP, we are seeing that asset turns of 2x. Again, all of this is market-driven as well, right? And I'm sure you understand that, where we play the product that it can be 2x, it can be higher than that. Like R-32, we are actually seeing that value today very easily.

In the AG chem business, we are seeing an asset turn of something like 1.5%, 1.4%, something like that. In CDMO business, again, we are seeing asset turns of 2. So in terms of -- there are different sort of things, but when you sort of look -- it's difficult to give you an average because what happens is our investment is not consistently the same in different verticals, right? We've

invested in different times, in different verticals based on the opportunity based on the projects, how they progress.

But if you look at the Par conversation, then I would sort of indicate to you that the SFO asset has already achieved its par. As I indicated before, the Fluoro Specialty capex will achieve about 50% to 55% of the par in FY '26. That's what we are working on. The MPP asset in Dahej, which was commissioned, we are talking of we had indicated a power of something like INR260-odd Navin Fluorine International Limited

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crores. We are roughly about 80% of that. 75%, 80% of that. And in the coming years, we'll probably see that go up.

Again, in the same way, the dedicated specialty plant in Dahej, we had achieved the par in an earlier year. And this year, we have fallen short of the PAR number. But in the coming year, in FY '26, we are hopeful of meeting the par over there as well. So I will leave it at that, Rohit, if that makes sense.

Rohit Nagraj: That explains. Sir, second question is, in the last few years, you've seen that we have become a partner of choice for manufacturing for the global majors. There is a tech transfer also happening and our capabilities are also improving to that extent. But beyond the tech transfer and the manufacturing that we are doing, how are we shaping up our in-house R&D or rather, which are the user segments where we are developing certain technologies or products, how that effort is shaping up. And when can we see new products being launched from RPT for the global markets?

Anish Ganatra: All right. So let me sort of take that and then I will ask Nitin to add on to that. If you kind of look at us, we've always talked of a product and service play. And our philosophy on both has been very clear, where we have both the technical and the commercial capability to market the product and take the product to the end customers, we are clearly in the product play where we believe that we can develop that capability.

We're still in a product play, similar to what Nitin just mentioned on solar and electronic HF play, which will be something of a product play, where we believe that we have manufacturing excellence that we can bring into play. You will see service-type agreements much like the SFO agreement or the Chemours agreement, right? So you will see a combination of how Navin plays into this.

In terms of our own R&D, we've established a very strong R&D both in Surat and in Devas, catered to different parts of the business. And continuously on our Hopper, we have both product place that we are working on as well as service plays that we are working on. And so it's going to be a combination of the 2, but I'll let Nitin add in terms of R&D capability and what we do.

Nitin Kulkarni: I think you covered most of the things. It is a very Just to add to Anish, for these new age businesses and opportunities you need a quite different infrastructure. And fortunately, we have briefed that we are building further expertise based on the experiences, which we are gaining the

knowledge sharing, which is happening to us. So I will really say we are very strong now infrastructure, the culture and the mindset to develop and commercialize such processes. So I think that is definitely going to help us a lot while playing a service provider type of a role for high technology adoption for this new edge platform. At the same time, when we need to do a product place, we need to be a little bit careful about the product selection, because we need to understand also in our customer expectations, which are our strategic partners. And by keeping the balance between the 2, definitely, we have the Hopper where like you must be knowing one of our products called Boron, which is developed by us. Today, we are one of the largest player in not only in India, but in the wo

rld.

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And we are really putting effort to come up with some more such products. But I think we need to also need some time as well as you know, we can also show some patience before we come up to the similar product like it.

Anish Ganatra: Like R32 is another good example, where we've gone beyond the market that we were currently servicing, but because we had enough sort of bandwidth and capability that we could develop.

We've gone out and even service the U.S. market today. Today, most of the customers we talk to are across the globe.

Rohit Nagraj: Right. This is really helpful. Just one last clarification. In terms of the FY '27 CDMO aspiration of \$100 million, it stays, right?

Anish Ganatra: I think I've given color to that before as well. We'll be one third, one third, one third supported by the CDMO of our known contract, one third coming in from any new MSA, and we are making progress on that as we talk and one third from the base business.

Rohit Nagraj: Right. But that stays, correct?

Anish Ganatra: Yes, yes, yes, very much.

Nitin Kulkarni: But as I said don't look at only 100. It's a milestone.

Moderator: The next question is from the line of Ankur Periwal from Axis Capital.

Ankur Periwal: Congratulations for great set of numbers. First question on the gross margin front. Now I'm looking across the three business segments. So CDMO typically is a higher margin business. In HPP, you have the benefit of pricing coming in there, it may not be this quarter, maybe next quarter.

So but your guidance is still the similar range of 23% to 26%. So is it the specialty chemical part wherein there is some bit of pricing pressures or maybe some guidance there will be helpful?

Nitin Kulkarni: So, if you look at the current quarter with numbers published by the global AI, they have shown us some better number, but at the cost of the raw material cost improvement. So pricing pressure is quite heavy. Though, there is a volume uptick, but price pressure is going to remain. So we have to address all the challenges to keep our...

Anish Ganatra: Yes, Ankur while sort of reflecting, but you also sort of should bear this in mind that we don't live in a certain world. I can't take a linear extrapolation. I mean there's so much of uncertainty around us that today, we are being cautious in not guiding any number that's different. And we're working very hard to maintain that 25%, but as the quarters progress, you will see where we get to. And when we feel it's right, we will update that guidance. But today, I think 25% is what we are in a range-bound number working very hard to maintain.

Nitin Kulkarni: And Ankur, just as you know, the way we started this FY and we exited '25, so definitely, our focus, our approach is definitely what we can bring best to the stakeholders, and we will make everything possible to achieve best.

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Ankur Periwal: Sure Nitin. Just a clarification here. The R32 sales that we are doing, is it largely spot basis? Or these are probably largely on a contractual basis?

Anish Ganatra: Combination of both actually, OEM as well as contracts, particularly in newer markets.

Ankur Periwal: Okay. That's helpful. Just a second bit, the CDMO growth path, whether it is Fermion or the U.S. molecules that we are working on. Will it be fair to say that we will lead a CGMP4 here for a full ramp-up as we discussed earlier?

Anish Ganatra: So like we've said before, I mean, again, if you look back to what we had done in FY '23, I believe, that was done with cGMP 1, 2 and 3. And if you add the capex turns that we're talking in CDMO business, which you're aware of, the CGMP Phase I, along with 1, 2 and 3 will get us pretty close to the number we are aspiring to in FY '27.

Moderator: The next

t question is from the line of Abhijit Akella from Kotak Securities.

Abhijit Akella: The depreciation and finance costs, the significant increase in this quarter. Is that largely because of the commissioning of the fluoro specialty project, the INR540 crores. And for the year ahead, if you could please help us with any broad estimate of where these two line items might go in the context of what we are expecting to capitalize. Also, if you could just share a number on the capex budget for fiscal '26?

Anish Ganatra: All right. So your question about depreciation, you're right, the increase does reflect the capitalization coming in from the fluoro specialty project. And if I had to give you a sense, you should probably look at about INR30, INR35 crores, INR35 crores per quarter as a run rate.

So this is for the assets that have been capitalized. And we're talking about INR140-odd crores and roughly about INR130 crores, INR135 crores for the interest as well for the whole year.

Now of course, that interest will keep coming down as the debt gets paid out. So as we stand now, that's where we are.

The capex plan for the year, I mean, it's again what's there out in the public in terms of the AHS plan that's currently ongoing, we'll obviously there will be capex on it as well as on the CGMP4.

Our capex frame to talk about a number of INR500 crores to INR600 crores capability of the balance sheet to fund in terms of cash outflow and capex continues to remain intact because our balance sheet continues to remain strong, coupled with very strong net debt -to-equity kind of number, too.

Abhijit Akella: Just one other quick thing. On the Opteon project, is the margin profile comparable with what we have at company level or somewhat ...

Anish Ganatra: Sorry, is the ...

Abhijit Akella: On the Opteon project, is the margin profile in line with the overall company level averages ...

Anish Ganatra: I can't. Unfortunately, I won't be able to help you there. I mean I think we have to look at it like a strategic investment. There will be -- our assets -- our capex is absolutely protected. Our returns

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as what we have our internal threshold are also protected. But one has to look at this as a strategic investment.

Moderator: The next question is from the line of Amar Maurya from Lucky Investment.

Amar Maurya: My question is on Opteon. So in terms of the technology readiness and the Chemours level, is this technology, is that TRL 7 to 9?

Anish Ganatra: There's a lot of background noise at your end. But if I understood you're asking is the technology ...

Amar Maurya: Is it better now?

Anish Ganatra: Sorry, go on, what was your question? Maybe you can repeat.

Amar Maurya: So what I'm trying to understand in case of Opteon, in the technology level, technology readiness level. Is this technology at Chemours level is like to the level of 7% to 9%, so that you can do a commercial delivery by Q1 '27.

Anish Ganatra: Yes, yes. So this is a product we've actually already been making for them in smaller quantities at the moment. And part of the reason, so we've been working with Chemours on this. The partnerships don't happen overnight. But the idea is that this is now coming to a level where an initial scale capacity was seen as necessary to progress the adoption in the market. And so yes, I mean, I don't know how else to answer what you're asking.

Amar Maurya: Okay. And secondly, this chemical are there 2 chemicals, one for direct -to-chip and one for immersion or chemical is same for the both?

Anish Ganatra: No, this is two-phase immersion cooling.

Amar Maurya: And you are going to make immersion cooling also and direct to chip cooling also, right ...

Anish Ganatra: I didn't say that just hear me out. two-phase immersion cooling liquid is the capacity we are setting up for.

Amar Maurya: So, the

is is immersion cooling technology. So that means ...

Anish Ganatra: So Amar...

Nitin Kulkarni: Amar, it is two-phase. Don't build this definition.

Anish Ganatra: Yes, it's very critical.

Amar Maurya: Because Sir, immersion cooling is still not approved by Dell, HP, Lenovo, anybody?

Anish Ganatra: No, no, no.

Nitin Kulkarni: Don't go into that. I'm just talking about the product description. So when you are saying, I'm just saying we are talking about two-phase immersion cooling.

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Anish Ganatra: I mean we'll leave it for you to judge ...

Amar Maurya: Total opportunity size of this market globally?

Anish Ganatra: Again, something that I can only tell you from what Chemours has talked in their public sort of media release yesterday. We are talking about potential. The entire liquid cooling market is today \$0.5 billion, expected to become something like \$3 billion by 2035, okay? And two-phase immersion cooling liquids is part of that market, yes?

Moderator: Ladies and gentlemen, due to time constraints, that was the last question for today. I would now like to hand the conference over to the management for closing comments.

Anish Ganatra: All right. So again, thank you all for taking the time today evening. Really appreciate the quality of the questions and the interactions and look forward to our next sort of interaction on those, yes. Thank you. Thanks to all.

Nitin Kulkarni: Thanks, everyone.

Moderator: Thank you. On behalf of Navin Fluorine International Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Aug 2025

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August 05, 2025

BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Fort,
Mumbai 400001
Scrip Code: 532504 National Stock Exchange of India Limited
Exchange Plaza,
Bandra Kurla Complex, Bandra (East),
Mumbai 400051
Symbol : NAVINFLUOR

Dear Sir / Madam,

Sub.: Transcript of Earnings Call held for the quarter ended June 30, 2025

Pursuant to Regulation 30 read with Schedule III of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the Company's Earnings Call held on July 30, 2025 regarding discussion on operational and financial performance for the quarter ended June 30, 2025 (Q1 of FY 2025-26) is enclosed herewith.

This intimation is also being made available on the Company's website at www.nfil.in.

Request you to take this intimation on record.

Thanking You,

Yours faithfully,
For NAVIN FLUORINE INTERNATIONAL LIMITED

Niraj B. Mankad
President Legal and Company Secretary

Encl.: a/a

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"Navin Fluorine International Limited
Q1 FY '26 Earnings Conference Call "
July 30, 2025

MANAGEMENT : MR. VISHAD MAFATLAL – CHAIRMAN – NAVIN
FLUORINE INTERNATIONAL LIMITED
MR. NITIN KULKARNI – MANAGING DIRECTOR –
NAVIN FLUORINE INTERNATIONAL LIMITED
MR. ANISH GANATRA – CHIEF FINANCIAL OFFICER –
NAVIN FLUORINE INTERNATIONAL LIMITED

MODERATOR : MR. IRFAN RAEEN – MUFG INTIME

Moderator: Ladies and gentlemen, good day, and welcome to the Navin Fluorine International Limited Q1 FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Irfan Raean from MUFG Intime IR. Thank you, and over to you, sir.

Irfan Raean: Thank you, Viren. Welcome to Q1 FY '26 Earnings Conference Call of Navin. Today on the call, we have with us Mr. Vishad Mafatlal, Chairman; Mr. Nitin Kulkarni, Managing Director; Mr. Anish Ganatra, Chief Financial Officer of Navin Fluorine International Limited.

This call may contain forward-looking statements about the company, which are completely based upon belief, opinions and expectations as of today. Actual results may differ materially. These statements are not the guarantee of our future performance and involve risks and uncertainties that are difficult to predict. Our detailed safe harbor statement is given on the Page number 2 of investor presentation of the company, which is uploaded on stock exchanges and on the company's website.

With this, I now hand over the call to Mr. Vishad Mafatlal for his opening remarks. Over to you, sir. Thank you.

Vishad Mafatlal: Good evening, ladies and gentlemen, and welcome to Navin Fluorine's Q1 FY '26 Earnings Call. I am joined today by our MD, Nitin Kulkarni; our CFO, Anish Ganatra; and Ms. Payal Dave from MUFG Intime, our Investor Relations advisor.

It gives me great pleasure to share with you all that we have delivered yet another good quarter, a strong reflection of our strategic focus. FY '26 commenced on an optimistic note, marked by a successful completion of our INR750 crore SIP. We are delighted to share that the offering received a positive response from investors. We extend our sincere gratitude to all participants for placing their trust in us and providing the capital to fuel our future growth.

In Q1 FY '26, our revenue rose by 39% to INR725 crores. Operating EBITDA more than doubled, reaching INR207 crores, an increase of 106%. Our net profit grew by 129% coming in at INR117 crores on a year-on-year basis. All three of our business divisions reported robust growth in Q1 FY '26, setting a strong tone for the fiscal year ahead with a solid order book in place, we remain optimistic about sustained momentum in the coming quarters.

In the HPP segment, we are happy to share that our R32 project was successfully commercialized in March 25 and is running at optimal capacity. Given the accelerating global demand for R32, we are firming up our plans with international partners to further capitalize on this opportunity. Meanwhile, our AHF project continues to advance steadily with completion target for the end

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of Q2 FY '26. As mentioned earlier, we have an exclusive tie-up with Buss ChemTech AG Switzerland as a technology partner to commercialize our electronic-grade HF.

In the Specialty Chemicals segment, we are set to deliver supplies for 3 new molecules in Q2 FY '26. Additionally, our fluoro specialty project in Dahej, which was launched in December '24 is expected to deliver a meaningful contribution this year. We have also announced a strategic partnership with Chemours to manufacture their proprietary product Opteon, a 2-phase immersion cooling fluid. Project execution is already underway.

In our CDMO division, the order book continues to show strong momentum. Our cGMP4 facility Phase 1 expansion is progressing as planned with commercialization expected

in Q3 FY '26. The

expansion initiatives across all 3 segments reflect our commitment to enhancing value addition, targeting high-margin opportunities and diversifying into emerging high-growth sectors. We will continue to deepen our relationships with customers and suppliers while developing new relationships across different geographies and business verticals. Thank you once again for joining us today. With that, I would like to now hand over to Nitin to provide an update of our operating and business performance.

Nitin Kulkarni: Thank you, Vishad, and good evening to everyone. We are pleased to share that our team delivered good results last quarter. Our priorities for FY '25, '26 also include the successful commissioning of AHF and cGMP4 projects, ramp-up of recently commercialized assets, expansion of our specialty and CDMO portfolio and driving margin optimization through operational excellence. Let me brief you on the progress we have made in each vertical. Growth of revenue in HPP segment is driven by both increased demand and improved price

realizations. The pricing landscape for refrigeration gases remains firm. The capacity we commercialized for R32 in March 2025 is at an optimal utilization. Our HFO business has continued to operate as per our expectations. Our exclusive tie-up with Buss ChemTech AG for high-purity electronic-grade HF is progressing well. We are making inroads through greater engagements with customers so as to access electronic grade market globally.

Our Specialty Chemicals division is operated at an optimal utilization level in the last quarter and for the coming quarter of the year too, we have order visibility. In the last quarter, we mentioned we had received validation from our global partners for 2 fluoro intermediates for their new innovative AI in FY '26. The initial supplies will commence in quarter 2 FY '26. Apart from this, we also expect supplies for one more fluoro molecule, which will be delivered in the next quarter as well.

Our CDMO division delivered good results last quarter. We have strong revenue visibility backed by robust order book for FY '26. Further, U.S. and Europe regulatory approval for label extension of the molecule under the European MSA is very encouraging. We also received scale-up order for another late-stage molecule with EU pharma major for supply in quarter 2 FY '26.

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Looking ahead, we will be capitalizing on our robust relationship with global pharma innovators and we will continue to build a strong pipeline of early and listed molecules and leverage on our state-of-the-art cGMP infrastructure and R&D capability.

We continue to invest in people and capability across all the verticals to further enhance our technology platforms and manufacturing infrastructure as we progress in the next phase of growth. We shall remain focused on strengthening our existing verticals, expand our product portfolio and executing capital investment judiciously.

On this note, I would like to hand over to Anish to brief you on financial performance.

Anish Ganatra: Thank you, Nitin. Good evening all, and I welcome you all once again on the earnings call.

Before we turn to our financial results, here is a brief on the July 25 QIP. We raised INR750 crores by allocating 162,564 equity shares to qualified institutional buyers at INR4,680 each.

The overwhelming subscription underscores strong investor confidence in Navin Fluorine's business model. The proceeds from this fundraising will be deployed towards strengthening our balance sheet.

Let me now walk you through our consolidated performance for the quarter ended 30th June 2025. We have reported a revenue of INR725 crores for the quarter, reflecting a strong year-on-year growth of 39%. Operating EBITDA for Q1 FY '26 was INR207 crores with a growth of 106% compared to the same

quarter last year.

The operating EBITDA margin stood at a solid 28.5%, a growth, of 935 basis points versus Q1 of last year. Operating PBT for the quarter was INR141 crores, reporting an increase of 143%. Profit after tax stood at INR117 crores in Q1 FY '26, compared to INR51 crores in Q1 FY '25, registering an impressive growth of 129%.

Operating cash flows for Q1 FY '26 is INR231 crores and net debt to equity stood at 0.34x pre-fund raise. With that, I would like to request that the call can open for any questions or interactions.

Moderator: We have a first question from the line of Sanjesh Jain from ICICI Securities.

Sanjesh Jain: I got a few of them. First on the R32, Vishad mentioned in the opening remarks that we are in discussion with few international partners to extend the capacity. Now if I go by the quota determination formula, given our R22 capacity at around 10,000 metric tons and whatever we have sold during quota determination period of '24 to '26, it appears that we can go up to 26,000, 27,000 metric tons or probably a little more than that. Are we looking to harness the entire opportunity given that there is a strong demand for the product and the pricing looks much firmer than what we thought?

Anish Ganatra: Sanjesh, you want me to take that one by one or do you want me to sort of -- you want to finish your questions and then I can answer?

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Sanjesh Jain: Okay. So then I'll ask the questions, so that's on the R32. Second, on the Nectar performance, again, we mentioned that we are expecting a significant ramp-up in the revenue this quarter.

Have we received the PO and can you qualify that? Is it the INR300 crores what we were expecting from the anchor customer that's going to deliver? And that involves both the product or we are talking only the single product type? That's on the Nectar.

Third, on the capex plan, you -- Anish sir, in last quarter, you mentioned that you were talking more about capex plan. We did mention INR500 crores to INR600 crores now that we also have a cash on the book, which I thought we would look more to expand aggressively. Can you share more on the capex plan for FY '26 and '27? These are my questions.

Anish Ganatra: Thanks, Sanjesh. And so let me take this one by one. The R32, your working s are ballpark correct in terms of what numbers you have. I mean will we be staking a right to our entitlement, I think the answer is a simple yes. The question is when will we do that? We will do that when we think the discussions are more firmed up with the large customers as we are making sure that, overall, the product realization on the basket is in the interest of the company and in the interest of the shareholders.

We feel that this is a product to nurture and at the same time, commercially manage the risk as we go into any expansion conversation. So that should answer your R32 question. Nectar, we have a firm order for the remainder period of the year. And absolutely, it will be ballpark in the number that you talked about, give or take some points here or there, right? But is it for a single product or both the products? I mean the question is the customer has actually asked us to prioritize the new molecule earlier and as a result of that, as we speak now, we are already under a modification to make that product.

So that is -- that will be our primary focus to deliver, and we expect those deliveries to start within Q2 itself. And then as we come towards the end of the year, we'll go back to the original molecule too. So it will deliver the -- what we have said, half the PAR this year and the PAR for next year, yes? That's what we are on track for.

Now the capex frame we had mentioned was INR500 crores to INR600 crores, as you rightly said. With the fund raise, I think it's fair to assume that our capex frame, and remember, I'm talki

ng of the capex frame here, will be expanded to INR700 crores to INR1,000 crores, which means that is my bandwidth to spend capex.

Of course, we will only do this for the right project for the right value. So that is something that we are progressing in a very disciplined way. We have a hopper of projects that we continue to mature and as they mature to an investment decision, obviously, we take it to the board and announce it to the market. For that you'll have to be patient.

Sanjesh Jain: And this INR700 crores to INR1,000 is what we are talking for FY '26, right, Anish? Or this is '26, '27...

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Anish Ganatra: No. I'm talking of the capex frame. As this is my -- if you look at the financial framework, we talked about our net debt to equity, we talked about what is the capex frame. So this is to give you guys an indication that this is the kind of capex Navin would undertake, maintaining solid financial ratios while continuing to hold to strength and the flexibility in the balance sheet. But which projects we are trying, I will not second guess at this stage.

Sanjesh Jain: No, that's clear. We'll wait for the Board approval for more detail, but this is helpful. Just one last question. We were talking of 25% margin guidance, we are at 28%. Do you want to relook at the guidance for FY '26?

Anish Ganatra: So Sanjesh, I don't think there is a binary answer to that. But I think what might help us is to look at we were in Q1 of FY '25 at 19.5% and we are today at 28.5%. So you're talking roughly about 930 basis points is what we are talking about. If you look how that growth has come through, 2/3 of that has come through operating leverage and 1/3 has come through pricing and environment, what one may call as that.

Now obviously, a lot of that contribution on the pricing side is coming from the strong R32 refrigerant gas pricing environment. For the ones that we are talking on operating leverage and the efficiency that we are bringing into the system, there is a lot of effort that the team is continuing to do and will continue to do.

We've always said that we will not leave any prize on the table, and the team will continue to work with steadfast focused on manufacturing excellence, ensuring that assets are brought up in time, assets are operated to their optimal capacity and the cost saving focus continues. So while I would say that I think there is reasonable confidence to say we'll be north of 25%. I don't think we are at the stage where we would like to update the guidance today. Let this cement for a couple of quarters and then we can revisit this conversation.

Moderator: The next question is from the line of Jason Soans from IDBI Capital.

Jason Soans: Sir, just wanted to understand, in terms of the agchem recovery, last year was a pretty weak year for that. And now I just wanted your take on how the recovery is taking place in terms of inventory rationalization. Is it done? What are the customers' commentary? What are you hearing from the customers? Just wanted some color on that.

Anish Ganatra: So I think it is pretty consistent with what we've always sort of communicated. See the inventory

stocking issue is long gone. I think the Chinese intense competition, which we've talked about before, continues to remain, pressure on pricing remains, volume recoveries in the second half, we are definitely seeing that come through.

In terms of the inquiries and the conversations, there is no doubt about that. We have a solid order book also for the specialty of the agchem side. But one has to remember, this is not sort of -- the conversation is not so much about hockey stick recovery. There will be slight recoveries

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on volume, and most of that could be eroded with pricing pressures too. So it's pretty much sort

of

of flattish to slightly up kind of conversation we are talking about.

For Navin, you should kind of see, the way I would put it is, we are bringing up the whole new capacity year-on-year. So Sanjesh just asked the question on Nectar and that itself is a Y-on-Y increase if you start to think about the numbers for Navin. And that is protected under a long-term contract order.

Jason Soans: Okay. And next question just pertains to the CDMO space where you basically target pharma.

So just wanted to understand, sir, when you're targeting advanced intermediates there in the CDMO business, the CRAMS business. So how do you target molecules, which areas or which therapies are our forte? Just wanted to understand from that sense, like how do you target molecules to scale up.

Anish Ganatra: So the way you should look at our CDMO business is about capabilities and platform and technology to sort of -- it's a service play that we are in that space. Our strength comes from handling complex chemistries and complex synthesis, right? In fact, if you remember, a couple of -- I think it was last year, when we renamed CDMO division of Navin as Navin molecular. The idea being that we can play across all the sort of innovator molecule composition in this space. And again, our focus here on growth has been quite sort of balanced. We've changed the strategy, as we talked earlier also to balance late-stage and commercial with early-stage molecules, right? And that is yielding very good positive results.

I mean the Fermion label extension is very, very encouraging. We already have a solid order book from Fermion for FY '26. In fact, I could almost say for calendar year '26. And also the order for a new late-stage molecule from a EU major is also working in the right direction from a strategic point of view. Simultaneously, we are also working with a new EU major for another molecule, which is in the late stage commercial stage, yes.

Jason Soans: Okay. So overall outlook, sir, does look positive on the CDMO front?

Anish Ganatra: It looks positive. I think we have progressed towards the aspirational number that we set for FY '27, yes.

Jason Soans: Sure, sir. And sir, lastly, just wanted to understand in terms of the ref gas. Of course, pricing trajectory has been on an uptrend. Q-o-Q, probably it has been around 20% levels. So just, sir, if you could give us some color on -- in the growth, how much is volume led, how much is pricing-led? Would that be possible? Just some color on that.

Anish Ganatra: So I'll tell you, typically, for us being in the business, we don't speculate on prices. Our logic is very simple, where we will play and make sure the product is placed for value, wherever it is placed. So whatever scenario we are operating in, our thinking will always be around the fact that we attempt to make sure that the product is placed for value.

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There is a strong demand tailwind here and the focus of the management is to ensure that on a basket level, you place the product in different geographies aligned with our strategic priorities so that overall realizations are better. But we don't second guess on pricing. It's too difficult to know.

Moderator: The next question is from the line of Rohit Nagraj from B&K Securities.

Rohit Nagraj: Congrats on a very strong set of numbers. Sir, first question is on the specialty chemicals front.

So last couple of quarters, the commentary that at least in the PPT, we are optimally utilizing the Dahej and Surat capacity. And in your opening remarks, you have said that there is a strong demand momentum backed by firm POs.

So -- and we don't have any material capex which is planned for this. So how these two things are gelling together that there is a demand, but capacities are optimally utilized so is there any incremental upside from the full

rather optimization of these capacities or our period of execution

will be shorter for any incremental capacity that we require based on the POs?

Anish Ganatra: So again, last time we had talked about saying that we are at 80%, 85% of the capacity and that was more in context of the Dahej. Typically, the way we operate this business is we operate it, looking at our plans, both MPP plants in Dahej as well as in Surat and combine and optimize those in terms of how we map different products, right?

So is there an opportunity to grow from the baseline itself? Absolutely. This quarter, if we look at it, Dahej has operated at 70% sort of -- and I'm talking this more in terms of PAR because I'm sure you understand that from an MVP point of view, every molecule has a different batch cycle time, etc. So it's difficult to give you one standard thing in terms of tonnage.

But in terms of PAR, if you look at it, we've done about 70% at the Dahej plant. There is room to grow, no doubt about it. But also remember, when you look at Navin, again, I will reemphasize the fact that the growth coming in this year will also from the large fluoro specialty plant that we have put in, which was the INR540-odd crores of investment. Half of that par is going to be a new revenue coming in materially there, new revenue coming in this year.

Rohit Nagraj: Yes, got this. And just again, on the second half of the INR540 crores project, where we will have to find the new customers how are we progressing that...

Anish Ganatra: It's already in place and we are reasonably confident of hitting the full par by FY '27.

Moderator: The next question is from the line of Ankur Periwal from Axis Capital.

Ankur Periwal: Congratulations on strong set of numbers. So first question on the capex guidance that you shared around INR 700 crores to INR1,000 crores on an annual basis. Just trying to understand from an end application perspective, are we also including pharma here from an expansion perspective? Or is it largely specialty and the other areas that you're looking at?

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Anish Ganatra: Okay. So Ankur, as we said before, we have also apart from the 3 verticals, we're also incubating advanced materials, right? So the capex allocation that we are talking about, we don't do this by vertical, to be honest. We do it in a sort of a very disciplined way. First, that it has to align with our strategic priority. We decided to play that in a product play or if we decided to enter in a new vertical, there will be preference to allocate capex over there.

Obviously, the next thing are the economics and the commercials around it, right? So we try to bring the best from what is good for the company in the long term and for the shareholders in the long term. We don't sort of preallocate the capex, which is the idea of giving a capex frame because capex frame is agnostic, it is reflecting the strength of my balance sheet over the next couple of years that this is the range of capex I can sort of incur without having to worry about any intervention.

Ankur Periwal: Sure. Yes, makes sense. So just a follow-up on that. From a -- you did mention are planning to expand into electronic chemicals as well as the advanced material there and when you say that, does...

Anish Ganatra: Sorry, can you repeat...

Ankur Periwal: Yes. No, I'll repeat. So you did mention of expansion into electronic chemicals, advanced materials, etc. Are there any active dialogues going on right now? Or these are more work in progress?

Anish Ganatra: Absolutely, absolutely. There is a lot of work happening in that space. The exclusive arrangement we announced with BCT in the last quarter was a step in that direction. The Chemours advanced materials is also in the same direction. Additionally to that, there are several other conversations both in the semicon space as

well as in the applications that are relevant for high-value environment like data centers, etc.

Those are pretty much ongoing. We are establishing -- Nitin, Vishad and -- I'll let Nitin add a bit at the end of this conversation. But Nitin, Vishad are continuously meeting new customers on this front, and we're seeing how best to sort of access the growth over there in a meaningful way.

Nitin Kulkarni: So Ankur, just to add on what Anish said just now. So in this advanced materials segment also, it is going to be product as well as the service play. And the development environment, the analytical infrastructure, the skill set to bring the product from the early-stage development to the pilotation levels and then to reach to the new standards of this requirement of this industry. So fortunately, we have developed that infrastructure skill set by partnering with the right stakeholders in this journey for both products as well as service play. And so this is just beyond the electronic-grade HF.

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So we are really looking at the basket of products, which normally requires to be showcased in this industry to become a significant player and electronic -grid HF is just a stepping stone. And based on that, we are also revolving the other product portfolio and a lot of developments are happening on that front also. So please consider this electronic grade as the starting point with a couple of other products which are across either in the development stage and in the pilotation stage.

And again, the end -use industry is same, as Anish was saying, so our focus is how we can expand our product portfolio in data center, high -end data center. Even in semicon, we are looking at the niche in the photoresist type of applications. So this is end of the day, the high -value environment, which we are going to -- which we are targeting with the skill sets and the infrastructure which we have developed.

Ankur Periwal: Yes. So just on a small question on the CDMO side. Congratulations for the new molecules, especially the late stage one wherein we are making further inroads. How do you see the mix between late stage and the early stage ones panning out as we look at our \$100 million target there?

Anish Ganatra: So Ankur, I mean, in terms of the number of molecules, I think we've always said that our idea will be that at any given point in time, we will have about 40%, 50% of early stage and 60% to 50% of late stage. Of course, in terms of value, the late stages -- we'll start late stages in commercial, we'll start to occupy a bigger share because that's the game, right?

But the priority will always be balanced because as we sort of mature this business, the idea is that the early stage at some point will become the future stages in commercial. So we will make sure that the balance is kind of maintained. In fact, even for this quarter, that's the kind of ratio.....

Moderator: The next question is from the line of Krishan Parwani from JM Financial.

Krishan Parwani: Congrats on a very strong set of numbers. Two from my side. First, on CDMO, when will Phase 2 of cGMP4 capex of INR128 crores begin? And which customer will it be for? Any of the EU majors or U.S. majors that you have mentioned in the presentation?

Anish Ganatra: Yes. What's the second question, Krishan?

Krishan Parwani: So which customer will it be for? Any of the EU majors or U.S. measures that you have mentioned in the presentation.

Anish Ganatra: So CDMO, the Phase 2 INR128 crores will basically be triggered off as soon as we have greater visibility on any of the customers, that's the capacity we are building in a scalable and modular form. From the way we look at currently, it looks very high possibility on the EU major product. But it's early days when we get to that, we would sort of certainly look at it that way.

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Our idea about the CDMO business is actually to make sure that whenever the capacity utilization of the plant hits 60% or more, it starts triggering the cost for the next capex investment because you're always going to need that sort of headroom to continue to grow.

Krishan Parwani: Understood. Very well explained, sir. And second question is on the AHF part. So given you are expecting commercialization of HF soon. When do you expect merchant sales of, let's say, diluted HF first and probably the solar and electronic -grade HF?

Anish Ganatra: So merchant sales, some of that will start actually this year itself. Solar and high purity, let the Buss Chem work get done. We are currently in detailed engineering stage. When that sort of gets done and we start putting in more capex, obviously that will come. Our focus will be mainly in the electronic space as opposed to the solar space.

It's kind of aligned with our thinking that in most of the places, we will be only in the niche products. We will not be in something that is towards getting commoditized. So a good example of that is the Chemours announcement that we did that's the kind of niche application we are going to be working on and we are progressing some of the discussions along those lines. And then as I kind of specifically called out the fact that the focus is on electronic application rather than solar.

Moderator: The next question is from the line of Nilesh Ghuge from HDFC Securities.

Nilesh Ghuge: So my question is on the Chemours project. The project is expected to commission in just 1 year time. So at what stage the project is currently? And once it's commissioned, so how quickly we can achieve the optimum level? And what kind of revenue potential you see from this project?

Anish Ganatra: So again, Nilesh, I think we've talked -- I'll take the last question first because that's the most easiest. We are not allowed to talk on the revenue asset turns or capacity under the commercial arrangement with Chemours. We've already clarified that previously. So I will not take that bait again.

The other sort of point about where are we today, the work is going on, projects are already underway. The teams are working together, detailed engineering is being progressed on that and

we are on track for the first quarter of FY '27 is when we said we would start commercial production, that's when we will start. This is -- I mean, from the size of the capex, you know this is a small capacity plant, it's to help accelerate the adoption and therefore, achieving optimum will be pretty quick.

Moderator: The next question is from the line of Arun Prasath from Avendus Spark.

Arun Prasath: My first question is on the Nectar project where the dedicated capacity, we said that we have very firm order for the calendar year '26. And these volumes represent what kind of capacity utilization for the dedicated portion?

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Anish Ganatra: Okay. So I mean, yes, you're right that we have firm orders for the dedicated capacity. For the dedicated capacity, it'll represent 100%, which is 50% of our overall capacity and which is why we said that half of the par will come this year and the full par will be achieved next year.

Arun Prasath: Right, sir. So the firm order that we are talking about as a percentage of, say, the dedicated capacity, what would be that indicative utilization?

Anish Ganatra: 100% of the dedicated.

Arun Prasath: 100%. Okay.

Anish Ganatra: Yes. That was always the plan, Arun. The plan was that in the first year, we would run the dedicated capacity to its peak, that's how the ramp-up would happen. And in the second year, we would sort of take the capacity for our own captive thing with the first year also producing some extra material to complete the valuation for the captive portion.

Arun Prasath: Second, on Fermion, we said that for our calendar year '26 delivery, how much of that is dependent or connected to our Phase 1 startup? I mean if Phase I of cGMP4 gets delayed, we will be slipping up on the delivery on this?

Anish Ganatra: So I don't know why you say Phase 1 is getting delayed. We have not said that, Arun. But how much of that is -- so you know the way this works with Fermion, again, commercially this is 3% of their value, right? We are working very, very closely with them on the project. They are with us on the ground monitoring the project along with us all the time. So if there was any doubt in anyone's mind of a slippage, you wouldn't have the orders in your hand.

Arun Prasath: No. I was just wondering what can lead us to kind of miss this dynamic...

Anish Ganatra: We're not envisaging anything. So there is enough room here for Fermion even today. And this is just to say that we are in the CDMO journey. And we've said this before, just from the phase 1, 2 and 3, we can do revenues up to \$55 million, \$60 million. So that's not a problem. With the phase 3 and phase 4 coming in, phase 1, we are on track for that. So there is room to -- there is flexibility within the asset to manage any unforeseeable event, so to say, but not that we are expecting any.

Moderator: The next question is from the line of Abhijit Akella from Kotak Securities.

Abhijit Akella: Just one question on the specialty chemical quarterly revenues. So INR219 crores this quarter seems to be somewhat lower than I think INR257 or so last quarter -- sorry, INR259 last quarter.

So if you could please just help us understand what the reason for that is?

Anish Ganatra: No, you're comparing with Q-on-Q, is it?

Abhijit Akella: Yes. March quarter versus June.

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Anish Ganatra: Yes, I think you -- yes, that's what you are doing. So these are campaign driven. I mean, Abhijit, as you are aware, the campaigns are what drives the full utilization. Like I said, last quarter, we had 80%, 85% utilization. This quarter, we are talking of about 70% utilization. So I wouldn't read anything beyond that.

You should look at this from a full year point of view. And even in this environment, it should be -- we feel that we are in a very good place, one, because of the base order book that we have and plus the new capacity that is coming in. That will drive decent growth in the spec chem when you consider year-on-year.

Abhijit Akella: And the other one I just had was on the seasonality of the HPP vertical I just given that R32 is a newer product for us and going into maybe some newer areas, geographies, etc. So if you could please just understand, is this a good number, the 1Q number to sort of assume for the -- for the remaining quarters of the year? Or could there be some seasonality?

Anish Ganatra: I mean, there is -- if you know how these products get sold today, there's more export versus domestic demand on this. So there is a good sort of balance of both when you look at the overall portfolio. And I think the run rate that you are seeing in this quarter is a good run rate to hold.

Moderator: The next question is from the line of Meet Vora from Emkay Global.

Meet Vora: So my first question was on R32. What I understand is that we have done the earlier expansion at significantly lower capex because maybe we have converted some existing assets like we have expanded around 5,000 tons at INR80 crores of capex .

Now if we plan to expand it further, I just wanted to understand whether the capex would be relatively large compared to our previous expansion? And also by what time should our capacity come on stream, if we wanted to be considered fully for the quota calculation or quota consideration?

Anish Ganatra: So, Meet, I'm just kind of struggling with your com

parison on the earlier capacity. Both our R32 plants are roughly in the same range of capex .

Meet Vora: No, what I'm trying to understand is if we expand further, the next level of capex will be more greenfield in nature versus what we have done previously.

Anish Ganatra: No, no. Both are -- I mean, it's the same, it's all about -- we have not done any conversion from anything to anything. It's basically fully shut down that asset base. So we don't think that -- I don't know where you're getting the info, but it's kind of -- it's not a question even in our mind, to be honest.

Moderator: The next question is from the line of Siddharth Gadekar from Equirus Securities.

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Siddharth Gadekar: So, Anish, can you just give us sense on those realizations between electronic -grade HF and the current HF that we would be selling in the external market? And what would be the margin difference between these 2 products?

Anish Ganatra: So Siddharth, that is a great question. Unfortunately, we will not share specific numbers on it, but rest assured that our whole idea of going into an electronic grade is to get into more and more niche applications. As you get into niche application with better level of chemistry and synthesis, you are going to get into a higher realization per kg of HF. And that is the driver, which is why we've very clearly taken a call to stay away from anything that's not niche.

Moderator: The next question is from the line of Surya Narayan Patra from PhillipCapital India.

Surya Narayan Patra: Congrats for a great set of numbers. My first question is on the specialty chemicals side. The 3 molecules that we are talking about starting from the next quarter. Could you give some more color to it, sir, what is the nature of the product? And in terms of size, scale and all those kind of things.

Anish Ganatra: Yes. So firstly, Surya, those are actually in this quarter, the quarter that we are currently talking in. So it's in Q2 quarter as opposed to Q3. I'll just clarify that. The other thing is there are 3 molecules, but 2 of them are large enough or have the large enough potential to be calling out at us for investment. So -- but that we will have to wait and develop. We are starting the supplies now. And as that matures and develops and we know what the -- we can see the size of the opportunity materializing, we'll definitely look at expansion.

Surya Narayan Patra: Okay. It is for an existing patented molecule kind of thing or it could be a generic opportunity, hence ramp -up could be quick? How should one think that way?

Anish Ganatra: So this is all for a new AI. We're talking for a new...

Surya Narayan Patra: One clarification about the HF project, sir. What is the service angle that you have mentioned about this HF project?

Anish Ganatra: Service angle for HF?

Surya Narayan Patra: Yes. Nitin sir was mentioning it...

Anish Ganatra: Sorry, can you just elaborate a little bit more so we can relate to it?

Surya Narayan Patra: No, in fact, in the opening remark, Nitin sir mentioned about a service angle apart from the product angle for the HF project...

Anish Ganatra: So what that means is if you look at our approach, we have got an approach where we do a product play and where we do partnerships or service with large majors like Chemours, like in Honeywell and the likes that we are talking about. Now in the area where we've got the technological capability, we've got the ability that is adjacent to our own capability plus we have

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the capability to place the market and call the market, then we will do that in the area where we think the best value for shareholders is accessing through a partnership lens, that's what we will do through a partnership lens. So that's what he mean by product se

vice.

Moderator: The next question is from the line of Bhaskar Chakraborty from Jefferies.

Bhaskar Chakraborty: I wanted to ask that U.S. has announced a 25% tariff on India plus some additional penalty because of our links with Russia. So how does that impact our exports to Honeywell and the rest of the exports into U.S.?

Anish Ganatra: So Bhaskar, your voice was a bit -- there was a lot of disturbance in the audio, but I'm taking you're asking about the tariff question. I mean that's really hot on the press, right? I mean, so you picked up the question as it's come in. But you've got to think of Navin in 2 ways that we are 20% of sales, FY25 basis, where are we exposed to the U.S. market directly. So in a sense, we've got an exposure to some of our refrigerant gases, which we are covered under A DD duty. So there is not much of an impact there.

Sorry, somebody -- there's some background noise from somewhere. The other thing to remember is where we do have a contract and supplies under existing long-term contracts. It's too early to talk about the consequences of the impacts. But also, we don't know about this tariff, how it will apply, where it will apply. And this is all sort of -- it's too early, to be honest. Let us look at it, and it's ultimately going to be a relative game and also important to understand is this going to be a permanent thing or is it a temporary thing until a deal is reached.

Moderator: The next question is from the line of Yash Shah from Aditya Birla Life Insurance.

Yash Shah: Sir, it was more of a clarification question. Did you mention, sir, what kind of growth can be expected ex of Nectar in the specialty chemicals business for FY '26?

Nitin Kulkarni: All we talked about is the par that we've indicated, half of that par is very fairly reasonable to expect that will come in FY '26. I'll let you do the math, Yash.

Moderator: The next question is from the line of Arun Prasath from Avendus Spark.

Arun Prasath: Thanks for the follow-up opportunity. Sir, we -- for all the plans we have on consuming the new AHF capacity, whether it is R32 or the specialty grades AHF, by which time period we have a visibility to kind of completely go 100% on this AHF plant?

Anish Ganatra: So Arun, again, strategically, we've always said that we are going to drive value here. So the game here is going to be value over volume. Eventually, our game will be to try and get more and more for every kg of HF. This plant has been setup to meet our long-term requirements and not necessarily near-term short-term utilization. There will be some sort of temporary stuff we do from merchant, etc, but that's temporary. The ultimate game is to not leave the prize on the table.

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Arun Prasath: Understood. So does this mean that this year, we will be -- I mean, we always said that merchant -- I mean replacing some of the imports into India by other merchant sales. That plan is on track irrespective of what we do with the specialty grades.

Anish Ganatra: Sorry, what plan?

Arun Prasath: Some of the merchant sales in India.

Anish Ganatra: Yes. So if you look at Navin, Navin had a merchant sale footprint of about 6,000, 7,000 metric tons even a couple of years ago. So obviously, there is a market and there is value to be achieved in the near term, we will do it. But that is not something why we set up strategically the plant. The plant is to set up strategically to go downstream into more and more niche products and derive greater value per kg of HF rather than place the volume. So it's a value over volume strategy, not necessarily a volume strategy.

Arun Prasath: Understood. Sir, one bookkeeping question. This quarter, the absolute domestic sales on CDMO seems to be very, very low. Any particular reason or we should just see it as a blip in the radar.

Anish Ganatra: No, usually

y, our CDMO sales have always been with a very strong export bias. In between, we were supplying at the behest of our global customer to another service provider, another of their service provider in India. So sometimes, the export domestic splits don't tell you a lot. They raise more questions than they answer it.

Moderator: Thank you. That was the last question for today. On behalf of Navin Fluorine International Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Nov 2025

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November 04, 2025

BSE Limited
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Scrip Code: 532504 National Stock Exchange of India Limited
Exchange Plaza,
Bandra Kurla Complex, Bandra (East),
Mumbai 400051
Symbol: NAVINFLUOR

Dear Sir / Madam,

Sub.: Transcript of Earnings Call held for the quarter and half year ended September 30, 2025

Pursuant to Regulation 30 read with Schedule III of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the Company's Earnings Call held on October 30, 2025 regarding discussion on operational and financial performance for the quarter and half year ended September 30, 2025 (Q2 & H1 of FY 2025-26) is enclosed herewith.

This intimation is also being made available on the Company's website at www.nfil.in.

Request you to take this intimation on record.

Thanking You,

Yours faithfully,
For NAVIN FLUORINE INTERNATIONAL LIMITED

Niraj B. Mankad
President Legal and Company Secretary

Encl.: a/a

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"Navin Fluorine International Limited
Q2 FY '26 Earnings Conference Call"
October 30, 2025

MANAGEMENT : MR. VISHAD MAFATLAL – CHAIRMAN – NAVIN
FLUORINE INTERNATIONAL LIMITED
MR. NITIN KULKARNI – MANAGING DIRECTOR –
NAVIN FLUORINE INTERNATIONAL LIMITED
MR. ANISH GANATRA – CHIEF FINANCIAL OFFICER –
NAVIN FLUORINE INTERNATIONAL LIMITED
MS. PAYAL DAVE – INVESTOR RELATIONS ADVISOR –
MUFG INTIME

MODERATOR : MS. POOJA SWAMI – MUFG INTIME IR

Moderator: Ladies and gentlemen, good day, and welcome to Navin Fluorine International Limited Q2 FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing the star, then zero on your touchtone phone.

I now hand the conference over to Ms. Pooja Swami from MUFG Intime IR. Thank you, and over to you, ma'am.

Pooja Swami: Thank you, Shruti. Good evening, everyone, and welcome to Q2 and H1 FY '26 Earnings Conference Call of Navin Fluorine International Limited. Today on the call, we have with us Mr. Vishad Mafatlal, Chairman; Mr. Nitin Kulkarni, Managing Director; and Mr. Anish Ganatra, Chief Financial Officer.

This call will contain forward -looking statements about the company, which are completely based on beliefs, opinions and expectations as of today. Actual results may differ materially. These statements are not the guarantee of our future performance and involve risks and uncertainties that are difficult to predict. A detailed safe harbor statement is given on Page Number 2 of the investor presentation of the company, which is uploaded on stock exchanges and on the company's website.

With this, I hand over the call to Mr. Vishad Mafatlal for his opening remarks. Thank you, and over to you, sir.

Vishad Mafatlal: Thank you. Good evening, ladies and gentlemen, and welcome to Navin Fluorine's Q2 and H1 FY '26 Earnings Call. I am joined today by our MD, Mr. Nitin Kulkarni, our CFO, Mr. Anish Ganatra; and Ms. Payal Dave from MUFG Intime, our Investor Relations Advisor .

I am pleased to begin by announcing that the Board has decided to declare an interim dividend of INR6.5 per share on a face value of INR2 per share. At Navin Fluorine, we are committed to operating sustainably and responsibly. In line with our commitment, we have released the third sustainability report in the last quarter, and the copy of the same can be downloaded from the website.

The report aims to deliver a comprehensive assessment of Navin Fluorine's endeavors in fostering sustainable business practices and addressing the interest and expectations of our valued stakeholders.

Our focus on driving the key priorities, manufacturing excellence, controlling the controllables and pursuit of growth objectives is yielding results and underpins the good performance for the quarter and the first half. All 3 of our business divisions reported good growth in Q2 FY '26, Navin Fluorine International Limited
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setting a strong tone for the fiscal year ahead and beyond. With a strong order book in place, we remain optimistic about sustained momentum in the times to come.

Later during the call, Nitin and Anish will share the business and financial performance details. I'm also happy to inform you that the Board of Directors in today's meeting have approved two capex. Both these capexes are strategic in nature. One consolidating our position in ref gases and another demonstrating our ability to deepen partnerships with global innovators.

Contribution to the growth from these capexes will further help us secure growth in FY '27 and beyond. In particular, the Board approved, number one, a capex of INR236.5 crores for setting up additional HFC capacity equivalent up to 15,000 metric tonnes per annum of R32.

Global R32 demand supply is in tight balance and likely to remain the way for the foreseeable future. This HFC capacity directly addresses global needs for transitioning to low GWP commitments as also increasing RAC and blend demand in India and export markets.

It is our strategic priority to play to our strengths in this business, utilizing our available

entitlement under Kigali Montreal Protocol, ensuring a balanced play across blends and 32, maximizing value for our shareholders. This asset is expected to generate a peak annual revenue of INR600 crores to INR825 crores on completion.

The second, debottlenecking of our MPP capacity is consistent with our strategy to sweat assets in the Specialty vertical while deepening our strong relationships with global innovators, participating in and contributing to their future growth.

This capex will contribute to INR140 crores to INR160 crores per annum on completion. Both these capexes will be funded through internal accruals. We continue to deepen our relationships with customers and suppliers while developing new relationships across different geographies and business verticals.

Thank you once again for joining us today. With that, I would like to now hand over to Nitin to provide an update of our operating and business performance.

Nitin Kulkarni: Good evening, everyone, and thank you for attending the call today. All 3 of our business verticals demonstrated good growth in Q2 FY '26, establishing a positive outlook for H2 FY '26. With a healthy order book secured, we are confident about maintaining this momentum going forward.

Our revenue for H1 rose by 42% to INR1,484 crores and for the quarter rose by 46% to INR758 crores. Our EBITDA, PAT and EPS for the H1 and for the quarter has more than doubled compared to the same period of FY '25.

On HPP business, during the second quarter of FY '26, the HPP business achieved robust growth with the revenue crossing INR400 crores, an increase of 38% year -on-year. The performance

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was driven by higher realization and volumes in both domestic as well as international markets.

Our plants across Dahej and Surat are running at optimal capacity.

Our AHF project continues to advance steadily with mechanical trials underway. We are expecting to commission the same by Q3 of FY '26. We also continue to progress development work on high -purity electronic grade HF.

Further, the Board of Directors today approved setting up of additional HFC equivalent up to 15,000 metric tonnes per annum of R32. We continue to believe that the global demand supply situation will further tighten over the near term considering the cuts under Kigali Amendment and increasing demand for blends and R32 in RAC application.

This project is in line with our philosophy to nurture the product basket in a manner maximizing realization through a balance of committed offtakes and open positions. The project is expected to be commissioned by Q3 FY '27 with a peak revenue potential of approximately INR600 crores to INR825 crores per annum.

On Specialty business, our revenue in Specialty business grew from INR158 crores in Q2 FY '25 to INR220 crores in Q2 FY '26, representing a growth of 39% year -on-year. Fluoro specialty plant commissioned in December 2024 has started contributing meaningfully from this quarter with the plant operating at optimum capacity.

With a strong order booking in hand through to calendar year '26, we remain optimistic for H2 and beyond. The Chemours project to manufacture Opteon, a two -phase immersion cooling fluid is progressing well and is on track for completion by Q1 of FY '27.

Our strategy to deepen partnerships with global innovator and focusing on R&D is working well.

We have received a firm order for calendar year '26 from global innovator to manufacture a key intermediate for their novel AI. We have strong visibility for the above product from the innovator.

Accordingly, the Board has approved capex of INR75 crore for debottlenecking of MPP capacity at Dahej, with a target commissioning date set for Q3 FY '27 and peak revenue potential of approximately INR140 crores to INR160 crores per annum.

We continue to build a robust pipeline

with global agro and advanced material partners and are actively collaborating on new molecules, both on CRO and scale -up manufacturing campaigns. This will help the future growth and support our aspiration to carve out a separate advanced material vertical.

On CDMO business revenue, in our CDMO business has grown by 98% on a year -on-year basis to INR134 crores in Q2 FY '26. The relationship with our European CDMO partner continues to grow stronger, and we look forward to supplies commencing from January 2026 from our cGMP4 plant.

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We are also pleased with the delivery of new late -stage molecule to another EU major during the quarter with expectation of a repeat order in calendar year '26. We continue to develop our portfolio of late -stage innovator molecules and happy to share that following our successful deliveries of pipeline products in recent quarter, the CDMO business has undergone an audit by 3 major innovators during the period.

In conclusion, we remain focused on driving manufacturing excellence and customer -centric approach with our business while remaining committed to growth in a disciplined manner.

On this note, I would like to hand over to Anish to brief you on financial performance.

Anish Ganatra: Thank you, Nitin. Good evening, everyone, and a warm welcome to our earnings call. Let me

take you through the financial performance for Q2 and H1 FY '26. Looking at our quarterly performance, we reported revenues of INR758 crores in Q2 FY '26, a 46% year -on-year growth driven by strong performance across all our businesses.

Operating EBITDA stood at INR246 crores, reporting a growth of 129% year -on-year.

Operating EBITDA margin was 32.5% versus 20.7% in Q2...

Moderator: Ladies and gentlemen, please stay connected. The management has been disconnected. Yes, sir. You're audible.

Anish Ganatra: Okay. Apologies, guys, for that disruption. I'll probably go back to starting with the quarterly performance. We reported revenues of INR758 crores in Q2 FY '26, a 46% year -on-year growth driven by strong performance across all our businesses. Operating EBITDA for the quarter stood at INR246 crores, reporting a growth of 129% year -on-year. Operating EBITDA margin was 32.5% versus 20.7% in Q2 FY '25. The margins have also grown sequentially as against 28.5% in Q1 FY '26.

Profit after tax grew over 2x to INR148 crores compared to INR59 crores in Q2 FY '25. Looking at our half yearly performance, on a consolidated basis, we reported net operating revenues of INR1,484 crores, a 42% increase over INR1,042 crores in first half FY '25. Operating EBITDA stood at INR453 crores compared to INR208 crores in the previous year with margins at 30.5% versus 19.9% last year.

Profit after tax for first half FY '26 was INR266 crores compared to INR110 crores in H1 FY '25, a growth of 141% year -on-year. We continue to maintain a disciplined financial framework while driving growth. As of 30th September, net debt -to-equity ratio stands at 0.9x, underscoring the strength of our balance sheet. Our working capital days is at 87x sales, well within our financial frame.

This concludes my remarks. We can now open the floor for questions.

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Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Rohit Nagraj from B&K.

Rohit Nagraj: Congratulations on a stellar set of numbers. Just one question. First, given that the first half performance has been very strong, both in terms of top line growth and EBITDA margins, what are we looking at in terms of guidance for FY '26, FY '27 in terms of overall growth as well as margins and the capex for both these years?

Anish Ganatra: Thanks Rohit, for the question. I mean, again, for FY '26, so I wouldn't give

you any forward

guidance on FY '27. You already have the PAR numbers, etc., right? So there's no point in reiterating what you already are aware of. But FY '26, clearly, we've set a run rate. And I think that run rate was aligned with the PAR expectations that most of the market players have out of us.

In terms of EBITDA numbers, the first half EBITDA number at 13.5% signals a very strong traction of achieving closer to 30% for the full year as well. So that's what we are striving to.

We had originally given a guidance of 25% EBITDA, but we always said that there was more upside to it than downside. Where we stand now in the first half, given the performance, I think we are well on track to be between 28% to 30% for the year.

Rohit Nagraj: And just capex for FY '26 and if you have any number for FY '27?

Anish Ganatra: So FY '26, I think we've done about INR300 -odd crores in the first half in terms of cash outflow. It will be within the range of that INR700 crores -- INR600 crores, INR700 crores for the year in terms of cash outflow, considering ongoing capexes, including the new ones that we've announced.

And in terms of going forward, obviously, there will be a spillover of these capex that we've announced today into next year. But the frame remains for the next couple of years to about INR1,000 crores. But that's the frame. That's what my balance sheet and the strength will allow me to do. It will depend on the project as we execute the project.

Moderator: The next question is from the line of Ankur Periwal from Axis.

Ankur Periwal: Congratulations for a superb set of performance across the business segments. First question on the R32 expansion. If I do the working, you are presuming a pricing of, give and take, \$4.5 to \$6.5 for R32. So just wanted your thoughts, given there is a queue of capacity expansion by you and other peers as well. How do you look at the pricing scenario, both, let's say, in CY '26 and probably from a medium -term perspective?

Anish Ganatra: I mean let me sort of walk you through with the rationale supporting the R32 capex. I mean, again, like we've always said before, we remain very, very constructive on the overall demand environment for R32, not just directly for R32, but also driven by blends and export demand arising out of consumption cuts happening in the West and the growing demand in India as well.

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The pricing environment, as we've always said, we believe will remain firm, but we're not going to second guess what the future price will be. We think that if you look at the demand and supply factors, the demand tailwinds far outweigh the supply sort of concerns that anyone may have. And so therefore, there is a strong sort of sense that the pricing environment will remain firm in the foreseeable future. We also think that given the dynamics of R32, additional supply, as you know, can only come from India.

And with this capex, what Navin is doing is essentially signaling that we are going to take our full entitlement under the quota and nurture this product for value to the shareholders, which will mean that we will do a balanced approach of committed offsets and open positions so as to drive maximum realization while ensuring that the near term, any oversupply concerns do not remain. The economics anyway, as you are aware from R32 always remain very attractive as everybody is aware of it. So I won't reiterate that. I hope that answers your question, Ankur. Ankur Periwal: Yes, Anish, pretty much. But just one follow-up. One, on the contractual versus spot sales, have we -- do we have any visibility or probably we are in discussion with the global players for a longer-term supply arrangement for R32 and...

Anish Ganatra: We have strong arrangements already in place.

Ankur Periwal: Great. And secondly, from an overall margin outlook, while

you did mention 30-odd percent for

this year. But given the pricing that we are expecting this capex to generate as well as the ramp-up in other businesses, will it be fair to say that even over a medium term, probably a 30-ish percent EBITDA margin is what one should work with?

Anish Ganatra: See, I just think that I don't want you to put words in my mouth. But essentially, what you should look at, see the growth that we are demonstrating in this quarter is coming across the vertical. It's coming from volume expansion. It's coming from pricing. It's coming from product mix. It's coming from efficiencies. It's coming from a lot of drivers around it. So like I said before, there is more upside to that 25% than downside. So we are certainly working to be closer to 30% in the midterm, but that's what we are working to.

Moderator: The next question is from the line of Sajal Kapoor from Antifragile Thinking.

Sajal Kapoor: Sir, what concrete non-physical milestones things are such as master service agreements or co-development rights or intellectual property participation do you think define Navin Molecular progress towards becoming a more sort of integrated and strategic CDMO partner? So I'm looking for certain intangibles or nonfinancial parameters, if you can share.

Anish Ganatra: So, I think the biggest intangible for Navin Molecular and this is the nuance of that business, yes, Sajal, is that essentially, you are -- you have to work very closely with global innovators.

And the philosophy is around on time to quality delivery in these stages because these molecules

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and intermediates while being a small component of the overall sort of value they are very critical to delivery.

The other thing is that what we bring to the table is obviously our capabilities around complex chemistry, including in terms of whether we talk about our capacities, whether we talk about our R&D innovation to make sure that these -- the product quality is maintained to standard.

The entire ecosystem has to be offered, including how we protect the IP rights, how do we make sure that the customers' regulatory requirements are consistently met through a strong cGMP4 - cGMP kind of compliance environment. So it's a range of things over there, frankly. And it's like at the end of the day, what will work for us is our track record and how well we do sort of work with global partners and we're increasingly demonstrating that.

Sajal Kapoor: So thank you for that. I mean that's the exact kind of detail I was seeking. My second and last question is, how are the digital manufacturing initiatives like the advanced process control systems, the real-time quality monitoring, all those digital initiatives, how are they translating into measurable margin improvement, yield enhancement or any sort of faster batch release within the CDMO business?

Anish Ganatra: So globally, I mean, I wouldn't just kind of say this for CDMO, but across our business verticals, the fact that we work with some of the largest players in the world, right? We have access to cutting-edge technologies, BCS systems, etc., where our process information is monitored on a real time in terms of performance and quality parameters. So -- and not only for us, but it is also accessible to our partners that we work with.

And in CDMO, particularly the work that we are doing with Fermion, again, there exactly -- it's a very close partnership, right, from how the asset is constructed to how it's commissioned to

validation batches to ongoing quality checks, etc.

Moderator: The next question is from the line of Abhijit from Kotak Securities.

Abhijit: So first, with regard to R32, if you could please share your outlook for world demand growth for R32 over the next 5 years or so, that would be really helpful?

Anish Ganatra: So if you -- Abhijit, if y

ou look at the current scenario, right, current scenario, everybody knows

R32 is in a very tight position, both from a demand and supply point of view. And if you look at the global demand for R32, I think it's growing ex China at about 5% CAGR. And there is no reason to believe that equation will go into imbalance.

Everything that we see, it only means that the supply is going to get more and more constrained. I mean, come '29, you're going to see a 10% cut some in China, too, right? And everywhere else in the West, you're seeing the cut coming in. Come 32, you will start to see cuts happening in India, too.

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So everything on supply is being constrained in some sense. After '26, you can't have new capacity coming up in India and demand for 32 and cooling requirements from RAC, etc., are growing not only in India, but elsewhere because of the transition to lower GWP consumption requirements as well.

Abhijit: That's really helpful. So just to clarify, you're probably at about 300,000 tonnes or 350,000 tonnes right now and growing at a 5% CAGR. Is that how we should think about it?

Anish Ganatra: I think so, roughly. Ex -China, I'm talking. Because Chinese capacity is largely expected to be consumed within China. So that's why you should look at it ex China.

Abhijit: Got it. And the other one I just had was on the CDMO business. We've mentioned that we've got this -- from the European MSA, we've now got a strong outlook with 3 years of projection.

So if you could please just remind us again what exactly is the projection from this project? I believe previously, we had said \$30 million peak. Is that what still stands at peak or has it been revised?

Anish Ganatra: So I had indicated that if you remember that when we talked of our \$100 million target, we said 35% to 40% will come from this molecule, which I think has got more upward chances of bettering that because of obviously the growth in the end product. And so the big demand is, I think, in '29 or something, it's actually way out for that product. But I had indicated what it would mean for us in FY '27. And I think that's pretty much clear that's how it's going to shape up.

Moderator: The next question is from the line of Vivek Rajamani from Morgan Stanley.

Vivek Rajamani: Congratulations on a fantastic set of numbers. Just on the state of the agri segment, we did see a good pickup in global volumes in the first half. And now we are once again hearing some signs of stress. While you've mentioned that you have a strong outlook for H2, I just wanted to get your insights on the kind of conversations that you're having with your customers and the kind of the recovery that you guys are seeing in the space?

Anish Ganatra: Thanks, Vivek. I think again, in the ag chem sector, one of the things that we've always said that with everything that's going on in the global market, a more closer relationship with the global innovators working to get a share of their future R&D pipeline is the right way to go about this. And that I think is yielding results. That's what's supporting the new MPP debottlenecking project.

We've always maintained that in the ag chem sector, we will be continuing to invest because we again remain very constructive of the long-term growth scenario in that business. But we are going to be very disciplined. We are going to be extending our utilization and sweating the assets more and more, and that's exactly what you see being played out as we speak.

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Vivek Rajamani: Sure sir. And just maybe one clarification on CDMO. I think in the PPT, you've mentioned that supplies for a material order were concluded in this quarter and you're on for discussions. I just wanted to clarify in the opening remarks, did you mention that it would be likely

in CY '26?

Anish Ganatra: Yes. So there's a repeat order for this particular molecule that will come in for CY '26. It's expected to be -- have its readout in the end of calendar year '26. And then post that, it can support -- it has the potential of being another Fermion, to be honest.

Moderator: The next question is from the line of Siddharth Gadekar from Equirus.

Siddharth Gadekar: Sir, first just coming back to the R32 part. So can you just share how much of the volume is contracted versus how much are we doing on spot basis? And how should we think about this in CY '26?

Anish Ganatra: Yes. So Siddharth, thanks for your question. But unfortunately, I will not be able to share anything beyond saying that we've taken a very balanced approach. And actually, the answer lies within that statement itself but I'm not going to be able to share exact quantities. But we are taking this very measured manner, ensuring that as the capacities come up, there is a market that we are servicing, there's a customer that we are servicing.

And that customer that we are servicing will also -- relationship will continue to grow deeper. So this relationship is meant to extend beyond the midterm that the commitments are meant for. They're not short-term relationships. But at this stage, there's a lot of commercial sensitivity. I would prefer not to talk about any further details on the contractual commitments and how much percentage and what.

Siddharth Gadekar: And can you give any color in terms of how is the pricing difference versus the spot and the contracted volume?

Anish Ganatra: No. So any midterm contract, you've got to make a win-win solution. And a win-win solution is always if it's as closest to the market as it's possible. So that's how we structure our contracts, yes.

Moderator: The next question is from the line of Sanjesh Jain from ICICI Securities.

Sanjesh Jain: A couple of them. First on the specialty new plant of INR75 crores. Nitin, you mentioned that there is a Novel AI, which we have won. Is this a dedicated capacity for Novel AI? And is it a commercial product or we will be starting along with the innovator?

Anish Ganatra: So thanks for that. Nitin is very much with me, so if you continue asking difficult questions, I'll have to drag him in. But this one, I think I can take. So on this, like we said, it's an MPP debottlenecking, right? So as the name goes, it's a multipurpose plant. The idea is to sweat the asset, drive further realization and seek greater value.

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So we are going to keep maintaining flexibility. But at the same time, as this molecule blows up and goes bigger, at that stage, we will be talking and possibly talking of a capex -- dedicated capex, today, not. And also, it's an intermediate yes, not an AI. But it has the potential to get into an AI for us.

Sanjesh Jain: One question from my side on the margin, Anish. This quarter, it looks like it has entirely come from an operating leverage because our gross profit margin is broadly in the same line. Now revenue has grown by 45%, employee cost is down and operating cost has increased only by 12%. Is there any one-off -- or it will be really helpful to understand what is translating such a strong operating leverage, not even a logistic cost is showing up there. So how should we read this?

Anish Ganatra: No. So I think over there, again, so the best way to look at this, Sanjesh, is to see the bridge between your 20.7% of last year and a 32.5% of this year, right? If you see the business has actually benefited significantly from volume growth, which was always the case. I mean it was -- I think -- I don't know if it was you or somebody else, but I'm sure we've had these questions when we've been talking of 25% guidance that people have said, you're going to have operating leverage, where is it going to show.

So now that is showing, and it's showing across the verticals.

About half of this EBITDA growth is coming because of volume, more than half, actually, about 3/4 of it is coming from volume. We are seeing about any sort of -- there has obviously been some forex tailwind as well, but that forex tailwind has largely been absorbed by sub sourcing costs.

So if you see, there are 2 sort of drivers here, about 80%, 90% coming from the volume growth and the forex sort of offsetting between sourcing and forex gains. And then obviously, you've got ref prices, which is why we are sort of structuring our guidance to 28% to 30% because of the fact that you may lose some forex gains if forex turns out. We are not going to speculate on the forex value. But the underlying story of the business and the cost structure, the work that we've been doing to drive efficiency and manufacturing excellence is going to continue.

Sanjesh Jain: I think we are adding a lot of brownfield. That means this operating leverage should keep playing out, right, Anish?

Anish Ganatra: Yes. It should play out, and it should continue playing out. But at some point, if you're going to translate this to a forward guidance, I wouldn't do that at this stage.

Sanjesh Jain: One follow-up on the Nectar. We have started the second product as well. So are we confident that in CY '26, the anchor customer will lift INR300 crores? And what is the update on the remaining INR300 crores of the capacity?

Anish Ganatra: We are on track both for this year's numbers, about half of the PAR that we had always indicated

and it will be slightly more than half closer to the number you mentioned. And there are firm
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orders for the customer to offtake that. So -- and we are working towards that. I mean there is a lot of tailwinds you will see in the coming quarters on the specialty side in that front.

The update on the open position, we've already made supplies for that too. So next year, you will start to start seeing outcomes coming from that. Our target is to get to the full PAR by the end of FY '27.

Sanjesh Jain: So, we are looking at a full utilization by December '26?

Anish Ganatra: No, by FY '27...

Sanjesh Jain: That is March '27. Got it. Sorry, one last question. On the contract with the European thing, why is its approval taking almost 6 months? Because I think they're already supplying that. In that sense, shouldn't it have been slightly faster?

Anish Ganatra: No. So are you referring to Fermion? Are you referring to...

Sanjesh Jain: Yes, Fermion correct, the dedicated plant.

Anish Ganatra: So that is -- you know how the validation happened here, right?

Nitin Kulkarni: Sanjesh, this is for the new facility...

Anish Ganatra: Yes, for the new facility...

Nitin Kulkarni: And it is faster. You must be aware that commissioning happened just one month back. And there are certain number of batches which we need to make of each and every step. We need to validate the quality, the quantity detail. So that is progressing. That is the reason if you see we have made a comment that the commercial supply will start from Jan.

Anish Ganatra: Because you're giving some space for December holidays, etc., right? So January is when we expect to start.

Nitin Kulkarni: So this validation is for the new site and the new circuit in cGMP4. That's all.

Sanjesh Jain: No, no. That's Nitin I'm aware. I thought it could have been slightly faster, but I agree to your point it's -- they have to...

Anish Ganatra: So Sanjesh, for us, it's about getting this right. Frankly, it's having no effect on our ability to drive the revenue and the top line in CDMO. We've got enough bandwidth and capacity.

Fermion's orders are still being supplied and going as sort of.

Sanjesh Jain: No, no, we are already now 2 new products, if you see the 2 more products where

we are looking

at a scale of supply. And then there is a Fermion. I think if that plant gets started, then it eases in terms of how we service the customer.

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Anish Ganatra: There is no -- I mean we are managing that, Sanjesh. There is no concern on capacity constraints in CDMO on that. We were able to manage that. That's not an issue. I mean this is not a long time line, as Nitin has said any which way.

Sanjesh Jain: Are we looking at surpassing \$100 million there?

Anish Ganatra: I have given that as an aspirational target, and I've also said very clearly that the absolute number doesn't matter. Even if I get closer to 100 or higher than 100, what matters is the scale that takes us when we get closer to that number as well. So it's about making CDMO sizable, and that's what is the message rather than a number. But we are inching closer to that. Visibility is going to be very, very strong.

Moderator: The next question is from the line of Arun Prasath from Avendus Spark.

Arun Prasath: So my first question is on AHF. I think with even if the new plant -- new R32 plant running at full capacity, we will still have very large unutilized AHF utilization. In the past, we spoke about using that to sell the external -- to sell it to the external market. So how is the progress on that front? And when do we think that we can fully utilize the plant?

Nitin Kulkarni: See Arun, as Anish is always saying and we are mentioning in most of the calls, this is -- this exactly. The HF capacities which we are -- which is coming up -- this is actually the license to drain and as we said always that our approach is how we can do the value addition by utilizing this new HF capacity by going much higher into the manufacturing chain.

We never said that we are going to utilize or run this plant on 100% capacities from day go. It is going to be gradual, and we are of the opinion by 2029, 2030, we will hit both the capacities, will get utilized to the optimal level.

And in that direction, we are already working with the various partners in the advanced materials space, in the HPP area as well as in Spec Chem. And -- of course you must be aware, we have already mentioned that we are progressing quite well on the electronic grade HF. That is also

going to consume some good percentage of the capacities at a much higher value realization. So, I think we should look at the HF investment and capacities more on the long-term basis -- more strategic. But still I think with the existing capacities and upcoming capacity from FY '26 itself will be 50% up as far as -- or more than that in capacity utilization.

Anish Ganatra: Yes. I mean a good point over there, Arun, is that, I mean, if you look at R32 today, if us putting in capacity today is going to yield a greater realization per kg of HF. The work that the team is doing on doing your electronic grade HF or in advanced material that Nitin was talking, all of those are going to ultimately add more and more realization per every kg of HF. And that is the game. It's not about selling the volume and merchant sales. Those are temporary short-term things. We want to be in the market, but that's very strategic investment.

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Arun Prasath One follow-up on the R32. You mentioned that you are balanced in terms of contract and spot. Typically, what is the contract duration? Is it 3 months, 6 months thing or pretty longer than that?

Anish Ganatra: No, no, I have already indicated that it more midterm. So it's not long-term contracts, it's midterm contracts. Now when I talk midterm, I'm talking about 4 to 5 years. But this is a relationship we are going to nurture. It's not about a transactional activity.

Arun Prasath My second question is on the other expense part. If I look at it for last 3

to 4 quarters, the total

other expense on absolute basis is more or less have remained at a similar level. Is there any -- I understand other expense will have some variable portion and some fixed portion. Are we benefiting anything on the variable portion, say, freight cost is...

Anish Ganatra: We are driving a lot of efficiency in the system. We're driving a lot of efficiencies in the system, whether it's about using our utilities more effectively, reducing affluent cost, that is what manufacturing excellence is about. So frankly, you will see some of that continue as well because that's our focus. Our focus is twofold, drive the variable down, keep the fixed as fixed, and which is why I think Vishad has talked about controlling the controllables.

Arun Prasath : Would you say that on the yield part or on the consumption part, it is -- the benefit is more from the price front or from the yield front within the other expense?

Anish Ganatra: No. So as I talked about the EBITDA bridge when I was explaining to Sanjesh, about 90% of our underlying growth in the margins, EBITDA margins or -- and that effectively translates down to PAT, etc., is coming largely from volume growth. And then yes, you also have some pricing tailwinds and you have forex tailwinds, which are offset through your sourcing costs.

Moderator: The next question is from the line of Aditya Pal from MSA Capital Partners .

Aditya Pal: Congratulations for great set of numbers. Sir, I'm a bit new to the company, just started company recently. Wanted to have a quick understanding on our 3 segments that is Spec Chem, HPP and the CDMO segment. CDMO segment is entirely contractual. If I were to understand what would be the percentage of contractual revenue of HPP and Spec Chem? Contractual revenue is what?

Anish Ganatra: So Aditya, I can take that question, but perhaps not appropriate for a call like this, which is a 1 hour call on the performance. Really appreciate you getting in touch with our IR, and we'll have a separate one on one or a separate meeting scheduled for this where we can talk you through the business and explain you since as you rightly said, you just started tracking or just new to it. You can also look at our investor pack. If that's okay, don't mind me saying that.

Aditya Pal: No, that's quite alright because I was not getting the percentage. So I read your previous calls, I was not getting the percentage of revenues. So that's why I asked this question.

Anish Ganatra: Yes, yes. We can have that conversation offline, not a problem.

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Moderator: The next question is from the line of Krishan Parwani from JM Financial.

Krishan Parwani: Congratulations on a very strong set of numbers. Two questions from my side. First, on the ag chem intermediate, the new ag chem intermediate product. So can you please highlight the expected peak market size of the agrochemical for which you'll be manufacturing this intermediate?

Anish Ganatra: So this ag chem intermediate, Krishnan, is a very novel intermediate that gets applied to specific sort of crops and -- but it's a herbicide. And it's a very, very, very novel innovation with a huge sort of potential, also a potential where this has got significant growth aspirations for the innovator too. So we are participating in the growth innovators growth aspiration, so to say. But I would not be able to, at this point, share the long-term views, obviously, because of commercial sensitivities again.

Krishan Parwani: No problem, and secondly, on the R32 incremental capacities -- so what kind of utilization rate that you are planning? Because I believe you said that you will be cautiously supplying to the market so that there is no oversupply. So what's the kind of utilization rate that you are planning for R32...

Anish Ganatra: Like I said, Krishan, we are looking at a

balanced approach of committed and open position.

And so there is no oversupply in that sense. What I meant was this will be worked out for global and Indian markets in a balanced way such that we are able to offload the entire quota that we are allowed to manufacture. And we have got very strong visibility to that based on arrangements we have in place.

Krishan Parwani: Okay. I got it. I mean I didn't mean that there will be an oversupply. Just was referring to more like your utilization rate for the R32.

Moderator: The next question is from the line of Keyur from ICICI Prudential.

Keyur: Congratulations on good results. Sir, just one question on the margin guidance that you are giving for this year. Now considering that many of the projects are probably will ramp up in FY '27, do we assume similar margins or optimal margins? How should we think for FY '27?

Anish Ganatra: Yes. So I think we can visit in the coming quarters on that Keyur, be patient. Like I said, we are working very hard to maximize this value for shareholders. You can see it in the last 2 quarters. I've already given an indication of what '26 end would look like and what we are working to. As we get nearer that time, things will become more and more clearer and more and more cemented.

Moderator: The next question is from the line of Madhav from Fidelity.

Madhav: I just wanted to understand on the CRAMS business, we had a fairly sharp ramp -up at least on a year-over-year basis. You did indicate that there was one large supply which got completed.

So just wanted to understand any color that you can share in terms of the quantum of that supply?

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Like some of this business can be lumpy, like not just for you, but for the peers as well. So just wanted to understand how lumpy that supply was for us?

Anish Ganatra: So Madhav, thanks. I mean the lumpiness, I think, and I'm going to say this, is going to be a thing of past for us, okay? Because you can see that in the consecutive 2 quarters that we've done and we don't think you will see the lumpiness. This particular molecule, like I've said, you are going to see that we've done one delivery now, and there will be another repeat order coming in for deliveries in CY '26. There is a readout expected at the end of December. Fingers crossed, that turns up and that will blow up as well after that.

Madhav: That regard is in December 2026?

Anish Ganatra: Probably slightly sooner than that. I'm just giving you December. It's probably November or whatever, but it is in that kind of window.

Madhav: And the incremental 15,000 tonne R32 capacity which you are putting up, any broad sense in terms of how much of that gets sold in domestic versus export markets? Like will exports be a larger part of the growth driver because like you said, blends, etc., is picking up in the Western markets as well. So some sense...

Anish Ganatra: I think we have a very unique proposition here because we are seeing today as we are selling our current capacities that there is enough appetite in the global market to balance any requirement as also Indian market continues to grow. So frankly, a percentage distribution doesn't matter, but it will probably be in the ratio of what we are looking at now as well, consistent with what everybody is seeing across the industry as well.

Madhav: Since it's going to be the mix of domestic and export both should scale up?

Anish Ganatra: There will be a mix, yes, there will be a mix of exports.

Madhav: Okay, thank you.

Anish Ganatra: So Madhav, just to add, I mean, like I've always said, this is a product we are going to nurture, right? So we are going to balance the placement of the product in such a way the margins aren't compromised.

Moderator: The next question is from the line of Surya Narayan Patra from PhillipCapital.

Surya Narayan Patra: Sir,

my first question is on the CDMO side. In the opening remarks, you have mentioned about 3 new customers auditing your plant. So could you give some sense the nature of the client, although you mentioned that it is innovative? So is it large pharma kind of or nature of?

Anish Ganatra: Large pharma.

Surya Narayan Patra: And any product indication or anything that we generally get or it will not be indicated...

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Anish Ganatra: I wouldn't prefer doing that.

Surya Narayan Patra: And sir, about the CDMO, in fact, in the first half, we have seen a robust growth of around 50% on a Y-o-Y basis. And we have also seen that fourth quarter of last year, second half was anyway, it was really robust again. So considering all that, how should one think in terms of the overall growth momentum for the CDMO for this year?

And how can that momentum continue? Because you are also mentioning about your FY '27, your order book is kind of visibility that is there because of the purchase orders. So could you give some sense about the trajectory in terms of growth and all that?

Anish Ganatra: So we are striving to do second half that's better than first half, and that is then what will set the trajectory to get to the numbers we talked about. And the order book is strong, so hopefully that should be what we do.

Surya Narayan Patra: Sir, did you face any kind of a tariff impact so far in any of the -- for any of your business?

Anish Ganatra: So, nil to marginal. On a scale of 0 to 10, I would say probably 2 to 3...

Surya Narayan Patra: Any update on the Honeywell thing sir because we are anyway in terms of extending or expanding the relationship?

Anish Ganatra: So those conversations are always there. See with all our strategic customers, we don't make a one product conversation. There is a basket of products that you talk about. But honestly, nothing is matured yet for me to come to you and say, yes, there's a capex or there is an investment. But these discussions are ongoing, as with others too.

Moderator: Due to time constraint, that was the last question. I now hand the conference over to Mr. Anish Ganatra for closing comments.

Anish Ganatra: Thanks everybody for making the call. Before we conclude, I just want to summarize the key takeaways from the call. Hopefully you've captured from what Vishad shared, Nitin has shared and through our conversations.

- This was a very strong performance for Navin for the quarter and first half. The operating leverage is playing out quite nicely.
- The balance sheet continues to remain strong, and we are within the framework and the financial framework that we've set.
- The value -accretive capex 's which have now been announced are going to start accelerating or showing growth beyond FY '27, which is what we are always committed to.
- We continue to make progress across all our verticals on the strategy front with a particular focus on R&D and product pipeline. And the idea is ultimately that this will help propel growth and also allow us to meet our aspiration of carving out advanced materials.

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- With a strong order book for CDMO vertical, we are continuing to inch towards our 100 million top line aspiration.

So I just wanted to make sure that everybody captures those key messages.

Once again, thank you for joining us today evening, and have a great evening. Thank you again.

Bye.

Moderator: Thank you. On behalf of Navin Fluorine International Limited, that concludes this conference.

Thank you for joining us, and you may now disconnect your lines.

Call: Feb 2026

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February 13, 2026

BSE Limited

Phiroze Jeejeebhoy Towers,

Dalal Street, Fort,

Mumbai 400001

Scrip Code: 532504 National Stock Exchange of India Limited

Exchange Plaza,

Bandra Kurla Complex, Bandra (East),

Mumbai 400051

Symbol: NAVINFLUOR

Dear Sir / Madam,

Sub.: Transcript of Earnings Call held for the quarter ended December 31, 2025

Pursuant to Regulation 30 read with Schedule III of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the Company's Earnings Call held on February 09, 2026 regarding discussion on operational and financial performance for the quarter ended December 31, 2025 (Q3 of FY 2025-26) is enclosed herewith.

This intimation is also being made available on the Company's website at www.nfil.in.

Request you to take this intimation on record.

Thanking You,

Yours faithfully,

For NAVIN FLUORINE INTERNATIONAL LIMITED

Niraj B. Mankad

President Legal and Company Secretary

Encl.: a/a

"Navin Fluorine International Limited Q3 & Nine Months FY26
Earnings Conference Call"

February 09, 2026

MANAGEMENT : MR. VISHAD MAFATLAL – CHAIRMAN , NAVIN FLUORINE
INTERNATIONAL LIMITED

MR. NITIN KULKARNI – MANAGING DIRECTOR, NAVIN
FLUORINE INTERNATIONAL LIMITED

MR. ANISH GANATRA – CHIEF FINANCIAL OFFICER,
NAVIN FLUORINE INTERNATIONAL LIMITED

MS. PAYAL DAVE – MUFG INTIME, INVESTMENT
RELATIONS ADVISOR.

MODERATOR : MS. POOJA SWAMI – MUFG INTIME INDIA PRIVATE
LIMITED INVESTOR RELATIONS

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Moderator: Ladies and Gentlemen, Good Day and Welcome to the Navin Fluorine International Limited Q3 & Nine Months FY26 Earnings Conference Call.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this call is being recorded.

I now hand the conference over to Ms. Pooja Swami from MUFG Intime IR. Thank you, and over to

you ma'am.

Pooja Swami: Thank you, Shruti. Good evening, everyone and welcome to Q3 & Nine Month FY26 Earnings Conference Call of Navin Fluorine International Limited.

Today, on the call, we have with us Mr. Vishad Mafatlal - Chairman; Mr. Nitin Kulkarni - Managing Director; and Mr. Anish Ganatra - Chief Financial Officer.

This call will contain forward-looking statements about the company which are completely based on beliefs, opinions and expectations as of today. Actual results may differ materially. These statements are not the guarantee of our future performance and involve risks and uncertainties that are difficult to predict. A detailed Safe Harbor statement is given on Page #2 of the Investor Presentation of the company which is uploaded on the stock exchanges and on the company's website.

With this, I hand over the call to Mr. Vishad Mafatlal for his opening remarks. Thank you and over to you sir.

Vishad Mafatlal: Thank you. Good evening, ladies and gentlemen and welcome to Navin Fluorine's Q3 & Nine Month FY26 Earnings Call. I am joined today by our Managing Director – Mr. Nitin Kulkarni, our CFO – Mr. Anish Ganatra and Ms. Payal Dave from MUFG Intime, our Investment Relations Advisor.

The environment in which we operate continues to evolve, shaped by global developments and macroeconomic trends. While these dynamics bring their share of challenges, they also create new opportunities.

I am pleased to share that we have remained resilient and agile, consistently adapting our operations to sustain growth and deliver strong outcomes. Our growth has been made possible by the relentless dedication and tireless efforts of our teams. Through focused teamwork, strong R&D initiatives and the adoption of right technologies, we have been able to navigate diverse global scenarios. Equally important are the deep relationships we have built with our partners, which continue to strengthen our foundation. I want to express my heartfelt gratitude to every member of our team and all other Navin Fluorine International Limited

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stakeholders as their commitment has been driving force behind the performance we are witnessing today.

I am pleased to highlight that our cGMP-4 Phase-1 facility has been commissioned based on our timelines. Post successful validation of batches, we started commercial supplies during the quarter. Our AHF project was also successfully commissioned recently and commercial supplies have started. We are pleased to inform you that all our ongoing CAPEXes are progressing well.

With continued positive pricing trends and ongoing capacity expansions, we are confident that the HPP business will continue to deliver sustainable growth. Our Specialty Chemicals division has achieved its highest-ever quarterly revenue, underscoring both strong execution and deeper partnerships. Meanwhile, the CDMO business continues to build momentum with strong order visibility. Across all our verticals, momentum remains strong, supported by clear order visibility, reinforcing confidence in our growth trajectory. We are also progressing well on Advanced Materials space and with initial evaluations for projects in the electronic chemical value chain.

Before I hand it over to Nitin for a detailed update on the business, I would like to

briefly talk about

the current global developments and the impact of the Union Budget 2026.

Both the EU Free Trade Agreement and the US trade deals are good news for our industry. We expect these to support our bilateral trade. The government's focus on strengthening domestic manufacturing is also very encouraging for the chemical sector.

Further, we are encouraged by the launch of India's Semiconductor Mission 2.0, which focuses on Semiconductor Manufacturing in India, along with the Associated Ecosystem of Critical Supplies including Chemicals and Gases. This is a positive for our Advanced Material businesses. With these policy supports, we believe the Indian chemical industry is well-placed to grow globally, adopt advanced technologies and contribute to higher quality exports under the Make in India and Viksit Bharat 2047 Vision.

Thank you once again for joining us today, and now I would like to hand over to Nitin to Provide an Update of our Operating and Business Performance.

Nitin Kulkarni: Thanks, Vishal bhai. Good evening. Thank you for joining us on the call today. We are happy to report a strong performance across all our business verticals for the quarter as well as for the nine months of FY26. For nine months FY26, our revenue grew by 44% to INR2,376 crores, while quarterly revenue increased by 47% year-on-year to INR892 crores. Our margins for the nine months stand at 32% compared to 21.5% in the previous year, reflecting an expansion of 1,047 basis points. This improvement has been driven by our focus to diversify our portfolio, expand our market presence, deepen strategic partnerships and enhance customer relationships. This approach has Navin Fluorine International Limited

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solidified our presence as a globally trusted provider of diverse fluorochemical solutions while fueling growth in competitive landscape.

While focusing on this growth journey, we also kept ourselves nimble and disciplined by relentlessly focusing on maximizing operational efficiencies, strengthening R&D, enhancing technology platforms and optimizing supply chain.

Talking about our Business Verticals, our HPP business delivered a strong and consistent performance during the quarter. Revenue for Q3 FY26 stood at INR412 crores, registering a 35% year-on-year growth, compared to INR306 crores in Q3 FY25. The growth was driven by combination of higher realizations and improved volumes supported by constructive price environment. We are pleased to inform you that AHF project has been successfully commissioned during Q4 FY26. Additionally, the CAPEX for incremental HFC capacity equivalent up to 15,000 MTPA of R32 is progressing as planned and is expected to be commissioned in Q3 FY27.

Coming to our Specialty Chemical Business, Q3 FY26 reflects a strong quarter for this segment. Revenues increased to INR354 crores, reflecting a 60% year-on-year growth over INR221 crores in Q3 FY25, making this the highest-ever quarterly revenue for the specialty chemical vertical. The outlook remains strong and encouraging, supported by strong order visibility for Q4 and beyond. Our product pipeline continues to gain strength with scale-up in existing molecules and several new molecule launches are lined up.

On the Project front, the Chemours Project is progressing well and is on track for completion in Q1 FY27. Further, the de-bottlenecking of MPP capacity at our Dahej facility is expected to be commissioned in Q3 FY27, which will further enhance our capabilities.

Moving to our CDMO Business, the segment continues to demonstrate strong momentum with improved visibility.

Revenue for Q3 FY26 stood at INR127 crores, growing 61% year-on-year from INR79 crores in Q3 FY25, driven by strong execution and customer traction. During the quarter, we achieved a significant milestone with our European CDMO partner as we have successfully completed validation and commercial supplies as commenced from our

cGMP-4 facility. This engagement provides strong revenue visibility over the next three years.

We have also concluded supplies for material order from a major EU customer, with discussions also underway for future supplies. Additionally, another scale-up order from a large European customer, is scheduled for Q4 FY26 deliveries.

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On the Advanced Materials space, we continue to progress on multiple projects to become part of the overall semiconductor and electronic value chain. We are evaluating all these opportunities and will update you in the near-future.

With that, I will hand it over to Anish for Financial Update.

Anish Ganatra: Thank you, Nitin, and good evening, everyone, and welcome once again to our earnings call.

I will now walk you through the Company's Financial Performance for Q3 & Nine Months of FY26.

Looking at our quarterly performance, on a consolidated basis, our revenue for Q3 FY26 came in at Rs.892 crores, reflecting a growth of 47% year-on-year and 18% sequentially driven by strong contribution by all verticals.

Operating EBITDA stood at Rs.308 crores, up 109% year-on-year and 25% quarter-on-quarter.

EBITDA margins improved to 34.5% compared to 24.3% in Q3 FY25 and 32.5% in Q2 FY26, driven by improved realization and operating efficiencies.

Operating PBT increased to INR243 crores versus INR98 crores in Q3 FY25 and INR179 crores in Q2 FY26, marking a growth of 149% year-on-year and 36% sequential growth.

Profit after tax for the quarter stood at INR185 crores, recording a growth of 122% year-on-year and 25% quarter-on-quarter.

On a nine-month basis, our revenue was INR2,376 crores compared to INR1,648 crores in the same period last year, a growth of 44%. Notably, I would like to highlight that we have surpassed our full-year revenue number of FY25 within the first nine months of FY26.

Operating EBITDA reached INR761 crores, up 114% from INR355 crores in the nine-month period ending for FY25.

EBITDA margins improved to 32% versus 21.5% in the prior year same period.

Profit after tax for nine months stood at INR451 crores, 56% higher to full-year FY25 PAT of INR289 crores.

As of December 31, FY25, our net debt-to-equity ratio stood at 0.03x and net working capital was below 80 days of sales. This reflects a disciplined approach to access growth.

Before I conclude my remarks, I would like to summarize with the Key Takeaways. One, our earning growth rate surpasses the growth rate in revenue, resulting in operating leverage coming to play.

Growth reflects the performance across all verticals. Execution of Wave-1 projects AHF, cGMP4

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concluded and commissioned during the quarter with this Wave-1 of CAPEX projects concludes and

Wave-2 projects, namely the MPP debottlenecking, the R32 expansion, HFC expansion and the Chemours project are on track for completion as indicated. Strong project pipeline across the verticals again continues to fuel opportunities for future growth. Financial framework remains conducive to growth.

With that, I conclude my remarks and open the floor for questions.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Sanjesh Jain from ICICI Securities. Please proceed.

Sanjesh Jain: Yes, thanks. Good evening and thanks for taking my question and congratulations for a very good set of number. I got a few questions here. First one, the Navin Fluorine Advanced Sciences appears to be doing significantly better sequentially the revenue; consol minus standalone stands at Rs.322 crores versus Rs.196 crores, so, there is a growth of Rs.126 crores sequentially. Can you help us understand what segment is driving such a sharp improvement? And we had three large projects within it, HFO, dedicated plant and MPP3. Where are we in the utilization cycle for all these projects?

ects?

Thank you.

Anish Ganatra: So, Navin Fluorine Advanced Sciences is again, you are absolutely right, sequentially, the growth is solid, but it is also something that one would expect to see because as we have indicated in the past, there has been a pipeline of projects in the specialty vertical and including the Nectar ramp up. So, those two are playing out very well in Navin Fluorine Advanced Sciences, which is what you see in the numbers. I would like to also put this thing in, which is a specialty vertical for this quarter, has reported a number of Rs.350 crores, which in some sense sets up a solid run rate of what we should expect the specialty business to deliver going forward. And, of course, there will be further drivers of growth with the Wave-2 CAPEXs that we have announced.

Sanjesh Jain: Got it. And utilization for all the three projects?

Anish Ganatra: Utilization for the MPP-1 is solid. For the full year, we expect to almost hit the par. Utilization for MPP-2 is about 80%, 70% around in that range, but we expect that to pick up in the coming year.

And utilization for Nectar is again, as we had always said, this year, we would hit roughly 50% of the par. So, we are on track for that.

Sanjesh Jain: And dedicated plant?

Anish Ganatra: Our dedicated plant, I told you, about 70%.

Sanjesh Jain: Okay, 70%. So, there is still headroom to grow from here for Navin Advanced Sciences, that implies.?

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Anish Ganatra: Indeed. I mean, for Navin Advanced Sciences with the AHF commissioning, you will further see growth coming in from there in the vertical as well. And also what we have announced on MPP de-bottlenecking, that will also give further growth coming into the future. So, in a sense, last quarter, when we announced the de-bottlenecking project, we very clearly said that, we are coming to a point in the specialty business where our strategy of working closely with the global innovators, is paying off, and which is why we announced the de-bottlenecking project, because we were seeing that the capacity addition would be value-accretive.

Sanjesh Jain: Got it, got it. But, if I look at the commentary from the other chemical companies, everybody is struggling from agchem cycle not picking up probably as everybody thought, that is not really hurting us. Are we doing anything different in agchem chemical or it is just a base effect or there is a mix between agchemical and non-agchemical within the MPP?

Anish Ganatra: Sanjesh, you got to go back to a commentary a couple of quarters ago where we said that, we had started working proactively with the global majors to be their technology partners in their supply chain and not just a pure relationship which is transactional, right? And I think that along with the combined effort of our R&D, manufacturing teams and the business teams is actually playing out in what you see in the numbers, yes.

Sanjesh Jain: Got it. But it is largely agchem-driven, right, as of now, within the specialty?

Anish Ganatra: Yes, indeed.

Sanjesh Jain: Got it. The second question is on the margin and AHF both put together. Now that AHF plant has commissioned, we will sell more, we will buy less, which should be margin-accretive and we are already at 34.5%, how should we think about this?

Anish Ganatra: So, I think you are right on the first part of the statement, sell more and buy less. There is absolutely no doubt. And as you know, we always see AHF as a mother plant, right? So, the HFC capacity that we have announced obviously will sort of come into play in utilizing some of that added capacity. And we will be out also in the trade market. There is no doubt about that. But, I think the bigger game here is how do we use the new AHF capacity to advance the advanced materials vertical that we are incubating. And there, as Nitin mentioned, there are several projects that we are working act

ively on

and hopefully some of them should kind of move into traction in the near future, yes. We will keep you guys updated.

Sanjesh Jain: And on the margin, Anish?

Anish Ganatra: On the margin, I think, we have always said 25%. I think it is now safe to think of Navin as a 30% annual number. But let us not kind of hold that on a quarterly sort of treadmill run rate, yes? So it will be an annualized number that we are looking at 30% give or take plus/minus 200 basis points.

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But that is where we would be. This year, clearly, as you will see the numbers and the math will be in front of you, that we would be hitting or crossing the 30% number, yes.

Sanjesh Jain: Correct. On the AHF, we rightly said there is an electronic and semiconductor opportunity there. But, why not solar? I think we have been downplaying solar while solar production in India is picking up so strongly. And there are larger players who are entering and that requires a good amount of AHF. I know not at the purity of semiconductor, but not even the normal AHF works there. Somewhere in between. But why are we not playing that?

Anish Ganatra: So Sanjesh, we never said we are not playing into it. I think what we are saying, and this is really important to understand, that solar is a part of journey to get to electronics grade. And that is what we will do. We will get to electronic grade, but it does not exclude solar. There will be solar and there will be electronic grade. But we want to bake this CAPEX in a manner that we are able to access electronic grade. So, that is why it is taking some time, but hopefully not too long.

Sanjesh Jain: Got it. And this bush technology-related plant is supposed to come in when?

Anish Ganatra: So like I said before, bush or no bush, we will move and that is what we are doing. We are actively working on this and you should see something hopefully in the coming quarters.

Sanjesh Jain: And anything on the BF-3 for a semiconductor application?

Anish Ganatra: It is part of the equation. So, as we get into electronic grade, you have high purity of all the chemical gases. We are going to play on our strengths of fluorination and get into downstream higher purity gases of which, of course, BF-3 is one of them as well.

Sanjesh Jain: Very clear, Anish. Thanks for taking all those questions so patiently and best of luck for the coming quarters.

Anish Ganatra: Cheers, Anish.

Moderator: The next question is from the line of Nitesh from Anand Rathi. Please proceed.

Nitesh: Yes. Hi, team. Thank you. Congratulations on a good set of numbers. Again, on the consol minus standalone, that is a subsidiary, EBITDA margin in the last couple of quarters ever since the specialty molecules started ramping up. That has surged to 45% from around 28% there. Gross margin in this period has increased by about 400 bps only. Seems there is hardly any OPEX increase in the last couple of quarters. I mean, the EBITDA on the incremental revenue seems to be north of 65% there. So, could you kindly give us some color here, I mean, is this is a sustainable margin profile of the specialty molecules here, or there is something more to this surge in the margin?

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Anish Ganatra: So, Nitesh, thanks, but I do not think the EBITDA is 65% north. I think you are looking at some numbers. But in principle, directionally, your comment is correct that, the margins in the subsidiary are looking better and so is NFIL also. What one has to remember, see, we have always communicated this very strongly in the investor community and to you guys, is that, our priority has always remained on manufacturing excellence as #1 priority. We are consistently driving economies and removing inefficiencies in the system. And that is why you see a solid control on cost. That is why you see a solid control on innovation in terms of

trying to bring in better processes, improved processes, higher yields and lower losses. So, some of this you will naturally see. One has to remember also that NFASL is not a listed entity. So, it does not have the same overhead structure as NFIL, which is a listed entity. But, there is a proper transfer pricing arms-length association between these two companies to transfer the costs between the two sort of entities. So, there is not anything that you are seeing unusual there. Perhaps it was something that one would expect. And, in a scenario where we are, and like we said, even last quarter, you will see operating leverage play out very nicely in a way.

Nitesh: Sure, sir. Okay. So the second one is on the refrigerants bit. So has there been a change in the exports to domestic mix on the R-32 side, and the reasons maybe that you can attribute there? How much has been R-32 utilization in Q3? And any significant increase sequentially that you might be seeing?

Anish Ganatra: So, R-32 utilization has been 100%. Of course, in this quarter, we have taken a shutdown for Agro 1, which is the usual planned shutdown for catalyst changeover. But, the mix between export-domestic is actually not materially different from what it used to be. Of course, as we are preparing for the new capacity to come on stream, we are also looking at expanding our market reach, which also is happening simultaneously. So a lot of this you will see moving path, because we have got to make sure that we are able to place the new upcoming portfolio as well, and there are certain sort of accesses that we are looking to get globally on R-32 as well.

Nitesh: Sure. So, you know, with the Chemours project on track for completion in Q1, could you give us a

sense of the revenue ramp up over FY27 to '29? So FY27 is a partial year. I mean, how the margins should be thought about relative to the overall business, like, without getting into specific numbers there?

Anish Ganatra: So, like I said, the Chemours project has an initial capacity to drive an accelerated adoption of the product in the market. As we have said previously, we are under a confidential agreement to not talk about the quantities or the revenue associated with that. But the size of the CAPEX should give you a decent feel. This CAPEX as it sort of progresses to access the overall market of liquid cooling, will sort of come into fruition two years once it starts off. That is when we will start to talk of how and what sort of a bigger CAPEX looks like. And at that stage, we can possibly talk a little bit more on the future outlook of the revenues, etc., But just to give you a sense, the liquid cooling market, I
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believe, is close to about \$3 billion potential. And, two-phase cooling is one part of the critical and necessary part of the solution to support the data center growth in the world driven by AI.

Nitesh: Sure, sir. Thanks a lot for answering my questions. Wish you all the best for the future.

Moderator: The next question is from the line of Jason from IDBI Capital. Please proceed.

Jason: Yes, thanks for taking my questions. First question just pertains to, you have been saying that for the AHF plant, we will basically look at increasing or basically keeping our realization highest, increasing our realization per Kg. Now, I just wanted to confirm how much of the 40,000 will be used captively and how much will be sold externally?

Anish Ganatra: So, I think the answer there is sort of implicit in your question in a sense. If I have to get more realization, I have to keep consuming captively more and more. The trick and the business strategy is to consume it into more and more niche chemistries and advanced plays.

Jason: Okay, but do we have any ballpark target in mind for a proportion?

Anish Ganatra: So, like I have said before, this is a license to grow capacity or license to dream capacity. And in a

sense, by putting this capacity, we are signaling that we will continue to develop chemistry and capability in downstream applications to grow this. Now, how and what? Frankly, we have talked about in all the verticals, including the play that I have talked about in advanced materials, where we said we will go on the back of fluorinated chemistries. So, it is very easy for you guys to figure out what that market size is and what the potential is, particularly given the thrust that the Indian government has now put in on semiconductor manufacturing and data centers in India, along with the right sort of incentive structures. So, I think over there, again, at this stage, all I would say license to operate... I mean, think of it this way, Jason, we would not have been able to do or access R-32 opportunity if we did not have the AHF.

Jason: Right, sir. Sure. And so just about this cooling liquid market, you said that it is a total market of \$3 billion, is that right?

Anish Ganatra: Yes, I think the \$3 billion is the potential market size of total liquid. Talking from memory, but that is what it is.

Jason: Yes, but it is on a global scale, that is what you are saying, right?

Anish Ganatra: Yes, global scale.

Moderator: The next question is from the line of Rohit from 360 ONE Capital. Please proceed.

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Rohit: Thanks for the opportunity and congrats on a very strong set of numbers. First question is on the Nectar project. So you alluded that for this year, we are on track of utilizing half of the capacity. Are we also on track to utilize the other half in FY27 or just your broader perspective on this? Thank you.

Anish Ganatra: So, we are working to secure the other half. If not other half, we should be pretty close. That is what our aim is.

Rohit: That is helpful. And second question is in terms of the nine-month staff cost has been largely flattish. I understand that we have been optimizing across the board. What is the sense in terms of from here on, will there be a natural inflation-adjusted growth in the staff cost?

Anish Ganatra: So I think there will be two things playing out. As you look into the forward, you will see that the bar numbers we have indicated for various projects will give you a certain growth rate that is implicit in Navin's performance as we reported today. And you will see that will also entail that we will be taking certain calls on capability enhancement across the organization. So, you will see a combination. But, I think a safe bet is to look at what we are saying, 7%, 8% percent of revenue as our employee costs. See, we were historically at a two-digit number. But I think we have now contained it to where we should be in terms of comparison to peers or where we think it is appropriate. And that is what I would do if I was to model in your place.

Rohit: Sure. Just one last clarification. On a sequential basis where we stand today in this quarter, are we also expecting on all the three segments we are fairly confident of growth?

Anish Ganatra: So, absolutely. I mean, like we have said before, all three verticals have performed and all three verticals continue to demonstrate the capability to access the opportunity. Some of that is clearly

visible in the CAPEXs we have already announced and which we will continue to do as we progress our projects in a disciplined manner. And with CDMO, obviously, with every month going by, we are getting closer and we are inching closer to our aspirational number of 100 million.

Rohit: Perfect. That is helpful and all the best, sir.

Moderator: The next question is from the line of Surya from PhillipCapital. Please proceed.

Surya: Yes, thanks for the opportunity and congrats on the great set of numbers. Sir, my first question is on the cGMP-4 plant, phase-I work that we have commercialized. So, since that is a dedicated unit for the known partner, when do you expect

the optimal utilization of the plant, sir?

Anish Ganatra: Within the year...in FY27, you will see full optimum utilization. That is one.

Surya: Okay. Second was that the kind of a positive surprise, obviously, because of the kind of the subsidiaries contributing incrementally, as well as the agrochem contributing, the specialty

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contributing, all that. But any element of a quarter-specific contribution that whether we are seeing either in terms of revenue or in terms of margin?

Anish Ganatra: I know, I hear you say surprise, but frankly, all of this is in line with the CAPEXs and the plans we have announced. Always said, in fact, last year, I remember Nitin and I explicitly mentioned that as we got into FY26, the first half of this year was going to look at like the last half of last year, right?

And so, this is in line with what we have always been working towards and so, therefore, not something that has happened by accident, something that we have driven to. And one thing also, that you talked about is the exceptional item we reported in the numbers, which is as a result of the new labor code.

Surya: Yes. Just one more point on the AHF thing. See, that is obviously we are targeting for the new age industries application. So, if you can give some more sense about like, whether the product with how many customers that we have validated, whether the customers are the local Indian ones, or it is even external market that we have validated our product for the new age industry application, so, if you give some sense on that, it would be really helpful?

Anish Ganatra: There are several projects we are working on. And these are with a wide range of customers, largely global spread across different geographies. And they are in different stages. But I am sure, Surya, you will understand there is a lot of commercial sensitivity to these conversations. But I think I have indicated sufficient in terms of saying that this will be from downstream fluorinated chemistries. And they will be niche players. We do not want to get into kind of products.

Surya: Okay. I just might just point that whether we are targeting the evolving semiconductor industry in India, or something like that, that is a kind of opportunity for the new age industry, or it is even the global market that we are trying to tap?

Anish Ganatra: It will be new age across the world, including India.

Surya: Yes, great, sir. Congratulations. Thank you.

Moderator: The next question is from the line of Abhijit from Kotak Securities. Please proceed.

Abhijit: Yes, thank you so much. Despite a sharply higher salience of specialty chemicals this quarter, the gross margins still remain stable or moved up a little bit sequentially. So, is this coming primarily because of maybe higher realizations in HPP or a better regional mix in HPP, what might the reason be there?

Anish Ganatra: Yes, Abhijit. So you are looking at your consol minus standalone, and you are talking of NFSL, you are talking NFR, when you make that comment.

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Abhijit: No, I was looking at the consol gross margins.

Anish Ganatra: Yes, so consol gross margin captures both, it captures the pricing and the realizations that we have had on the HFC and HPP front. It captures also the optimization and manufacturing excellence piece I spoke shortly ago about into the specialty, into HPP as well, frankly. And also it captures the increased mix coming from CDMO. So, it is all three verticals actually contributing well. Even in the specialty vertical, the agrochem players are projecting a good outlook for volume growth in the coming years. Pricing pressure, we have always said, will remain part of this business. If you remember my early commentary, I told you how this shifts from being a lift, shift, adopt model to a lift, shift, adapt, embed model. And that is what the p

ower of the integrated teams comes into play

there, where you can bring R&D, manufacturing, business teams into defining how you can add value as a solution provider to your customers.

Abhijit: Thank you. Now just to clarify my question, maybe a little more detail. So, on a sequential basis, when I look at it, 2Q versus 3Q, HPP revenues and CDMO revenues are almost stable sequentially.

Specialty chemicals is the one that has driven pretty much all the growth. And one would have expected that the gross margins on specialty chemicals might have been lower compared to the rest

of the portfolio. Yet we see the gross margins are pretty much stable at the consol level. 58.8% versus 58.7%. So, I was just trying to understand whether there has been a margin improvement in any of the three verticals?. And if so, what might be driving that?

Anish Ganatra: Margin improvement has been, and CDMO has been in HPP, specialty has remained largely flat. But obviously, what you are seeing is, the operating leverage is also playing a big role in the earnings growth. And that one has to remember.

Abhijit: Yes, I was just referring to gross margins. So, I guess that would not count up?

Anish Ganatra: Yes.

Abhijit: Okay. So margins have improved in both CDMO as well as HPP?

Anish Ganatra: Yes.

Abhijit: Got it. And just on the domestic sales of R-32, are the margins superior to the international sales?

Anish Ganatra: No, not necessarily. I mean, we are having a good average realization across both markets. But I believe exports tends to be better than domestic.

Abhijit: Okay, got it. Thank you so much. All the best.

Moderator: The next question is from the line of Vivek from Morgan Stanley. Please proceed.

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Vivek: Hi, sir. Congratulations on fantastic set of numbers. Just on the margin front, given that all your manufacturing initiatives and the excellence that you have done are sustainable, are there any factors that you are monitoring that could pose some sort of a risk to these margins beyond the price and volatility that you previously flagged?

Anish Ganatra: So you are right. So the only issue, and I am sure you guys know it, the price of sulfur keeps increasing, the price of fluorspar is increasing. So, there are input costs that are going higher. And therefore, obviously, that is something that we monitor very closely. And we work in to make sure that our pricing decisions reflect this accurately well.

Vivek: Sure. I will join back in the queue. Thank you.

Moderator: The next question is from the line of Arun from Avendus Spark. Please proceed.

Arun: Good evening. Thanks for the opportunity. Anish bhai, my first question is once again on this specialty chemicals. Sequentially, we have delivered roughly Rs.120-130 crores growth. Is it safe to assume that mostly this is coming from the Nectar?

Anish Ganatra: This is coming from a combination of Nectar and other products in the pipeline where we have scale-up orders. So, it is a combination of the two. A good proportion, of course, is the Nectar project where we concluded a campaign.

Arun: And the ex-Nectar growth is from a catalogue same or from rather legacy assets?

Anish Ganatra: So I do not do anything that catalogue here. I am basically doing it as a service provider for the large majors anyway.

Arun: Okay. So this is largely from the large molecules that we are doing also?

Anish Ganatra: Yes. Because you remember, we had always talked about the fact that every quarter our intent is to do one or two new molecules in agchem. So that pipeline, which was anyway strong and being built up, is starting to sort of yield results.

Arun: Right. And when you said that agrochemicals, the volume outlook looks very good, and given that we have good capacity left, would we be seeking more volumes at the expense of margins because we are anyway good in margins at the consol level, should w

e expect that we be picking large market share to gain volume market share?

Anish Ganatra: So Arun, first, if I said it, I will stand corrected. I said, the outlook looks better, because if you look at it, the agchem sector has gone through some rough weather over the last two years, right? So the next year seems to be an outlook where people are saying, there will be a volume uptick. Now, how

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much that is? Frankly, I do not know at this stage. Is the pricing pressure always going to be in the agchem business? It is always going to be there. I do not think that that shift we have to all make in our minds. And like I said, that as Navin, we were possibly an early recognizers to that trend where we started to change the way we looked at our customers driving a portfolio-based conversation, focusing more on driving process improvements, etc., and therefore, becoming a long-term solution provider to our customers rather than just a mere supply chain contractor. So, I think that is intact. And I do not think that that strategy will change frankly.

Arun: Understood. And then when you earlier said that we should look at the margins at 30% plus or minus 200 bps. From current levels, at a downside risk, we are looking at a 400 bps reduction in the margins. And if at all that scenario were to play out, which products or segment would drive this down according to you?

Anish Ganatra: So, Arun, I am afraid it is not as linear as what you say. See, the current margins are a reflection of the product mix in the current quarter. Now, yes, if I had my wishful thinking that the product mix would be the same, the campaigns would be the same, the cost structures would be the same, I would

be exactly where you are. But that is not how life is, no? So, we have a campaign-driven mechanism where some products yield better margins, some product yields slightly lesser margins. So, what I am saying here is that on an annualized basis, we should look at Navin to hit roughly 30% EBITDA margins, plus/minus give or take whatever percentage points. But we should be nearer that number on an annualized basis and in the longer term. But not sort of quarterly run rates, etc., So that is all I am saying.

Arun: I understood, Anish bhai. Perhaps I will put it differently. Which segment do you think is at the risk of seeing margin reduction or which products, I mean, where you see, probably we are seeing the best of the pricing and probably we should be watching out for, that is where I am coming from?

Anish Ganatra: I do not think that is the right way to look at it. Because see, we have got three diversified businesses, three businesses with different market dynamics playing into it, and within those businesses, different campaigns yield different margins. So, are we kind of going to say that one margin goes up or down? It is a product mix play, man. So that will continue to be unfortunately the reality. That is all I can frankly say, Arun.

Arun: Okay. Understood.

Anish Ganatra: Sorry, while we are doing, I think Abhijit who had asked the question on R-32 realizations. I just stand corrected, our export realizations are better than the domestic ones. But I will just put that on the table.

Moderator: The next question is on the line of Sajan Kapoor from Antifragile Thinking. Please proceed.

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Sajan Kapoor: Yes, hi, thanks for the opportunity. I have only got one question. Sir, Navin has built a solid track record in high-value fluorochemicals over the decade and then also in CRAMS or CDMO. In your view, what separates the specialty chemical companies that kind of consistently grow and maintain leadership from those that remain subscale or lose relevance? In other words, you know, if a well-capitalized, competent new entrant attempts to build a Rs.1,000 crores specialty/CDMO business over time, where

might they struggle the most and why? Thank you.

Anish Ganatra: We are focused on ourselves, to be honest, and we are focused on growing in a disciplined manner, and frankly, we have put in a lot of effort over the last year and a half, two years to get this model right, and get it to a level where we can plug-and-play it so that eventually the growth opportunities can be secured, yes. But, maybe we can, Sajan, leave that for a separate conversation in a separate forum.

Sajan Kapoor: Sure. I will request one then. Thank you so much.

Moderator: The next question is from the line of Nirav from Anvil Wealth. Please proceed.

Nirav: Yes, sir. Thanks for the opportunity. Just one quick question. Sir, with respect to this EU deal where India and EU has entered into an FTA, is there any raw material which we are currently importing from EU where the duties are probably higher and which eventually could help us in bringing down our raw material cost? Because when I see our annual report, I think last year we imported close to around Rs.350 crores of imports. So that is a). And b), with this deal, have we become more opportunity in terms of getting more business from those geographies where the recent appreciation of Chinese currency and this removal of trade tariffs can enable us to better strengthen our position into those markets? Your views here, sir.

Anish Ganatra: So, I mean, in terms of RM imports from US or EU, very limited, if at all. I mean, in EU, we possibly do something from Turkey, but nothing beyond that, right? So, it is not that. In regard to your second question on whether these trade deals are positive and offer an opportunity, I think they definitely do. There is an absolute leverage that it provides us in terms of making us relatively competitive versus our peers in the region. So, there is no doubt about that. And I think beyond just the pricing side, one should look at these trade deals to effectively ease between geographies. And I think that is the bigger value in the long-term.

Nirav: Correct. And one more thing is, is it possible to share like last year we did something around Rs.2,380 crores of sale and in nine months also the amount was equivalent to that. So, have our exports to the EU gone up in between these years like FY25 and nine months of FY26, can you share your views here?

Anish Ganatra: I think you will definitely find exports going up because, if you are growing at the rate that we are, every geography will supply more and also we will expand into newer geographies. But, our growth

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engine and as you know in this industry, it is an infrastructure-led growth. So, every time we announce a CAPEX, we indicate the path, you guys know the customer. So, it is pretty easy to figure out where the material is going and how it is going. But definitely there would be increase because we have added the Nectar plant as we were talking earlier on the call and a lot of those supplies get into EU. So, you will definitely find those scenarios changing.

Nirav: Got it, sir. Thank you so much.

Moderator: The next question is from the line of Archit Joshi from Nuvama. Please proceed.

Archit Joshi: Hi, good evening, sir. And thanks a lot for the opportunity and congrats on a great set of numbers. So just one question on CDMO. I think the MSA that you have signed with the first EU major, the final product of which continues to access newer geographies with the approvals and countries like China and is as recent as a week ago. Now, should that warrant for a market share to increase over a mid-term time frame, or the projections made for the final product are something that already are baked into what we expect as cGMP4 ramps up? One smaller, a different question to that. We have also spoken of another EU major where possibly future shipments can also ramp up and help us get closer to the \$100 million mark in CDMO.

Any developments that you would like to give us

qualitatively to understand this better, the path of CDMO growth in the future. Thank you.

Anish Ganatra: Sure, Archit. I think CDMO is seeing some significant and good deal wins. I mean, as you talked about the MSA with the European major, where the molecule is continuously seeing product extensions and expansions, you will see that we will be in a position to fully utilize our capacity in the coming year itself, which is a dedicated plant for that. And also, as we have mentioned in our commentary and the slides, with CDMO, I think now we have a solid balance of early and late-stage to commercial molecules. If I remember correctly, it is largely a 50-50 split, which is a great place to be in because every late and commercial stage molecule that we are working on, has the potential to quickly convert into revenues, depending on readouts, etc., But I think with the balanced portfolio that we have and the growth in the underlying European MSA, we are inching closer and closer to that aspirational number.

Archit Joshi: Sure, sir, got it. Sir, just the second part of my question is about the readout. I think you briefly touched upon that. Would there be anything more that we would like to know about it, or given where are we headed to, is there a solid expectation coming on that account as well, which will probably be another feather in our cap, second CDMO contract? So all ears on that, sir.

Anish Ganatra: Yes, so again, like I said, the balanced molecules that we are talking about late and commercial, including the EU major you are talking about, there is more than one molecule that we are expecting a readout coming in the year. And therefore, is a good, good potential to access that growth opportunity. There is no doubt about that.

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Archit Joshi: Got it, sir. All the best for that and the rest of the coming quarters. Thank you.

Moderator: Due to time constraint, that was the last question. On behalf of Navin Fluorine International Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Anish Ganatra: Thank you.

Call: May 2026

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May 04 2026

BSE Limited
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Dalal Street, Fort,
Mumbai 400001
Scrip Code: 532504 National Stock Exchange of India Limited
Exchange Plaza,
Bandra Kurla Complex, Bandra (East),
Mumbai 400051
Symbol: NAVINFLUOR

Dear Sir / Madam,

Sub.: Transcript of Earnings Call held for the quarter & financial year ended March 31, 2026

Pursuant to Regulation 30 read with Schedule III of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the Company's Earnings Call held on April 29, 2026 regarding discussion on operational and financial performance for the quarter & financial year ended March 31, 2026 (Q4 & FY 2025-26) is enclosed herewith.

This intimation is also being made available on the Company's website at www.nfil.in.

Request you to take this intimation on record.

Thanking You,

Yours faithfully,
For NAVIN FLUORINE INTERNATIONAL LIMITED

Niraj B. Mankad
President Legal and Company Secretary

Encl.: a/a

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"Navin Fluorine International Limited
Q4 FY26 Earnings Conference Call"
April 29, 2026

MANAGEMENT : MR. VISHAD MAFATLAL – CHAIRMAN – NAVIN
FLUORINE INTERNATIONAL LIMITED
MR. NITIN KULKARNI – MANAGING DIRECTOR –
NAVIN FLUORINE INTERNATIONAL LIMITED
MR. ANISH GANATRA – CHIEF FINANCIAL OFFICER –
NAVIN FLUORINE INTERNATIONAL LIMITED
MS. PAYAL DAVE – MUFG INTIME - INVESTOR
RELATIONS ADVISOR

MODERATOR : MS. POOJA SWAMI – MUFG INTIME

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Moderator: Ladies and gentlemen, good day and welcome to the Navin Fluorine International Limited Conference Call hosted by MUFG. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. I now hand the conference over to Ms. Pooja Swami from MUFG. Thank you and over to you, ma'am. Please proceed.

Pooja Swami: Thank you, Shailendra. Good evening, everyone, and welcome to Q4 and FY26 Earnings Conference Call of Navin Fluorine International Limited. Today on the call, we have with us Mr. Vishad Mafatlal, Chairman; Mr. Nitin Kulkarni, Managing Director and Mr. Anish Ganatra, Chief Financial Officer.

Before we proceed with the call, I would like to mention that this call will contain forward-looking statements about the company, which are completely based on beliefs, opinions and expectations as of today. Actual results may differ materially. These statements are not the guarantee of our future performance and involve risks and uncertainties that are difficult to predict. A detailed safe harbor statement is given on Page 2 of the investor presentation of the company, which is uploaded on stock exchanges and on the company's website. With this, I hand over the call to Mr. Vishad Mafatlal for his opening remarks. Thank you, and over to you, sir.

Vishad Mafatlal: Good evening, everyone, and a warm welcome to Navin Fluorine International Limited's Quarter 4 and Full Year FY26 Earnings Call. I am joined today by our MD, Mr. Nitin Kulkarni; our CFO, Mr. Anish Ganatra; along with Ms. Payal Dave, our Investor Relations Advisor from MUFG Intime.

FY26 has been a resilient year for Navin Fluorine, marked by strong delivery despite a challenging global environment and geopolitical uncertainties. By staying focused on our long-term priorities and leveraging capabilities, we remain committed to navigating these uncertainties with discipline and agility.

I am pleased to report that the company has delivered 6 consecutive quarters of revenue and profitability growth, reflecting the strength of our business ethos, consistent execution and sustained demand across key segments. This momentum underscores management's focus on disciplined growth, market expansion and long-term value creation for our stakeholders.

I am glad to inform you that the Board in today's meeting has declared a final dividend of INR8.6 per equity share, 430% of the face value of INR2 per share. The growth in this fiscal is supported by contribution across the business verticals, led by structural demand drivers and constructive pricing environment. This diversification across products, customers and geographies remains central to Navin Fluorine's long-term strategy.

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Our strong balance sheet continues to provide flexibility, while our robust order book across verticals underscore the confidence our customers place in us. With proven capabilities and operational efficiencies, we believe that innovation-led companies like us are best positioned to capture long-term growth.

As we look ahead to the new financial year, we see commissioning and ramping up of additional HFC capacities of 32 MPP and the upcoming Chemours project. These projects will transition from investment phase to revenue generation in this year. We will continue to focus on a balance of product and service play with emphasis on niche chemistries to drive differentiated growth and value creation.

We will continue to deepen and broaden our customer relationships across geographies. We will maintain a strong balance sheet with continued focus on capital allocation to deliver long-term

shareholder value. I would like to thank our customers for trusting us, our employees whose dedication has made every achievement possible, our Board for their continuous guidance and our shareholders for believing in us.

With this, I will now hand over the call to Nitin to take you through the operational and segment-wise performance in more detail. Thank you.

Nitin Kulkarni: Thank you, Vishad bhai, and good evening, everyone. Let me walk you through the segmental performance and key operational developments. I'm pleased to share that we have reported a growth of more than 2x in EBITDA and PAT for the year. Across all three business verticals, our performance is a continuation of operating momentum and execution discipline. Starting with our HPP business. Quarter 4 FY26 revenue grew 20% year-on-year at INR393 crores, driven by improved realization and volume growth. Our AHF plant was successfully commissioned and commercial supplies have commenced during the last quarter. Our additional HFC capacity expansion equivalent to 15,000 metric tons per annum of R32 remains on track for commissioning in quarter 3 FY27. The HPP business continues to benefit from a constructive global demand-supply environment, increasing adoption of low GWP refrigerants and export opportunities.

Moving to Specialty Chemicals vertical. Q4 FY26 revenue grew 39% year-on-year at INR360 crores, reflecting strong execution in both existing and new molecules. We continue to see scale up in ongoing products supported by customer confidence and long-term contracts. Our Dahej MPP debottlenecking capex is progressing well and is targeted for commissioning in quarter 3 FY27. The Chemours project is on track and expected to be completed by end June, early July. Importantly, Specialty Chemicals growth is backed by order visibility and a robust pipeline for FY27.

Turning to CDMO business. Quarter 4 FY26 revenue grew by 61% year-on-year to INR186 crores. This growth was driven by balanced mix of early, late-stage and commercial molecules

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across therapeutic areas such as oncology, respiratory, cardiovascular, neurology and animal health.

To sum up, FY26 has reinforced our belief in the strength of Navin Fluorine's integrated platforms. Our near-term priorities are efficient execution of announced capex and improving return ratios while scaling growth. Before concluding, I would like to take a minute to address the current geopolitical environment. We are closely monitoring and navigating the developments with agility, particularly given implications on energy prices, logistics and supply chain disruptions. With that, I would like to hand over the call to Anish for his remarks.

Anish Ganatra: Thank you, Nitin. Good evening all, and I welcome you all to the earnings call. Moving on to the financial performance of the company in Q4 and FY26.

Let me begin with the financial highlights for the quarter ended March 31. Consolidated revenue stood at INR938 crores, registering a 34% year-on-year growth. Operating EBITDA increased 80% year-on-year to INR321 crores with margins expanding to 34.2%. Operating PBT grew 118% year-on-year to INR251 crores. Profit after tax stood at INR213 crores, reflecting a growth of 124%.

For the full year FY26, net operating revenues grew to INR3,314 crores, reflecting a growth of 41%, supported by broad-based momentum across specialty chemicals, CDMO and HPP.

Operating EBITDA more than doubled to INR1,082 crores with margins at 32.6%, an expansion of 992 basis points, reflecting a favorable mix and operating leverage. Operating PBT grew 142% year-on-year to INR815 crores as against INR336 crores in the last – FY '25. Profit after tax stood at INR664 crores as against INR289 crores.

Our net working capital days have improved to 74 days versus 90 days, reflecting a stronger operational efficiency and better conversio

n cycle. Going forward, the net working capital is expected to be in the range of 75 to 80 days versus our previous indicative guidance of 90 days of sales. As of 31 March 2026, our net debt to equity stood at 0.01x negligible, while both ROE and ROCE improved at 20% and 21%, respectively.

Thank you, and we can now open the floor for question and answers.

Moderator: The first question is from the line of Sanjesh Jain from ICICI Securities.

Sanjesh Jain: I got a few questions. Let me start with the Middle East, right now, I've two questions there.

First from the availability of raw material, including but not limited to, sulfur and methanol. At which station it's challenge of achieving raw material availability the forward contracts are not return or suppliers are not been formed?

How is the situation there because it's against pretty volatile and uncertain And related question is on the inflation of the raw material. We have been maintaining a 45 days inventory sale-

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throughs probably of better March and April, but we should be hitting a level where inventories now completely depleted.

That means so necessitates the increased pricing to the contracts which we are working and spot prices probably adjust much faster, but how should we think about the passing on inflation on the contracts like HFO, agro chemical and CDMO? That's number one. Number two, on the refrigerant gas.

There is a notification which government has put up and now I think the plant can come up until 2027 and there could be a situation where the competition was not earlier looking to add- the capacity – significantly add the capacity. In '27, probably we are eyeing a capacity now in excess of 1,20,00 metric tons in India and that situation is very different and what we were earlier hoping for CY26. Now does it changes the scenario for filing because in our presentation we are talking of a revenue potential from R32 the tune of INR600 crores to INR825 crores.

So at lower end, we are looking at a price which is INR400 crores, probably half of the price what currently it is trading at. So why do you think you're looking at INR400 crores as a bottom pricing. Thus particular number [inaudible 0:13:23] probably on the margin. We appreciate that you have been calling out margin benefit coming from currency, but can you help us with the number, volumes, margin benefit which are coming purely from the currency? These are my initial question?

Anish Ganatra: Sorry, Sanjesh, can you repeat your question on margin?

Sanjesh Jain: So we have been calling out benefits because of the currency depreciation, which is adding to the margin of 34%. Now what is the margin benefit purely coming from the forex?

Anish Ganatra: Okay. So you've got a couple of questions. Thanks again. Starting from your comment on the Middle East situation and the availability of raw material. See, again, as we all know, the situation continues to remain volatile. As we mentioned before, our focus is on ensuring that we remain sort of vigilant to this focus the efforts of the management with a lot of discipline and at the same time, maintain agility in how we respond.

So to be honest, this in some ways, feels like the COVID days, where you had a call every day morning with the leadership and you would sort of look at what's happening in the market and how you sort of mitigate any events. So far, we have not seen any disruption. We have seen inflation go through.

But fortunately, we've also been able to pass on a lot of these back to the customers. There could be some lag effect. But other than that, we are pretty confident of passing on the price increases to the finished product, yes. So we don't see a material risk, say, for what may happen tomorrow, I don't know, yes. But as we talk now, we don't see a material risk coming from there.

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On your question on inflation and inventory depletion, we are maintaining healthy level of stocks. So far, we've not had a situation where we've not been able to get materials. Yes, the pricing has gone up, and that is kind of universally known. But we've not had a situation where we've had to shut anything down for want of raw materials or anything like that. And customer demand has remained robust during this period, yes.

Sanjesh Jain: There is no demand disruption because of inflation is what we are telling or just a restocking demand anticipating an inflation?

Anish Ganatra: So in fact, I mean, post the situation, there may be further restocking demand that will come up because there will be some pent up thing that will open up one situation improves. But currently, we are not seeing any destruction of demand in our numbers as we speak now as well, right?

Now your point on refrigerant gas notification, '27 as the asset for bringing any new capacities. I mean, that notification still doesn't change the position on the quota, yes.

And you should remember that quota is only going to be available as aligned with the Kigali protocol, which is '24, '25, '26 average production and 65% of your GWP or HCFC of 2009 and '10, right? So that doesn't change. And while we can bring in capacity, I think the key question is, is the quota available or not to anybody bringing in those capacities, Margin, sorry, do you have,

Sanjesh Jain: No, just related question on ref gas. Is it clear from the government side that the R22 quota which company had only that company will be eligible and redistribute the R22 quota on a pro rata basis. Do we have that clarity?

Anish Ganatra: So I think, Sanjesh, I mean, again, our understanding of the Kigali rules, our understanding of how this is meant to play out clearly indicates that you must have a right to win in this. So your right to win comes from the quota that you have. And that's exactly what we've always been saying and which is why we put our capacity to consume our quota fully.

Yes, on the number specification, I mean, I know you said there is a currency tailwind, and there is a currency tailwind. If you analyze the currency tailwind with the inflation figures that you

know, you will find that a lot of this is a wash between currency and inflation. And what we are now seeing in terms of the growth of the EBITDA.

I think it's about 990 basis points from FY to FY, you will see 70% of that for Navin is coming from our capacities coming on the ground, our volumes going up and 30% is coming from affirmative actions on pricing that we've taken. This sort of -- I mean, I was reading something, but this basically implies that Navin's sort of operating leverage is meeting its capacity. That's essentially what's happening out here.

Sanjesh Jain: Very clear. Okay. Two related further questions. One on agrochemical application is pretty weak, are we seeing that play out for us in FY27? And second, can you help us with CDMO late-stage contract, how many are we working? One we know it's commercial with the European Navin Fluorine International Limited
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clients. But we have supplied two clients, if I remember, one in the Europe and one in the U.S. on the commercial. Can you throw some light on late-stage contract we have in our pipeline? And how should we see them becoming commercial for us?

Anish Ganatra: Yes. So on agrochemical, again, I mean, if you look at the global scenario, there is a slow sort of reset happening. You're seeing some indication of volume recovery. Pricing is always going to be lagging that. I think all of us understand. And Navin sort of, as we said before, our strategy was to work on newer molecules, etcetera, from a longer-term point of view. If you look at FY26, we have done in all, I believe, close to about 13 new molecules during the year. And that, along

with the demand sort of resurfacing gives us enough confidence to say that as we look into FY27, we have visibility almost up to about 80% of our capacity utilization. So I think we are well covered for FY27. And as we move into 2027, we'll get further clarity on how this is reshaping into '28 and beyond. In terms of CDMO late stage, early stage, I mean, we have a healthy balance of mix. I mean if I was to tell you in terms of number of molecules, I think we are working close to about 50, 55 molecules, half of them being in late-stage commercial and half of them being in early stages.

So there's a very healthy balanced portfolio there. As we look into coming into our FY27 number that we've always said of \$100 million, this number that we've delivered this year of INR541 crores is again a solid sort of journey to kind of get to where we want to get to by FY27. And like I said before, we have been inching closer to it.

With this quarter, we further inched closer to that number. So there is very good confidence that we will push for hitting the number, and we'll see where we get to at the end of the year. There is a lot of work happening on the commercial molecules as well. And we've indicated broadly the therapeutic areas that we talked about on the slide. If you see it oncology, if I remember, neurology, cardiovascular, animal health. So in all of these areas, we are playing in sort of a good balance, frankly. So very confident on the CDMO growth stage.

Moderator: We have next question from Naushad Choudhary from Aditya Birla Mutual Fund.

Naushad Choudhary: First on the Chemours project, assuming it goes well, what kind of capex it can trigger? And by when we can have some visibility that it should go in the favor of...

Anish Ganatra: Okay. So Chemours, I mean, again, we've already said the project is on track for commissioning end of June, early July. And as I have stated previously, this is the initial capacities to accelerate adoption in the market. As we move to that over the next sort of 18 months, we get a better understanding of what that market size looks like. And accordingly, there will be a capex that will be rolled on the back of that understanding.

Premature to talk what it will be today. But I think it's fair to assume that we are the only manufacturing site for Chemours given the nature of the product that it is essential to support Navin Fluorine International Limited
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the AI growth in the -- that we are seeing around us and the unique benefits of the product, it should be a reasonable one.

Naushad Choudhary: Okay. Second, on the pricing side.

Anish Ganatra: Can you speak a bit louder, if you don't mind, Naushad?

Naushad Choudhary: Second, on the pricing side, especially on the Fermion and other portfolio as well. So apart from the rest, which all portfolios you're seeing price uptick? And what is your near-term outlook there? And what is the -- when is the price revision expected in the Fermion portfolio?

Anish Ganatra: Yes. I don't know what's driving that question, Naushad. But I mean, Fermion opportunity is quite publicly known because it is published both by Orion as well as Bayer and I would encourage you to have a look at it actually. But the last I remember, it's about \$5 billion peak

sales in '28 or '29.

And like we said, we are very firm believers of the projections that Fermion and has shared with us, and there is solid growth momentum to come on that as we look into the future. Pricing and all, I don't know where the question is coming from. If you have a particular point on pricing, I would request you to elaborate on it.

Naushad Choudhary: See, it's been 2 years to this contract and we have scaled it up. I was just thinking should we keep working on the initial pricing, which you would have contracted? Or would there be any point where the price revision would trigger because your scale and volume is going

up in this particular project?

Anish Ganatra: I will leave you to your judgment. These are commercial things we deal with it, but it's not something we can talk on any sort of forum outside the company.

Moderator: Next question is from the line of Rohit Nagraj from 360 ONE Capital.

Rohit Nagraj: Congrats on strong set of numbers. First question, unfortunately, on the pricing part, given that there is a raw material price inflation and some of our contracts for HFO as well as for CDMO would be calendar year contracts. So will there be a price rejig or passed on immediately? Or will it be a transitory phase that for a couple of months, we'll be charging their previous price and then maybe a couple of months later, the newer price incorporating the higher raw material cost?

Anish Ganatra: Thanks, Rohit. I mean, Rohit, see, the pricing and RM price inflation, et cetera, these different contracts cover it in different ways from a commercial standpoint. Obviously, we have both a product play and a service play. In service play, typically, you have pass-through mechanisms. So this will fall into that pass-through mechanism.

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Now how and what we are doing to accelerate that recovery is something that is being worked upon discussed, but it's not a surprise to both us and our customers about the price rises. So there is a good reception to that. The second question on -- what was the second thing you said transitory months or something around -- I think I answered that, right?

Rohit Nagraj: The second question is slightly on R32 in terms of broader structure in the domestic market. So what is our understanding in terms of the current consumption of R32? And given that the new capacities, even if we don't consider the ones who don't have quota and we are adding, there is another player who has got quota and they will be adding, How this incremental volumes, which is coming into play will be placed? And will it -- again, unfortunately, I'm asking the same question again in terms of pricing, will there be any impact given that these additional capacities will come on stream?

Anish Ganatra: So R32, again, I think we've gone through this several times, but you have to look at the overall GWP cuts that are happening in the world and the blend play that R32 is uniquely positioned to be in. And that drives the pricing conversation. I mean, if I remember correctly, China prices currently are close to about \$9, yes. So there is a significant sort of reason why they are stronger and getting stronger as we speak, okay?

So one has to read into those dynamics. The point about -- I think it was Sanjesh who had asked and maybe I didn't address it at that point in time. But there was a question on the par range that we've given, \$600 to \$875. Frankly, as part of our investment approach that we take to the Board, we always present a downside case to.

So we've only translated that in full transparency to how we've reported to the market. It's a downside case that we always do more as a math rather than our belief. And our belief is really driven by the demand supply dynamics, which, again, I've said this before also that the first R32 capacity came in when prices were sub \$2. And if the economics stood then they used to stand now, yes.

Rohit Nagraj: Yes. Just one clarification on the numbers front. Our employee benefit expenses have been up only 4% on a Y-o-Y basis, and there has been a significant scale up in terms of operations. So will it be normalized during FY27, maybe inflation adjusted plus the newer capacities coming on stream, which earlier probably were capitalized in the capex?

Anish Ganatra: So I think when we started the year or some point in last year, and I think it is again a lot of the analysts asking us the question where our employee cost was, I think, 12%, 13% of sales. And we took some affirmative actions

to bring it down. So what you see in the numbers is they look almost flatish, but those reflect typical increments.

They both reflect typical sort of new joiners coming in and those also reflect the affirmative actions taken by management to optimize, right? So that's a combination of all. I think we are done with the optimization where we are. So going forward, you will see the increase largely.

You will see the normal increase coming, yes, the normal increase. But I think if you had to put your model in, I would model it in the range of between 7.5%, 8.5%, 9%, not more than that. We're very careful on maintaining it in that threshold.

Moderator: We have next question from Vivek Rajamani from Morgan Stanley.

Vivek Rajamani: Congratulations on the strong finish. Just wanted to get a sense with respect to the customer conversations that you're having. Do you get a sense that you could move to increased restocking on a more sustainable basis with customers potentially building up more buffers versus the just-in-time sentiment that we've got used to for the last couple of years. And just with respect to agrochemicals, given the dislocations that we've seen in fertilizers and obviously, we don't know how the situation will resolve itself, do you see any risk of that flowing into potential offtakes for some of the agchem products?

Anish Ganatra: So, Vivek, see, our portfolio on agchem is mainly export-driven, right? And as you know, in the export-driven, you start getting solid visibility before the end of the calendar year. And that visibility translates into orders, which then translates into deliveries. We are not seeing any disruption on that front.

I mean, to be honest, everybody will be managing the supply chain disruption, how they do it, frankly, this is not something that they would share with us in our customer interactions. But we have definitely not seen any demand disruption as yet in terms of -- if that's where you were going with it.

Vivek Rajamani: Sure, sir. No, it's actually going the other way where you could see more restocking potentially with what's happened, not specifically on demand destruction?

Anish Ganatra: No. So as I said, see, the ag market, and we've always maintained this that fundamentally that market has structurally good demand in the long term. In the near-term, it's going through a reset and it's going through a reset in a slow manner. So you are seeing some volume increases and prices are kind of still sort of subdued. But my understanding and my expectation is that, as we go through the year, you will see price rises lesser than volume increase. So it's going to look like flattish in terms of price rises, but that's where we are, to be honest. Beyond that, I don't think I have much to add.

Moderator: The next question is from the line of Ankur Periwal from Axis Capital.

Ankur Periwal: Congratulations on a good set of numbers. First question on the CDMO bit. Just sort of trying to understand the growth outlook better. So one, have we expanded our capabilities on the CDMO side versus, let's say, maybe 10 months back? Or is it largely the same? And the related part here, how has the revenue mix changed between the late-stage molecules and the early stage molecules for us?

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Anish Ganatra: So capability expanded certainly the case. If you mean capability through acquisition of new technology, etcetera, no, not yet. We have definitely expanded our capability because every therapeutic area that we stated out there is an area where we are actively working on molecules, some in commercial stage, some in early stages.

I mean, to be honest, when you're looking for a revenue mix between early and late stage, you should look at more at the number of molecules because commercial molecules will te

nd to have

a larger footprint in terms of the value. So like I said, therefore, we have got about 50%, 50% and close to about 55, 60 molecules that we are actively working as we speak.

Ankur Periwal: Sure. Okay. Because this molecule number has been largely consistent the last 2, 3 years around that 50, 55-odd number. So this is what I was referring to from a revenue perspective.

Anish Ganatra: No. So the molecules on commercial side, you're right because it takes long time to sort of go through the cycles, which you're aware of. The early stages is campaign-driven largely and they keep moving. But our sort of endeavor is to kind of hold it at a good balance, and that's why you probably see the numbers like that.

Ankur Periwal: Sure, Anish. And just second, more of a bookkeeping clarification there?

Anish Ganatra: Ankur finish off, let him finish off. Maybe next time -- the next one.

Moderator: I think he has joined back the queue. We have next question from Jason Soans from IDBI Capital.

Jason Soans: Sir, just wanted to know, I mean, you have grown really phenomenally well in the Specialty Chemicals segment as well as the HPP segment as well for this year, growth in excess of 35% and 45%. Now I just wanted to know from this higher base when you look into the next year,

FY27, regarding -- I know you gave a lot of color on the agchem side as well. Just wanted to know, can we kind of clock in high double-digit revenue growth for both these segments going ahead in FY27?

Anish Ganatra: So, Jason, I think I've given -- apart from just not giving you the specific number, but let me sort of reiterate the growth blocks going into FY27. If you look at it, we've said the HF plant has already been commissioned. It was commissioned in February. So you should see the revenues for that kicking into FY '28. You should see the revenues for Nectar that we've talked about, the dedicated the fluorochemical plant.

And we've always said that our endeavor would be to be around 50%, 60% capacity utilization this year. That would go to about 70%, 75% in the coming year. You would see the new sort of capex is coming on stream, the debottlenecking and we've again given you the par for that and the time line for that. We've given you R32 and the time line for that. And again, you can model your numbers from what you have as an available data from the market.

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You start putting all this together, and obviously, we've talked about the Chemours project as well. cGMP4 was commissioned last quarter again, and you would see that or December, if I'm not mistaken. And you will see the revenue sort of kicking in this year to again from that point of view. Fermion growth is very solid. So again, you can factor in those numbers, too. So you will have enough to see the trajectory of this growth. And I would be surprised if it's not double-digit, but I'm happy to clarify if it is not separately.

Jason Soans: Sure. And just one question. I wanted to understand with the Middle East crisis going on, any impact you saw in terms of ref gas volumes from that region -- for that region?

Anish Ganatra: So Middle East, frankly, we -- our export footprint is very little, mainly the R22 gases and those haven't gone in March. And they are still in the schedule, but not yet gone in yet. To be honest, we are working on numbers for Q1, excluding the Middle East movement at all. So if any of that comes in, it will be an upside. But the demand across the globe is pretty robust and also no logistics issues on that front.

Moderator: The next question is from the line of Sucrit Patil from Eyesight Fintrade Private Limited.

Sucrit Patil: I have 2 questions. My first question to Mr. Partha is a forward-looking one. How are you positioning Navin Fluorine to capture the evolving demand in specialty fluorochemicals and the CDMO space while mitigating risk from

global regulatory changes and raw material volatility?

And what strategic levers will differentiate the company from its peers in the coming quarters?

That's the first question. I have ask my second question after this?

Anish Ganatra: Sorry, who did you direct your question to?

Sucrit Patil: Mr. Roy?

Anish Ganatra: We don't have any Roy, you'll have to wait forever. No, let me answer that anyway. Let me answer that. So it's Anish here. So on the agchem front. See, again, we have a service play and in the service play, we work with global innovators. So frankly, their regulatory risks of the intermediates we supply to them are managed by them. We are working on some new innovation -- innovator molecules, which are part of the strategic pipeline of these global innovators. So I would suspect there is not any sort of issue over there. Sorry, did I lose you? I was just kidding.

Moderator: Sir, he is right now off the queue?

Anish Ganatra: Okay.

Moderator: We have next question from Arun Prasath from Avendus Spark.

Arun Prasath: A couple of questions. First is, you talk about demand -- you are not seeing any kind of a disruption. But I'm sure you would agree that there are two parts to this. One is -- one set of customers would be restocking and second set of customers, maybe they may be a little bit going

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slow and maybe we want to wait and watch. So your read on the demand situation, is it more because that some of these customers are restocking and probably the issues with respect to demand on the higher prices, will it come with a lag? Is that the right way to look at our business at this point of time?

Anish Ganatra: So, the way I would look at it, I mean, if I look at '28 and the order visibility, we've talked about coming to 80% utilization that -- sorry, Arun. Yes. So what I was saying was if you look at the visibility we've talked about on FY28 in the agro specialty, I mean, frankly, the capacity utilization at 80% is probably as best as one would go in an MPP environment.

And then doing 13 new molecules last year and sort of working that through in the coming year,

we don't see what you are saying some destocking, some not destocking. All -- I mean, frankly, the way it manifests for us is in the order visibility and in the order books, and that continues to be solid.

Arun Prasath: Of course, I'm sure for your pharma category would be relatively insulated?

Anish Ganatra: No, I'm talking of Agro. I'm talking of agro. I'm talking of agro. Pharma, again, I -- frankly, you guys will know far more than I do because Fermion numbers are out there. And -- so you will see the growth they are seeing annually, year-on-year as well as the peak projections as well as the further label extensions that we are working on.

Arun Prasath: Anish bhai, outside pharma and agro, which categories you would say that at a risk because higher prices eventually lead to the demand destruction at a later stage, not long-term, but at least one or two quarters, there will be a demand destruction. So can you call out some categories where probably [inaudible 0:42:38]

Anish Ganatra: This is an economic question of theory, but there are several articles, one can read that, but at \$150 sustained oil prices, I think there is a concern that the global demand may slow. But today, we are not seeing that. We can't factor that. What we are doing today is making sure that we are resilient.

We are working hard at what we can do. We maintain our discipline. And frankly, in this environment, we maintain significant agility as well to respond to situations as they arise, right? That's what we can do. And that actually will prepare us in the best possible way to whatever is thrown at us. That's our focus.

Arun Prasath: No, no. I understood, Anish bhai. What I'm asking is, what category we should be looking out for outside the categ

ory -- outside the pharma and ag growth? Because as an outsider, we do not have much insight what's happening on.

Anish Ganatra: Arun, it's very simple at \$150, if there is demand disruption, you will see interest rates, inflation, everything go haywire. That will be a global scenario of slowdown, and I'm sure you're reading the world reports from the World Economic Forum, et cetera, et cetera. But that's not something Navin Fluorine International Limited

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I am planning on. That's not something in my gift to control. So as management, we are doing what is within our gift of influence, what is within our gift of control.

Arun Prasath: Understood. And on the forex benefits you spoke earlier, there are 2 costs associated for you. One is the dollar-denominated cost and another is the rupee-based cost. So is it fair to assume when the contract goes for the renewal, customers will not be -- would be negotiating only to the extent your rupee cost will not be repriced to the same extent?

Anish Ganatra: Commercial negotiations are never linear. So you can't have one attribute and you relate that to another attribute. I mean, these are holistic contracts where you would look at everything, how a contract is structured, how you would sort of attempt the risks of inflation. I mean if you want to do a rupee-based contract, well, then you will have to take inflation in your side, right? So there are several cuts and nuances to it, and it's not a subject I think we can cover.

Arun Prasath: Understood. Sir, one final bookkeeping question. HPP segment, sequentially, there is a revenue decline. One would expect that with the AHF plant scaling up and the better pricing?

Anish Ganatra: Arun, can you repeat? Where do you see -- I just heard the word decline?

Arun Prasath: HPP segment Q-o-Q decline, sir. Sequentially, not Y-o-Y.

Anish Ganatra: Yes, yes. That is okay, okay. That you're talking of Q3 to Q4, right? So these are things in terms of -- every of these plants have planned shutdowns, right? And we had taken a planned shutdown in our Q4, and we also took an opportunistic exercise to recharge the catalyst in one of our plants. This is ahead of the heat season to maximize the value in quarter 1 of this year. So that's just normal routine activity. Yes plus Middle East, obviously, as you know and I've said this before that we had no shipments in the Middle East, which was close to about INR15 crores to INR16-odd crores.

Arun Prasath: Any quantification possible for a shutdown.

Moderator: Arun Prasath I will request you to restrict two questions per participant, sir. Please rejoin the queue. Thank you. We have next question from Keyur Pandya from ICICI Prudential Life Insurance Limited. Please go ahead.

Keyur Pandya: Sir, two questions on the HPP side. So first, the Honeywell contract, I mean, we have always talked about, annual some quantum. So have we any scope for growth or expansion from current levels both in Honeywell and in our current R32 plant? So just wanted to understand before the new R32 plant, what growth levers do we have in the HPP? That is first question?

Anish Ganatra: Okay. So before -- on the growth levers in HPP, I'm sure you should certainly count the growth coming in from HF plant, which is already commissioned. In terms of your question on

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Honeywell contract, I mean, that HFO has applications primarily in the construction area, but also ancillary applications in the refrigerant cooling space, too. And whatever we are doing on demand today, it is at an 80% capacity, as I've told you before. So there is room to expand within that same capacity by another 20%. I mean that's nothing new that I'm saying today. But it's been something we've always been telling you guys. What was the other question? You had something on 32.

Keyur Pandya: So basically, the qu

estion was growth levers ahead of new plants. You mentioned Honeywell additional 20% and ASF, right?

Anish Ganatra: No, no, no. No, I didn't say ahead of 32 plant. I said there is opportunity to grow that at some point whenever that demand comes through. Today, we are at 80% size. Before that, you should certainly count in the HF capacity and the growth coming -- and 32 will come in on time, as we've said that before.

Keyur Pandya: Okay. And second question on the segment -- I mean, specialty chemicals. There for this project Nectar, I think there are some change in the product from the client. So now under the new scope, what is the visibility we have for merchant sales, which I mean outside the contracted volumes?

Anish Ganatra: So the contracted volumes are fully covered. The additional molecule actually gives better risk management to that plant. We have also made shipments outside of the contracted revenues for qualification. Those qualifications are under progress. Besides, there are also possible downstream applications of that product that we are working on. So we're not duly concerned about utilization. Yes, it has been -- we would have liked to have a full utilization by end of FY28, which would be the 2 years. But I think we are realistically talking about 75% to 80% is where we will get to by end of FY28.

Keyur Pandya: Okay. And just lastly overall property.

Moderator: Thank you, sir. Mr. Keyur Pandya I am really sir please restrict your question to two questions per participant.

Keyur Pandya: No. Thank you.

Moderator: Okay. Thank you. Please rejoin the queue. We have next question from Mr. Abhijit Akella from Kotak Securities.

Abhijit Akella: Sir, first question on the margins. So the gross margins this quarter are stable on a sequential basis, 58% odd, even though the CDMO business has ramped up substantially on a sequential basis. So just sort of trying to understand what the dynamics are there would expect normally the margins have expanded a little bit more?

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Anish Ganatra: No. So margin expansion in a diversified business is linked, not just between business mixes, but also the portfolios that you play within each vertical. Specialty has different molecules. This has different molecules. So there's both an intra business play and an interbusiness play, yes. So you should factor in both. It's sort of a combination of both that results in that number. So it wouldn't be fair to just take one equation and jump to that conclusion. It would depend on what product we've done this quarter versus what we did last quarter. And like I said before, there were 13 molecules we did in FY26 in the specialty business, three of them were done in quarter 4.

Abhijit Akella: Okay. And the other one was just with regard to the margin guidance for FY27 in the context of this inflationary environment. So is 30% still a good benchmark to work with? That was one.

And just the other quick thing from my side. The HPP vertical seems to have shifted markedly towards India in the past two quarters in terms of sales. So what might be driving that?

Anish Ganatra: So to answer your first question on the margin guidance, I mean, we've always maintained that we will endeavor to do 30%. Given what we know today of the business circumstances, plus/minus 1% to 2%, which we've always said, yes. So that we will hold for the whole year. This is not a quarter number, and we've always maintained that you should look at the margins from a full year perspective. Yes.

Your question on HPP sales shifted to India. Actually, HPP has had a bigger shift, and that one needs to understand that it was a business that we were doing in the range of about 250, 300 now that per quarter. Now that has moved to clearly in the 400 mark. And in the coming year, with the new R32 capacities, HF capacities, that will further go up in terms

of contribution.

As you increase your profile in this fashion, your customer base is going to change. So you

should look at the increase in India. Obviously, we've done R32 contracts in India. Obviously, we've done global reach. If you look at the export data, you will see that we've reached new geographies, new customers. A lot of it will change as you grow the business in the pace at which we are growing, yes.

Moderator: And the next question is from Archit Joshi from Nuvama Institutional Equities.

Archit Joshi: Sir, 2 questions from me. First one, I wanted to get a bit more understanding on the Nectar project. I believe that 50% was towards one of our marquee customers and the balance 50% was something that we are still trying to figure out in terms of how to dispatch those volumes. I believe that the first 50% should definitely be in line with our expectations?

But given whatever we are seeing in the global agri industry, could you have any understanding on how we should be placing the balance 50% of that plant? That would be number one. And second one would be we have recorded about INR211 crores of contract liabilities on the balance sheet including current and noncurrent ones, which have increased from about INR239 crores, if I calculate correctly. What could be the attribution to that? These would be my two questions?

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Anish Ganatra: Okay. Sure. So on Nectar, you know that apart from the marquee customers, there are 2 to 3 other customers. So we are going through qualification campaigns. We are not figuring out. We are actually working on a plan and that plan is to get the qualification done and then the sales. We think it is slower than what we would have liked it to be. So therefore, we are talking of the 75% this year and then the balance next year.

We've also talked about the fact that -- and I just said that before to the previous respond that we would be looking at sort of downstream applications of the product. Given whatever -- if your question is more around the pricing of that product, et cetera, to the Chinese markets, etcetera, we are confident that even at that price, we will make reasonable margins that would not be deteriorated to our overall margin profile. Yes.

Contract liabilities. Now as you know, contract liabilities actually reflects the money that we've received from our customers towards the capital contribution, both on Chemours project and the marquee project for the additional molecules. So therefore, you see the increase that you see primarily.

Moderator The next question is from the line of Dhara Ganatra from ValueQuest.

Dhara Ganatra: Sir, I would like to understand more on the Fermion contract since now the cGMP4 is commissioned from this quarter onwards from Q4 onwards, will the manufacturing that was already done in your Dewas facility now move to, I mean, the other block of cGMP4 or do you have visibility for more volumes to offtake in the next year, so both will be utilized?

Anish Ganatra: So the Fermion block was a dedicated block. So, obviously, what we are currently doing elsewhere will go into dedicated block because that's why we've built in the dedicated block. So that answers your first question. The second question, do we have visibility to more volumes? Yes, of course, we do have visibility to more volumes. And that will trigger off a decision in terms of where do we place them, et cetera, as and when those volumes come into play.

Dhara Ganatra: Okay. So there could be a possibility of a cGMP5 as well if you have more visibility for the concept?

Anish Ganatra: Yes, there will be a Phase 2. And obviously, we are working with other molecules, too. So we've got space for 5, 6 and 7, I believe. So they are scalable. If we need to do it and there is a business case, we will do it.

Dhara Ganatra: And can you mention the quantum of CDMO contribution that

is coming from Fermion for the full year of FY26?

Anish Ganatra: Can I mention the?

Dhara Ganatra: Quantum of Fermion Contribution?

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Management: Fermion contribution.

Anish Ganatra: No. So, Dhara, we don't commercially talk about these values. We kind of quiet on those. But like I said, I mean you all have the benchmarks. You know it is whatever 2%, 3% of the sale value, et cetera, in terms of the intermediate, that all you know, right? And eventually, it would be between the part that also you know. You have enough what you need to know on that basis.

Moderator: Ladies and gentlemen, due to time constraints, this will be last question. We now hand over the line to Mr. Anish Ganatra for closing comments. Over to you, sir.

Anish Ganatra: All right. Thanks a lot, everybody, for taking the time to interact with us today. Very useful

session from our perspective, certainly, and hope you have the same outcome as well. Thank you, again, and have a good evening all.

Moderator: Thank you. On behalf of Navin Fluorine International Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.